

# CPA

INTERMEDIATE LEVEL

AUDITING AND ASSURANCE

REVISION KIT

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**Updated With  
APRIL 2024  
Past Papers with Answers**

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# TOPIC 1

## NATURE AND PURPOSE OF AN AUDIT

### QUESTION 1

#### April 2024 Question One A

Private companies are not required by law to have their financial statements examined by an auditor. However, all public entities are required by law to have their financial statements audited.

#### Required:

Explain **SIX** reasons why an audit is considered necessary for limited liability companies and other public entities.

(6 marks)

### ANSWER

#### Reasons for Audits in Limited Liability Companies and Public Entities:

- **Compliance with Legal Requirements:** For public entities, audits are mandatory as per the securities laws and regulations. The capital markets Act requires all publicly traded companies to have their financial statements audited by an independent accounting firm. This requirement is essential to protect investors from

potential fraudulent activities and to maintain confidence in the capital markets.

- **Enhancing Credibility:** An audit provides an independent assessment of an organization's financial statements, which can significantly enhance their credibility among stakeholders such as investors, creditors, customers, employees, and regulatory bodies. A clean audit report signifies that the financial statements have been prepared in accordance with generally accepted accounting principles (GAAP) and provide a true and fair view of the organization's financial position.
- **Identifying Errors or Fraud:** During an audit, the auditor examines the organization's financial transactions, internal controls, and accounting practices to identify any errors or discrepancies that may exist. These findings can help management address any issues promptly and prevent potential future problems. Moreover, audits can also help detect fraudulent activities that might go unnoticed otherwise.
- **Assessing Risk Management:** Audits enable assessing an organization's risk management processes by evaluating its internal controls system's effectiveness in managing risks related to financial reporting. This assessment can provide valuable insights for management to improve their risk management



strategies and mitigate potential threats to their business operations.

- **Maintaining Regulatory Compliance:** In certain industries or sectors where regulatory compliance is mandatory, audits play a significant role in demonstrating adherence to specific regulations or standards set by regulatory bodies.
- **Enhanced Public Confidence:** Audits can help to enhance public confidence in the financial reporting process. This is important for maintaining a healthy capital market.

## QUESTION 2

### April 2023 Question One A

Highlight **THREE** benefits that may be derived from independently audited financial statements. (3 marks)

### ANSWER

1. **Enhanced Credibility and Reliability:** Independent audits enhance the credibility and reliability of financial information presented in the statements. External auditors provide assurance that the financial statements are free from material misstatements and are prepared in accordance with relevant accounting standards.

2. **Increased Transparency:** Audited financial statements increase transparency by providing an unbiased assessment of an organization's financial position and performance. This transparency helps stakeholders make informed decisions based on reliable information.
3. **Improved Access to Capital:** Companies with independently audited financial statements often find it easier to access capital from investors and lenders. The audit report serves as a signal of financial health and integrity, which can attract potential investors and creditors.
4. **Compliance with Regulations:** Audited financial statements help organizations comply with regulatory requirements. Many regulatory bodies mandate the audit of financial statements for publicly traded companies or entities receiving public funding.
5. **Detection of Errors and Fraud:** Independent audits can help detect errors, irregularities, or fraudulent activities within an organization. Auditors perform detailed testing procedures to identify any discrepancies or inconsistencies in the financial records.
6. **Risk Mitigation:** Audited financial statements assist in identifying risks and weaknesses in internal controls. By highlighting areas of concern, audits

enable management to take corrective actions to mitigate risks and improve operational efficiency.

**7. Stakeholder Confidence:** The independent verification provided by audits instills confidence in stakeholders, including shareholders, customers, suppliers, and employees. Stakeholders are more likely to trust organizations that undergo regular audits by reputable auditing firms.

**8. Benchmarking and Performance Evaluation:** Audited financial statements serve as a benchmark for evaluating an organization's performance over time or against industry peers. Comparing audited financial data can help identify trends, strengths, weaknesses, and areas for improvement.

**9. Facilitation of Due Diligence:** In mergers, acquisitions, or partnerships, audited financial statements play a crucial role in due diligence processes. Potential buyers or partners rely on audited information to assess the value and risks associated with a target company.

**10. Legal Protection:** Audited financial statements provide legal protection to stakeholders by reducing the risk of litigation related to inaccurate financial reporting. In case of disputes or investigations, auditors' opinions can support the organization's position.

## QUESTION 3

### August 2022 Question Two C

Your firm has been appointed as incoming auditors of Taratibu Motors Ltd. Part of the agreement is a proposal of undertaking of continuous audits on the company's financial statements.

#### Required:

Explain four disadvantages of conducting the proposed continuous audits. (4 marks)

### ANSWER

- 1. Change in Figures:** In Continuous Audit some part of the accounting work is completed earlier, and therefore, there is a fear that the account books which have been audited may be tampered later on by the employees. If this happens then the Final Accounts shall not be able to show the true picture of the commercial organisation.
- 2. Hinderance in the Work of Business:**
- 3.** In Continuous Audit, presence of the auditor and his staff creates hinderance in the regular work of the commercial organisation. Attention of the employees is drawn by them and some of the employees are asked to attend them only. This creates obstacles in the smooth working of the business-houses.

Sometimes, even the management feels inconvenience due to the frequent appearance of the auditor.

4. **Expensive:** Continuous Audit is expensive than Balance Sheet Audit. Since the auditor and his staff visits the commercial organisation to frequently, the management has to spend more on them, both time-wise and money-wise. Further auditor charges more audit fees for Continuous Audit.
5. **Break of Work Chain:** In this system the audit work is done in piece Every time the auditor has to prepare his audit programme before starting his work. This requires more time and energy on his part.
6. **Secret Pact with Employees:** The staff of the auditor comes in close contact with the employees of the organisation. It develops intimacy with them and there is every possibility of concealment of important facts with their connivance.
7. **Mechanical Work of Auditing:** The audit work becomes mechanical since the work continues throughout the year and the interest of the staff or auditor is reduced. This has an adverse impact on audit work.
8. **Luxury for Small Business:** Continuous Audit is more expensive, and therefore, small-scale commercial organisations are not able to adopt it. If

they go for it, it proves to be a waste and luxury for them.

**9. Decrease in Moral Duty of Employees:** The auditor visits the commercial house too frequently. This adversely affects the moral of the employees of the organisation as they do not pay attention to the audit work and the auditor. The staff of the employer may become friendly with the closeness/nearness the auditor and his staff. This may give an opportunity to misuse this relationship.

## QUESTION 4

### April 2022 Question One A

Your firm has been engaged in auditing small entities for the last five years. In a recent development, your firm has been appointed to conduct an audit on a large entity; which is the first assignment of such magnitude. You are required to undertake an interim audit and a final audit of the large entity.

### Required:

- (i) Explain the objective of an external audit. (2 marks)
- (ii) Highlight five audit procedures you could undertake during the interim audit of the large entity. (5 marks)
- (iii) Describe five audit procedures you would undertake during the final audit of the large entity. (5 marks)

- (iv) Present two drawbacks of conducting an interim audit. (2 marks)

## **ANSWER**

### **i) Objective of an external audit**

- i. It enhances the credibility of the financial statements prepared by the management
- ii. It protects the interests of the third parties who are involved the management of the business.
- iii. It acts as a preventive and detective measure against frauds and errors.
- iv. The audited accounts can be used by the company for negotiating for loans from banking institutions

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### **ii) Audit procedures you could undertake during the interim audit of a large entity.**

1. Ascertaining and evaluating the accounting and internal control systems
2. Recording and evaluating the systems.
3. Limited analytical review procedures
4. Limited substantive testing
5. Notifying the weakness in the systems and providing recommendations for improvement.
6. Planning the substantive procedures for the final audit

**iii) Audit procedures you would undertake during the final audit of a large entity.**

1. Updating auditor's knowledge on the client business and systems
2. Determining whether the internal control systems have changed during the interim up to the year end
3. Carrying out compliance testing
4. Final analytical review procedures
5. Final substantive testing
6. Vouching transactions
7. Assessing the appropriateness of accounting policies
8. Assessing the reasonableness of accounting estimates

**iv) Drawbacks of conducting interim audit**

1. It may be expensive for an average business
2. it may be disruptive
3. Figures already audited may be altered by the client staff
4. Client staff may depend on the auditor to solve their accounting problems.

**QUESTION 5**

**December 2021 Question Three C**



You are the auditor of Sharoh Ltd. which was incorporated in December 2018. The company's main business is in real estate. Over the last two years, the company has recorded increased profits as a result of the Property Market-boom in the country. Due to the increased number of transactions, you as the auditor feel that it is prudent to have an interim audit. The management are however hesitant about your proposal.

**Required:**

Explain three reasons to the management of Sharoh Ltd. why an interim audit is necessary and how it could be of benefit to the client. (6 marks)

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**ANSWER**

**Reasons to the management of Sharoh Ltd why an interim audit is necessary and how it could be of benefit to the client.**

Interim audit is necessary since it helps in increasing the efficiency and effectiveness of the management functioning concerning the accounting and the financial part of the business.

It involves preliminary audit work that facilitates faster completion of the final audit.

**Benefits to the Client**

1. It facilitates declaration of interim dividends

2. It is less expensive as compared to the other audits that are required to be conducted
3. Errors and frauds are detected at an early stage.
4. It is less disruptive than continuous audit
5. Act as a preventive and detective measure against fraud and errors.

## QUESTION 6

### December 2021 Question Four C

Examine six factors that would lead to change in the inherent risk of Relax lintels and Cottages Ltd. (6 marks)

### ANSWER

**Factors that lead to change in the inherent risk of relax hotels and cottages ltd.**

1. Management integrity
2. Management knowledge, competence and experience
3. Any recent changes in management especially in the finance and accounting function.
4. Unusual pressure on the management and staff
5. Nature of the clients business for example some business models are complex
6. Factors affecting the industry such as the regulatory framework.
7. Significant related party transactions and balances.

**QUESTION 7****December 2021 Pilot Paper Question One A and B**

- (a) Explain the meaning of the term —inherent risk”.  
(2 marks)
- (b) State with reasons five factors that would affect the initial assessment of inherent risk at the financial statement level.  
(10 marks)

**ANSWER**

**a) Inherent risk** – This is the susceptibility or likelihood of account balances either individually or where aggregated with other 40 material misstatement assuming that there are no related controls.

**b) Factors that would affect the initial assessment of inherent risk at the financial statement level**

- 1. Management integrity** – How the management are honest and straightforward in providing information
- 2. Management knowledge, competence and experience** – the level of knowledge and skills posed by the management
- 3. Any recent change in management** especially in the finance and accounting function.
- 4. Nature of the client business** for example some business models are very complex.

5. Significant related party transactions and balances – those transactions that have being done by directors or related parties generally.

## **QUESTION 8**

### **September 2021 Question One C**

Highlight two features of a non-statutory audit. (2 marks)

## **ANSWER**

### **Features of non statutory audit**

- Nature and scope of audit is determined by the client
- Audit is conducted within the limits determined by the client
- Conducted any time.

## **QUESTION 9**

### **May 2021 Question One A**

Wakulima Supermarket Ltd. has appointed your firm as their external auditors for the current financial year. One of the company's directors feels that there is no need to undertake an interim audit during the year. He argues that an interim audit is only a way of increasing your firm's audit fees and adds no value to the company.

**Required:**

- (i) Advise the director on the need to undertake an interim audit. (8 marks)
- (ii) Explain four audit assignments to be undertaken during the interim audit. (4 marks)

## **ANSWER**

### **i) The need to undertake an interim Audit**

- It facilitate declaration of interim dividends
- It enables the auditor to prepare the management letter at an early stage
- It facilitates faster completion of the final audit
- It acts as a preventive and detective measure against frauds and errors
- Errors and frauds are detected at early stage
- It enables the auditor to plan for the audit
- It is less costly compared to the other audit
- It is less costly compared to the other audit
- It helps in increasing the efficiency and effectiveness of the management functioning the accounting and financial part of the business.

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### **ii) Audit assignments to be undertaken during interim Audit**

- 1. Ascertaining and evaluating the accounting and intern control systems** - the auditor understands the

entity's internal controls to determine the extent of reliance on the systems

2. **Recording and evaluating the systems** - The auditor documents the systems and evaluates and determine to what extent of reliance he can place on the systems.
3. **Limited analytical review procedures** - This involves the computation of ratio analysis, trend analysis cross sectional analysis and reasonable checks.
4. **Limited substantive testing** – This the test of details of transactions and account balances to prove the validity, accuracy, reliability and completeness of accounting information
5. Notifying the weakness in the systems to the management and providing recommendation for improvement.

## QUESTION 10

### May 2021 Question One B

Antony Wanga has joined your audit team as an intern. He has not been engaged in external auditing processes before.

Summarise eight critical stages of an external audit to Antony. (8 marks)

## ANSWER

### Critical stages of an external Audit

1. Agreeing with terms of the engagement: The auditors begins by considering factors and matters before and after accepting an engagement.
2. Gathering background knowledge about the client – The auditor obtains an understanding of the entity and its environment.
3. Planning for the audit-the auditor develops an overall audit strategy and audit plan which sets out the nature, timing and extend of audit procedures
4. Ascertaining and evaluating the systems: The auditor understands and evaluates the systems to determine the extend of reliance to place on the systems
5. Substantive testing to gather audit evidence: This involves the test of details of transactions and account balances to prove validity, accuracy, completeness and reliability of the accounting information
6. Final analytical review procedures – This involves the computation of significant account ratio's trend analysis, cross-sectional analysis and reasonable checks
7. Final review of the audit – This is a review that his done after the audit work is completed before the writing and issue of the audit report.

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8. Drafting and signing of the audit report
9. This is the end product of the audit where the auditor express an opinion on the truth and fairness of financial statements.

## QUESTION 11

### May 2017 Question Four B

In the context of auditing, define the following:

- (i) Operational audit. (2 marks)
- (ii) Financial audit. (2 marks)
- (iii) Agreed upon procedures engagement. (2 marks)
- (iv) Positive assurance. (2 marks)

## ANSWER

### Definition of terms

- i. **Operational audit** – this is a systematic review of the efficiency and effectiveness of operations within the organisation. The focus of the audit is on the processes which take place within the organisation to identify if they can be streamlined and performed more efficiently. The more efficient a process is the more profitable the organisation should be.
- ii. **Financial audit** – This is a type of audit whose aim is to ensure that the financial reporting information produced is reliable and produced in an efficient and



timely manner. If not, executive decisions may be based on unreliable information.

- iii. **Agreed upon procedures engagement** – Is to perform the procedures requested by the client and report the findings on a factual basis. The client forms their own conclusion based on the results of the work.
- iv. **Positive assurance** – Is the type of assurance issued by auditor when sufficient evidence has been gathered to come to a conclusion that information is free from material error.

## QUESTION 12

### May 2016 Question Two A

Highlight two limitations of external audits. (2 marks)

### ANSWER

#### Limitations of external audits

1. Financial statements include subjective estimates and other judgmental matters
2. Internal controls may be relied on which have their own inherent limitations
3. Representations from management may have to be relied upon as the only source of evidence
4. Evidence is often persuasive not conclusive
5. Do not test all transactions and balances (sampling risk)

6. Audit report uses historical information and financial information may be different from the current one

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# TOPIC 2

## ASSURANCE AND NON- ASSURANCE ENGAGEMENTS

### QUESTION 1

#### April 2024 Question One B

Enumerate **FIVE** elements of an assurance engagement.

(5 marks)

#### ANSWER

- **Three-Party Relationship:** This refers to the interaction between three distinct parties involved in the engagement. There's the **intended user**, who relies on the assurance report (e.g., shareholders). The **responsible party**, who prepared the subject matter being examined (e.g., company management). And lastly, the **practitioner**, who performs the assurance procedures and issues the report (e.g., auditor).
- **Subject Matter:** This is the specific information or area being assessed for credibility. In a financial audit, the subject matter would be the financial statements. The subject matter can vary depending on the type of assurance engagement.
- **Suitable Criteria:** This represents the benchmark against which the subject matter is evaluated. For

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financial statement audits, the criteria would be accounting standards like IFRS. These criteria ensure the subject matter is assessed based on established principles.

- **Appropriate Evidence:** The assurance process involves gathering evidence to support or refute claims about the subject matter. This evidence can take various forms, including documentation, interviews, and observations. The practitioner needs to collect sufficient and reliable evidence to form a conclusion.
- **Conclusion:** After evaluating the evidence against the criteria, the practitioner arrives at a conclusion regarding the subject matter. This conclusion is then communicated in a formal **assurance report** issued to the intended users. The nature of the conclusion depends on the type of assurance engagement. It could be a positive opinion on financial statements, a limited assurance statement, or a disclaimer of opinion.

## QUESTION 2

### August 2022 Question Two B

Auditors are frequently required to provide assurance for a broad range of non-audit engagements.

#### Required:

- (i) Summarise four elements of an assurance engagement.

(4 marks)

(ii) Distinguish between “reasonable assurance engagements” and “limited assurance engagements”.

(4 marks)

## ANSWER

**(i) Elements of Assurance engagements are:**

- 1. 3 Parties (User, Preparer, Reviewer):** The intended user - the person who wants the report (e.g. Shareholders), The responsible party - the person who provides the subject matter (e.g. Directors), The Practitioner - the person who reviews the subject matter and provides assurance (e.g. Auditors)
- 2. The Subject Matter:** The material provided by the responsible party, which needs assurance on
- 3. Criteria to judge reliability and accuracy (e.g. IFRS):** This is so the subject matter can be assessed
- 4. Sufficient Evidence to make an opinion:** This is obtained by the practitioner so to give assurance
- 5. A written report:** This is given to the intended user and the responsible party from the practitioner

**ii) Distinction between “reasonable assurance engagements” and “limited assurance engagements”**

Reasonable assurance engagements and limited assurance engagements are two types of assurance engagements

performed by auditors to provide an independent assessment of the subject matter being evaluated. While both types of engagements aim to enhance the credibility of the subject matter, they differ in the level of assurance provided and the nature of the procedures performed.

### **Reasonable Assurance Engagements:**

Reasonable assurance engagements provide the highest level of assurance that the practitioner can offer. The practitioner's objective is to obtain sufficient and appropriate audit evidence to reduce the risk of material misstatement to a low level. This means that the practitioner will perform a comprehensive audit of the subject matter, gathering extensive evidence through tests of controls, substantive procedures, and analytical procedures. The practitioner's conclusion in a reasonable assurance engagement is typically expressed in a positive form, stating that the subject matter is presented fairly, in all material respects, in accordance with the relevant criteria.

### **Limited Assurance Engagements:**

Limited assurance engagements provide a lower level of assurance than reasonable assurance engagements. The practitioner's objective is to perform procedures designed to obtain limited assurance about whether anything has

come to their attention that would cause them to believe that the subject matter is not presented fairly, in all material respects, in accordance with the relevant criteria. This means that the practitioner will perform a less extensive examination of the subject matter, gathering fewer audit procedures and focusing more on inquiries and analytical procedures. The practitioner's conclusion in a limited assurance engagement is typically expressed in a negative form, stating that nothing came to their attention to indicate that the subject matter is materially misstated.

### Key Differences:

| Feature              | Reasonable Assurance Engagement                       | Limited Assurance Engagement                                    |
|----------------------|-------------------------------------------------------|-----------------------------------------------------------------|
| Level of Assurance   | High                                                  | Lower                                                           |
| Objective            | Reduce risk of material misstatement to a low level   | Obtain limited assurance about absence of material misstatement |
| Scope of Procedures  | Comprehensive audit                                   | Less extensive examination                                      |
| Nature of Procedures | Tests of controls, substantive procedures, analytical | Inquiries, analytical procedures                                |

|                    |               |               |
|--------------------|---------------|---------------|
|                    | procedures    |               |
| Form of Conclusion | Positive form | Negative form |

### QUESTION 3

#### April 2022 Question Five B

You are the managing partner in Odhiambo and Associates (Certified Public Accountants). Wasali Ltd. has recently engaged your firm to provide tax consultation services to the company.

#### Required:

Using four elements of an assurance engagement, explain whether the above engagement qualifies to be an assurance engagement. (4 marks)

#### ANSWER

#### Elements of an assurance engagement that qualifies assurance engagement

- **Three party relationship** – Assurance engagement consist of the practitioner, the responsible party and intended users.
- **Subject matter**- This is what is being examined or evaluated
- **Suitable criteria** – This is standard or benchmark measured or evaluated.



- **Evidence process** - This is the practitioner basis of conclusion based on the work done
- **Opinion** – this is practitioner conclusion on whether the subject matter conforms with the suitable criteria.

## QUESTION 4

### January 2022 Question Three D

The directors of XYZ Enterprises Ltd. have prepared a cash flow forecast for submission to the bank. They have asked you as the auditor to provide a negative assurance report on this forecast.

#### Required:

- Discuss two differences between "positive" and "negative" assurance. (4 marks)
- Explain two advantages to the directors of providing a negative assurance report on their cash flow forecast. (4 marks)

## ANSWER

### i) Differences between positive and negative assurance

| Positive assurance                                                                             | Negative assurance                                                                         |
|------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|
| The auditors state that in their opinion, the subject matter conforms to the suitable criteria | Negative assurance expresses that auditors did not come across information that implicates |

|                                                                 |                                            |
|-----------------------------------------------------------------|--------------------------------------------|
|                                                                 | otherwise                                  |
| Provide a higher assurance level to the users of subject matter | coming lower confidence to the users       |
| It's part of reasonable assurance engagement                    | It's part of limited assurance engagements |

## **ii) Advantages to directors of providing a negative assurance report on their cash flow forecast**

- Using negative assurance, the auditor is warning users that the cash flow forecast may be inaccurate. Less reliance can therefore be placed on the forecast than the financial statements, where the positive assurance was given.
- With negative assurance the auditor is also warning that there were limited audit procedures that could be used the cash flow relates to the future and therefore the auditor cannot obtain all the evidence to guarantee its accuracy
- Financial statements relate to the past, and so the auditor should be able to obtain the information to confirm they are correct, hence the use of positive assurance.

## **QUESTION 5**

## **December 2021 Question Two C**

"The form and content of an auditor's report will depend on the nature of the audit, the intended users, and the applicable standards and requirements".

In light of the above statement, explain how the auditor's report may differ between "attestation engagements" and "direct reporting engagements". (4 marks)

### **ANSWER**

**How the audit reports may differ between attestation engagements and direct reporting engagement**

**Attestation engagements** – This is where the practitioner declares that a given assertion is either correct or not correct. The assertions may include valuation, existence, accuracy, rights and obligations etc.

**Direct reporting engagements** - This is where a professional accountant is engaged to give a special report on some aspects of the client affairs.

### **QUESTION 6**

#### **December 2021 Pilot Papers Question Four C**

In relation to ISA 3000 —Assurance Engagements Other than Audits or Reviews of Historical Financial Information”:

State the difference between:

- (i) An audit and an assurance engagement. (4 marks)
- (ii) An attestation engagement and a direct engagement. (2 marks)

### **ANSWER**

#### **i) State the difference between**

##### **i) An audit and Assurance engagement**

**An Audit** is independent examination of the books of accounts, vouchers and records of the entity by an independent professional accountant to check whether the financial statements reflect a true and fair view and have been prepared in accordance with the identified financial reporting framework.

**An assurance engagement** – is an engagement where a practitioner is engaged to evaluate or measure a given subject matter that was a responsibility of another party against a suitable criteria and express an opinion that is meant to provide the intended user with a level of assurance regarding the reliability of the subject matter with reference to the identified criteria.

##### **ii) An attestation engagement and a direct engagement**

**Attestation engagement** is an assurance engagement in which the practitioner is an assurance engagement in

which the practitioner declares that a given assertion is either correct or not correct.

**Direct engagement** is an engagement in which a professional accountant is engaged to give a special report on some aspects of the clients affair's

## QUESTION 7

### December 2021 Pilot Papers Question Four D

Describe five elements of assurance engagement.

(5 marks)

## ANSWER

- 1. Three party relationship:** Assurance engagements involve three separate parties: a practitioner, a responsible party and intended users.
- 2. An appropriate subject matter:** Subject matter information may be the reorganization, measurement, presentation and disclosures represented in financial statements, key indicators, special documents, assertion about effectiveness or statement of compliance depending on the nature of assurance engagements.
- 3. Suitable criteria:** Criteria can be formal or informal depending up on the nature of assurance engagement. It may be Nepal Standards on Auditing or an

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established internal control framework or individual control objectives specifically designed for the engagement or applicable law, regulation or contract.

**4. Sufficient appropriate evidence:** The practitioner plans and performs an assurance engagement with an attitude of professional skepticism to obtain sufficient appropriate evidence about whether the subject matter information is free of material misstatement. The practitioner considers materiality, assurance engagement risk, and the quantity and quality of available evidence when planning and performing the engagement.

**5. Assurance report:** The practitioner provides a written report containing a conclusion that conveys the assurance obtained about the subject matter information.

## QUESTION 8

### September 2021 Question Two A

Distinguish between "reasonable assurance engagement" and "limited assurance engagement". (4 marks)

### ANSWER

**Distinction between reasonable assurance engagement and limited assurance engagement**

| <b>Reasonable assurance engagement</b>                                                                       | <b>limited assurance engagement</b>                                                                                                                                                   |
|--------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| The objective is a reduction of the assurance engagement risk to an exceptionally low level in circumstances | The objective is a reduction of assurance engagement risk to a level that is acceptable in the circumstances but where the risk is greater than in a reasonable assurance engagement. |
| Engagement risk is lower                                                                                     | Engagement risk is higher                                                                                                                                                             |
| The opinion is positive form of an expression of an opinion                                                  | The opinion is a negative form of an expression of an opinion                                                                                                                         |
| Set of procedures performed is extensive procedures                                                          | set of procedures performed is limited procedures                                                                                                                                     |

## QUESTION 9

### May 2021 Question Five B

Mali Company Associates (CPA) have been the auditors of Karibu Limited for the past three years. The company is in the business of electricity generation. At the beginning of the current financial year ended 31 December 2020, the company decided to diversify its operations to natural gas supply. The auditors were

informed about this decision by the company at the time of planning for the interim audit of the current financial year. The directors of the company have appointed Mali Company Associates as the auditors of the new business line.

Examine five actions that Mali Company Associates should take in respect of the new assignment. (10 marks)

## **ANSWER**

### **Actions that Mali Company should take in respect of the new assignment**

- 1. Understand the new business line:** Before accepting the new assignment, Mali Company Associates (CPA) should thoroughly understand the natural gas supply business. This includes understanding the industry, the regulatory environment, the company's competitors, and the company's plans for the new business line. CPA should also assess the company's financial position and its ability to manage the risks associated with the new business line.
- 2. Assess the company's internal controls:** Mali Company Associates (CPA) should assess the company's internal controls over financial reporting for the new business line. This includes assessing the



company's control environment, risk assessment process, control activities, information and communication systems, and monitoring activities. CPA should identify any weaknesses in the company's internal controls and recommend corrective actions.

3. **Develop an audit plan:** Mali Company Associates (CPA) should develop an audit plan for the new business line. The audit plan should outline the scope of the audit, the audit objectives, the audit procedures, and the timing of the audit. The audit plan should be tailored to the specific risks associated with the new business line.
4. **Perform substantive audit procedures:** Mali Company Associates (CPA) should perform substantive audit procedures to provide assurance that the financial statements of the new business line are fairly presented. These procedures may include examining the company's sales invoices, reviewing the company's accounts receivable and accounts payable, and testing the company's inventory valuation.
5. **Communicate with the audit committee:** Mali Company Associates (CPA) should communicate with the company's audit committee about the new business line. This communication should include

discussing the risks associated with the new business line, the company's internal controls, and the results of the substantive audit procedures.

## QUESTION 10

### **November 2019 Question Two B**

You work as an audit senior for Kamau Mengo and associates. You have been appointed to be the lead auditor of TamuTamu Ltd. for the financial year ended 31 October 2019. TamuTamu Ltd. specialises in the production of biscuits and cakes.

During preliminary audit work, you noted that the profitability of the company declined, costs increased and prices charged were higher than those of competitors. This was due to low levels of output. In recent years, TamuTamu Ltd. has been financing its operations using a bank overdraft facility. This issue was raised during a meeting between the auditors and TamuTamuLtd's management

During this meeting , a discussion took place which focused on actions that could be taken by the management to improve the liquidity of the company. The management team informed you of a plan to expand facilities for producing biscuits, as this line of production had

maintained its market share. TamuTamu Ltd. has applied for a bank loan to finance this expansion and also maintain the present level of working capital.

To support this request for a loan, the company has prepared a cash flow forecast for the two years from the end of the reporting period. The internal audit department has submitted a report on this forecast to the board of directors. However, the bank has said it would like a report from the external auditors, to confirm the reasonableness of the forecast.

Following this request, the company has requested you to examine the cash flow forecast and write a report to the bank

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### **Required**

- i) Describe three levels of assurance that could be included in your response to the bank's request (6 marks)
- ii) Assess eight procedures that could be adopted to examine the cash flow forecast (8 marks)

### **ANSWER**

**Tamu Tamu limited**

**(i) Levels of assurance to include in the bank's request**

1. **Reasonable Assurance:** This level involves a high degree of assurance but does not guarantee absolute accuracy. Here, auditors perform extensive procedures, including examination, inquiry, confirmation, and analysis, to provide a reasonable level of confidence regarding the cash flow forecast's reasonableness. They might use substantive testing and review historical data to assess the reliability of the forecast.
2. **Limited Assurance:** At this level, auditors provide a moderate level of assurance. It involves fewer procedures compared to reasonable assurance and might include analytical procedures and inquiries. The focus is on obtaining limited evidence to support the plausibility of the forecast.
3. **No Assurance:** In this scenario, auditors explicitly state that they do not provide any assurance regarding the accuracy or reasonableness of the cash flow forecast. They may simply present the information provided by management without performing any specific procedures to verify or confirm its reliability.

**(ii) Procedures to be adopted to examine the cash flow forecast**

1. **Review the assumptions underlying the cash flow forecast.** This includes reviewing the historical financial statements of the company, the company's business plan, and the current economic conditions.
2. **Compare the company's cash flow forecast to the forecasts of other companies in the same industry.** This can help to identify any potential outliers or areas where the company's forecast may be overly optimistic or pessimistic.
3. **Discuss the cash flow forecast with the company's management.** This can help to understand the company's assumptions and to identify any potential risks or uncertainties.
4. **Perform analytical procedures on the cash flow forecast.** This includes reviewing the trends in the company's cash flows, the relationship between the company's cash flows and its other financial statements, and the impact of changes in key assumptions on the cash flow forecast.
5. **Recalculate the cash flow forecast using different assumptions.** This can help to assess the sensitivity of the cash flow forecast to changes in key assumptions.
6. **Consider the impact of any off-balance sheet financing arrangements.** This includes reviewing

any leases, guarantees, or other arrangements that could affect the company's cash flows.

7. **Consider the company's ability to generate cash from its operations.** This includes reviewing the company's working capital management practices, its inventory turnover, and its accounts receivable collection period.
8. **Consider the company's ability to obtain financing.** This includes reviewing the company's creditworthiness, its access to capital, and its relationships with lenders.

## QUESTION 11

### May 2019 Question Two B

The Finance Director of Kijani Industries has requested your firm to undertake a non-audit assurance engagement later in the year. Part of your team includes an audit assistant who has not been involved in such an assignment before and has asked you to explain what an assurance engagement involves.

### Required:

Explain three key elements of an assurance engagement.

(6 marks)

## ANSWER

## **Key Elements of an assurance engagement**

### **1. Three Parties (User, Preparer, Reviewer)**

The intended user - the person who wants the report

The responsible party - the person who provides the subject matter

The Practitioner - the person who reviews the subject matter and provides assurance

### **2. The Subject Matter**

The material provided by the responsible party, which needs assurance on

### **3. Criteria to judge reliability and accuracy (e.g. IFRS)**

This is so the subject matter can be assessed

### **4. Sufficient Evidence to make an opinion**

This is obtained by the practitioner so to give assurance

### **5. A written report**

This is given to the intended user and the responsible party from the practitioner

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## **QUESTION 12**

### **May 2019 Question Five B i**

Explain the term —reasonable assurance” as used in auditing. (2 marks)

## **ANSWER**

**Explain the term reasonable assurance as used in auditing**

Reasonable assurance is where the auditors in his report reduces the assurance engagement risk to an acceptable low level as regards to the circumstances of the engagement.

**QUESTION 13****November 2018 Question One C**

Explain the term —negative assurance” as used in auditing.  
(2 marks)

**ANSWER****Meaning of Negative Assurance as used in Auditing**

This is a representation by an auditor that particular facts are believed to be accurate since no contrary evidence has been found or a written statement that an audit did not uncover any signs of fraud.

**QUESTION 14****November 2018 Question Four B**

The finance director of your client, ABC Ltd., has read about review engagements and is interested in the possibility of ABC undertaking these in future. However, he is unsure how these engagements differ from an



external audit and how much assurance would be gained from these types of engagement.

**Required:**

- (i) Explain the purpose of review engagements and how they differ from external audits. (4 marks)
- (ii) Describe the level of assurance provided by external audits and review engagements. (4 marks)

**ANSWER**

**(i) Purpose of Review Engagements and How They Differ from External Audits**

Review engagements are a type of assurance engagement that provides a limited level of assurance regarding the financial statements of a company. The purpose of a review engagement is **to provide users with some assurance that the financial statements are free from material misstatements**. However, review engagements do not provide the same level of assurance as external audits.

External audits are the most comprehensive type of assurance engagement. The purpose of an external audit is to provide users with a reasonable assurance that the financial statements are free from material misstatements. External audits are performed by independent auditors who are required to comply with rigorous auditing standards.

Here is a table that summarizes the key differences between review engagements and external audits:

| <b>Feature</b>              | <b>Review Engagement</b>                                                                        | <b>External Audit</b>                                                                              |
|-----------------------------|-------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|
| <b>Purpose</b>              | To provide limited assurance that the financial statements are free from material misstatements | To provide reasonable assurance that the financial statements are free from material misstatements |
| <b>Level of assurance</b>   | Limited assurance                                                                               | Reasonable assurance                                                                               |
| <b>Scope of procedures</b>  | Limited                                                                                         | More extensive                                                                                     |
| <b>Auditor independence</b> | Less independent than external auditors                                                         | Highly independent                                                                                 |
| <b>Audit report</b>         | A review report is issued                                                                       | An audit report is issued                                                                          |

## **(ii) Level of Assurance Provided by External Audits and Review Engagements**

The level of assurance provided by an external audit is higher than the level of assurance provided by a review engagement. This is because external audits are more comprehensive and involve more rigorous procedures.

Here is a table that summarizes the level of assurance provided by external audits and review engagements:

| <b>Level of Assurance</b>   | <b>Description</b>                                                                                                                                           |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Reasonable assurance</b> | A high level of assurance that the financial statements are free from material misstatements                                                                 |
| <b>Limited assurance</b>    | A lower level of assurance than reasonable assurance. However, some assurance is provided that the financial statements are free from material misstatements |

## QUESTION 15

### May 2018 Question Four C

Distinguish between —assurance engagements” and —non assurance engagements”. (4 marks)

### ANSWER

#### **Distinguish between assurance engagement and non-assurance engagements**

**Assurance engagement** – is an engagement in which a practitioner obtains sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria.

**Non-assurance engagement** - Non-assurance engagements are those that do not result in the practitioner's expression of a conclusion that provides a level of assurance, whether negative assurance or other form of assurance. The practitioner does not convey to the intended users any assurance as to the reliability of an assertion

## QUESTION 16

### November 2017 Question One A

Auditors carry out various audit assignments. In relation to the above statement, explain four non-assurance assignments that auditors undertake. (4 marks)

### ANSWER

**Non-assurance assignment that auditors can undertake**

1. Company secretarial services
2. Accounting and bookkeeping services
3. Taxation services
4. Valuation services
5. Information technology system services

## QUESTION 17

### November 2017 Question Five B

Explain the following terms:

- (i) Reasonable assurance. (2 marks)  
(ii) Opinion shopping. (2 marks)

## ANSWER

### Meaning of the following terms:

- i. **Reasonable assurance** - Is the highest level of assurance and is given when the audit of historical FSs has been performed involving evaluation of evidence and the usage of auditing standards e.g. ISAs. It is given in positive terms by using the words —~~in~~our opinion the FSs which we have audited portray a true and fair view/comply in all material respects to the provisions of the Company's Act and to the client's financial reporting framework”.
- ii. **Opinion shopping**. Is the practice of searching for an outside auditor who will provide a favorable opinion of the company's financial condition. An accountant's opinion (also called auditor's certificate) is intended to show that the company's financials are fairly presented and that they conform to the generally accepted accounting principles (GAAP). This opinion is important to lenders and investors who rely on independent views of a company's books and records when making decisions.

**QUESTION 18****May 2017 Question Two B**

Discuss four capabilities and competencies expected of the engagement team as espoused in the International Standards of Auditing (ISA) 220 "Quality Control for Audit of Financial Statements". (8 marks)

**ANSWER****Capabilities and competencies of the engagement team**

1. Compliance with ethical requirements during the engagement.
2. Experience with the industry
3. Ability to do appropriate consultation on difficult or contentious matters
4. Ability to apply professional judgments.
5. Adherence to applicable legal and regulatory requirements through the monitoring process.

**QUESTION 19****May 2017 Question Three A iv**

Explain the following terms as used in auditing:  
Assurance engagement risk. (2 marks)

**ANSWER**

**Assurance engagement risk** – is the risk that auditor expresses an inappropriate opinion when the subject matter is materially misstated

## QUESTION 20

### November 2016 Question Five A

Describe four types of assurance engagement (8 Marks)

### ANSWER

#### Types of assurance engagements

An assurance engagement is: 'An engagement in which a practitioner obtains sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria.' Types:

1. **Reasonable assurance engagement** – An assurance engagement in which the practitioner reduces engagement risk to an acceptably low level in the circumstances of the engagement as the basis for the practitioner's conclusion.
2. **Limited assurance engagement** - An assurance engagement in which the practitioner reduces engagement risk to a level that is acceptable in the circumstances of the engagement but where that risk

is greater than for a reasonable assurance engagement as the basis for expressing a conclusion.

**3. Attestation Engagement** - An assurance engagement in which a party other than the practitioner measures or evaluates the underlying subject matter against the criteria. A party other than the practitioner also often presents the resulting subject matter information in a report or statement.

**4. Direct engagement** - An assurance engagement in which the practitioner measures or evaluates the underlying subject matter against the applicable criteria and the practitioner presents the resulting subject matter information as part of, or accompanying, the assurance report.

## QUESTION 21

### May 2016 Question Two B

Describe the type of assurance report a practitioner would issue in each of the following engagements:

- i) Reasonable assurance engagement. (2 marks)
- ii) Limited assurance engagement. (2 Marks)

## ANSWER

**Types of assurance report a practitioner would issue**

- i. Reasonable assurance engagement**

Gives a positively worded assurance opinion



**ii. Limited assurance engagement**

Gives a negatively worded assurance conclusion

**QUESTION 22****November 2015 Question Four B**

Explain the following terms as used in auditing:

- (i) Audit risk. (2 marks)
- (ii) Inherent risk. (2 marks)
- (iii) Control risk. (2 marks)
- (iv) Attest engagement. (2 marks)
- (v) Direct reporting engagement. (2 marks)

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**ANSWER****Explanation of terms****i. Audit risk**

Audit risk is the risk that an auditor gives an inappropriate opinion on the financial statements being audited.

**ii. Inherent risk**

Inherent risk is the susceptibility of an assertion to a misstatement that could be material individually or when aggregated with misstatements, before considering any related controls

**iii. Control risk**

Control risk is the risk that a material misstatement could occur in an assertion that could be material, individually or when aggregated with other misstatements, and will not be prevented or detected on a timely basis by the company's internal control systems

**iv. Attest engagement**

The responsible party measures the subject matter against the criteria and presents the subject matter information, on which the auditor then gathers sufficient and appropriate audit evidence to provide a reasonable basis for expressing an opinion on the reasonableness of a certain assertion

**v. Direct reporting engagement**

It is an engagement whereby the practitioner either directly performs the evaluation or measurement of the subject matter, or obtains a representation from the responsible party that has performed the evaluation or measurement that is not available to the intended users. The subject matter information is provided to the intended users in the assurance report

## **QUESTION 23**

### **September 2015 Question Four A**

XYZ Ltd.'s directors have expressed an interest in your audit firm Tato & Co. to perform other review

engagements in addition to the external audit. However, they are unsure how much assurance would be gained via these engagements and how these differ compared to the assurance provided by an external audit.

**Required:**

Identify and explain the level of assurance provided by an external audit and other review engagements. (4 marks)

**ANSWER****Level of assurance provided by an external audit and other review engagements**

The level of assurance provided by audit and review engagements is as follows:

**External audit** – A high but not absolute level of assurance is provided, this is known as reasonable assurance. This provides comfort that the financial statements present fairly in all material respects (or are true and fair) and are free of material misstatements.

**Review engagements** – where an opinion is being provided, the practitioner gathers sufficient evidence to be satisfied that the subject matter is plausible; in this case negative assurance is given whereby the practitioner

confirms that nothing has come to their attention which indicates that the subject matter contains material misstatements.

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# TOPIC 3

## LEGAL AND PROFESSIONAL FRAMEWORK

### QUESTION 1

#### April 2024 Question Two A

Joe and Kim Associates, an audit firm, has been the auditor of Pikcha Ltd. for the past five years. The management of Pikcha Ltd. have been searching for a company to offer them tax consultancy services. They recently approached Joe and Kim Associates for these services.

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#### Required:

- (i) Enumerate **FOUR** types of tax consultancy services that Joe and Kim Associates might be able to offer Pikcha Ltd. (4 marks)
- (ii) Discuss **THREE** possible threats to independence that Joe and Kim Associates might be exposed to by offering tax services to Pikcha Ltd. (6 marks)

#### ANSWER

##### (i) Types of tax consultancy services

- **Tax Planning:** Joe and Kim Associates can assist Pikcha Ltd. in developing tax-efficient strategies to

minimize tax liabilities while ensuring compliance with tax laws and regulations.

- **Tax Compliance:** They can help Pikcha Ltd. prepare and file their tax returns accurately and on time, ensuring adherence to all relevant tax laws and regulations.
- **Tax Advisory Services:** Joe and Kim Associates can provide advice on various tax matters such as mergers, acquisitions, restructuring, international taxation, and other complex tax issues that Pikcha Ltd. may encounter.
- **Tax Audit Support:** In case of a tax audit by the authorities, Joe and Kim Associates can represent Pikcha Ltd., assist in responding to inquiries, and help resolve any tax-related disputes.
- **Transfer Pricing Services:** If Pikcha Ltd. engages in transactions with related parties, Joe and Kim Associates can offer transfer pricing services to ensure compliance with transfer pricing regulations and optimize the company's tax position.
- **Tax Risk Management:** They can help Pikcha Ltd. identify potential tax risks, assess their impact, and develop strategies to mitigate these risks effectively.

**(ii) Possible threats to independence**

1. **Self-Review Threat:** By providing both audit and tax consultancy services to Pikcha Ltd., Joe and Kim Associates might face a self-review threat where they are required to evaluate the results of their own previous judgments as part of the audit process.
2. **Advocacy Threat:** There is a risk that by offering tax consultancy services to Pikcha Ltd., Joe and Kim Associates may become advocates for the client's interests rather than maintaining objectivity and independence required for an audit engagement.
3. **Familiarity Threat:** Over time, due to the long-standing relationship as auditors of Pikcha Ltd., there could be a familiarity threat where the auditors may become too sympathetic or complacent towards the client's interests when providing tax consultancy services.
4. **Management Participation Threat:** If Joe and Kim Associates get involved in decision-making processes related to tax matters at Pikcha Ltd., there is a risk that their objectivity could be compromised, leading to a management participation threat.

**5. Financial Interest Threat:** Providing additional services like tax consultancy could create a financial interest threat if the fees earned from these services become significant enough to influence Joe and Kim Associates' objectivity during the audit process.

## QUESTION 2

### December 2023 Question One A

Describe **THREE** roles played by professional bodies in the regulation of auditors. (3 marks)

### ANSWER

Professional bodies play several crucial roles in the regulation of auditors, with the specific functions varying depending on the local jurisdiction and structure. Here's a breakdown of some key contributions:

#### Setting Standards and Best Practices:

- Professional bodies develop and issue auditing standards, ethics codes, and best practices for their members. These standards guide auditors in conducting their work with objectivity, independence, and due professional care.
- Examples include the International Auditing and Assurance Standards Board (IAASB) and national



bodies like the American Institute of Certified Public Accountants (AICPA).

### **Education and Training:**

- Professional bodies provide initial and ongoing training programs for their members to ensure they possess the necessary knowledge, skills, and competence to perform high-quality audits.
- This includes technical training on accounting standards and auditing procedures, as well as continuing professional development (CPD) on ethics, technology, and other relevant topics.

### **Quality Assurance and Monitoring:**

- Some professional bodies conduct inspections or reviews of their members' audit practices to ensure they comply with established standards and ethics codes.
- This monitoring helps identify and address potential issues and promotes consistent application of high-quality auditing practices.

### **Enforcement and Discipline:**

- Professional bodies may have the authority to investigate complaints against their members and impose disciplinary sanctions for misconduct or breaches of regulations.

- This helps uphold ethical standards and protects the public interest by ensuring auditors fulfill their professional responsibilities.

### **Advocacy and Representation:**

- Professional bodies advocate for their members' interests and the broader audit profession, engaging with regulators, policymakers, and stakeholders on relevant issues.
- This helps ensure the voices of auditors are heard and contributes to shaping policies that promote effective and ethical audit practices.

### **Supporting Audit Firms:**

- Some professional bodies provide guidance and support to audit firms on practice management, quality control, and other relevant areas.
- This helps firms operate effectively and efficiently while maintaining high-quality standards.

### **Collaboration with Public Oversight Bodies:**

- In many jurisdictions, professional bodies collaborate with independent public oversight bodies responsible for overseeing the audit profession.
- This collaboration helps ensure a comprehensive and coordinated approach to audit regulation and promotes consistency in standards and enforcement.

## QUESTION 3

### December 2023 Question Two B

Describe **FIVE** threats to independence and objectivity as identified in the professional code of ethics for auditors.

(5 marks)

### ANSWER

The professional code of ethics for auditors, such as the International Ethics Standards Board for Accountants (IESBA) Code emphasizes the importance of maintaining independence and objectivity in the performance of audit engagements. These codes outline various threats that may compromise an auditor's independence and objectivity, which are crucial for providing reliable and trustworthy audit opinions. Some of the key threats identified in these codes include:

1. **Self-interest threats:** These occur when an auditor's personal or financial interests conflict with their professional obligations. Examples include owning a significant amount of stock in the audited entity, providing non-audit services that could create a financial incentive to compromise the audit, or accepting gifts or hospitality from the audited entity that could influence the auditor's judgment.
2. **Self-review threats:** Auditors may face conflicts when they are required to review their own work, as

this can lead to a lack of objectivity. For instance, when an auditor is responsible for both the initial audit and the subsequent review of the audit evidence, there is a risk that they may overlook errors or inconsistencies in their previous work.

3. **Advocacy threats:** These arise when auditors become too closely aligned with the management or the audited entity, leading them to prioritize the interests of the client over their professional obligations. This can happen when auditors spend excessive time with management, socialize with them outside of work, or fail to challenge management's assumptions or judgments.
4. **Familiarity threats:** Auditors may face challenges in maintaining objectivity when they have close personal or family relationships with individuals within the audited entity. This familiarity can lead to a reduced willingness to question the client's actions or decisions, potentially compromising the audit's integrity.
5. **Intimidation threats:** These occur when auditors are subjected to undue pressure from management, shareholders, or other stakeholders that could influence their professional judgment. This pressure may come in the form of threats to the auditor's career, negative publicity, or other forms of coercion.

- 6. Management override of controls threats:** In some cases, management may attempt to exert influence over the audit process, either by circumventing internal controls or by directly pressuring auditors to alter their findings. This can lead to a compromise in the auditor's independence and objectivity, as they may feel compelled to accommodate the client's wishes rather than adhere to professional standards.
- 7. Audit committee threats:** Auditors may face challenges in maintaining independence when they have close relationships with the audit committee or its members. This can result in a reduced willingness to challenge the committee's decisions or question their judgments, potentially affecting the audit's impartiality

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## QUESTION 4

### **December 2023 Question Five C**

Analyse **THREE** strategies that an auditor could use to reduce exposure to professional liabilities. (3 marks)

### **ANSWER**

#### **Strategies to Reduce Exposure to Professional Liabilities for Auditors**

Auditors face various professional liabilities in their line of work, stemming from the nature of their

responsibilities and the potential consequences of errors or negligence. To mitigate these risks, auditors can employ several strategies to reduce their exposure to professional liabilities:

**1. Adherence to Professional Standards:** One of the fundamental ways auditors can reduce their exposure to liabilities is by strictly adhering to professional auditing standards. Following established guidelines and best practices helps ensure that audits are conducted thoroughly and accurately, reducing the likelihood of errors or oversights that could lead to liability issues.

**2. Effective Communication:** Clear and transparent communication with clients, stakeholders, and other relevant parties is crucial for auditors to manage expectations and avoid misunderstandings that could result in liability claims. Providing timely updates, explaining audit findings clearly, and addressing any concerns promptly can help prevent potential disputes.

**3. Documentation and Record-Keeping:** Maintaining comprehensive documentation of audit procedures, working papers, communications, and decisions is essential for auditors to demonstrate due diligence in their work. Detailed records not only support the audit conclusions but also serve as evidence in case of legal challenges, helping auditors defend their actions and decisions.

**4. Independence and Objectivity:** Upholding independence and objectivity in the audit process is critical for auditors to maintain credibility and integrity. By avoiding conflicts of interest, undue influence, or bias, auditors can enhance the reliability of their findings and minimize the risk of facing liability claims related to compromised professional judgment.

**5. Risk Assessment and Management:** Conducting thorough risk assessments before and during the audit engagement enables auditors to identify potential areas of concern or sources of risk that could lead to liabilities. Implementing effective risk management strategies, such as prioritizing high-risk areas, allocating resources appropriately, and implementing internal controls, can help auditors proactively address risks and mitigate their impact.

**6. Continuous Professional Development:** Staying abreast of developments in auditing standards, regulations, industry practices, and emerging risks is essential for auditors to enhance their knowledge and skills continuously. Investing in ongoing training, professional education, and skill development not only improves audit quality but also equips auditors with the tools needed to navigate complex audit engagements effectively.



**7. Professional Liability Insurance:** While not a preventive measure per se, obtaining professional liability insurance can provide auditors with financial protection against potential claims or lawsuits arising from alleged errors, omissions, or negligence in their audit services. Having appropriate insurance coverage can help mitigate the financial impact of defending against liability claims and potential settlements.

## QUESTION 5

### August 2023 Question One C

Your firm has been auditing Arial Bank which is listed in the securities exchange. As a policy, you are required to evaluate the independence of the firm and all the team members involved in the audit engagement. The audit team is assessing its independence in relation to Arial Bank's audit.

#### Required:

Discuss **FIVE** factors that might compromise independence of the team members involved in this audit.

(10 marks)

### ANSWER

Auditors operate in a high-pressure environment where their work carries significant weight and potential for liability. While complete elimination of risk is impossible,



several strategies can significantly reduce an auditor's exposure to professional liabilities:

### **Client Selection and Engagement:**

- **Thorough Client Evaluation:** Implement robust procedures to evaluate potential clients, considering their litigation history, financial stability, and potential red flags for fraud or mismanagement.
- **Clear and Detailed Engagement Letters:** Clearly define the scope of the audit, fees, limitations of liability, and communication protocols within the engagement letter.
- **Avoiding High-Risk Engagements:** Carefully assess complex or high-risk engagements and potentially decline them if adequate resources or expertise are unavailable.

### **Maintaining Independence and Objectivity:**

- **Adherence to Ethical Standards:** Uphold the highest ethical standards stipulated by professional codes, actively identifying and mitigating potential threats to independence and objectivity.
- **Independent Review and Consultation:** Implement an internal review process and seek external consultations when significant uncertainties or complex judgments arise.

- **Documentation and Communication:** Maintain comprehensive documentation of all audit procedures, findings, and communication with the client, ensuring transparency and traceability.

### **Technical Competence and Quality Control:**

- **Continuous Professional Development:** Invest in ongoing training and development to stay updated on relevant accounting standards, auditing methodologies, and industry trends.
- **Robust Quality Control Systems:** Implement and maintain effective quality control systems to ensure consistent adherence to auditing standards and identify potential shortcomings.
- **Supervision and Review:** Employ qualified and experienced professionals to supervise and review audit engagements, ensuring thoroughness and accuracy.

### **Risk Management and Communication:**

- **Early Identification and Communication of Risks:** Promptly identify and communicate potential risks of material misstatement to the client and relevant stakeholders.
- **Open and Transparent Communication:** Maintain open and transparent communication with the client

throughout the audit process, addressing concerns and clarifying expectations.

- **Professional Liability Insurance:** Consider acquiring adequate professional liability insurance to mitigate financial losses arising from unexpected legal claims.

## QUESTION 6

### April 2023 Question Four B

Joyce Jamila runs an audit firm that recently completed the audit of SofaSeti Ltd., a manufacturer of exclusive home furniture. The audit fee amounted to Sh. 4,800,000. Having recently purchased a new house, Joyce proposed the following to SofaSeti Ltd. as a mode of settlement:

1. Instead of invoicing SofaSeti Ltd. a fee of Sh. 4,800,000, she would invoice the company an amount of Sh.2,800,000 for the audit fees.
2. SofaSeti Ltd. would then supply Joyce Jamila with free furniture with a cost value of Sh.2,000,000 for her new house.
3. SofaSeti Ltd. would not raise a sale in the company's accounting records and would write off the amount of Sh.2,000,000 off as part of the allowance for obsolete inventory.

**Required:**

Discuss **FIVE** issues in terms of the code of professional conduct applicable in the situation above. (5 marks)

## **ANSWER**

### **Issues in Terms of the Code of Professional Conduct:**

- 1. Independence and Objectivity:** Joyce Jamila's proposal raises concerns regarding independence and objectivity. By accepting free furniture as part of the audit fee, Joyce may compromise her independence and objectivity in auditing SofaSeti Ltd. She might be influenced to provide favorable audit opinions to maintain the relationship with the client.
- 2. Integrity and Professional Behavior:** The proposed arrangement could raise questions about Joyce's integrity and professional behavior. It is essential for auditors to act with integrity and avoid any actions that could undermine their professionalism or the perception of their independence.
- 3. Conflicts of Interest:** There is a potential conflict of interest in this situation. Accepting furniture from the audited company creates a conflict between Joyce's personal interests (receiving furniture for her new house) and her professional responsibilities as an auditor (providing unbiased and accurate audit opinions).

- 4. Audit Fee Arrangement:** The proposed adjustment to the audit fee raises concerns about transparency and fairness. Auditors are expected to charge fees that are commensurate with the services provided and not engage in arrangements that could compromise the perceived value or quality of their work.
- 5. Professional Skepticism:** Auditors are required to maintain a skeptical mindset throughout the audit process. In this case, accepting furniture as part of the audit fee without proper justification or documentation may indicate a lack of professional skepticism in evaluating the transaction.
- 6. Reporting and Documentation:** The lack of proper documentation or disclosure regarding the arrangement with SofaSeti Ltd. violates the principles of transparency and accountability in auditing. Auditors are expected to maintain clear records of all transactions and agreements related to their engagements.
- 7. Compliance with Laws and Regulations:** Depending on the jurisdiction, accepting non-monetary benefits from clients may violate laws or regulations governing auditor independence and ethical conduct. It is crucial for auditors to comply with legal requirements related to their profession.

## QUESTION 7

### December 2022 Question Three B

Haki Yangu is an ordinary shareholder in Mizani Ltd. He has instituted a criminal liability case against the auditors of Mizani Ltd. as a result of his reliance on the information presented in the company's audited financial statements.

#### Required:

- (i) Highlight FOUR actions by an auditor that could make him criminally liable under the Companies Act in your jurisdiction. (4 marks)
- (ii) Describe THREE circumstances that Haki Yangu is required to prove against the auditors for a successful criminal liability case under the Companies Act in your jurisdiction. (6 marks)

### ANSWER

- (i) Four actions by an auditor that could make him criminally liable under the Companies Act in Kenya:**

1. **Misrepresentation of financial statements:** If the auditor knowingly and intentionally misrepresents the financial statements of the company, they could be held criminally liable under the Companies Act.

2. **Failure to exercise due care and skill:** If the auditor fails to exercise due care and skill in the performance of their duties, they could be held criminally liable for any losses or damages suffered by the company or its shareholders.
3. **Failure to comply with legal requirements:** If the auditor fails to comply with any legal requirements or standards, such as failing to obtain sufficient audit evidence or ignoring material misstatements in the financial statements, they could be held criminally liable.
4. **Collusion with the company:** If the auditor colludes with the company to misrepresent its financial statements or conceal material information, they could be held criminally liable for fraud.

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**(ii) Three circumstances that Haki Yangu is required to prove against the auditors for a successful criminal liability case under the Companies Act in Kenya:**

1. **Intent:** Haki Yangu must prove that the auditors acted intentionally or knowingly in their alleged wrongdoing.
2. **Causation:** Haki Yangu must prove that the auditors' actions or inactions caused the harm or loss suffered by the company.

3. **Materiality:** Haki Yangu must prove that the misrepresentations or omissions in the financial statements were material and had a significant impact on the company's financial position or decision-making.

## QUESTION 8

### August 2022 Question Two A

Describe four strategies that an auditor may deploy to reduce exposure to professional liabilities. (4 marks)

### ANSWER

The strategies are categorized into two groups.

- Client-related strategies and
- Firm-related strategies.

#### **Client related strategies:**

1. **Evaluate prospective clients thoroughly.** Review potential clients for litigation experience, ability to pay for services management experience, and potential conflicts of interest.
2. **Exercise professional Skepticism:** The attitude of professional skepticism recognizes that management may have incentives to intentionally misstate amounts or disclosures in the financial statements.
3. Avoid business outside your firm's area of expertise.



4. **Use engagement letters** to prevent misunderstandings.
5. **Perform a legal review on each audit engagement.**  
Avoid taking up audits that have a high degree of legal risk as indicated by factors as lack of integrity, disputes with IRS, rapid turnover in key financial positions, and inadequate internal controls.

### **Firm-Related Strategies:**

1. **Quality control.** Place emphasis within the firm on compliance with GAAS, quality control policies and procedures, and professional ethics.
2. **Personnel assignment.** Assign enough qualified personnel to conduct the audit engagement and make sure they are properly supervised, trained and that they understand fully the degree of professional care required.
3. **Continuing professional education.** Concentrate continuing education on professional standards. The accountant must be up to date in order to protect himself.
4. **Independence.** Pursue independence both in fact and in appearance. Inform all staff of new clients in writing. Staff members can inform you of conflicts you were not aware of. Have a policy on past due fees.

Suing your clients for past due fees may open doors for countersuits.

5. **Exercise due professional care:** This creates a good defense against clients and third-party users. Due professional care is established when you perform the accounting engagements with the level of skill expected of reasonably prudent accountants.
6. **Adequate working papers.** Maintain adequate working papers and review their completeness and accuracy.
7. **Insurance.** Maintain adequate professional liability insurance. Malpractice insurance cannot help you avoid a lawsuit but it is a defense against damages resulting from one.
8. **Public relations.** Good public relations and involvement in social responsibility activities, which extends beyond just handling complaints, can also be effective in avoiding lawsuits.
9. **Letter of representation.** Obtain a letter of representation from your client's management. The main objective for obtaining letters of representation is to remind the clients that they are primarily responsible for the fair presentation of financial statements. Although obtaining letters of representation does not relieve the auditor of the responsibility to gather sufficient, competent

evidential matter, it can be used as a basis for claiming the client's "contributory negligence" in the case of a lawsuit.

## QUESTION 9

### April 2022 Question Four C

Highlight five threats to an external auditor's independence. (5 marks)

## ANSWER

### Threats to an external auditor independence

1. **Familiarity threat** – Arise where the auditor has a close association with key officers of the firm
2. **Self interest threat** - Arise where the auditor has financial interest in the entity
3. **Self review threat** – Arise where the auditor is acting as if he is reviewing his own work.
4. **Advocacy threat** – Arise where the auditor promotes the interest of the entity in other capacities
5. **Intimidation threat** - Arise when the auditor is acting under duress or pressure.

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## QUESTION 10

### September 2021 Question Five

The key element of the external audit and internal audit is the independence of the individual or the firm holding the

appointment or in the case of internal audit, the status of the internal audit department in the organisation.

However, if the auditor is to carry out his function independently, he must be granted access to all the information he requires.

**Required:**

- (a) Explain two reasons why the internal and external auditors need to be granted access to all information required. (4 marks)
- (b) Discuss whether the right of access granted to internal and external auditors creates any obligations for the auditor. (2 marks)
- (c) Evaluate seven circumstances which may give rise to auditor's legal liability. (14 marks)
- (Total: 20 marks)**

**ANSWER**

**a) Reasons why the auditors must have access to all information required**

- To be in a position to give an independent opinion, the auditor cannot be dictated to by the company he is auditing with regard to the information he requires or is given access to

- Similarly the internal auditor cannot be dictated to by the auditee department
- If the auditor was not empowered with the right of access. It is likely that directors of companies/heads of department under audit would in certain cases restrict access of the auditor particularly if they had something to hide.

**b) Whether the right of access granted to internal and external auditors creates any obligations for the auditor**

The right to access gives rise to an obligation for the auditor, internal or external to respect confidentiality of the information he has obtained. The auditor is in a privileged position and should respect that

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**c) Circumstances which may give rise to auditor legal liability.**

- When the auditor allows his name to be used on accounts he never audited.
- Where the auditor colludes with the management in concealing fraud or committing altogether
- Where the auditor acts as an auditor knowing of himself as qualified.

- Where the auditor knows or suspects a person has engaged in acts that are prejudicial to the public interest and does not report the matter to the relevant authorities.
- Whether the auditor knowingly and willingly makes a written statement of account which to his knowledge is misleading to public and shareholders.
- The auditor may be guilty of the offence of inside information that is not in the public domain
- Where the auditors destroys or alters any part of the clients records with intention to cover up fraud.

## QUESTION 11

### May 2021 Question Two A

You have been invited by the accountancy professional body in your country as a guest speaker during their annual seminar. Your topic of presentation is "Professional judgement and professional scepticism in the conduct of external audits".

#### Required:

- (i) Distinguish between "professional judgement" and "professional scepticism". (4 marks)
- (ii) Analyse four decision areas whereby auditors should exercise professional judgement in the conduct of an audit. (8 marks)

**ANSWER****i) Distinction between professional judgement and professional skepticism**

| <b>Professional judgment</b>                                                                                                                                                       | <b>Professional skepticism</b>                                                                                                                           |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>This is applied by auditor when deciding which procedures are to be performed are to be performed</li> </ul>                                | <ul style="list-style-type: none"> <li>This is the attitude and expectational that the financial statements may contain material misstatement</li> </ul> |
| <ul style="list-style-type: none"> <li>In order to make appropriate judgements auditor relies on their experience and integrity objectivity and professional Skepticism</li> </ul> | <ul style="list-style-type: none"> <li>it require auditors to be alert for audit evidence that contradict the audit evidence already obtained</li> </ul> |

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**ii) Decision areas whereby auditors should exercise professional**

1. In identifying audit risk based on the auditors understanding at the entity's and its internal control as well as determine materiality.
2. Determine the nature, timing and extent of audit procedures meet the requirements of the ISA's and gather audit evidence.
3. Evaluate whether sufficient appropriate audit evidence has been obtained

4. Evaluating the management judgements in applying the entity's applicable financial reporting framework.
5. Drawing conclusions based on the audit evidence obtained

## QUESTION 12

### November 2020 Question Four B

Discuss five mechanisms that the management of an audit firm could use to ensure compliance with the professional code of ethics by members of staff. (10 marks)

### ANSWER

**Mechanisms that management of an audit firm could use to ensure compliance with the professional ethics by members of staff**

1. Implementation of quality control procedures. This to minimize risk that is associated with the audit.
2. Second partners review – This is where an independent partner from the audit firm who did not take part in the audit firm who not take part in the audit is called upon to come and review the working papers and from an independent conclusion to see if his conclusions concur with the conclusions of the responsible partner.
3. Having an internal regulations system that reflects ethical requirements



4. Ensuring that staff follow the auditing standards in audit of financial statements
5. Having policies and procedures to monitor and if necessary manage reliance of income received from a single client.

## QUESTION 13

### **November 2019 Question Five B**

Kaka Kimenju & Co. is an international audit firm with a number of clients listed on the securities exchange.

Recently, the firm held a staff training session on quality control.

During the meeting, the members of staff were invited to raise matters from their past experiences relating to the ethical code on independence. Some of the matters raised are outlined below.

1. Shortly, before commencing the final audit of AKZ Ltd, a listed company, a junior staff member on the audit team inherited a substantial number of shares in that company. No action was taken because, although representing a large investment for the staff member concerned, the number of shares were totally immaterial with respect to the company. Moreover, the partner knew that when the company's results would be announced, the share price would rise and he did

not think it was fair to acquire the staff member to sell them before hand

2. The management accountant of ABC Ltd, a listed client had an accident and was away from work for three months. At the time of the accident, the audit senior was winding up the prior year's audit. Given his familiarity with the company's management accounting system, it was agreed that he would take over as the management accountant for the three months
3. Kaka Kimenju & Co. warned its client , MKN Ltd., that its computer system lacked essential controls. Subsequently, MKN Ltd., decided to install a totally new system and Kaka Kimenju and Co.'s management consultancy department was appointed to design the new system

### **Required**

Evaluate whether Kaka Kimenju & Co. had complied with the ethical code on independence or had acted unprofessionally in any other way with respect to each of the above scenarios (12 marks)

### **ANSWER**

**Kaka Kimenju& Co.**

**Scenario 1:**

- **Issue:** A junior staff member on the audit team inherited a substantial number of shares in AKZ Ltd, a listed company, shortly before commencing the final audit.
- **Analysis:** The staff member's inheritance of shares in AKZ Ltd creates a potential conflict of interest, as the staff member may be incentivized to audit the company favourably in order to protect the value of their investment. This is a violation of the ethical code on independence, which requires auditors to be independent of their clients.
- **Conclusion:** Kaka Kimenju & Co. should have taken action to address the conflict of interest by requiring the staff member to sell their shares in AKZ Ltd. The partner's decision not to take action was unprofessional and could have jeopardized the independence of the audit.

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## Scenario 2:

- **Issue:** The audit senior took over as the management accountant for ABC Ltd, a listed client, for three months while the management accountant was away from work due to an accident.
- **Analysis:** The audit senior's assumption of the management accountant role creates a potential conflict of interest, as the audit senior may be

incentivized to provide management with information that is favourable to the audit. This is a violation of the ethical code on independence, which requires auditors to be independent of their clients.

- **Conclusion:** Kaka Kimenju & Co. should not have allowed the audit senior to take over as the management accountant for ABC Ltd. The firm should have identified an independent individual to fill the role.

### Scenario 3:

- **Issue:** Kaka Kimenju & Co. warned its client, MKN Ltd., that its computer system lacked essential controls. Subsequently, MKN Ltd. decided to install a totally new system and Kaka Kimenju and Co.'s management consultancy department was appointed to design the new system.
- **Analysis:** Kaka Kimenju & Co.'s acceptance of the appointment to design MKN Ltd.'s new computer system creates a potential conflict of interest, as the firm may be incentivized to design the system in a way that is favourable to the audit. This is a violation of the ethical code on independence, which requires auditors to be independent of their clients.
- **Conclusion:** Kaka Kimenju & Co. should not have accepted the appointment to design MKN Ltd.'s new

computer system. The firm should have identified an independent firm to design the system.

In all three scenarios, Kaka Kimenju & Co. failed to comply with the ethical code on independence. The firm's actions were unprofessional and could have jeopardized the independence of its audits.

## **QUESTION 14**

### **May 2019 Question Two A**

Describe three responsibilities of an auditor in the audit of general purpose financial statements. (6 marks)

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## **ANSWER**

### **Responsibilities of an auditor in the audit of general purpose financial statements**

The auditor has the responsibility of

1. Forming and expressing an opinion of the general financial statements of the company that they have examined.
2. Ensuring that appropriate tests are applied on the financial statements to check on the presence of material misstatements
3. Examining the books of accounts of a company to ascertain whether they reflect a true and fair state of affairs

## QUESTION 15

### May 2019 Question Two D

Outline four safeguards that an audit firm could implement to address potential conflicts of interest when auditing two competing clients. (4 marks)

### ANSWER

**Safeguards than an audit firm would implement to address potential conflicts of interest when auditing two competing clients**

- Both firms should be notified that one audit firm would be acting as auditors for each of them and, if necessary, consent should be obtained from each.
- Advising one or both clients to seek additional independent advice.
- The use of separate engagement teams, with different engagement partners and team members; once an employee has worked on one audit, then they would be prevented from being on the audit of the competitor for a period of time.
- Procedures to prevent access to information, for example, strict physical separation of both teams, confidential and secure data fling.
- Clear guidelines for members of each engagement team on issues of security and confidentiality. These

guidelines could be included within the audit engagement letters.

- Potentially the use of confidentiality agreements signed by employees and partners of the firm.

## QUESTION 16

### November 2018 Question One A

Analyse two types of threats that might arise from an audit firm accepting to undertake non-audit related services to its client. (4 marks)

### ANSWER

**Two types of threats that might arise from an audit firm accepting to undertake non – audit related services to its clients**

#### 1. Familiarity threat

Arises if the auditor / audit firm accepts work in a client company with close family members and relatives making the auditors independence to be compromised.

#### 2. Self review threats

Arises when auditor is providing non audit services hence it becomes difficult for the audit firm to review the work that they have done/prepared, since they fear criticizing themselves i.e. you can't assess work done by yourself.

**QUESTION 17****November 2018 Question One B**

In the context of the Companies Act, outline four statutory rights of an auditor. (4 marks)

**ANSWER****Four statutory rights of an auditor**

1. Right to access the books of accounts, vouchers and financial statement of the entity being audited.
2. Right to obtain notice and attend the AGM
3. Right to make a statement of AGM
4. Right to remuneration
5. Right to visit branches and subsidiaries if any

**QUESTION 18****November 2018 Question Four C**

Explain three ethical threats which might affect the independence of audit practitioners and for each threat, explain how it might be reduced to an acceptable level. (6 marks)

**ANSWER**

**Ethical threats that might affect the independence of audit practitioners and for each threat explain how it might be reduced to an acceptable level.**

- i. **Familiarity threat** - which occurs when the auditor has a close relationship with the client. To reduce



this, the auditor should not accept audit engagement where he is closely related.

- ii. **Self-interest threat** – occurs when the auditor wants to gain financial interest by accessing loan from client or loaning the client. To reduce this threat an auditor should not accept or advance loans from the clients
- iii. **Self-review** – occurs when auditor reviews work done by himself. To reduce this to an acceptable level the auditor should encourage fair review procedures

## QUESTION 19

### May 2018 Question Five C

Discuss four reasons why an auditor might decide not to seek for re-election. (8 marks)

## ANSWER

**Reasons why an auditor might decide not to seek re-election**

### 1. Disagreement with the client

The audit firm may have disagreed with the client for a number of reasons, for example, over accounting treatments used in the financial statements. A disagreement over a significant matter is likely to cause a breakdown in the professional relationship between auditor and client, meaning that the audit

firm could lose faith in the competence of management. The auditor would be reluctant to seek re-election if the disagreement were not resolved.

## **2. Lack of integrity of client**

The audit firm may feel that management is not acting with integrity, for example, the financial statements may be subject to creative accounting, or dubious business ethics decisions could be made by management, such as the exploitation of child labour. The auditor would be likely not to seek re-election (or to resign) in this case to avoid being associated with the client's poor decisions.

## **3. Fee level**

The audit firm could be unable to demand a high enough audit fee from the client to cover the costs of the audit. In this situation the audit firm may choose not to offer itself for re-election, to avoid continuing with a loss making audit engagement, and consequently to use resources in a more commercially advantageous way.

## **4. Fee payments**

The audit firm could have outstanding fees which may not be fully recovered due to a client's poor cash flow position. Or, the client could be slow paying, causing the audit firm to chase for payment and possibly affecting the relationship between the two

businesses. In such cases the audit firm may make the commercial decision not to act for the client any longer.

### **5. Resources**

The audit firm may find that it lacks the resources to continue to provide the audit service to a client. This could happen if the client company grows rapidly, financially or operationally, meaning that a larger audit team is necessary. The audit firm may simply lack the necessary skilled staff to expand the audit team.

### **6. Competence**

The audit firm could feel that it is no longer competent to perform an audit service. This could happen for example if a client company diversified into a new and specialised business operation of which the audit firm had little or no experience. The audit firm would not be able to provide a high quality audit without building up or buying in the necessary knowledge and skills, and so may decide not to be considered for re-election.

### **7. Overseas expansion**

A client could acquire one or several material overseas subsidiaries. If the audit firm does not have an associate office in the overseas location, the firm may feel that the risk and resources involved in

relying on the work of other auditors is too great, and so decide not to act for the client any longer.

## **8. Independence**

There are many ethical guidelines in relation to independence which must be adhered to by auditors, and in the event of a potential breach of the guidelines, the audit firm may decide not to seek re-election. For example, an audit firm may need to increase the audit fee if a client company grows in size. This could have the effect of increasing the fee received from the client above the allowed thresholds. As there would be no ethical safeguard strong enough to preserve the perception of independence, in this case the audit firm would not be able to continue to provide the audit service.

*Tutorial note: Other examples may be used to explain why the issue of independence could cause an audit firm not to seek re-election, e.g. audit firm takes on a financial interest in the client, close personal relationships develop between the firm and the client.*

## **9. Conflicts of interest**

An audit firm may become involved in a situation where a conflict of interest arises between an existing audit client and another client of the firm. For example, an audit firm could take on a new audit client which is a competitor of an existing audit

client. Although with the use of appropriate safeguards this situation could be successfully managed, the audit firm may decide that stepping down as auditor of the existing audit client is the best course of action.

## QUESTION 20

### November 2017 Question Four B

Discuss the importance of the following provisions of professional ethics:

- (i) Audit fees. (2 marks)
- (ii) Conflict of interest. (2 marks)
- (iii) Due care and skill. (2 marks)

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## ANSWER

**Importance of the following provisions of professional ethics:**

**i. Audit fees**

Fees should not be charged on a percentage or similar basis except where it is authorized by the law or is generally accepted practice for certain specialist work e.g. construction work. Also, no instructions should be accepted on a contingency basis e.g. bonus of 3% on profits. This is because auditor's judgment should not be impaired by hope of a financial gain. If fees were computed as a percentage of the net profit, the

auditor would be hesitant to propose to the management audit adjustment that would result to reduction of the audit fees derived from the assignment.

## **ii. Conflict of interest**

A conflict of interest arises when the same audit firm is appointed for two companies that interact with each other, for example:

- Companies which compete in the same market
- Companies which trade with each other

A conflict of interest may create a threat to the fundamental principles of objectivity and confidentiality. It may be perceived that the auditor cannot provide objective services and advice to a company where it also audits a competitor.

## **iii. Due care and skill**

This standard requires the independent auditor to plan and perform his or her work with due professional care. Due professional care imposes a responsibility upon each professional within an independent auditor's organization to observe the standards of field work and reporting. It mitigates auditor's risk against any litigation as a result of negligence.

## QUESTION 21

### May 2017 Question Two C

Outline two benefits of the auditor communicating with those charged with governance. (2 marks)

### ANSWER

#### **Benefits of auditor communicating with those charged with governance**

1. The auditor in obtaining from those charged with governance information relevant to the audit. For example, those charged with governance may assist the auditor in understanding the entity and its environment, in identifying appropriate sources of audit evidence, and in providing information about specific transactions or events
2. That no responsibility is assumed by the auditor to third parties
3. The auditor and those charged with governance in understanding matters related to the audit in context, and in developing a constructive working relationship. This relationship is developed while maintaining the auditor's independence and objectivity
4. Those charged with governance in fulfilling their responsibility to oversee the financial reporting

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process, thereby reducing the risks of material misstatement of the financial statements.

## QUESTION 22

### May 2016 Question Two D

In the context of International Standard on Auditing (ISA) 260 - "Communicating with those charged with governance". describe three matters that the auditor should communicate to those charged will in relation to auditor independence. (6 marks)

### ANSWER

**Matters that the auditor should communicate to those charged with governance in relation to auditor independence – ISA 260**

1. A statement that the engagement team and others in the firm as appropriate, the firm and, when applicable, network firms have complied with relevant ethical requirements regarding independence
2. All relationships and other matters between the firm, network firms, and the entity that, in the auditor's professional judgment, may reasonably be thought to bear on independence. This shall include total fees charged during the period covered by the financial statements for audit and non-audit services provided



by the firm and network firms to the entity and components controlled by the entity.

3. The related safeguards that have been applied to eliminate identified threats to independence or reduce them to an acceptable level

## QUESTION 23

### September 2015 Question One C

Explain five fundamental principles set out in the Code of Ethics for professional accountants. (5 marks)

## ANSWER

### Fundamental principles set out in the Code of Ethics for professional accountants

- 1. Integrity:** Integrity is the core value of a Code of Ethics. Accountants have a duty to adhere to high standards of behavior (e.g. honesty and candidness) in the course of their work and in their relationships whether it be personal, with fellow staff or with auditors. In order to sustain public confidence, the conduct of auditors should be above suspicion and reproach
- 2. Independence, Objectivity and Impartiality:** Independence from the management and other outside interest groups is indispensable for accountants while

preparing financial statements. This implies that accountants should behave in a way that increases, or in no way diminishes, their independence.

3. **Conflicts of interest:** Accountants should not use their official position for private purposes and should avoid relationships which involve the risk of corruption or which may raise doubts about their objectivity and independence.
4. **Professional Secrecy (confidentiality):** Accountants should not disclose information obtained in the accounting process to third parties, either orally or in writing, through any medium unless authorized.
5. **Competence:** Auditors should know and follow applicable accounting, and financial management standards, policies, procedures and practices. Likewise, they must possess a good understanding of the constitutional, legal and institutional principles and standards governing the operations of the accounting entity.

## QUESTION 24

### September 2015 Question Three C

Explain the term —International Standards on Auditing”.

(4 marks)

**ANSWER****International Standards on Auditing**

International Standards on Auditing (ISA) refer to professional standards dealing with the responsibilities of the independent auditor while conducting the financial audit of financial info. These standards are issued by International Federation of Accountants (IFAC) through the International Auditing and Assurance Standards Board (IAASB). The ISAs include requirements and objectives along with application and other explanatory material. The auditor is obligatory to have knowledge about the whole text of an ISA, counting its application and other explanatory material, to be aware of the objectives and to apply the requirements aptly.

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**The role of ISA's**

1. Provide framework or basis of auditing financial statements by way of prescribed guidelines
2. To be applied when reviewing material matters and any material departure must be satisfied
3. To ensure if there are any inconsistencies between the ISA and local legislations then local legislations prevail

## QUESTION 25

### September 2015 Question Four B

Discuss the legal responsibilities of an auditor to shareholders and third parties during the course of their normal professional engagement and the mitigation measures that auditors may institute. (8 marks)

### ANSWER

#### **Legal responsibilities of an auditor to shareholders and third parties and mitigation measures**

- 1. Civil liability** – this arises due to negligence and the fact that there is a duty of care owed to a third party. The auditor should perform his duties as required to avoid being sued if he does below expectations
- 2. Criminal liability** – arises out of the auditor's actions in case there is breach of trust, false statement. The auditor should not give any false statement in the line of duty
- 3. Liability under the law of contract** – arises if the auditor does not perform according to contractual terms. The client can sue for breach of contract. To mitigate this, auditor should carry out his work with reasonable degree of skill and care

**4. Liability to third parties** – may arise from individuals who rely on the audited financial information if owes them duty of care. The auditor should limit access of his audit work and include a disclaimer where possible

# TOPIC 4

## PLANNING AND RISK ASSESSMENT

### QUESTION 1

#### April 2024 Question Four C

In the case of recurring audits, the auditor may decide not to send a new engagement letter or other written agreement each period.

#### Required:

State **FIVE** factors that might make it appropriate to revise the terms of audit engagement. (5 marks)

#### ANSWER

- **Changes in Circumstances:** If there are significant changes in the client's business operations, structure, or financial reporting requirements, it may be necessary to revise the terms of the audit engagement to ensure that the audit is conducted effectively and efficiently.
- **Changes in Regulations or Standards:** Revisions to accounting standards, auditing standards, or regulatory requirements may necessitate a review and potential revision of the audit engagement terms to ensure compliance with the latest regulations and standards.

- **Scope of Audit:** If there are changes in the scope of the audit, such as additional services requested by the client or modifications to the audit procedures, it may be appropriate to revise the terms of the engagement to reflect these changes accurately.
- **Engagement Team Changes:** Changes in key personnel involved in the audit engagement, such as a new lead auditor or significant staff turnover, could warrant a review and potential revision of the engagement terms to ensure continuity and effectiveness in conducting the audit.
- **Client Expectations:** If there are changes in client expectations regarding the audit process, deliverables, or timelines, it may be necessary to revisit and update the terms of the engagement to align with these expectations and avoid misunderstandings.
- **Legal or Contractual Obligations:** Any legal or contractual obligations that arise during the course of the audit engagement may require revisions to the terms of engagement to address these new obligations adequately.
- **Risk Assessment Changes:** Significant changes in risk factors associated with the client's business or industry may necessitate a reassessment of the audit risks and adjustments to the terms of engagement accordingly.

- **Materiality Thresholds:** Changes in materiality thresholds used for planning and performing the audit could impact the nature and extent of procedures required, leading to potential revisions in the terms of engagement.

## QUESTION 2

### April 2022 Question Five A

Your audit firm was recently appointed the auditor of Jisifu Ltd. The company has a subsidiary based in western part of the country and its auditors had retired the previous year.

#### Required:

Assess four factors that would influence you in determining whether or not to send a separate engagement letter to the subsidiary. (4 marks)

### ANSWER

**Factors that influence you in determining whether or not to send a separate engagement letter to the subsidiary**

- A recent change in senior management
- A change in the financial reporting framework adopted by management in preparing the financial statements.



- A significant change in the nature or size of the clients business.
- Any revised or special terms of the engagement
- Any change legal or regulatory requirements
- A significant change in ownership.

### QUESTION 3

#### January 2022 Question One C

Describe six activities that an audit firm should perform prior to accepting a new audit engagement. (6 marks)

#### ANSWER

**Activities than an audit firm should perform prior to accepting a new audit engagement**

- Ensure that you not disqualified under any legal grounds
- Consider whether the audit firm has sufficient resources to serve the needs of the client
- Consider whether the audit firm has the necessary staff with appropriate competence to complete the audit
- Consider the staff availability for work
- Endure there is no conflict of interest and all ethical requirements will be met

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- Consider the integrity of the principal owners, the key management and those charged with governance
- Consider the level of risk involved in the audit
- Consider why the previous auditors was removed
- Indicate the provisional audit fee

## QUESTION 4

### December 2021 Question Two A

International Standards on Auditing (ISA) 210 "Agreeing the terms of Audit engagements" requires that the auditor and the entity should agree on the terms of engagement in an audit engagement letter or other suitable form of contract. Required:

- (i) Explain two objectives of an engagement letter. (4 marks)
- (ii) Highlight eight contents of an audit engagement letter. (8 marks)

## ANSWER

### i) Objectives of engagement letter

1. It formally confirms the auditors acceptance for the engagement.
2. It sets out contractual relationship between the auditor and the client.

3. It clearly defines the responsibilities of the auditor and those of management thus minimizing any misunderstanding between the auditor and client.

## **ii) Contents of an audit engagement letter**

1. The objective and scope of the audit of the financial statements including applicable laws and legislations ISAS and ethical requirements.
2. An expectation that the management will provide a letter of representation
3. An expectation that the auditor will provide a management letter.
4. Arrangement concerning planning and performance of audit.
5. Arrangement concerning the use of internal auditors and other staff of the entity.
6. A statement that due to inherent limitations of audit, there is unavoidable circumstances that some material misstatement may remain undetected.
7. Any restriction of the auditor liability when such possibility exists.
8. Arrangement concerning involvement of the work of an expert

## QUESTION 5

### December 2021 Question Three A

According to International Standard on Auditing (ISA) 220. "Quality Control for an Audit of Financial Statements" the auditor should consider certain factors before accepting a new engagement or continuing an existing engagement. With reference to the above standard, discuss three such factors. (6 marks)

## ANSWER

### Factors to consider before accepting a new engagement or continuing an existing engagement

1. Consider whether the audit firm has sufficient resources to serve the needs of the client.
2. Consider whether the audit firm has the necessary staff with appropriate competence to complete the audit.
3. Ensure there is no conflict of interest and all the ethical requirement will be met
4. Consider the integrity of the principal owners the key management and those charged with governance.
5. Consider the level of risk involved in the audit work.

## QUESTION 6

### May 2019 Question Four C

Discuss four circumstances which might cause an auditor to change his risk assessment of a client company.

(8 marks)

## **ANSWER**

### **Circumstances which might cause an auditor to change his risk assessment of a client company**

When there are:

1. Changes in the scope of audit engagement
2. Changes in the nature of client business
3. Changes in laws and regulations in industry under which the company operates.
4. Changes in ownership of client company
5. Changes in financial conditions of the clients company
6. Changes in management I directors of the clients company

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## **QUESTION 7**

### **May 2019 Question Four D**

Examine the importance of materiality assessment to an auditor.

(3 marks)

## **ANSWER**

### **Importance of materiality assessment to an auditor**

- a. It influences auditor's opinion

- b. Determines amount of audit evidence to be gathered
- c. it dictates the auditor's tests
- d. It influences the auditor's time budget

## QUESTION 8

### November 2018 Question Three A

Describe the process that an auditing firm should undertake to assess whether pre-conditions for an audit are present when accepting an audit assignment. (4marks)

### ANSWER

**Process that an auditing firm should undertake to assess whether pre-conditions for an audit are present when accepting an audit assignment**

The auditor shall:

1. Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable
2. Obtain agreement of management that they acknowledge and understand their responsibility.
3. Perform ethical clearance i.e. contact outgoing auditors if any
4. Determination the reputation of the client

## QUESTION 9

### May 2018 Question One B

International Standard on Review Engagements (ISRE) 2400 –Engagements to review Financial Statements” sets out the objective, general principles and procedures to be applied for a review engagement.

**Required:**

Explain six main procedures which an auditor should perform when conducting a review engagement.

(12 marks)

**ANSWER**

**Six main procedures than an audit should perform when conducting a review engagement**

1. Obtaining an understanding of the entity’s business and the industry in which it operates.
2. Inquiries concerning the entity’s accounting principles and practices.
3. Inquiries concerning the entity’s procedures for recording, classifying and summarizing transactions, accumulating information for disclosure in the financial statements and preparing financial statements.
4. Inquiries concerning all material assertions in the financial statements.

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5. Analytical procedures designed to identify relationships and individual items that appear unusual.
6. Inquiries concerning actions taken at meetings of shareholders, the board of directors, committees of the board of directors and other meetings that may affect the financial statements.

## **QUESTION 10**

### **November 2017 Question One B**

Describe three circumstances in which the management of an organisation might request the auditor to change the terms of an audit engagement. (6 marks)

### **ANSWER**

**Circumstances in which the management of an organization might request the auditor to change the terms of audit engagement**

1. Any indication that the client misunderstands the objective and scope of the audit.
2. A recent change of senior management or those charged with governance.
3. A significant change in ownership.
4. A significant change in nature or size of the client's business.
5. Legal or regulatory requirements.



6. A change in the financial reporting framework adopted by management in preparing the financial statements

## QUESTION 11

### November 2017 Question Five A

Highlight six reasons why an auditor might need to understand the entity and its environment before undertaking an audit assignment. (6 marks)

### ANSWER

**Reasons why an auditor might need to understand the entity and its environment before undertaking an audit assignment**

1. Identify the areas of high risk where auditor should concentrate most audit effort
2. Decide if to accept or decline the client assignment
3. Maximize efficiency in other areas of audit significance
4. Assess the potential for use of analytical procedures, by enabling auditor to identify the information which we can use to make predictions and comparisons
5. Obtain an understanding of the internal control structure
6. Assess the inherent and control risks in the key areas of audit significance

7. For budgetary allocation reasons

## **QUESTION 12**

### **May 2017 Question Three B**

Your audit firm was recently appointed the auditor of Baraka Ltd. The company has a subsidiary based in Mombasa and its auditor had retired the previous year.

#### **Required:**

- (i) Enumerate six factors that would influence you in determining whether or not to send a separate engagement letter to the subsidiary. (6 marks)
- (ii) If the audit of Baraka Ltd. was a recurring audit, suggest six factors that would make it appropriate for you to send a new engagement letter. (6 marks)

## **ANSWER**

### **Auditor at Baraka limited**

#### **i. Factors to consider in determining whether or not to send a separate engagement letter to the subsidiary**

It is in the interest of both client and auditor that the auditor sends an engagement letter, preferably before the commencement of the engagement, to help in avoiding misunderstandings with respect to the engagement. The engagement letter documents and

confirms the auditor's acceptance of the appointment, the objective and scope of the audit, the extent of the auditor's responsibilities to the client and the form of any reports. Factors;

1. Who appoints the auditor of the component.
2. Whether a separate auditor's report is to be issued on the component.
3. Legal requirements.
4. The extent of any work performed by other auditors.
5. Degree of ownership by parent.
6. Degree of independence of the component's management.

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**ii. Factors that make it appropriate for auditor to send a new engagement letter**

1. Any indication that the client misunderstands the objective and scope of the audit.
2. Any revised or special terms of the engagement.
3. A recent change of senior management or those charged with governance.
4. A significant change in ownership.
5. A significant change in nature or size of the client's business.
6. Legal or regulatory requirements.

7. A change in the financial reporting framework adopted by management in preparing the financial statements

## **QUESTION 13**

### **May 2017 Question Four C**

Discuss three responsibilities of the external auditor in relation to prevention and detection of fraud. (6 marks)

## **ANSWER**

### **Responsibilities of the external auditor in relation to prevention and detection of fraud**

1. To identify and assess the risks of material misstatement of the financial statements due to fraud;
2. To obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses; and
3. To respond appropriately to fraud or suspected fraud identified during the audit.

## **QUESTION 14**

### **November 2016 Question One A**

In the context of International Standards of Auditing (ISA) 210 "Agreeing the Terms of Audit Engagements",

discuss six steps the auditor should undertake to establish whether the pre-conditions for an audit were present.

(12 marks)

## **ANSWER**

### **Steps auditor should undertake to establish whether the pre-conditions for an audit were present**

This International Standard on Auditing (ISA 210) deals with the auditor's responsibilities in agreeing the terms of the audit engagement with management and, where appropriate, those charged with governance. This includes establishing that certain preconditions for an audit, responsibility for which rests with management and, where appropriate, those charged with governance, are present. ISA 2201 deals with those aspects of engagement acceptance that are within the control of the auditor.

Steps:

1. Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable.
2. Management acknowledges and understands its responsibility in regards to preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation.

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3. Obtain agreement from management internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.
4. Access to all information of which management is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters.
5. Obtain additional information that the auditor may request from management for the purpose of the audit.
6. Provide unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

## QUESTION 15

### **November 2016 Question Four B**

For financial reporting purposes, the entity's risk assessment process includes how' management identifies business risks relevant to the preparation of financial statements in accordance with the applicable financial reporting framework.

#### **Required:**

Discuss six circumstances in which risks in an entity might arise or change. (12 marks)

**ANSWER****Circumstances in which risks in an entity might arise or change**

1. **Changes in operating environment.** Changes in the regulatory or operating environment can result in changes in competitive pressures and significantly different risks.
2. **New personnel.** New personnel may have a different focus on or understanding of internal control.
3. **New or revamped information systems.** Significant and rapid changes in information systems can change the risk relating to internal control.
4. **Rapid growth.** Significant and rapid expansion of operations can strain controls and increase the risk of a breakdown in controls.
5. **New technology.** Incorporating new technologies into production processes or information systems may change the risk associated with internal control.
6. **New business models, products, or activities.** Entering into business areas or transactions with which an entity has little experience may introduce new risks associated with internal control.
7. **Corporate restructurings.** Restructurings may be accompanied by staff reductions and changes in supervision and segregation of duties that may change the risk associated with internal control.

8. **Expanded foreign operations.** The expansion or acquisition of foreign operations carries new and often unique risks that may affect internal control, for example, additional or changed risks from foreign currency transactions.
9. **New accounting pronouncements.** Adoption of new accounting principles or changing accounting principles may affect risks in preparing financial statements.

## QUESTION 16

### May 2016 Question Three C

Explain four purposes of an audit program. (8 marks)

### ANSWER

#### Purposes of an audit program

An audit program is a set of directions that the auditor and its team members need to follow for the proper execution of the audit.

1. An audit program helps in ensuring that all-important areas are considered while conducting the audit.
2. An audit program helps an auditor in the allocation of work among its team members according to their skills and competency.
3. It enhances the accountability of audit team members towards work performed by them



4. An audit program also reduces the scope for misunderstanding among team members regarding the performance of audit work.
5. It helps the auditor in checking the status of audit work, its progress, how much it is left for performance while conducting the audit.
6. Auditor prepares audit working papers which contains a record of various audit procedure applied which serves as evidence against the charge of negligence.
7. Audit program enables the auditor to keep a record of useful information specifically for future audit and references
8. It acts as a training tool for audit assistants

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### **Limitations / Disadvantages of audit Program**

1. **Rigidity:** There is no set standard audit program that can be applied in the case of every entity. However, programs differ for different types of entities. Every entity has its own problems. Therefore, we cannot apply for a single audit program in the **case of all business entities.**
2. **Reduces the Initiative of Efficient Staff:** – A program reduces the initiatives of efficient and competent staff. Thus, staff members cannot make

changes in the audit plan and cannot make suggestions to it.

3. **Audit Work becomes Mechanical:** The program becomes mechanical when it ignores other aspects like internal control.
4. **Overlooking New Areas:** A program may overlook the new areas. With the change in time and technology, new problems may arise which an audit program may not consider.

## QUESTION 17

### May 2016 Question Five B

Explain four ways in which the auditor might minimise risk during a particular audit. (8 marks)

## ANSWER

### Ways to minimize risk during a particular audit

1. Get rid of high risk clients and troublemakers.  
Continuing to serve clients that are risky, that require constant hand-holding, that are uncooperative or that argue over fees limits productivity of CPA firm personnel and often creates a —crisis-oriented” culture. It also builds a client portfolio of less-than-quality clients and increases the likelihood of lawsuit
2. Tailor engagement practice aids to meet the needs of clients. Professional judgment is now required for

both audits and reviews. Professional judgment cannot be demonstrated by simply completing all forms and checklists from a canned set of practice aids.

3. Preach professional skepticism. Familiarity with a client can enhance professional judgment. Excessive familiarity can diminish professional skepticism. Staff personnel must be taught how to develop a questioning attitude and to maintain a high level of professional skepticism on all engagements.
4. Engagement leaders should never delegate their quality control responsibilities. Even when staff personnel are highly qualified and experienced, engagement leaders are responsible for managing engagement planning, performance and completion.
5. Engagement leaders should deliver and discuss engagement letters. Engagement letters are contracts, the enforceability of which depends on both parties understanding the contents.
6. Restrict the use of reports in high risk circumstances. Normally, restrictions on the use of reports are appropriate when the accountant or auditor has concern about unqualified or unauthorized persons utilizing financial statements and footnotes.
7. Offer the lowest level of assurance on supplementary information whenever possible. Compiling

supplementary information for reviews and disclaiming assurance on supplementary information for audits reduces the amount of the accountant's or auditor's work and also limits professional liability.

## **QUESTION 18**

### **November 2015 Question Five A**

Your audit firm was recently appointed the auditor of ABC Ltd. for the first time. ABC Ltd. requires that the audit be concluded within two months after the end of the financial year.

Describe the steps your audit firm would take prior to accepting this appointment. (10 marks)

### **ANSWER**

#### **Actions as a result of directors not signing engagement letter**

It is in the interest of both client and auditor that the auditor sends an engagement letter, preferably before the commencement of the engagement, to help in avoiding misunderstanding with respect to the engagement. The engagement letter documents and confirms the auditor's acceptance of the appointment, the objective and scope of the audit, the extent of the auditor's responsibilities to the client and the form of any reports. Actions;

1. The auditor should not accept such a limited engagement as an audit engagement, unless required by law or regulation to do so.
2. Explain to the management the importance of signing the letter.
3. In case the auditor goes ahead to continue with the audit, consider appropriateness of qualified opinion
4. Discuss the matter with the previous auditor

## QUESTION 19

### September 2015 Question One D

During preliminary audit planning you note that the engagement letter has been returned unsigned by the directors of Shangilia Africa Ltd. When asked to explain their action, the directors indicate that they cannot allow you access to information on the company's new website development as this contains various trade secrets. You would not, therefore, be able to perform audit procedures on the research and development expenditure incurred on the website and included in non-current assets.

Briefly explain four actions you would take as a result of directors not signing the engagement letter. (4 marks)

## ANSWER

### **Steps an audit firm should perform prior to accepting new audit engagement**

1. Ensure that the firm is professionally, legally and ethically qualified to engage with the audit.
2. Establish if the audit firm has the technical proficiency to undertake the audit
3. Meet with the management to ascertain the scope and background of the entity
4. Seek reference about the status of the company to determine if it's a risky client
5. Communicate with outgoing auditor i.e. ethical clearance

### **QUESTION 20**

#### **September 2015 Question Three B**

Describe the steps an audit firm should perform prior to accepting a new audit engagement. (5 marks)

### **ANSWER**

### **Steps an audit firm should perform prior to accepting new audit engagement**

1. Ensure that the firm is professionally, legally and ethically qualified to engage with the audit.
2. Establish if the audit firm has the technical proficiency to undertake the audit

3. Meet with the management to ascertain the scope and background of the entity
4. Seek reference about the status of the company to determine if it's a risky client
5. Communicate with outgoing auditor i.e. ethical clearance

# TOPIC 5

## AUDIT RISK ASSESSMENT

### QUESTION 1

#### **April 2024 Question Three B**

Auditors are required to perform risk assessment procedures to provide the basis for identification and assessment of risks of material misstatement at the financial statement assertion levels.

#### **Required:**

Analyse **THREE** risk assessment procedures that the auditors might perform. (6 marks)

#### **ANSWER**

##### **Risk assessment procedures**

- **Understanding the Entity and its Environment:** Auditors start by gaining a thorough understanding of the entity's business operations, industry, regulatory environment, and internal control systems. This helps them identify potential risks that may impact the financial statements.
- **Internal Control Evaluation:** Auditors assess the effectiveness of internal controls relevant to financial



reporting. Understanding the control environment helps auditors determine the reliance they can place on internal controls when designing their audit procedures.

- **Analytical Procedures:** Analytical procedures involve evaluating financial information through analysis of plausible relationships among both financial and non-financial data. Auditors compare current financial data with prior periods, budgets, industry benchmarks, or other relevant data to identify unusual fluctuations or inconsistencies.
- **Inquiry and Observation:** Auditors conduct inquiries with management and personnel to gather information about potential risks and understand how transactions are processed within the organization. Observations of key processes can provide insights into operational effectiveness and potential areas of concern.
- **Risk Assessment Discussion:** Auditors discuss risk assessment findings with engagement team members to ensure a comprehensive evaluation of potential risks across different areas of the audit. This collaborative discussion helps in identifying significant risks that require special attention during the audit process.
- **Consideration of Fraud Risks:** Auditors must consider the risk of fraud during their risk assessment

procedures. This involves evaluating factors such as incentives or pressures, opportunities, attitudes or rationalizations, and monitoring activities that may indicate fraudulent behavior.

- **External Confirmations:** Auditors may send external confirmation requests to third parties to verify certain account balances or transactions directly with independent sources outside the entity. This procedure provides additional assurance regarding the accuracy of financial information reported by the entity.

## QUESTION 2

### April 2023 Question One C

Elimu Yetu Trust is a charitable institution that sponsors needy students to seek tertiary education in Europe. The organisation raises finances from cash donations at annual fund-raising events, telephone and online appeals from well-wishers. Elimu Yetu Trust has employed a part-time bookkeeper since it is still at an early formative stage and the trustees cannot afford to hire a qualified accountant.

Following a recent review of the Finance Act, charitable institutions will be subjected to new audit and accounting regulations. Due to this, your firm has been appointed as first-time auditors of Elimu Yetu Trust. You have been informed by the trustees of Elimu Yetu Trust that the

unaudited financial statements for the year have been prepared by a volunteer who is a recently retired qualified accountant.

**Required:**

- (i) Examples of each of the following risks associated with the audit of Elimu Yetu:
- Inherent risks.
  - Control risks.
  - Detection risks.
- (ii) Propose FOUR audit tests that you could perform on income from fund raising events.
- (iii) Evaluate THREE substantive audit tests that you might undertake to verify the expenditure during the fund raising events. (3 marks)

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**ANSWER**

**Elimu Yetu Trust**

- (i) **Examples of each of the following risks associated with the audit of Elimu Yetu:**
- **Inherent risks.**

Inherent risks are risks that exist in the absence of any internal controls. They are inherent to the nature of the business, industry, or specific

financial statement element being audited.

Examples of inherent risks associated with the audit of Elimu Yetu Trust could include:

1. **Misstatement of Financial**

**Information:** Given that the organization relies on donations and sponsorships, there is a risk that the financial information presented may be misstated intentionally or unintentionally.

2. **Fraudulent Activities:** There is a risk of fraudulent activities such as misappropriation of funds, especially in charitable institutions where there may be less stringent oversight compared to for-profit organizations.

3. **Complexity of Transactions:** The complexity of transactions involving multiple sources of funding and disbursements could increase the risk of errors or misstatements in the financial statements.

- **Control risks.**

Control risks are risks that arise from failures in internal controls to prevent or detect material misstatements. Examples of control risks associated with the audit of Elimu Yetu Trust could include:

1. **Lack of Segregation of Duties:** In a small organization like Elimu Yetu Trust, there may be limited segregation of duties, increasing the risk of errors or fraud going undetected.
  2. **Weaknesses in Authorization Procedures:** Without proper authorization procedures in place, there is a risk that unauthorized transactions could occur, leading to misstatements in the financial statements.
  3. **Inadequate Monitoring:** Insufficient monitoring of financial activities could result in errors not being promptly identified and corrected.
- **Detection risks.**
    - **Limited audit scope:** First-time audit may not cover all areas of potential risk.
    - **Volunteer's qualifications:** Volunteer accountant's recent retirement may not reflect updated auditing standards.
    - **Use of sampling:** Testing only a portion of transactions may miss significant errors or fraud.

- **Management bias:** Management pressure to present a favorable financial position could hinder accurate reporting.

**(ii) Propose FOUR audit tests that you could perform on income from fund raising events.**

To ensure the accuracy and reliability of the income generated from fundraising events, several audit tests can be performed:

1. **Confirmation of Donations:** Obtain donation records and confirmations from donors to verify the amounts received during fundraising events.
2. **Bank Reconciliation:** Compare the bank statements with the recorded donations to ensure all funds collected have been properly accounted for.
3. **Review of Event Documentation:** Examine event receipts, ticket sales, and other relevant documentation to validate the reported income figures.
4. **Analytical Procedures:** Conduct analytical reviews to assess the reasonableness of the income generated based on past trends and industry benchmarks.

5. **Segregation of Duties:** Evaluate the internal controls related to cash handling and recording to prevent misappropriation of funds.

(iii) **Evaluate THREE substantive audit tests that you might undertake to verify the expenditure during the fund raising events.**

When verifying the expenditure incurred during fundraising events, auditors can perform substantive tests such as:

1. **Vendor Confirmations:** Confirm expenses with vendors and service providers to ensure that the amounts reported align with actual transactions.
2. **Physical Inspection:** Inspect invoices, receipts, and contracts related to event expenses to verify their authenticity and accuracy.
3. **Expense Allocation:** Review how expenses are allocated across different categories to ensure proper classification and accurate reporting.
4. **Comparison with Budgets:** Compare actual expenses with budgeted amounts to identify any significant variances that may require further investigation.

- 5. Compliance Testing:** Assess whether expenditures comply with relevant regulations and internal policies governing charitable institutions' spending practices.

### QUESTION 3

#### **December 2022 Question Two B**

You have been provided with the following independent scenarios:

1. H Ltd. is a fast-growing company that operates in the animal feeds industry. It is quoted on the Securities Exchange but its founder, Kazi Tele and his family still control about 60% of the company's voting shares. Kazi Tele personally makes all the major decisions and the Board of Directors just —rubber stamps” them. There is a nomination committee of the Board but this notwithstanding, a majority of the Board members of H Ltd. are either members of Kazi Tele's extended family or have some connection to him.
2. Tech Up Ltd. is a private company engaged in the development and manufacture of computer accessories. The industry in which the company operates is very competitive and subject to rapid changes in technology. The company ranks third or



fourth in the market in which it operates and its products are rated slightly behind the market leaders in terms of performance.

**Required:**

(i) For each of the scenarios in (1) and (2) above, evaluate how the risk of material misstatement should be assessed. (6 marks)

(ii) Explain what effect the evaluation in (i) above will have on the detection risk. (6 marks)

**ANSWER**

**(i) Evaluation of Risk of Material Misstatement**

**Scenario 1: H Ltd.**

- **High Risk of Management Override of Controls:**  
The dominance of Kazi Tele and his family in the company's ownership and control structure raises a high risk of management override of controls. Their ability to make unilateral decisions and influence the Board of Directors increases the likelihood that they could bypass or manipulate internal controls to achieve their own objectives.
- **Weak Corporate Governance:** The lack of independent directors and the apparent rubber-stamping of decisions by the Board of Directors

indicate weak corporate governance practices. This weakens the oversight of management actions and creates an environment conducive to fraudulent activities.

- **High Growth and Rapid Expansion:** The company's fast-growth and rapid expansion can lead to pressure to meet financial targets, increasing the risk of management involvement in aggressive or fraudulent accounting practices to inflate profits or hide financial difficulties.

**Impact on Material Misstatement Risk:** The concentration of power and lack of effective governance heighten the risk of material misstatement due to potential management bias, lack of independent scrutiny, and potential for fraud or error.

### **Scenario 2: Tech Up Ltd.**

- **Competitive Industry and Rapid Technological Changes:** The company's competitive industry and rapid technological advancements introduce a high risk of obsolescence and inventory valuation errors. The pressure to keep up with market trends and maintain product competitiveness can lead to inaccurate inventory valuations or premature write-offs.

- **Third or Fourth Market Position:** The company's position in the market, ranking behind market leaders, suggests that it may face financial pressures to maintain market share and profitability. This could lead to aggressive revenue recognition practices or improper expense capitalization to boost financial performance.
- **Product Performance Lag:** The company's products being rated slightly behind market leaders in terms of performance may indicate a need for significant investments in research and development to remain competitive. This could increase the risk of improper capitalization of R&D expenses or overstatement of the value of intangible assets.

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**Impact on Material Misstatement Risk:** The competitive industry and technological changes pose inherent risks. Misstatements could arise from challenges in adapting to technological advancements, potential exaggeration of product performance, or inadequate responses to market changes.

## **(ii) Effect of Risk Evaluation on Detection Risk**

The evaluation of the risk of material misstatement in each scenario will have a significant impact on the detection risk for the respective audits.

**Scenario 1: H Ltd.**

- **High Detection Risk:** Due to the high risk of management override of controls and weak corporate governance, the detection risk will be high. The auditor will need to increase the scope and intensity of audit procedures to compensate for the increased risk that internal controls may not be effective in preventing or detecting material misstatements.
- **Emphasis on Substantive Procedures:** The auditor will focus more on substantive procedures, such as the detailed examination of transactions and balances, to gain direct evidence of the accuracy of the financial statements. They will also need to perform additional tests to assess the effectiveness of internal controls and identify any potential override activities.

**Scenario 2: Tech Up Ltd.**

- **Moderate Detection Risk:** The risk of obsolescence and inventory valuation errors, coupled with the pressure to maintain market share and profitability, suggests a moderate detection risk. The auditor will need to design audit procedures that specifically address these risks, such as detailed inventory observation and pricing tests.
- **Focus on Inventory and Revenue Recognition:** The auditor will pay particular attention to the inventory

valuation process and revenue recognition practices. They will need to verify the physical existence of inventory, assess the valuation methods used, and review the timing of revenue recognition to ensure that financial statements are accurately presented.

## **QUESTION 4**

### **December 2022 Question Three A**

In recent years, there has been a substantial increase in cybercrime occasioned by the reliance placed on technology by business entities. As a result, the effect of cybercrime on organisations is becoming highly significant in relation to financial statement audits.

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#### **Required:**

Citing FIVE factors, discuss the importance of cybersecurity in the context of ISA 315 (Identifying and Assessing the Risks of Material Misstatement).(10 marks)

## **ANSWER**

### **Importance of Cybersecurity in the Context of ISA 315**

Cybersecurity is of paramount importance in the context of ISA 315, which deals with identifying and assessing the risks of material misstatement in financial statement

audits. There are several factors that highlight the significance of cybersecurity in this context.

**1. Increased Risk of Material Misstatement:** The reliance on technology and digital systems has significantly increased the risk of material misstatement in financial statements. Cybercrime, such as hacking, data breaches, and ransomware attacks, can directly impact the integrity and accuracy of financial information. As a result, auditors need to consider cybersecurity risks as a potential source of material misstatement when conducting their assessments under ISA 315.

**2. Potential Impact on Financial Reporting:**

Cybersecurity incidents can have a direct impact on an organization's financial reporting process. For example, unauthorized access to financial systems can lead to fraudulent transactions or manipulation of financial data. These incidents can result in material misstatements in the financial statements, which directly aligns with the objectives of ISA 315 in identifying and assessing such risks.

**3. Reputational and Financial Consequences:**

A cybersecurity breach can have severe reputational and financial consequences for an organization. In addition to the direct financial impact of addressing a cyber incident, there are indirect costs related to

reputational damage, loss of customer trust, and potential legal liabilities. These consequences can ultimately affect the accuracy and reliability of an organization's financial statements, making cybersecurity a critical consideration within the scope of ISA 315.

**4. Regulatory Compliance:** Many regulatory frameworks require organizations to maintain adequate cybersecurity measures to protect sensitive financial information. Non-compliance with these regulations not only exposes the organization to legal and regulatory risks but also increases the likelihood of material misstatement in financial reporting. Auditors must consider the organization's compliance with relevant cybersecurity regulations as part of their risk assessment under ISA 315.

**5. Impact on Internal Controls:** ISA 315 also requires auditors to understand an entity's internal control environment, including its IT systems and controls. Cybersecurity plays a crucial role in safeguarding these internal controls from potential breaches or compromises. Any weaknesses in cybersecurity measures can directly impact the effectiveness of internal controls, leading to an increased risk of material misstatement in financial reporting.

## QUESTION 5

### August 2022 Question Two B

Analyse four factors that could result in an increase in the control risk within an organisation. (4 marks)

### ANSWER

#### **Factors that could result in an increase in the control risk within an organisation**

**Control risk** is the risk that material misstatements in an organization's financial statements will not be prevented or detected on a timely basis by its internal control system. Several factors can contribute to an increase in control risk, making it more likely that material misstatements will occur and remain undetected.

Control risk is the risk that the auditor will not detect material misstatements in the financial statements, even though such misstatements exist and are capable of being detected by the auditor's planned audit procedures.

Several factors can contribute to an increase in control risk within an organization:

1. **Weak Internal Controls:** Inadequate internal controls are a primary cause of increased control risk. Weaknesses in internal controls can arise from various factors, such as:



- a. **Lack of segregation of duties:** This occurs when individuals have excessive control over multiple aspects of a transaction, allowing them to conceal misappropriations.
  - b. **Ineffective authorization and approval procedures:** Inadequate authorization and approval processes can allow unauthorized transactions to occur.
  - c. **Poor physical security:** Weak physical security measures can enable unauthorized access to assets and sensitive information.
  - d. **Inconsistent data processing and recording:** Erroneous or inconsistent data processing and recording can lead to inaccurate financial reporting.
2. **Rapid Growth and Expansion:** Rapid growth and expansion can strain internal controls, as organizations may struggle to adapt and maintain effective controls amidst rapid changes. This can lead to increased opportunities for errors and fraud.
3. **Complex Business Transactions:** Complex business transactions, such as mergers, acquisitions, or international operations, can introduce new risks and complexities, making it more challenging to maintain effective controls.

4. **Frequent Changes in Personnel:** High turnover of personnel, especially in key positions, can disrupt internal controls and increase the risk of errors and fraud.
5. **Inadequate Management Oversight:** A lack of adequate management oversight can contribute to weak internal controls and increased control risk. Management should set clear expectations, provide proper training, and regularly monitor the effectiveness of internal controls.
6. **Lack of Information Technology Controls:** Inadequate information technology (IT) controls can expose the organization to cyberattacks, data breaches, and system malfunctions, which can lead to material misstatements.
7. **Ineffective Fraud Prevention Programs:** The absence of effective fraud prevention programs can leave the organization vulnerable to fraudulent activities. These programs should include fraud risk assessments, fraud awareness training, and whistleblower protection policies.
8. **Lack of Continuous Monitoring:** Failure to continuously monitor internal controls can allow weaknesses to go undetected and increase control risk. Regular reviews and updates are essential to maintain effective controls.

## QUESTION 6

### August 2022 Question Five

Your audit team is in the process of preparing the annual audit plan. You have been allocated the task of undertaking risk assessment. Mike Ogola, a newly recruited audit trainee, argues that there is no need for a risk assessment or even the whole audit planning process. He is convinced that the two exercises add absolutely no value to the output of the audit assignment.

#### Required:

- a) Explain six justifications for undertaking audit planning (6 marks)
- b) Distinguish between “qualitative risk assessment techniques” and “quantitative risk assessment techniques”. (4 marks)
- c) Describe five possible risk assessment challenges that you are likely to encounter as you undertake the above assignment. (5 marks)
- d) Recommend five risk management responses that could be deployed to mitigate risk. (5 marks)

## ANSWER

### a) Justifications for undertaking audit planning

1. **Enhanced Audit Focus and Efficiency:** Audit planning helps focus the audit team's efforts on areas

of higher risk, ensuring that resources are allocated effectively. By identifying potential risks and areas for further scrutiny, the audit team can prioritize their procedures and avoid wasting time on less critical areas.

**2. Improved Understanding of the Client's Business:**

Audit planning involves gaining a comprehensive understanding of the client's business, industry, and risk environment. This knowledge enables the audit team to tailor their procedures to the specific risks faced by the client, leading to a more relevant and effective audit.

**3. Reduced Risk of Material Misstatements:** Audit planning helps identify potential misstatements in the financial statements and allows the audit team to design appropriate audit procedures to address those risks. This proactive approach reduces the likelihood of undetected material misstatements.

**4. Improved Communication and Collaboration:**

Audit planning facilitates effective communication and collaboration within the audit team. By clearly defining audit objectives, procedures, and timelines, the team can work cohesively and efficiently, reducing the risk of misunderstandings and errors.

**5. Enhanced Audit Quality:** Overall, audit planning contributes to enhanced audit quality by ensuring that

the audit is conducted in a well-organized, systematic, and risk-based manner. This leads to a more reliable and credible audit opinion that benefits both the client and the stakeholders.

**6. Compliance with Auditing Standards:** International Standards on Auditing (ISAs) emphasize the importance of audit planning, requiring auditors to establish an overall audit plan that defines the scope and direction of the audit. Failure to conduct an adequate audit plan could lead to non-compliance with auditing standards.

### **b) Distinguishing between “qualitative risk assessment techniques” and “quantitative risk assessment techniques”**

Qualitative risk assessment techniques and quantitative risk assessment techniques are two different approaches to identifying, analyzing, and prioritizing risks in an audit.

**Qualitative risk assessment techniques** are subjective and judgment-based, relying on the auditor's experience, knowledge, and understanding of the client's business and industry. These techniques are particularly useful in the early stages of the audit when information is limited and a more detailed assessment is not yet feasible.

## **Common qualitative risk assessment techniques include:**

- **Brainstorming sessions:** Gathering the input of the audit team to identify potential risks.
- **Review of prior audit findings:** Analyzing previous audit reports to identify recurring issues or areas of concern.
- **Inquiries of management:** Discussing with management their perceptions of risks and uncertainties.
- **Review of industry publications:** Assessing industry-specific risks and trends.
- **Consideration of external factors:** Evaluating the impact of economic and regulatory changes.

**Quantitative risk assessment techniques**, on the other hand, are more data-driven and involve the use of numerical measures to assess the likelihood and impact of risks. These techniques are particularly useful for more complex or quantifiable risks, such as financial risks or operational risks.

## **Common quantitative risk assessment techniques include:**

- **Statistical analysis:** Using historical data to identify patterns and trends that may indicate potential risks.

- **Scenario analysis:** Developing hypothetical scenarios to assess the potential impact of different events or conditions.
- **Monte Carlo simulations:** Using computer modeling to simulate the potential impact of various risk factors.

**Key differences between qualitative and quantitative risk assessment techniques:**

| Feature     | Qualitative Risk Assessment                                    | Quantitative Risk Assessment                                            |
|-------------|----------------------------------------------------------------|-------------------------------------------------------------------------|
| Approach    | Subjective, judgment-based                                     | Data-driven, numerical                                                  |
| Application | Early stages of audit                                          | More complex or quantifiable risks                                      |
| Benefits    | Holistic view of risks, identifies emerging risks              | More precise assessment of risk likelihood and impact                   |
| Limitations | Relies on auditor's expertise, may overlook quantifiable risks | Requires sufficient historical data, may not capture subjective factors |

**c) Possible risk assessment challenges that you are likely to encounter**

1. **Inadequate Information and Data Gaps:** A significant challenge in risk assessment is the scarcity or unreliability of relevant information. This could arise from the client's accounting systems, record-keeping practices, or the lack of transparency in their operations. Incomplete or inaccurate data can hinder the identification and evaluation of potential risks.
2. **Subjectivity and Judgment-Based Approach:** Risk assessment often relies on the auditor's subjective judgment and experience, which can lead to inconsistencies and biases in the assessment process. Different auditors may interpret the same information differently, resulting in varying risk ratings for the same risks.
3. **Difficulty in Quantifying Risks:** Not all risks can be easily quantified or measured, especially those related to strategic decisions, human factors, or reputational damage. This poses a challenge in assigning numerical values to risks and making comparative assessments.
4. **Complexity of Business Operations:** Complex business models, diverse product lines, and global operations can make risk assessment more challenging. Identifying and assessing risks in a multifaceted organization requires a thorough understanding of the interconnectedness of various



business segments and their exposure to different risk factors.

5. **Evolving Risk Landscape:** The business environment is constantly changing, and new risks emerge regularly. Keeping up with industry trends, regulatory changes, and technological advancements is crucial for ensuring that the risk assessment remains relevant and effective.
6. **Resource Constraints and Time Pressure:** Auditors often face time constraints and limited resources, which can make it difficult to conduct a comprehensive and in-depth risk assessment. Balancing the need for thorough analysis with the practicalities of the audit timeline can be a challenge.
7. **Communication and Collaboration:** Effective communication and collaboration among audit team members are essential for a successful risk assessment. Sharing knowledge, insights, and perspectives from different areas of expertise can lead to a more comprehensive and well-rounded understanding of the risks.
8. **Addressing Management Bias:** Auditors should be mindful of potential management bias, which may influence the information provided or the disclosure of risks. Cross-checking information, seeking external

sources, and conducting independent inquiries can help mitigate this bias.

- 9. Balancing Risk and Cost:** The level of risk assessment should be proportionate to the size and complexity of the client's business and the potential impact of the risks identified. Over-emphasizing risk assessment can lead to unnecessary audit costs and time expenditures.

**d) Risk management responses that could be effectively used to mitigate risk**

- 1. Avoidance:** The most straightforward approach to risk mitigation is to avoid the risk altogether. This may involve eliminating certain activities, products, or relationships that pose a significant threat to the organization. While avoidance can be effective in removing the risk entirely, it may also limit opportunities or restrict growth.
- 2. Reduction:** If avoiding a risk is not feasible, the next step is to reduce its likelihood or impact. This can be achieved through various measures, such as implementing stricter controls, improving processes, or providing additional training to employees. Reduction aims to minimize the severity of the risk while still allowing the organization to pursue its objectives.

3. **Transfer:** Transferring risk involves shifting the financial or operational burden of the risk to another party. This can be done through insurance, outsourcing contracts, or partnerships. Transferring risk can be a practical solution for certain types of risks, such as financial or legal liabilities.
4. **Sharing:** Risk sharing involves dividing the potential impact of a risk among multiple parties. This can be done through joint ventures, collaborations, or industry-wide initiatives. Sharing risk can reduce the financial impact on any single party and promote collective responsibility for mitigating the risk.
5. **Retention:** In some cases, the most appropriate risk management response is to retain the risk and manage it within the organization. This may be necessary for risks that are difficult to avoid, transfer, or reduce, or for those that are closely aligned with the organization's core business activities. Retaining risk requires a robust risk management framework and a commitment to continuous monitoring and improvement.

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## QUESTION 7

### April 2022 Question Four A

Jenga Ltd. operates from fifteen separate depots providing plant and machinery hire service throughout the country.

The company offers hire services of a wide variety of tools and equipment to:

1. Builders and corporate customers on credit.
2. Members of the public on advance payment terms, including payment by cash.

In addition to the revenue generated from the hire of plant and machinery, the company also generates income from the sale of damaged or aged machinery and the hire of accessories and safety equipment.

**Required:**

- (i) Explain the term "inherent risk". (2 marks)
- (ii) Evaluate three factors that could suggest that there might be a high inherent risk applying to plant and machinery income as reported in the financial statement of Jenga Ltd. (9 marks)

**ANSWER**

- i) Inherent risk** – it is the susceptibility of the account balance either individually or where aggregate with others to material misstatement assuming that no related controls.

**ii) Factors that could, suggest that there might be a high inherent risk applying to plant and machinery income as reported in the financial statement of Jenga Ltd.**

1. **Nature of item** – Cash is high susceptible to loss and misappropriation in absence of the controls. In Jenga Ltd, Members of public are offered the hire services on advance payment terms including payment by cash.
2. **Complex Accounts** such as those that require high of estimation expert valuation etc. revenue generated from hire of plant and machinery as well as sale of old or damaged machinery which may be due to the inappropriate amounts.
3. **Management integrity** – The management may not be honest on the amount they will sell the old and damaged plant and machinery to generate revenue.

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## **QUESTION 8**

### **September 2021 Question Three A**

International Standard on Auditing (ISA) 315, "Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and its Environment"; requires the auditor to perform risk assessment procedures which include obtaining an

understanding of the entity and its environment, including its internal controls.

**Required:**

- (i) Explain the purpose of risk assessment procedures.  
(2 marks)
- (ii) Propose four sources of audit evidence the auditor might use as part of risk assessment procedures.  
(4 marks)

**ANSWER**

**i) Purpose of risk assessment procedures**

Risk assessment procedures are performed at the planning state of an audit to obtain an understanding of the entity being audited and to identify any areas of concern which could result in material misstatements in the financial statements.

They are performed to identify areas of financial statement which are likely to be materially misstated due to fraud and errors.

**(ii) Sources of audit evidence that can be used as part of risk assessment procedures**

- Observation and inspection
- analytical procedures

- Management representations and inquiries
- prior year financial statements.
- organizational structures role and responsibilities
- current year's management accounts and budgets

## QUESTION 9

### November 2019 Question Three D

- i) Explain the term —inherent risk” (1mark)
- ii) Highlight four factors that could result in an increase in inherent risk of a business (4 marks)

## ANSWER

### Inherent risk

#### (i) Meaning of inherent risk

Inherent risk is the susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement which could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

#### (ii) Factors that can result in increase in inherent risk of a business

1. The integrity of managers or directors
2. Management competence and experience

3. Pressures on management or directors which might predispose them to misstate financial statements (e.g. profit forecasts)
4. The complexity of the entity (technology, capital structure, geographical spread)
5. Factors affecting the industry (competition)

## QUESTION 10

### May 2018 Question Three A

You have been appointed the lead auditor of CBC Ltd. and you have held a meeting with management where certain representations were orally given and others implied.

#### Required:

With reference to International Standard on Auditing (ISA) 580 —“Written Representations”, discuss the circumstances that might lead you to require management to confirm in writing the oral and implied representations.

(8 marks)

## ANSWER

**ISA 580 written representations circumstances that may require management to confirm in writing oral and implied representations.**



- Where the representation relates to confirmation that management has fulfilled its responsibility for preparation of financial statements in accordance with applicable financial statements in accordance with the applicable financial reporting framework.
- Where the information relates to confirmation that management has provided all relevant information granted access and confirmation that transactions have been recorded and reflected in financial statements.
- Where the audit determines that it is necessary to obtain written representations to support other audit evidence relevant to the financial statements.

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## QUESTION 11

### **May 2018 Question Four B**

Your firm has been appointed the auditor for Musoni Ltd., a company that distributes computer equipment. During the audit, the following matters came to your attention:

1. The depreciation rates had been reviewed and adjusted resulting in an increase in asset lives and a reduction in depreciation amounts.
2. Stock take across all the warehouses could not be undertaken due to lack of staff.

3. One of the warehouses caught fire and goods worth Sh.50 million got damaged. A claim had been lodged with the insurance company but the incident was still under investigation. The amount had however been included in the financial statements as expected income.
4. Bank reconciliation had not been completed even though there were material balances.

**Required:**

Describe four audit risks arising from the issues above and the proposed auditor's response. (8 marks)

**ANSWER****Audit risks arising from the following matters and the proposed auditor's response****1. Depreciation Rate Adjustment:**

- **Audit Risk:** The adjustment in depreciation rates could lead to the overstatement of the company's assets' values and understatement of expenses, impacting the financial statements' accuracy.
- **Auditor's Response:** The auditor should review the rationale for the adjustment, assess its impact on financial statements, and verify the appropriateness of the new rates based on industry standards and asset conditions.

## 2. Stock Take Issues:

- **Audit Risk:** Inability to conduct stock take raises concerns about the accuracy of inventory valuation and existence, potentially leading to misstatement of financial position and performance.
- **Auditor's Response:** The auditor should perform alternative audit procedures such as testing inventory transactions, reviewing purchase and sales records, and assessing internal controls related to inventory management.

## 3. Warehouse Fire and Insurance Claim:

- **Audit Risk:** Recognizing the insurance claim as expected income before settlement poses a risk of overstating revenue, especially if the claim is uncertain or under dispute.
- **Auditor's Response:** The auditor should obtain confirmation from the insurance company, assess the likelihood of claim settlement, and consider potential disclosure requirements related to contingent liabilities.

## 4. Incomplete Bank Reconciliation:

- **Audit Risk:** Failure to complete bank reconciliation may conceal errors or irregularities in cash balances, leading to misstatements in financial statements.

- **Auditor's Response:** The auditor should perform substantive testing on cash balances, investigate any reconciling items, and assess internal controls over bank reconciliation processes.

## QUESTION 12

### November 2017 Question Four A

Examine six factors that might influence inherent risk at the organisational level. (6 marks)

### ANSWER

**Factors that might influence inherent risk at the organisational level**

1. The integrity of managers or directors
2. Management competence and experience
3. Pressures on management or directors which might predispose them to misstate financial statements (e.g. profit forecasts)
4. The complexity of the entity (technology, capital structure, geographical spread)
5. Factors affecting the industry (competition)
6. Transactions which are not routine
7. Entity restructuring

## QUESTION 13

### September 2015 Question Two A

Outline the meaning of the following terms:

- |                      |          |
|----------------------|----------|
| (i) Audit risk.      | (1 mark) |
| (ii) Inherent risk.  | (1 mark) |
| (iii) Control risk.  | (1 mark) |
| (iv) Detection risk. | (1 mark) |

## **ANSWER**

### **Meaning of terms**

#### **i. Audit risk**

Audit risk is the risk that an auditor gives an inappropriate opinion on the financial statements being audited.

#### **ii. Inherent risk**

Inherent risk is the susceptibility of an assertion to a misstatement that could be material individually or when aggregated with misstatements, before considering any related controls

#### **iii. Control risk**

Control risk is the risk that a material misstatement could occur in an assertion that could be material, individually or when aggregated with other misstatements, and will not be prevented or detected on a timely basis by the company's internal control systems.

#### **iv. Detection risk**

Detection risk is the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material.

## **QUESTION 14**

### **September 2015 Question Two B**

My-family Car Hire Limited has a large fleet of cars for hire. The firm operates from twelve separate depots providing national car hire services around the country. It offers car hire services to corporate customers on credit payment terms, including payment by cash.

In addition to the car hire revenue, the company categorises income from the sales of excess damage waiver insurance premiums, the hire of child seats and satellite navigation systems as car hire income.

#### **Required:**

Explain three factors that would contribute to the assessment of high inherent risks applying to car hire income as reported in the financial statements of My-family Car Hire Limited. (6 marks)

## **ANSWER**

## **Factors that can contribute to the assessment of high inherent risks applying to car hire income as reported in the financial statements of My-family Car Hire Limited**

- 1. Nature of entity's business** – complexity of the transactions since the business involves so many transactions which may result in misstatement of financial statements by managers.
- 2. Susceptibility of assets to loss or misappropriation** – there are twelve depots which must have employees and payments are allowed in cash or credit cards
- 3. Unusual transactions** – some transactions require the work of an expert to evaluate e.g. satellite navigation systems and excess damage waiver

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## **QUESTION 15**

### **September 2015 Question Five**

Fitness Ltd. (fitness) is a client of your firm and runs both fitness and leisure centres all over your country. You are the audit senior on assignment and the audit field work for the year ended 31 December 2015 has just been completed. The following figures have been extracted from the draft financial statements:

**Year ended 31**

**December**

**2014**

**2013**

|                   | Sh.“000” | Sh.“000 |
|-------------------|----------|---------|
| Revenue           | 5,000    | 5,300   |
| Profit before tax | 300      | 320     |
| Taxation          | (96)     | (102)   |
| Profit after tax  | 204      | 211     |

1. Fitness received fees from customers in November 2014 as they ran a special gym offer for the four months period from 1 November 2014 to 28 February 2015. The fees collected amounted to Sh.20,000 and the full amount had been recorded in revenue for the year ended 31 December 2014.
2. One of the directors is unwilling to disclose her interests in the shares of the company and currently this amount is not shown in the draft financial statements. The director holds 400 ordinary shares of the 200,000 issued ordinary shares of the company.
3. During the audit test of control performed on the revenue cycle, it was noted that the monthly prepared bank reconciliation had not been reviewed on a consistent basis by management.

**Required:**



- (a) Set an appropriate materialist level for fitness, showing your calculation. (4 marks)
- (b) Outline the testing you should perform on the revenue figure which arises from the gym membership fees. (4 marks)
- (c) Draft a memorandum to the audit partner in which you evaluate the potential implications for the audit report of fitness for the year ended 31 December 2014 arising from each of the three issues (1) to (3) described above. (12 marks)

### ANSWER

#### **a) Appropriate materialistic level for fitness showing calculation**

Fees included in revenue for 1<sup>st</sup> Nov 2014 to 28 February 2015 = 20,000

For 1<sup>st</sup> Nov 2014 – Dec 2014 should be  $\frac{20,000}{4} \times 2 =$   
10,000 of 50%

Materiality level for profit = profit included in December 2014 includes 10,000

It has not been utilized so  $300,000 - 10,000 = 290,000$

$$\frac{10,000}{290,000} = 3\% \text{ it's immaterial}$$

#### **b) Testing on revenue figure which arises from gym membership fees**

1. Membership registers clearly distinguishing between new and renewed members, also showing lapsed memberships.
2. Types of membership available and how they pay for each
3. Number of late openings (say more than 5, 15 and 30 minutes after advertised opening times).
4. Number of days closure per month/year of each facility (i.e. pool, crèche, sauna, gym) and centre
5. Check receipts on payments book for membership fee and agree the figures with vouchers
6. Request for bank statement to find out fees paid through the bank if it agrees with receipts
7. For any membership fee in arrears check any penalty for the payment

### **c) Potential implications to the audit report**

1. The first issue includes revenue paid for four months i.e. 1<sup>st</sup> Nov 2014 to 28 Feb 2015 this figure of Sh. 20,000 was wholly recorded in the year ended 31<sup>st</sup> December 2014; only Sh. 10,000 should have been recorded. This figure is adjustable event and material therefore it provides additional evidence on events that were existing in the balance sheet date. The auditor should indicate they are material but if corrected, then the report should be unqualified

2. The director who is unwilling to disclose her interests in the shares of the company and the amount is not shown in the draft financial statement. This causes the auditor to inform users that he was unable to sufficient appropriate audit evidence on capital shares of the company from directors and therefore he is unable to express an opinion on financial statements
3. Monthly prepared bank reconciliation had not been reviewed on a consistent basis by management. Here, auditor informs the users that financial statement give true and fair view except for the bank reconciliation which if reviewed regularly there would be no disagreement

# TOPIC 6

## AUDIT PLANNING

### QUESTION 1

#### April 2024 Question Three A

Auditors obtain knowledge about the audit client through the planning process, which also ensures an effective control and review of audit work.

#### Required:

Summarise **FOUR** ways through which audit planning assists in the conduct of an audit. (4 marks)

#### ANSWER

#### Ways Audit Planning Assists in the Conduct of an Audit:

- **Understanding the Client's Business**

**Environment:** During the planning process, auditors gather information about the client's industry, operations, and internal controls. This understanding helps auditors tailor their audit procedures to the specific risks and characteristics of the client's business.

- **Risk Assessment:** Audit planning involves assessing the risks of material misstatement in the financial statements. By identifying and evaluating these risks, auditors can design appropriate audit procedures to address them effectively. This risk-based approach ensures that audit resources are focused on areas with higher inherent risks.
- **Setting Audit Objectives and Scope:** Through audit planning, auditors establish clear objectives for the audit engagement and define the scope of work required to achieve those objectives. This step helps in ensuring that all relevant areas are covered during the audit and that sufficient evidence is obtained to support the audit opinion.
- **Resource Allocation:** Effective audit planning includes allocating resources such as staff, time, and technology based on the complexity and size of the client's business. Proper resource allocation ensures that the audit is conducted efficiently and within budget constraints.
- **Coordination of Audit Team:** Planning facilitates coordination among members of the audit team by assigning roles and responsibilities, setting timelines, and establishing communication channels. A well-coordinated team can work together seamlessly to execute audit procedures effectively.

- **Compliance with Auditing Standards:** Audit planning ensures that the audit engagement complies with relevant auditing standards and regulatory requirements. By following a structured planning process, auditors can adhere to professional standards and guidelines throughout the audit engagement.
- **Early Identification of Potential Issues:** Through thorough planning, auditors can identify potential issues or challenges that may arise during the audit process. Early detection allows auditors to develop strategies to address these issues proactively, minimizing disruptions during fieldwork.
- **Enhancing Auditor Independence:** Proper planning helps auditors maintain independence by reducing familiarity threats and self-review threats. By establishing a comprehensive plan at the outset of the engagement, auditors can mitigate risks that could compromise their objectivity and impartiality.
- **Documentation of Audit Strategy:** The planning phase involves documenting an overall audit strategy that outlines key considerations such as materiality levels, significant accounts or transactions, and overall approach to risk assessment. This documented strategy serves as a roadmap for conducting the audit efficiently.

- **Continuous Monitoring and Review:** Audit planning is not a one-time activity but a continuous process throughout the engagement. Auditors regularly monitor progress against the plan, review preliminary findings, and adjust their approach as necessary to ensure that all audit objectives are met effectively

## QUESTION 2

### December 2023 Question Two A

You are the partner responsible for the audit of Jengo Traders Ltd. During your visit in September 2023 to plan for the interim audit for the year, one of the directors expressed concern that an interim audit so close to year end is of little value to the company and the person benefiting is the audit firm by charging audit fees for such an —unnecessary activity”.

#### Required:

- (i) Citing **FIVE** reasons, explain to the director the need for an interim audit and its benefit to both the company and the auditors. (10 marks)
- (ii) Explain **FIVE** ways on how the performance of an interim audit could affect the conduct of the final audit of Jengo Traders Ltd. (5 marks)

**ANSWER****Jengo Traders Ltd.****(i) Reasons to the director the need for an interim audit**

An interim audit is a crucial component of the overall audit process that provides several benefits to both the company being audited and the audit firm.

**Benefits for Jengo Traders Ltd:**

- **Early Identification of Issues:** By conducting an audit midway through the year, potential problems like errors in accounting procedures, internal control weaknesses, or fraudulent activities can be identified and addressed promptly. This allows for corrective action early on, minimizing financial losses and reputational damage.
- **Improved Financial Reporting:** Interim audits ensure the accuracy and completeness of financial statements up to that point. This provides reliable information to management for informed decision-making, budgeting, and meeting regulatory requirements.
- **Enhanced Risk Management:** By analyzing interim financial data, the company can gain



insights into potential risks and take proactive measures to mitigate them. This strengthens the company's overall financial health and stability.

- **Increased Confidence in Year-End**

**Audit:** Completing a portion of the audit work beforehand simplifies the year-end audit process, reduces stress, and allows for a deeper focus on complex areas.

**Benefits for the Auditors:**

- **Efficient Audit Process:** Performing some work during the interim allows for a more efficient year-end audit. This reduces last-minute scrambling and ensures a timely completion of the audit engagement.
- **Improved Audit Quality:** By gaining familiarity with the company's operations and financial records throughout the year, the auditors gain deeper insights and can perform a more thorough and effective year-end audit.
- **Reduced Risk of Audit**  
**Adjustments:** Identifying and addressing potential issues early on minimizes the need for significant adjustments during the year-end audit, leading to a smoother and less disruptive process.

**(ii) Ways on how the performance of an interim audit could affect the conduct of the final audit of Jengo Traders Ltd.**

- **Reduced Year-End Audit Scope:** By completing certain procedures like testing internal controls and verifying balances during the interim audit, the scope of the year-end audit can be reduced. This results in a more cost-effective and time-efficient final audit.
- **Better Risk Assessment:** Insights gained from the interim audit inform the risk assessment process for the final audit. This allows focusing audit efforts on high-risk areas, ensuring a more effective and targeted approach.
- **Improved Communication and Collaboration:** The interim audit fosters communication and collaboration between the auditors and Jengo Traders Ltd.'s management. This ongoing dialogue facilitates a deeper understanding of the company's operations and addresses any concerns early on.
- **Early Detection of Material Misstatements:** Identifying potential misstatements during the interim audit allows for timely investigation and correction, potentially

preventing them from impacting the final financial statements.

- **Enhanced Planning:** Insights gained from the interim audit help auditors in refining their audit plan for the final stage. They can tailor their procedures based on prior knowledge, ensuring a more effective and targeted approach towards verifying financial information.

### QUESTION 3

#### December 2023 Question Three A

During the audit of Lami Ltd, Daudi Muli, one of the audit partners in Muli and Associates held a meeting with the audit team after the risk assessment procedures had been completed. The meeting was held to discuss the susceptibility of the financial statements to material misstatements.

#### Required:

Discuss **FIVE** benefits of holding such a meeting.

(10 marks)

#### ANSWER

##### 1. Enhanced Team Collaboration and Communication:

- Bringing the audit team together fosters open discussion and information sharing about the

identified risks. This allows team members to gain a comprehensive understanding of the client's business environment, internal controls, and potential vulnerabilities.

- Collaborative brainstorming helps identify potential interdependencies between risks and facilitates a more holistic assessment of their potential impact on the financial statements.
- By openly discussing their observations and concerns, team members can learn from each other's perspectives and expertise, leading to a more robust risk assessment.

## **2. Improved Risk Assessment Quality:**

- Through collective discussion, the team can challenge and refine their initial risk assessments, ensuring they are well-informed and address all relevant areas.
- Diverse perspectives and experiences within the team can help identify risks that might have been overlooked by individuals working in isolation.
- The discussion clarifies the rationale behind each risk assessment, ensuring its validity and providing a documented basis for subsequent audit procedures.

## **3. Effective Planning and Allocation of Resources:**

- By understanding the level of risk associated with various financial statement assertions, the team can

efficiently allocate resources towards the most critical areas. This helps them prioritize audit procedures based on their potential impact on the detection of material misstatements.

- The discussion allows the team to identify areas where additional expertise or specialized skills might be needed, enabling timely engagement of specialists if necessary.
- Early planning based on the discussed risks ensures smoother execution of the audit and minimizes the risk of encountering unexpected challenges later in the process.

#### **4. Increased Audit Effectiveness and Efficiency:**

- By having a clear understanding of the specific risks affecting Lami Ltd., the team can tailor their audit procedures to effectively address them. This avoids unnecessary procedures that might not be relevant to the identified risks and streamlines the audit process.
- The discussion helps develop a more targeted and efficient audit approach, focusing on areas with the highest potential for misstatements, ultimately leading to a higher quality audit.

#### **5. Improved Documentation and Transparency:**

- Minutes or notes from the meeting document the identified risks, their rationale, and the agreed-upon audit procedures. This documentation ensures

transparency and traceability throughout the audit process and facilitates audit quality reviews.

- Clear documentation allows for effective communication with management about the identified risks and the planned audit approach, fostering collaboration and addressing any concerns early on.

## QUESTION 4

### August 2023 Question One A

International Standard on Auditing (ISA) 300 Planning an Audit of Financial Statements, provides guidance to assist auditors in planning an audit.

#### Required:

In the context of International Standard on Auditing (ISA) 300, summarise **FIVE** benefits of audit planning.

(5 marks)

### ANSWER

#### Benefits of Audit Planning According to ISA 300

Audit planning is a crucial aspect of financial statement audits, and it plays a significant role in ensuring the accuracy and reliability of the audit. The International Standard on Auditing (ISA) 300 provides guidance to auditors in planning an audit of financial statements. In

the context of ISA 300, there are several benefits of audit planning, which are discussed below.

- **Improved Understanding of the Entity and its Environment**

One of the primary benefits of audit planning is that it helps auditors gain a better understanding of the entity and its environment. By analyzing the entity's business activities, operations, and internal controls, auditors can identify potential risks and develop appropriate audit strategies to address them. This understanding helps auditors design more effective and efficient audit procedures, ultimately leading to a higher quality audit.

- **Risk Assessment and Management**

Audit planning also enables auditors to assess and manage risks effectively. By identifying and evaluating the risks associated with the entity's financial statements, auditors can prioritize their audit efforts and allocate resources accordingly. This risk-based approach helps auditors focus on areas of higher risk, ensuring that they address the most significant risks first.

- **Efficient Use of Resources**

Effective audit planning helps auditors use their resources more efficiently. By designing and implementing appropriate audit procedures, auditors

can minimize unnecessary work and focus on areas that require more attention. This efficient use of resources not only saves time and money but also ensures that the audit is conducted in a timely and cost-effective manner.

- **Enhanced Quality of Audit Evidence**

Audit planning also contributes to the enhancement of audit evidence quality. By identifying and addressing potential risks, auditors can design audit procedures that are more likely to detect material misstatements in the financial statements. This focus on high-quality audit evidence helps auditors provide more reliable and accurate opinions on the financial statements.

- **Improved Communication with Management and those Charged with Governance**

Lastly, audit planning helps improve communication between auditors, management, and those charged with governance. By discussing audit objectives, scope, and procedures with management and governance, auditors can ensure that all parties have a shared understanding of the audit process. This open communication fosters a collaborative environment and helps address any concerns or issues that may arise during the audit.



## QUESTION 5

### August 2023 Question Four B

Jamila and Juma Associates have been appointed as the incoming auditors for Kibuyu Kirefu Ltd., a company that manufactures and sells various plastic items in East Africa. The client is the largest the firm has ever engaged in offering their audit services. Jamila and Juma Associates are required to conduct the interim audit and the final audit for the client's financial internal control system.

#### Required:

Propose **FIVE** audit procedures the auditors could undertake during each of the following:

- (i) Interim audit (5 marks)
- (ii) Final audit (5 marks)

### ANSWER

#### Interim Audit Procedures:

1. **Assess Internal Controls:** Review and evaluate the effectiveness of the client's internal control system to identify any weaknesses or areas of concern that may impact the financial statements.
2. **Substantive Testing:** Perform substantive procedures such as analytical procedures, test of details, and substantive analytical procedures to

obtain assurance over the account balances and transactions for the period under review.

3. **Review of Significant Estimates:** Evaluate management's significant accounting estimates to ensure they are reasonable and in compliance with accounting standards.
4. **Review of Events After the Interim Date:** Inquire about any significant events or transactions that occurred after the interim date that may require adjustment or disclosure in the financial statements.
5. **Communication with Management:** Discuss any findings or issues identified during the interim audit with management to address them promptly and ensure a smooth final audit process.

### **Final Audit Procedures:**

1. **Confirmation of Account Balances:** Obtain direct confirmation from third parties for account balances such as bank balances, receivables, payables, and other significant accounts to verify their accuracy.
2. **Physical Inventory Count:** Attend the physical inventory count to observe the procedures followed by the client in counting and valuing inventory, ensuring it is properly reflected in the financial statements.

3. **Subsequent Events Review:** Evaluate any events occurring between the interim date and the final audit report issuance date to determine if they require adjustment or disclosure in the financial statements.
4. **Legal Compliance Review:** Ensure compliance with relevant laws and regulations by reviewing legal documents, agreements, and correspondence related to the business operations.
5. **Review of Financial Statement Presentation:** Assess the overall presentation of the financial statements for compliance with accounting standards, clarity, consistency, and adequacy of disclosures.

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## QUESTION 6

### April 2022 Question One B

Highlight three shortcomings of using standardised audit programs. (3 marks)

### ANSWER

#### Short comings of using standardized audit programs

1. They stifle initiative in that the audit staff consider procedure lain in audit program as the maximum they need to do.

2. Different clients may require different procedures to be carried out yet with a standardized program, the procedures are the same
3. A lot of flexibility is required in the design of audit procedures so as to ensure all unique features of a client are addressed.

## QUESTION 7

### January 2022 Question Two A

ISA 320 "Audit Materiality" states that "The auditor should consider materiality and its relationship with audit risk when conducting an audit".

#### **Required:**

Discuss the relationship between materiality and audit risk both when planning for an audit and when evaluating audit evidence. (10 marks)

## ANSWER

### **Relationship between materiality and audit risk both when planning for an audit and when evaluating audit evidence**

Materiality relates to significance or relative importance of the item. A matter is said to be material if its omission or misstatement will affect the decision of the users. In

the stages of audit planning an auditor should set materiality levels.

At the planning stage materiality is considered to:

- Identify and assess the risk of material misstatement
- Determine the nature, timing and extent of risk assessment procedures
- Determine the acceptance level of materiality.

Audit risk is the risk that the audit will give inappropriate opinion when the financial statements are materially misstated. The auditor carries out risk assessment in planning in order to identify the areas in which the financial statements are most likely to be misstated.

This will enable the auditor to design audit procedures that are responsive to the risk of factors of the audit and devote more audit attention to the areas where the risk is high.

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## QUESTION 8

### **January 2022 Question Four**

You are the manager responsible for the audit of Jamii Retail Ltd., a public quoted company, which has a number of stores that sell household products including; furniture, electrical equipment, iron sheets, cement, vehicle spare parts, cooking equipment and carpets to the general public. Jamii Retail Ltd. is highly respected by investors across East Africa.

The company has an average annual turnover of Sh.20 billion. In the previous year's audit, there have been problems, some of which were highlighted in recent media coverage. The problems related to:

1. Pilferage of stock by employees and customers.
2. Slow moving and damaged stock which was worth less than cost.
3. Incomplete recording of sales when the customer pays in cash (these represent 65% of all sales).

The company has a small internal audit department. The internal audit staff occasionally visit branches and perform appropriate audit work at the head office.

**Required:**

- (a) Describe the work you would carry out and the matters you would consider in planning the audit prior to the commencement of the detailed audit work, including consideration of the timetable for the audit.  
(12 marks)
- (b) In the context of ISA 240 "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements", explain the auditor's responsibilities in relation to the prevention and

detection of fraud and error in the course of an audit assignment. (8 marks)

## **ANSWER**

**a) Work that could be carried out and matters you consider in planning the audit prior to commencement of the detailed audit work.**

**1. Obtaining knowledge about the client and industry**

– Prior to accepting an engagement, the auditor should obtain preliminary knowledge about the entity, management, ownership of the entity and its operation.

**2. Obtaining an understanding of the client**

**accounting and internal control system** - At planning stage the auditor should seek understanding of the client systems and evaluate them in order to determine extent of reliance that he can place on the systems.

**3. Preliminary risk assessment** – the auditor carries out risk assessment at planning stage to identify the areas in which the financial statements are most likely to be misstated in order to design audit procedures that are responsive to the risk factors of the audit and devote more audit attention to the areas where the risk is high.

4. **Setting materiality levels** - Materiality relates to the significance of them item.
5. **Analytical review procedures** - involves the computations of significant accounting ratios, trend analysis, cross- sectional analysis and reasonable checks and comparison of financial and non-financial information.
6. **Developing the overall audit strategy and audit plan** – Audit strategy sets out the scope, timing and direction of the audit and guides the development of the audit plan.
7. **Preparing the audit programs** - This is the breakdown of the audit procedures to be carried out in each and every item included in the financial statements.
8. **Budgeting and staffing considerations**
9. **Preparation of the job timetables.**

**b) Auditor's responsibilities in relation to the prevention and detection of fraud and error in the course of an audit assignment**

- The auditor can never be held responsible for prevention and detection of frauds and errors.
- The auditor should make enquiries from the management and others within the entity on whether



they have any knowledge of any actual, suspected or alleged fraud in the entity.

- The auditor should evaluate whether unusual or unexpected relationship that have identified in performing analytical procedures may indicate risk of material misstatement due to fraud.
- The auditor should obtain a written representations on management acknowledgement of its responsibility for designing implementing internal controls to prevent and detect fraud
- The auditor should obtain written representation on the management disclosure to the auditor the results of their assessment of the risk of material misstatement as a result of fraud.
- The auditor should obtain written representation on management disclosures to the auditor their knowledge of any known or suspect fraud.
- The auditor should maintain professional skepticism throughout the audit.
- The auditor should communicate to the appropriate level of the management any matters relating to suspected or detected frauds from information obtained.
- The auditor should document the weakness in the ICS that gave opportunity for fraud in a management

letter and provide recommendations for improvement.

- The auditor should maintain professional skepticism throughout the audit
- The auditor should communicate to the appropriate level of the management any matters relating to suspected or detected frauds from information obtained.
- The auditor should consider the implications of the frauds on the financial statement and give an appropriate audit opinion.

## QUESTION 9

### December 2021 Question Two B

Planning for a specific audit includes strategic and operational aspects. Distinguish between "strategic" and "operational" aspects of audit planning. (4 marks)

## ANSWER

### **Distinction between strategic and operational aspects of audit planning**

**Strategic aspects** of audit planning sets out the scope, timing and direction of the audit and it acts as a guide in the development of the audit plan.

**Operational aspects** of audit planning is more detail than the strategic aspects of audit planning and it includes the nature timing and extent of audit procedures to be performed.

## QUESTION 10

### September 2021 Question Three B

Your firm has diverse clientele from various sectors. You have been allocated the task of planning for an audit of Tamuko Creameries Ltd., a company that manufactures a variety of milk products. This will be the second year your firm is providing audit services to Tamuko Creameries Ltd.

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The following information is available:

1. The company's finance manager has informed you that the company has recorded fast growth. The company's financial accounting systems have been changing rapidly and appropriate control systems are proving challenging to maintain. Additional services in terms of review and implementation of control systems have been requested.
2. The company has recently established an internal audit unit and the finance manager wants you to ensure that external audit work is limited by using this unit.

3. The company plans to produce and market a new brand of yoghurt specifically for export to neighbouring countries. This has not been approved by the Export Licencing Agency.
4. The granting of the export licence is dependent on the financial stability of the company.
5. The finance manager has indicated that the company will be required to provide a report to the Export Licencing Agency on cash flow forecasts for the upcoming financial year to support licence application.

**Required:**

As part of your risk assessment procedures for the audit of Tamuko Creameries Ltd., evaluate five items to be considered when providing services to this client.

(10 marks)

**ANSWER****Items to be considered in risk assessment of the company**

1. **Poor internal controls and rapid growth:** The accounting systems of the company are changing rapidly and the control systems are difficult as the company grows fast. This indicates that the internal controls are likely to be poor so control risk and the risk of material misstatement in the accounts will be

high. This requires a fully substantive audit under all financial transactions and controls.

2. **Reliance on internal audit unit:** The company has recently established its internal audit so that audit firm should be very careful in deciding whether it can place reliance on the work performed by the internal audit unit and consequently reduced audit fee as desired by the finance manager. Additional time and work would be required to assess internal audit so as immediate reduction in fee is very unlikely.
3. **Additional services required:** Tamuko creameries ltd required additional services of review and implementation control systems but the audit firm must consider whether it has sufficiently skilled resources to carry out this additional work.
4. **Self review threat:** The additional work required on the review and implementation of control systems at Tamuko creameries ltd could result in the risk of self review. The audit firm must ensure it implements appropriate safeguards to mitigate this risk.
5. **Legal status of the new product. (yoghurt):** is still unknown and it may be technically illegal based on the export laws of the country.
6. An adverse publicity generated thereby would impact the credibility of the audit firm. The audit firm should

decide firmly on further engagement with the company since it could deny its integrity.

7. **Reliance on cash flow statement for licence:** The granting of the licence to export and market the yoghurt is dependent on the financial stability of the company. The audit firm will be asked to provide a report on the company's cashflow statement for the following financial year. This needs to be considered carefully where the audit firm must ensure it has sufficient experienced resources for this task and determine what kind of assurance required.
8. **Going concern assumption:** The company is growing rapidly and is relying on the granting of licence for the yoghurt whole legal status is uncertain. These factors may indicate a possible going concern risk which would be monitored carefully.

## QUESTION 11

### November 2020 Question Two A

An overall audit strategy guides the auditor in developing an audit plan.

**Required:**

Examine four matters that might be taken into consideration by an auditor when developing the overall audit strategy. (8 marks)

## **ANSWER**

### **Matters that might be taken into consideration by an auditor when developing the overall audit strategy**

- The characteristics of the engagement – the auditor should consider the financial reporting framework used by the client industrial specific reporting requirements etc.
- Significant factors such as preliminary engagement activities and knowledge gained on other engagements
- The reporting objectives such as timing of the audit i.e the nature of communications, entities timetable for reporting meeting with the management and those charged with governance.
- The internal control system and accounting system. This is to determine whether the auditor will place reliance on the system.
- The nature, timing and extend of resources required to do the audit.

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## **QUESTION 12**

### **November 2018 Question Three B**

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Identify three main areas, other than audit risk, which should be included within the audit strategy document for an audit of a client and for each area, provide a relevant example. (6 marks)

## **ANSWER**

**Main areas that should be included within the audit strategy document for an audit of a client and give an example in each.**

1. Summary of terms of engagement e.g. nature and scope of work to be done
2. Financial statements elements e.g. assets, liabilities expenses.
3. Staffing arrangement e.g. audit managers, audit assistants
4. Audit risk – Summarises all those areas with internet risks

## **QUESTION 13**

### **November 2018 Question Four A**

During the audit of Health Care Limited, the audit team discovers that intangible assets balance includes Sh.4,000,000 related to one of their ten development projects. This expenditure does not meet the criteria for capitalisation. As this project is ongoing, the finance director has suggested that no adjustment should be made



in this year's financial statements. He is confident that the project will meet the criteria for capitalisation in the following year.

Materiality considerations have established that the amount represents 7% of profit before tax and 1.2% of net assets.

**Required:**

Discuss the audit issues applicable in the above case.

(6 marks)

**ANSWER**

**Audit issues applicable in the above case**

**1. Intangible Assets and Capitalization Criteria:** The audit issue here is that the Sh.4,000,000 related to the development project does not meet the criteria for capitalization as an intangible asset. According to accounting standards, for costs to be capitalized as an intangible asset, they should meet specific criteria such as being identifiable, controlled by the entity, and expected to generate future economic benefits. The audit team needs to assess whether the expenditure meets these criteria and if not, it should not be recognized as an intangible asset.

**2. Materiality Considerations:** The finance director's suggestion not to adjust the financial statements is based on materiality considerations. However, materiality is a matter of professional judgment and needs to be evaluated in the context of both quantitative and qualitative factors. In this case, while the amount represents 7% of profit before tax and 1.2% of net assets, the audit team needs to consider other qualitative factors such as the impact on users' decision-making and compliance with accounting standards.

**3. Going Concern Assumption:** The finance director's confidence that the project will meet the criteria for capitalization in the following year raises concerns about the going concern assumption. The audit team needs to assess whether there are any indicators of potential impairment or risks associated with the ongoing project that may cast doubt on the company's ability to continue as a going concern.

**4. Ethical Considerations:** There are ethical considerations involved in this case as well. The finance director's suggestion not to adjust the financial statements raises questions about management's integrity and whether they are attempting to misstate financial information for their benefit. The audit team needs to

consider these ethical implications and ensure that they adhere to professional ethics and skepticism throughout their assessment.

**5. Reporting Responsibilities:** The audit team also needs to consider their reporting responsibilities in this situation. If they believe that there is a material misstatement in the financial statements due to the inclusion of the Sh.4,000,000 in intangible assets, they have a responsibility to report this matter to those charged with governance.

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# TOPIC 7

## AUDIT DOCUMENTATION

### QUESTION 1

#### April 2024 Question Five A

International Standard on Auditing (ISA) 230 - Audit documentation, requires the auditor to maintain all information, records and documents gathered during the audit.

#### Required:

Analyse **FOUR** matters the auditor could record in the audit working papers during the annual stock take.

(4 marks)

### ANSWER

#### Audit working papers during annual stock take

- **Stock Count Procedures:** Detailed documentation of the procedures followed during the stock count, including how the inventory was physically counted, who conducted the count, and any discrepancies or issues identified during the process.
- **Inventory Valuation Methods:** Recording information on how the inventory was valued, such

as using FIFO (First-In-First-Out) or LIFO (Last-In-First-Out) methods, and ensuring that these valuation methods comply with accounting standards.

- **Observations and Findings:** Documenting any observations made during the stock take, such as damaged or obsolete inventory, discrepancies between physical count and recorded quantities, or any signs of potential fraud or misstatement.
- **Management Representations:** Keeping a record of any representations made by management regarding the accuracy and completeness of inventory, as well as any explanations provided for variances or discrepancies identified during the audit.
- **Adjustments and Corrections:** Noting any adjustments or corrections made to the inventory records based on audit findings, along with explanations for why these adjustments were necessary and how they were calculated.
- **Risk Assessment Documentation:** Documenting the auditor's risk assessment related to inventory, including considerations of inherent risks, control risks, and detection risks associated with inventory balances.
- **Working Paper Review Notes:** Including notes on the review of working papers by supervisory personnel or external reviewers to ensure that all

audit procedures were appropriately documented and supported by evidence.

- **Communication with Management:** Recording details of any discussions or correspondence with management regarding inventory-related matters, including inquiries made, responses received, and any follow-up actions taken.
- **Analytical Procedures:** Documenting the analytical procedures performed on inventory balances to assess reasonableness and consistency with historical data or industry benchmarks.

## QUESTION 2

### December 2023 Question Four A

Distinguish between a “permanent audit file” and a “current audit file”. (4 marks)

## ANSWER

### Distinction between Permanent Audit File and Current Audit File:

#### Purpose:

- **Permanent Audit File:** This file aims to maintain **long-term, historical information** relevant to the client's business and facilitates future audits.

- **Current Audit File:** This file focuses on accumulating **specific documentation** related to the **current year's audit**.

### **Content:**

- **Permanent Audit File:** This includes items like:
  - Incorporation documents and bylaws
  - Long-term contracts and leases
  - Prior-year audit reports and management letters
  - Information on accounting policies and estimates
- **Current Audit File:** This typically includes:
  - Working papers related to current year's audit procedures (e.g., memos, test results)
  - Client representations and correspondence
  - Analytical procedures and audit adjustments
  - Final audit report and management letter

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### **Retention Period:**

- **Permanent Audit File:** Documents are generally retained **indefinitely** or as long as the auditor-client relationship exists.
- **Current Audit File:** Files are typically kept for a **specific period** as mandated by professional standards or firm policies, after which they may be archived or destroyed.

## **QUESTION 3**

### **December 2022 Question Four B**

ISA 230 (Audit Documentation), requires auditors to prepare audit documentation for an audit of financial statements on a timely basis.

**Required:**

Describe FOUR benefits of documenting audit work.

(4 marks)

**ANSWER**

**Main Benefits of Documenting Audit Work**

**1. Evidence of Compliance** Audit documentation provides evidence that the audit was conducted in accordance with auditing standards and legal requirements. It demonstrates that the auditor has followed the appropriate procedures and obtained sufficient appropriate audit evidence to support their opinion on the financial statements. This documentation is crucial in demonstrating compliance with professional standards and regulatory requirements, which is essential for maintaining the integrity and credibility of the audit process.

**2. Facilitates Review and Quality Control**

Comprehensive audit documentation facilitates review and quality control processes within the auditing firm. It allows for the effective supervision



and review of the work performed by engagement team members and provides a basis for evaluating the sufficiency and appropriateness of audit evidence obtained. Through proper documentation, reviewers can assess whether the audit was conducted in line with professional standards, firm policies, and applicable regulatory requirements.

### **3. Support for Conclusions and Findings**

Documenting audit work provides support for the conclusions reached and findings reported by the auditor. It enables a clear link between the audit procedures performed, the evidence obtained, and the conclusions drawn. In case of inquiries or challenges regarding the audit opinion, well-documented audit files serve as a basis for justifying the auditor's judgments, assessments, and conclusions.

**4. Continuity of Engagement** Audit documentation supports continuity of engagement by providing a record of matters of continuing significance to future audits. It allows subsequent auditors to understand significant matters identified in prior periods, including accounting issues, areas of higher risk, and unresolved matters from previous audits. This continuity aids in maintaining consistency and effectiveness in addressing recurring audit considerations.

**5. Legal Protection** Well-maintained audit

documentation can serve as a form of legal protection for auditors in case of disputes or litigation. It provides a record of the work performed, supporting the auditor's assertions regarding their compliance with auditing standards and professional skepticism exercised during the audit process.

**6. Training and Education** Audit documentation

serves as a valuable resource for training new staff and educating existing team members. It provides practical examples of how audit procedures are performed, how evidence is evaluated, and how conclusions are reached. By reviewing well-documented audit files, staff members can enhance their understanding of auditing concepts and best practices.

**QUESTION 4****August 2022 Question Four A**

Your firm is in the process of auditing a client dealing in actuarial services. Your audit team lacks sufficient expertise in the field of actuarial services. In this regard, the Audit Manager has recommended engaging a management expert as a source of audit evidence. You are also required to maintain the working papers for the exercise.

**Required:**

Evaluate four features of the audit working papers that you would be required to maintain. (4 marks)

**ANSWER****(ii) Features of Audit Working Papers to Maintain:**

1. **Engagement Letter:** The engagement letter should clearly outline the scope of the expert's engagement, the agreed-upon fees, and the terms of the engagement. It should specify the specific actuarial services to be performed, the deliverables expected, and the timeframe for completion.
2. **Expert's Qualifications:** Document the expert's qualifications, including their professional background, certifications, and experience in relevant actuarial areas. This documentation should support the selection of the expert and demonstrate their expertise in the specific area of actuarial services being audited.
3. **Expert's Methodology:** Describe the expert's methodology for conducting their work, including the actuarial methods used, assumptions made, and the rationale behind their approach. This documentation should provide transparency into the expert's work and allow for its evaluation and verification.

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4. **Expert's Findings:** Summarize the key findings and conclusions reached by the management expert, including their actuarial calculations, assessments, and recommendations. This documentation should capture the substance of the expert's work and its relevance to the audit objectives.
5. **Evaluation of Expert's Work:** Document the auditor's evaluation of the expert's work, including the assessment of their qualifications, methodology, findings, and conclusions. This documentation should demonstrate that the auditor has carefully considered the expert's work and its impact on the audit opinion.
6. **Communication with Management:** Document any communication with management regarding the engagement of the management expert, including the rationale for engaging the expert, the scope of their work, and the findings of their engagement. This documentation should ensure that management is aware of the role of the expert and the impact of their work on the audit.

## QUESTION 5

### January 2022 Question One B

In line with ISA 220 "Quality Control for an Audit of Financial Statements", describe four responsibilities of an

audit supervisor in relation to supervising and reviewing the audit assistant's work during an audit. (4 marks)

### **ANSWER**

#### **Responsibilities of audit supervisor in relation to supervising and reviewing the audit assistant work during an audit**

- To check whether the audit assistants are following the audit programs
- To track the progress of the audit
- To identify matters for further consultation
- To address significant matters arising during the audit

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### **QUESTION 6**

#### **January 2022 Question Two B**

Explain the following terms:

- (i) Peer review. (2 marks)
- (ii) Hot review. (2 marks)

### **ANSWER**

**i) Peer review** - This is an independent review of the audit firms and accounting practices.

**ii) Hot review** - This is a regular review that takes as the audit is progressing where the working papers produced

by junior members of the audit team are checked by more senior members of the team.

## **QUESTION 7**

### **December 2021 Question One C**

International Standards on Auditing (ISA) 230 - Audit Documentation' requires that there should be adequate documentation of the work done to support the opinion expressed on the financial statements.

#### **Required:**

Discuss four reasons why the auditor should maintain detailed audit working papers. (8 marks)

#### **ANSWER**

**Reasons why the auditor should maintain detailed audit working papers.**

1. It provides evidence that the audit work was planned and carried out in accordance with ISAS.
2. It provides the auditors basis of conclusion on whether the financial statement reflect a true and fair view and have been prepared in accordance with the identified financial reporting framework.
3. The working papers can be used by the auditor as a defense in case of litigation against him.

4. Working papers provide assurance that the work delegated by the audit partner has been properly completed.
5. Working papers facilitate subsequent years audit planning.

## QUESTION 8

### November 2020 Question One B

International Standard on Auditing (ISA) 315 — Identifying and assessing the risks of material misstatement through understanding the entity and its environment, sets out matters that should be documented during the planning stage of an audit.

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#### Required:

Highlight six matters that should be documented when developing an audit plan. (6 marks)

### ANSWER

#### Matters that should be documented when developing an audit plan

- A summary of the terms of the engagement that sets out the nature and the scope of the audit work.
- The job time tables giving the dates and the timings of the audit work
- Background information about the client

- A record of any changes in the client since the last audit.
- Details of planning decisions such as identified areas of weakness in the systems which required more detailed work.
- Details of the key client contracts such as the finance director, internal auditor chief account etc.
- The materiality levels set
- Risk assessment
- Staffing requirements.

## QUESTION 9

### November 2020 Question One C

International Standard on Auditing (ISA) 230 — Audit Documentation, provides guidance to auditors in respect of audit working papers.

#### **Required:**

Summarise six factors which could affect the form and content of audit working papers. (6 marks)

### **ANSWER**

**Factors which could affect the form and the content of audit working papers**



1. The nature of the engagement i.e a first time audit has higher detection risk than a recurring audit meaning more working papers will be obtained.
2. The nature of audit procedures performed more workings may be obtained if more procedures should be performed
3. The nature and conditions of the client accounting system and internal control system. if the client system are weak, the auditor will not place reliance on them and will perform extensive substantive testing meaning more working papers will be obtained the identified risks of material misstatements.
4. The higher the risk identified the more audit procedures to be performed hence more working papers
5. Significance of audit evidence obtained. The level of evidence required can also determine the level of working papers required.
6. The specific audit methodology used. The approach the auditor will use will also determine the level of working papers

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## **QUESTION 10**

### **May 2019 Question Three B**

Examine four contents of working papers in circumstances where the auditor has used analytical procedures as substantive tests in carrying out his audit engagement. (4 marks)

### **ANSWER**

**Contents of working papers in circumstances where the auditor has used analytical procedures as a substantive tests in carrying out his audit engagement.**

The working papers should include.

1. Ratios used for analysis
2. Trends used and which financial periods have been considered.
3. Significant fluctuations in items.
4. Factors likely to have an effect on items in the accounts
5. Budgeted and actual values

# TOPIC 8

## INTERNAL CONTROL SYSTEMS (ICS)

### QUESTION 1

#### April 2024 Question One C

Explain **THREE** internal control procedures that an organisation should have in place for each of the following:

- (i) Unclaimed wages. (3 marks)
- (ii) Credit sales. (3 marks)
- (iii) Inventory in transit. (3 marks)

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### ANSWER

**Internal control procedures in place for each of the following:**

- (i) **Unclaimed wages.**

Unclaimed wages represent a liability for the organization until they are paid out to the rightful employee. Here are some internal control procedures to manage them effectively:

- **Detailed Payroll Records:** Maintain accurate and detailed payroll records for all employees, including those who have left the company. This should include employee contact information

(even if outdated) for future attempts to reach them.

- **Escheatment Laws:** Understand and comply with local escheatment laws, which govern how unclaimed funds are handled after a certain period. This may involve transferring the funds to a state agency.
- **Periodic Reviews:** Regularly review the list of unclaimed wages and attempt to locate missing employees. This can involve contacting last known addresses, forwarding mail, or utilizing online resources.
- **Dormant Account Management:** Establish a system for managing dormant accounts associated with unclaimed wages. This might involve accruing interest on the funds and holding them in a separate account.
- **Clear Documentation:** Document all attempts made to locate missing employees and maintain records of these efforts. This strengthens the audit trail and demonstrates responsible management of unclaimed funds.

(ii) **Credit sales.**

Credit sales pose a risk of bad debts, where customers fail to pay for their purchases. Here are some internal control procedures to mitigate this risk:

- **Customer Credit Approval:** Implement a formal credit approval process that assesses a customer's creditworthiness before extending credit. This may involve credit checks, references, and setting credit limits.
- **Clear Sales Agreements:** Use standardized sales agreements that clearly outline payment terms, interest rates on late payments, and collection procedures for bad debts.
- **Regular Invoicing and Statements:** Issue invoices promptly and generate regular customer statements to remind them of outstanding balances.
- **Credit Monitoring:** Regularly monitor outstanding accounts receivable and identify potential bad debts early. Employ collection efforts like sending overdue notices and contacting customers.
- **Bad Debt Reserves:** Maintain a bad debt reserve to account for potential losses from uncollectible receivables. This helps maintain accurate financial reporting.

**(iii) Inventory in transit.**

Inventory in transit represents goods shipped from the supplier but not yet received at the organization's warehouse. This creates a risk of loss or damage during transportation. Here are some internal control procedures to manage inventory in transit:

- **Clear Purchase Orders:** Use detailed purchase orders that specify the quantity, description, and value of goods being shipped. This facilitates accurate reconciliation upon receipt.
- **Shipping Insurance:** Obtain appropriate insurance coverage for goods in transit to mitigate financial losses from damage or theft.
- **Real-time Tracking:** Implement real-time tracking systems (when feasible) to monitor the location and status of goods in transit.
- **Receiving Procedures:** Establish clear receiving procedures that involve verifying the quantity and condition of received goods against purchase orders and shipping documents.
- **Discrepancy Resolution:** Have a documented process for resolving discrepancies identified during receiving, including investigating missing items or damaged goods.

## QUESTION 2

### December 2023 Question Five D

Discuss **FIVE** components of an organisation's internal control system. (10 marks)

### ANSWER

An organization's internal control system is crucial for ensuring the reliability of financial reporting, compliance with laws and regulations, and the effectiveness and efficiency of operations. There are several key components that make up a robust internal control system:

- 1. Control Environment:** The control environment sets the tone of an organization, influencing the control consciousness of its employees. It encompasses factors such as management's integrity, ethical values, and commitment to competence.
- 2. Risk Assessment:** Organizations need to identify and analyze risks that could prevent them from achieving their objectives. This involves assessing both internal and external risks that may impact the organization's ability to execute its strategies successfully.
- 3. Control Activities:** Control activities are the policies and procedures established to ensure management directives are carried out. These can include approvals, verifications, reconciliations, and segregation of duties to prevent errors and fraud.

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**4. Information and Communication:** Effective communication ensures that relevant information is identified, captured, and communicated in a timely manner to enable people to carry out their responsibilities. This includes both internal and external communication channels.

**5. Monitoring:** Monitoring involves assessing the quality of an organization's internal control performance over time. It helps ensure that controls are operating as intended and that any deficiencies are identified and addressed promptly.

**6. Internal Control Policies and Procedures:** Documented policies and procedures provide guidance on how internal controls should be designed, implemented, and monitored within an organization. They serve as a roadmap for employees to follow in their daily activities.

**7. Segregation of Duties:** Segregation of duties is a fundamental principle of internal control that aims to prevent fraud and errors by dividing responsibilities among different individuals or departments. This separation reduces the risk of any single individual having complete control over a process.

**8. IT Controls:** In today's digital age, information technology controls play a critical role in ensuring the security, integrity, and availability of data within an



organization. These controls include access controls, data backup procedures, and system monitoring mechanisms.

**9. Training and Development:** Providing adequate training to employees on internal control policies and procedures is essential for ensuring they understand their roles in maintaining effective controls. Continuous development helps keep employees informed about changes in controls or regulations.

### QUESTION 3

#### August 2023 Question Three A and B

- (a) Sheila Limo is the audit senior of K and R Associates. She is the one responsible for the audit of Kula Ltd, a manufacturing company. Sheila has called for a meeting with her junior auditors to discuss how they will go about carrying out tests of control and substantive tests on salaries and wages of Kula Ltd.

#### Required:

- (i) Distinguish between “tests of control” and “substantive tests”. (4 marks)
- (ii) Summarise **FOUR** tests of control in relation to salaries and wages of Kula Ltd. (4 marks)

- (iii) Propose **THREE** substantive tests that Sheila Limo might perform on salaries and wages of Kula Ltd. (6 marks)
- (b) Your new client Haraka Upesi Ltd. assembles and sells tuk tuks in the local market. The average selling price per unit in the year ended June 2023 was Sh.450,000 each. The company sold 500 units during the year thus generating an equivalent number of sales invoices. Sales invoices were completed manually with the director signing all invoices to confirm the sales value is correct. You are the Audit Manager of the audit exercise working together with an Audit Senior and Audit Junior; as part of the audit team.
- During the planning meeting, suggestions were made about how to select a sample of sales invoices for testing. As the Audit Manager, you proposed to check all the sales invoices, the Audit Senior proposed selecting a sample using statistical sampling techniques whereas the Audit Junior proposed taking a random sample of invoices by reviewing the invoice file and manually choosing a few important invoices

**Required:**

Analysing each of the proposals by the team members, advise on the most suitable technique to use. (6 marks)

## ANSWER

### (a) Sheila Limo

#### (i) Distinction between “tests of control” and “substantive tests”.

**Tests of Control:** Tests of control are procedures performed to evaluate the effectiveness of an entity's internal controls in preventing or detecting material misstatements in the financial statements. These tests are designed to assess whether the controls are operating effectively to ensure the reliability of financial reporting. The primary focus of tests of control is on the design and implementation of internal controls within an organization.

**Substantive Tests:** Substantive tests, on the other hand, are procedures performed to detect material misstatements in the financial statements. These tests are conducted to obtain audit evidence about the completeness, accuracy, and validity of the data contained in the financial records. Substantive tests aim to directly verify

the financial information presented in the financial statements.

**Distinguishing Factors:**

1. **Purpose:** The main purpose of tests of control is to assess the effectiveness of internal controls, while substantive tests focus on verifying the accuracy and completeness of financial information.
2. **Nature:** Tests of control are preventive in nature as they aim to prevent errors or fraud at an early stage by ensuring that internal controls are functioning as intended. Substantive tests are detective in nature as they aim to detect errors or fraud that have already occurred.
3. **Timing:** Tests of control are typically performed at an interim stage of the audit to assess the design and implementation of internal controls early in the audit process. Substantive tests are usually conducted closer to the end of the audit cycle to directly test account balances and transactions.
4. **Reliance:** The auditor's reliance on tests of control affects the extent and nature of substantive procedures performed. If controls are deemed effective, auditors may

rely more on them and perform fewer substantive tests.

**(ii) Tests of control in relation to salaries and wages of Kula Ltd.**

There are several types of tests of control that can be applied to salaries and wages, including:

1. **Authorization tests:** These tests verify that all payroll transactions have been properly authorized by individuals with the appropriate level of authority and oversight. This can include reviewing approval workflows, checking for evidence of dual approval, and ensuring that any exceptions or overrides have been properly documented and justified.
2. **Segregation of duties tests:** These tests assess whether duties have been appropriately segregated to minimize the risk of fraud or error. This can include verifying that different individuals are responsible for authorizing transactions, recording transactions, and maintaining custody of related assets (such as bank accounts or petty cash).
3. **Input controls tests:** These tests verify that data entered into the payroll system is accurate, complete, and consistent with

established policies and procedures. This can include reviewing input screens for errors or inconsistencies, comparing input data to source documents (such as time sheets or employee contracts), and testing the accuracy of calculations (such as tax withholdings or benefit deductions).

4. **Processing controls tests:** These tests assess whether payroll processing activities have been performed in accordance with established policies and procedures. This can include reviewing batch controls, checking for evidence of proper sequencing or scheduling, and testing the accuracy of output reports (such as payroll registers or check stubs).
5. **Output controls tests:** These tests verify that output reports are accurate, complete, and consistent with established policies and procedures. This can include reviewing report formats for errors or inconsistencies, comparing output reports to input data or source documents, and testing the accuracy of calculations (such as gross-to-net conversions or year-to-date summaries).
6. **Physical controls tests:** These tests assess whether physical safeguards have been

implemented to protect payroll-related assets from theft, loss, or damage. This can include verifying that access to sensitive areas (such as payroll offices or data centers) is restricted to authorized personnel, testing the effectiveness of security systems (such as alarms or cameras), and reviewing procedures for handling cash or checks.

- 7. Review of policies and procedures:** These tests assess whether established policies and procedures are adequate to ensure the accuracy, completeness, and integrity of payroll-related transactions and records. This can include reviewing job descriptions for key payroll personnel, testing the effectiveness of training programs, and evaluating the overall design of internal controls over payroll processing activities.

**(iii) Substantive tests that Sheila Limo might perform on salaries and wages of Kula Ltd.**

- 1. Analytical Procedures:** Sheila Limo can perform analytical procedures to assess the reasonableness of salaries and wages. This involves comparing current year figures to prior years, industry benchmarks, or

budgeted amounts. Significant fluctuations or anomalies can indicate potential errors or fraud.

2. **Vouching:** Sheila can select a sample of payroll transactions and vouch them back to supporting documentation such as timesheets, employment contracts, and authorization forms. This helps verify the existence and accuracy of recorded salaries and wages.
3. **Reperformance:** Reperformance involves independently recalculating payroll computations to ensure accuracy. Sheila can recompute selected payroll transactions to confirm that the amounts are correctly calculated based on the company's policies and procedures.
4. **Confirmation:** Sheila can send confirmation requests to employees to verify their employment status, salary rates, bonuses, and other relevant details. Confirmations from employees can provide additional assurance on the accuracy of recorded salaries and wages.
5. **Review of Internal Controls:** Sheila should also review the internal controls related to



payroll processing at Kula Ltd. Assessing the segregation of duties, authorization procedures, and access controls can help identify weaknesses that may lead to errors or fraud in the recording of salaries and wages.

6. **Observation:** Sheila can observe the payroll process in action to ensure that it is being carried out as per company policies and procedures. Observing how payroll data is collected, processed, and recorded can help identify any irregularities or deviations from standard practices.
7. **Substantive Analytical Procedures:** In addition to overall analytical procedures, Sheila can perform substantive analytical procedures specifically focused on salaries and wages. This may involve comparing payroll expenses as a percentage of revenue or headcount to industry averages to identify any outliers that require further investigation.

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**(c) Analysing each of the proposals by the team members**

**Client:** Haraka Upesi Ltd. (Selling tuk tuks)

**Population:** 500 sales invoices

**Proposals:**

1. **Full population testing (Audit Manager):** Examining all 500 invoices.
2. **Statistical sampling (Audit Senior):** Using statistical methods to select a representative sample.
3. **Judgmental sampling (Audit Junior):** Manually choosing a few "important" invoices.

**Analysis:**

1. **Full population testing:**
  - **Pros:** Provides complete assurance as all invoices are reviewed.
  - **Cons:** Can be time-consuming and expensive, especially for large populations.
  - **Not suitable in this case:** Considering the population size (500) and potential cost-benefit considerations.
2. **Statistical sampling:**
  - **Pros:** Provides a representative sample based on scientific methods, allowing for efficient use of audit resources and statistically valid conclusions.

- **Cons:** Requires more planning and expertise in applying statistical techniques.
  - **Suitable in this case:** Given the moderate population size and potential for cost-effectiveness.
3. **Judgmental sampling:**
- **Pros:** Can be quick and easy to implement.
  - **Cons:** Highly susceptible to bias. Choosing "important" invoices is subjective and may not represent the entire population accurately.
  - **Not suitable in this case:** Due to the risk of bias and potential for missing errors or misstatements present in other invoices.

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## QUESTION 4

### December 2022 Question One C

In the context of the inherent limitations in both internal control and the audit process itself, explain FIVE reasons why even a properly performed audit may not detect errors and fraud. (10 marks)

### ANSWER

Even a properly performed audit may not detect errors and fraud due to inherent limitations in both internal control and the audit process itself. These limitations arise from the nature of human error, the complexity of

business transactions, and the constraints of the audit process. Here are five reasons why even a well-conducted audit may fail to uncover errors and fraud:

**1. Collusion and Management Override of Controls:**

Collusion among employees or management override of internal controls can effectively conceal fraudulent activities. When individuals work together to deceive the auditor, their actions may be difficult to detect through traditional audit procedures.

**2. Limited Scope of Audit Testing:** Due to time and cost constraints, auditors cannot test every transaction or every aspect of an organization's internal controls. They must rely on sampling techniques and professional judgment to focus their efforts on areas of higher risk. This means that some errors or fraudulent activities may go undetected due to the limited scope of testing.

**3. Sophisticated Fraud Schemes:** Fraudsters are becoming increasingly sophisticated in their methods, using complex schemes that may be difficult to identify through traditional audit procedures. These schemes may involve intricate transactions, specialized knowledge, or the manipulation of data to conceal fraudulent actions.

**4. Subjectivity and Judgment-Based Assessments:**

Auditors must make subjective judgments and

assessments throughout the audit process. These judgments may be influenced by their experience, biases, or the availability of information. While auditors strive for objectivity and professionalism, their judgments may lead to errors in risk assessment or the interpretation of evidence.

- 5. Changes in Business and Technology:** Business environments and technologies are constantly evolving, introducing new risks and complexities that may not be fully captured by existing audit standards or procedures. Auditors must stay up-to-date with these changes and adapt their audit approach accordingly, but there may be a lag between the emergence of new risks and the development of effective audit responses.

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## QUESTION 5

### **August 2022 Question Two D**

Kilimo Sacco has recently automated its loan processing and disbursement activities upon purchase of an Enterprise Resource Planning (ERP) system. You have been requested to review the processing controls of the system.

**Required:**

Suggest four processing controls that the system should possess upon full implementation. (4 marks)

### **ANSWER**

To ensure the integrity and efficiency of loan processing and disbursement activities, Kilimo Sacco's Enterprise Resource Planning (ERP) system should incorporate robust processing controls. These controls should address various aspects of the loan process, from initiation to disbursement and repayment.

#### **1. Authorization and Segregation of Duties:**

- Implement a multi-level authorization system for loan approvals, ensuring that no single individual can approve a loan independently.
- Segregate duties between loan originators, approvers, and disbursers to prevent conflicts of interest and unauthorized access to funds.

#### **2. Loan Application Review and Verification:**

- Establish a thorough review process for loan applications, including verification of identity, income, creditworthiness, and collateral.
- Implement automated data verification checks to cross-reference applicant information with external sources, such as credit bureaus and employers.

### **3. Loan Origination and Documentation:**

- Automate loan origination documents, ensuring accurate and consistent generation of loan agreements, promissory notes, and other relevant documents.
- Maintain an electronic repository of all loan documents, ensuring easy access and retrieval for audit purposes.

### **4. Loan Disbursement and Tracking:**

- Implement automated disbursement controls to prevent unauthorized or duplicate payments.
- Establish a system for tracking loan disbursements, including real-time updates to loan balances and borrower accounts.

### **5. Loan Monitoring and Reporting:**

- Monitor loan performance in real-time, identifying potential delinquencies and exceptions early on.
- Generate regular reports on loan performance, delinquency rates, and other key metrics for management review.

### **6. System Access and Security:**

- Implement strong password policies and multi-factor authentication for system access.
- Regularly monitor system activity and audit logs to detect anomalies and unauthorized access attempts.

## **7. Data Integrity and Backup:**

- Implement data backup procedures to ensure the protection and recovery of loan data in case of system failures or security breaches.
- Conduct regular data integrity checks to identify and rectify any data errors or inconsistencies.

## **8. Continuous System Reviews and Updates:**

- Regularly review and update processing controls to address evolving risks and regulatory requirements.
- Conduct periodic audits of the ERP system to ensure compliance with internal policies and external regulations.

## **QUESTION 6**

### **April 2022 Question Three A**

- (i) You have been appointed to lead your engagement team in auditing a new client. During the planning of the audit, the team emphasised on the need to understand the internal control system maintained by the client.



**Required:**

Describe four components of the internal control system that would be of interest to your team. (8 marks)

- (ii) Identify two limitations of internal control systems. (2 marks)

**ANSWER****i) Components of the internal control system that would be of interest to the team.**

- **Control environment** – Refers to the overall attitude awareness and actions from the management regarding the ICS and its importance to the entity.
- **Control Activities** – Refers to all policies and procedures in addition to the control environment which the management has established to ensure that nothing goes wrong.
- **Risk assessment and management** – This is process of identifying situations and events that may prevent the organization from achieving the goals and coming up with mitigating measures to address the risk.
- **Monitoring** – This is the process of assessing the quality of the ICS over time to determine its effectiveness and taking corrective action.

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**ii) Limitations of internal control systems.**

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- Possibility of management overriding controls
- Technological advancement may render controls obsolete
- Systems breakdown due to errors and mistakes

## QUESTION 7

### January 2022 Question One A

ABC Ltd. manufactures mineral water and has factories across the East African region. The company's customer base comprises individuals and retailers who make direct purchases through its website. You are the audit supervisor reviewing the documentation of the company's internal controls and you come across the following matters:

1. ABC Ltd.'s website allows customers to make orders directly and also pay in advance. The website is not integrated with the stock system. Goods are dispatched to the customers via courier service although the courier company does not file returns with ABC Ltd. to confirm delivery.
2. Over the last 9 months, customers have been complaining about delayed deliveries. Investigations have revealed that sales orders are entered correctly, but not dispatched to the delivery department for action.

3. Customers undergo credit checks prior to being given credit and the limits are set by the sales ledger clerks. Customers also place orders through the sales team who decide on the discount to be granted.
4. There have been various complaints raised on the accuracy of supplier statements given that the accountant who used to handle this docket left the organisation.

**Required:**

With reference to the internal control system of ABC Ltd.:

- (i) Explain five deficiencies in the system. (5 marks)
- (ii) Describe five tests of control required to assess if the controls are working effectively. (5 marks)

**ANSWER****i) Deficiencies in the system**

- ABC ltd.'s website allows customers to make order directly and pay in advance which is not integrated with the stock system.
- Goods are dispatched to customers via courier service although the courier company does not file returns with ABC ltd to confirm delivery.
- Sales orders are entered correctly but not dispatched to the delivery for action

- Customers place orders through sales team who decide on the discount to be granted
- Customers undergo credit checks prior to being given credit and the limits are set by the sales ledger clerks
- Complaints raised on the accuracy of supplier statements

**ii) Tests of control required to assess if the control are working effectively**

- The auditor should attempt to enter an order for a fictitious customer account number. The system should not accept the order.
- With the clients permission, attempt to enter a sales order which will take a customer over the agreed credit limit the system should reject the order.
- Inspect a sample of processed credit applications from the credit agency and follow through the credit limit agreed to sales system.
- Obtain a copy of the current price lists and agree for a sample of invoices that current prices have been used.
- confirm discounts applied to invoice agree to the customer master file

- Attempt to process an order with a sales discount for customer not normally entitled to assess the application controls
- Inspect a sample of good dispatch note and agree that a valid sales invoice has been correctly raised.

## QUESTION 8

### January 2022 Question Five B

With reference to the e-commerce environment, discuss three controls that an entity needs to put in place to safeguard the accuracy, completeness and integrity of financial information. (6 marks)

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## ANSWER

**Controls than entity needs to put in place to safeguard the accuracy, completeness and integrity of financial information**

- Validate input
- Prevent duplication or omission of transactions
- Ensure the terms of trade have been agreed before an order is processed including delivery and credit terms, which may require.
- Distinguish between customer browsing and orders placed, ensure a party to a transaction cannot later deny having agreed to specified terms and ensure

transactions are with approved parties when appropriate.

- Ensure records are properly retained, backed up and secured.
- Ensure the proper distribution of transaction details across multiple systems in a network.

## QUESTION 9

### **December 2021 Question Four A and B**

Relax Hotels and Cottages Ltd. is your new client operating in the hospitality industry.

The company management has indicated to you in the opening meeting that the internal control environment is critical to their business profitability especially during the recent economic downturn. You are required to understand the company's internal control environment before commencing the audit task.

### **Required:**

In relation to International Standards on Auditing (ISA) 315 "Identifying and Assessing the Risks of Material Misstatement through understanding the Entity and its Environment";

- (a) Explain the term "control environment". (2 marks)

- (b) Discuss six elements of control environment that would be relevant in understanding Relax Hotels and Cottages Ltd. (12 marks)

## **ANSWER**

### **a) Control environment**

This refers to the overall attitude, awareness and actions from the management regarding the internal control system and its importance in the entity.

### **b) Elements of control environment**

1. Organization structure – this shows that the responsibilities of each member in the entity and how authority flows from the top to bottom.
2. Functions of the board and its committees and participation of those charged with governance
3. Assignment of authority and responsibility in the organization.
4. Presence or absence of internal audit function who oversee management activities and control procedures
5. Communication and enforcement of integrity and ethical issues of the organization. i.e. existence of internal regulatory system to monitor compliance with ethical requirements.

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6. Management commitment to competence i.e. how the management is committed to acquire the desired quality.

## QUESTION 10

### **December 2021 Pilot Paper Question Three**

You have been assigned to assist your audit senior in auditing a new client, Happy Land Limited. During the course of you reviewing and understanding the company's internal control system, you discovered the following information:

1. The company has an internal audit department.
2. Bank reconciliation is undertaken by the internal audit department.
3. Purchase invoices are being approved for payment at branches and a list of approved invoices sent to head office for payment. The invoices, supporting documentation and suppliers statements are retained at the branches.
4. Excess cash is now invested by the finance director in short term securities.
5. A physical inventory has not been carried out for non-current assets and reconciled with the non-current assets register.



6. While visiting a production plant, it was noted that access to the inventory store room was unrestricted. It was discovered that the staff responsible for making test counts and agreeing to inventory on hand with the perpetual records, resigned and a replacement had not yet appointed.

**Required:**

- (a) Explain five control deficiencies in Happy Land Limited. (10 marks)
- (b) Recommend a control to address each of these deficiencies. (5marks)
- (c) Describe a test of control the auditor should perform to assess if each of these controls, if implemented, is operating effectively to reduce the identified deficiency. (5 marks)

**ANSWER**

**a) Control deficiencies in happy land limited**

1. Bank reconciliations are undertaken by the internal audit department, not finance department
2. Purchases invoices are being approved at the branches not the head office
3. Physical inventory has not been carried out for non current assets and have not being recorded with the fixed asset register.

4. Access to inventory store room is unrestricted where it should access to the inventory store room is limited to authorized persons.
5. No replacement for staff responsible for making test counts and agreeing to inventory on hand with perpetual records.

**b) Control to address the deficiencies**

1. Regular bank reconciliations should be performed by an independent person in the finance department.
2. Purchases invoices should be authorized at the branches but approved by the head office.
3. Inventory count of the non current assets should be carried out and a fixed asset register should be maintained.
4. There should be limited access to the inventory store room.
5. Formal procedures for hiring should exist.

**c) Test of control that the auditor should perform to assess if they are operating effectively**

1. Check the arithmetic accuracy of the bank reconciliation by recalculating and circularize the bank to confirm the bank balance.
2. Select a sample of purchases invoices and inspect them for date, details amount and authorization.

3. Physically inspect the asset to verify existence, inspect the document of the title and of purchase.
4. Review correspondence with third parties hold the stocks of the firm
5. Hiring employees must be authorized by a designated senior officer.

## QUESTION 11

### September 2021 Question One A

Controls in an entity's information technology system may consist of a combination of automated controls and manual controls.

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#### Required:

- (i) Evaluate eight risks that automated controls pose to an entity's internal control system. (8 marks)
- (ii) Analyse four circumstances in which manual controls may be more suitable for use in an entity. (4 marks)

## ANSWER

### i) Risks posed by automated controls to an entity's internal control system

- Reliance on systems or programs that are inaccurately processing data, processing inaccurate data or both.

- Un authorized access to data that may result in destruction of data or improper changes to data including recording non existed transactions or unauthorized transactions particular risk may arise where multiple users access a common database.
- Possibly of IT personnel gaining access privilege beyond those necessary to perform their assigned duties thereby breaking segregation of duties.
- unauthorized changes to data in master file.
- Unauthorised changes to systems or programs
- Failure to make necessary changes to systems or programs
- In appropriate manual intervention
- Potential loss of data or liability to access data as required.

**ii) Manual controls suitable whereby judgement and discretion are required such as the following circumstances:**

- Large, unusual or non recurring transactions
- circumstances where errors are difficult to define anticipate or predict

- In changing circumstances that require a control response outside the scope of an existing automated control.
- In monitoring the effectiveness of automated controls.

## QUESTION 12

### May 2021 Question Two B

Evaluate four methods of ascertaining a client's accounting and control system. (8 marks)

### ANSWER

#### Methods of ascertaining a client's accounting and control systems

- Discussion with clients management and staff
- Reading the clients system manuals where it exists.
- Reference to the existing system notes
- Observation of the procedures
- Use of the descriptive questionnaire
- Use of walk through tests.

## QUESTION 13

### November 2020 Question Three A

(i) Distinguish between “tests of control” and “substantive tests”. (4 marks)

- (ii) Describe six tests of control that an auditor might carry out in the course of his audit assignment(6 marks)

## **ANSWER**

### **i) Distinguish between test of control and substantive tests.**

Test of control is test of control to determine whether to place reliance on the systems. The auditor places reliance on the systems when they are strong.

Substantive test is the test of details of transactions and account balance to proof the validity the accuracy, completeness and reliability of information contained in the financial records. The kind of substantive procedures depends on the kind of the systems. if they are strong he will perform limited substantive and if they are weak perform extensive substantive testing.

### **ii) Test of control that an auditor might carry out in the course of his audit assignment**

1. Control over the wages system. To ensure that employees are only paid for the work done.
2. Controls over purchases and creditors – to ensure that goods are ordered under proper authority.
3. Controls over sales and debtors. To ensure that goods are only supplied to customers at good rating and customers orders are fulfilled.

4. Controls over fixed assets – This is to ensure that assets of the organization are safeguarded.
5. Controls over stock and work in progress. To ensure that all stock movements in and out of the stores are properly authorized and are recorded.
6. Controls over cash at bank and cheque payment to prevent and detect frauds and errors associated with the cash at bank.

## QUESTION 14

### November 2019 Question Five A

You have recently been appointed as the auditor of Sugo Ltd. for the financial year ended 30 June 2019

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### Required

Examine eight reasons why it is important for your audit firm to review Sugo Ltd's internal control system prior to undertaking verifications of transactions (8 marks)

### ANSWER

#### Reasons to review internal control system prior to undertaking verifications of transactions

1. Determine the reliability of the entity's financial reporting
2. Confirm the effectiveness and efficiency of its operations

3. Determine compliance with applicable laws and regulations
4. Examine complexity of the system
5. Undertake the level of reliance on the work of internal auditors
6. Examine amount of substantive tests
7. Access risk exposures

## **QUESTION 15**

### **May 2019 Question One**

The Finance Director of Usonga Ltd. has informed you that some fraud took place during the year in the company's payroll department. A number of fictitious employees were set up on the payroll and wages were paid into one bank account that belonged to two supervisors who have recently resigned. One of the supervisors had the sole responsibility for setting up new entrants in the payroll system, while the other supervisor processed and authorised bank transfer requests for wages and supplier payments.

The finance director has requested your audit firm for recommendations on how to improve controls in this area to prevent this type of fraud recurring. Usonga Ltd. has recently established a Human Resources department.

### **Required:**



- (a) Explain three types of control that Usonga Ltd. could put in place to reduce the risk of the above fraud recurring. For each control, describe how it would mitigate the risk. (12 marks)
- (b) Describe four procedures which you would perform to assess whether Usonga Ltd. is a going concern. (8 marks)

## ANSWER

### (a) Types of Control

Usonga Ltd. could implement the following controls to reduce the risk of payroll fraud recurring:

1. **Segregation of duties:** Separate the responsibilities for creating new employees in the payroll system, processing payroll payments, and authorizing bank transfers. This would prevent any one individual from having complete control over the payroll process.
2. **Dual authorization:** Require two signatures on all bank transfer requests for wages and supplier payments. This would provide an additional layer of oversight and make it more difficult for fraudulent transactions to be approved.
3. **Regular reconciliation of payroll data:** Reconcile payroll data with HR records on a regular basis to identify any discrepancies. This would help to

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identify fictitious employees or other irregularities in the payroll system.

4. **Review of payroll activity:** Regularly review payroll activity for unusual trends or patterns. This could include looking for spikes in payroll expenses, changes in employee pay rates, or unusual payments to specific bank accounts.
5. **Employee verification:** Verify the existence of new employees by checking their identification documents and contacting their references. This would help to ensure that fictitious employees are not added to the payroll system.
6. **Access controls:** Implement strong access controls to restrict access to payroll data and systems. This would help to prevent unauthorized individuals from accessing or modifying payroll records.
7. **Continuous monitoring:** Continuously monitor payroll systems for signs of fraud or abuse. This could include using data analytics to identify anomalies or using fraud detection software.
8. **Fraud awareness training:** Provide regular fraud awareness training to all employees. This would help employees to recognize the signs of fraud and report any suspicious activity.
9. **Open communication channels:** Encourage open communication and create a culture where employees

feel comfortable reporting suspicious activity without fear of retaliation.

10. **Prompt investigation of allegations:** Promptly investigate all allegations of fraud and take appropriate disciplinary action. This would send a strong message that fraud will not be tolerated.

### **(b) Procedures to Assess Going Concern**

The following procedures could be performed to assess whether Usonga Ltd. is a going concern:

1. **Review financial statements:** Review the company's financial statements to identify any trends that could indicate financial distress, such as declining profitability, increasing debt levels, or negative cash flows.
2. **Analyze industry conditions:** Analyze the company's industry to assess its overall health and identify any potential risks or challenges.
3. **Perform cash flow projections:** Prepare cash flow projections to forecast the company's ability to meet its financial obligations over the next 12 months or longer.
4. **Assess management's plans:** Evaluate management's plans to address any identified financial risks or challenges.

- 5. Consider external factors:** Consider any external factors that could affect the company's financial situation, such as economic conditions, regulatory changes, or legal disputes.

## **QUESTION 16**

### **May 2019 Question Three C**

As an audit assistant engaged in the audit of Samawati Ltd., you have been assigned the audit of non-current assets. The company has a substantial number of items of plant and machinery in its books of account.

#### **Required:**

- (i) Summarise two objectives of an internal control system over the company's non-current assets. (2 marks)
- (ii) Discuss three internal control procedures you would recommend to the company to safeguard its investments in non-current assets. (6 marks)

### **ANSWER**

#### **i) Two objectives of an internal control system over the company's non-current assets**

1. To safeguard the non-current assets of the firm
2. To ensure completeness and accuracy of records
3. To prevent and detect errors and frauds

**ii) Internal control procedures to be recommended to the company to safeguard its investments in non – current assets.**

1. Authorization and control – this should be done by responsible officers before employees‘ use or access non-current assets e.g. a vehicle.
2. Physical control i.e. limit accessibility of the company‘ s assets only to authorized persons
3. Personal controls- Ensure that personal are competent qualified and of integrity to be able to handle the non – current assets e.g. qualified to drive a vehicle.

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**QUESTION 17**

**May 2019 Question Five A**

Describe three components of an entity‘ s internal control system. (6 marks)

**ANSWER**

**Components of an entity‘ s internal control system.**

- (i) **Control environment** – which is the overall attitude, awareness and actions of directors, and management regarding the ICS and its importance in the entity.

- (ii) **Controls procedures** – refers to practices and procedures which management establishes to achieve the entities' specific objectives.
- (iii) **Risk assessment** – which involves identifying risks, analyzing them and finding a way to manage them.

## QUESTION 18

### May 2018 Question Four A

Explain the internal control objectives in each of the following cases relating to credit sales:

- (i) Credit approval. (2 marks)
- (ii) Receipt of sales order. (2 marks)
- (iii) Invoicing of goods dispatched. (2 marks)
- (iv) Entry into the debtor's ledger. (2 marks)

## ANSWER

**Explain the internal control objectives in each of the following cases relating to credits sales.**

1. **Credit approval** – process a business or an individual must go through to become eligible for a loan or to pay for goods and services over an extended period. It estimates credit worthiness
2. **Receipt of sales order** – confirm it's ready for execution and cash doesn't go to wrong pockets

**3. Invoicing of goods dispatched** – a polite way to ask for payments and evidence of goods released as per order

**4. Entry into the debtor's ledger** –posting was done to ledger and all amounts accounted for

## QUESTION 19

### November 2017 Question Two B

Citing a relevant example in each case, explain the following control procedures:

- (i) Segregation of duties. (3 marks)
- (ii) Authorisation and approval. (3 marks)
- (iii) Physical control (3 marks)

## ANSWER

### Control procedures

- i. **Segregation of duties** – Assigning the responsibility for recording transactions, authorising transactions and maintaining custody of assets to different employees to prevent the risk of fraud and error.
  - Warehouse staff should not be responsible for the inventory counts this would not detect if goods were being stolen by staff throughout the year.
  - Employees who authorise transactions should not be the ones who originate the transaction.

**ii. Authorisation and approval** - approval of transactions prior to being processed

- A manager signing off an employee's timesheet to confirm that the hours stated have been worked and can be paid. This should ensure the employee is not claiming for hours not worked.
- A manager signing a purchase order to confirm the order can be placed with the supplier. This should ensure that the goods are for a valid business

**iii. Physical controls** – to prevent unauthorised access

- Restrictions on access to assets such as keeping cash in a safe to prevent theft.
- Password restrictions to prevent unauthorised access to computer files.

## **QUESTION 20**

### **May 2017 Question One B**

Your firm has been appointed as the auditor of Fanaka Limited for the year ended 31 December 2016.

Explain why each of the following matters which you have noted during the audit should or should not be included in the letter to the management and those charged with governance.



- (i) The company upgraded the accounting system which upon testing you noted that the system did not carry over all the balances accurately. The differences in credit and debit balances considered separately were material to the financial statements but when offset against each other, they were immaterial. (2 marks)
- (ii) The new accounting system had a functionality that allows online approval of transactions by the various signatories but it had not been activated. The signatories continued to approve transactions manually and all the transactions sampled were duly approved. (2 marks)
- (iii) The company supplying stationery to Fanaka Limited was owned by the wife of the procurement manager. However, you confirmed that the appropriate procurement procedures were followed. (2 marks)
- (iv) The bank reconciliations were required to be signed by the preparer (Financial Accountant) and approved by the finance manager. You noted that 6 out of the 12 bank reconciliation statements were not signed by the Financial Accountant but had been approved by the Finance Manager. However, you confirmed that the reconciliation statements were accurate. (2 marks)

- (v) The company was involved in a restructuring exercise that resulted in the discharge of 25% of the staff. You got to learn that the affected staff had filed a suit in court to challenge their dismissal but the matter had not been heard. However, the management was keen to have the suit heard in order for them to present the issue for reporting in the next financial year when it would be possible to establish if there was a reputable contingent liability. (2 marks)

### **ANSWER**

#### **Auditor at Fanaka Limited for the year ended 31 December 2016**

1. Should be included – it's an indication of control lapse and management should be let aware
2. Should be included – it poses some inherent risks that doing approvals manually and to mitigate such, functionality should be activated
3. Should be included – it poses conflict of interest threats and can bring fraud issues.
4. Shouldn't be included – reconciliation statement is accurate and has already been approved.
5. Shouldn't be included – the case was at its first stages in court and management was committed to have the matter solved and reported

## QUESTION 21

### May 2017 Question Four A

Explain three factors to consider while designing an effective system of internal control. (6 marks)

### ANSWER

**Factors to consider when designing an effective internal control system**

#### 1. Control Environment

The control environment is the company's attitude toward internal controls. Known as "tone-at-the-top," the control environment is a necessary condition for effective internal control, because even the best-designed systems can be thwarted if management overrides the controls that are in place. Indicators of an effective control environment include having a whistleblower hotline or discipline policies that take violations of internal control seriously. Management override of controls or shortcuts are signs that the control environment may be deficient.

#### 2. Risk Assessment

Risk assessment is the identification of points in the company's business processes where internal control is important. Sometimes this is referred to as the "what could go wrong?" stage. In completing a formal risk assessment, a company would examine the business

cycles in great detail. This often includes flow-charting transactions cycles and describing business processes using narratives.

### **3. Information and Communication**

The information and communication component of internal control involves the process of gathering and disseminating information throughout the organization. Effective information and communication will include business systems that gather information related to internal control and management that uses this information to support employees in doing their job. It should also be apparent through employee handbooks and orientation processes that employees receive communications related to ongoing control efforts periodically throughout their employment.

### **4. Monitoring**

Monitoring is the ongoing feedback mechanism that ensures that internal control systems that are effectively designed remain that way. Effective monitoring includes ongoing testing of existing control activities and procedures to follow when business processes change. This also includes a process to communicate ineffective internal control

upward so that company management can understand when changes need to be made in a timely manner.

## **5. Control Activities**

Control activities are the specific activities performed by company personnel to ensure that internal control is effective. These activities are designed to address issues found in the company's risk assessment, then implemented and tested for operating effectiveness as part of the monitoring function. The results of this testing are then communicated to employees and management. It is important to remember that while control activities appear to be the hub of effective internal control, if the control environment is not conducive to effective internal control, even the most well-designed control could be ineffective.

## **QUESTION 22**

### **November 2016 Question Three A**

Examine five possible frauds in the area of purchases that an Internal Control System should be designed to prevent and detect. (10 marks)

## **ANSWER**

**Possible frauds in the area of purchases that an internal control system should be designed to prevent**

### **1. Insider fraud**

This refers to cases of fraud in which an insider's access to the organisation's assets and payments, or their ability to influence the outcomes of organisational processes, would be essential for committing the fraud.

### **2. Supplier fraud**

This includes any fraud for which it can be shown that steps were deliberately taken by the supplier to mislead the organisation with a view to obtaining payments that were not properly due.

### **3. Mandate fraud**

This is also variously described as 'change of bank account scams', 'payment diversion fraud' or 'supplier account takeover fraud'. This type of fraud occurs when someone gets an organisation to change a direct debit, standing order or bank transfer mandate, by purporting to be from a supplier they make regular payments to in order to benefit from unauthorised payments.

### **4. Publisher fraud**

This involves organisations being misled into erroneously paying for services such as advertising

space in publications, which are not required and may not be provided.

### **5. Altering signed cheques**

If there's no proper segregation of duties, amounts and names can be altered by employees of the entity

## **QUESTION 23**

### **November 2016 Question Five B**

Summarise four substantive procedures that you would perform in respect of bank overdraft (10 marks)

### **ANSWER**

#### **Substantive procedures in respect to bank overdraft**

1. Check additions bank reconciliation
2. Obtain bank confirmation letter
3. Bank balance to statement/bank confirmation
4. Cash book balance to cash book
5. Outstanding lodgements
6. Unpresented cheques review
7. Old cheques write back
8. Agree all balances on bank confirmation
9. Unusual items/window dressing
10. Security/legal right set-off

## **QUESTION 24**

**November 2016 Question Five C**

Highlight four matters that an auditor is likely to include in a management letter (4 Marks)

**ANSWER****Matters an auditor include in a management letter**

1. The auditor is responsible for forming and expressing an opinion on the financial statements that have been prepared by management with the oversight of those charged with governance
2. The audit of the financial statements does not relieve management or those charged with governance of their responsibilities
3. Significant difficulties, if any, encountered during the audit
4. A statement that the engagement team and others in the firm as appropriate, the firm and, when applicable, network firms have complied with relevant ethical requirements regarding independence
5. The related safeguards that have been applied to eliminate identified threats to independence or reduce them to an acceptable level.
6. The auditor shall communicate with those charged with governance an overview of the planned scope and timing of the audit.



7. The auditor's views about significant qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures.

## **QUESTION 25**

### **May 2016 Question Four C**

Shujaa Ltd. is in the process Of implementing a computer based accounting system. As their auditor, you have been requested to advise on the appropriate controls to be implemented to prevent unauthorised changes to the data tiles.

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#### **Required:**

Suggest six controls that the management of Shujaa Ltd. should consider. (12 marks)

### **ANSWER**

**Controls that the management of Shujaa Ltd should consider**

1. Physical controls – restrict access to data center
2. Use of passwords – access must be after use of right passwords which expire after some time
3. Access should be on need basis and restricted to their roles only

4. Computer files should be amended by senior employees after due process is followed
5. Clear screen policy – employees should be encouraged not to leave their screens unattended
6. Maintain a system generated log of events that keeps data files by date and logged users
7. Use of back-up systems

## **QUESTION 26**

### **November 2015 Question Four A**

In the context of International Standard on Auditing (ISA) 315-Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and its Environment, describe five components of an entity's internal control system. (10 marks)

## **ANSWER**

**Components of an entity's internal control system in the context of ISA 315 – identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and its environment**

### **1. The control environment**

The control environment includes the governance and management functions and the attitudes, awareness, and actions of those charged with governance and management concerning the entity's internal control

and its importance in the entity. The control environment sets the tone of an organization, influencing the control consciousness of its people.

## **2. The entity's risk assessment process**

The entity's risk assessment process forms the basis for how management determines the risks to be managed. If that process is appropriate to the circumstances, including the nature, size and complexity of the entity, it assists the auditor in identifying risks of material misstatement. Whether the entity's risk assessment process is appropriate to the circumstances is a matter of judgment

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## **3. The information system, including the related business processes, relevant to financial reporting, and communication**

The information system relevant to financial reporting objectives, which includes the accounting system, consists of the procedures and records designed and established to:

- Initiate, record, process, and report entity transactions (as well as events and conditions) and to maintain accountability for the related assets, liabilities, and equity;

- Resolve incorrect processing of transactions, for example, automated suspense files and procedures followed to clear suspense items out on a timely basis;
- Process and account for system overrides or bypasses to controls;
- Transfer information from transaction processing systems to the general ledger;
- Capture information relevant to financial reporting for events and conditions other than transactions, such as the depreciation and amortization of assets and changes in the recoverability of accounts receivables

#### **4. Control activities**

Control activities are the policies and procedures that help ensure that management directives are carried out. Control activities, whether within IT or manual systems, have various objectives and are applied at various organizational and functional levels.

Examples of specific control activities include those relating to the following:

- Authorization.
- Performance reviews.
- Information processing.

- Physical controls.
- Segregation of duties

## **5. Monitoring of controls.**

Monitoring of controls is a process to assess the effectiveness of internal control performance over time. It involves assessing the effectiveness of controls on a timely basis and taking necessary remedial actions. Management accomplishes monitoring of controls through ongoing activities, separate evaluations, or a combination of the two. Ongoing monitoring activities are often built into the normal recurring activities of an entity and include regular management and supervisory activities.

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## **QUESTION 27**

### **September 2015 Question Three A**

Smiling Windows Co. (SW) is a window cleaning company. Customers windows are cleaned monthly. The window cleaner then posts a stamped addressed envelope for payment through the customer's front door.

SW has a large number of receivables balances. These customers pay by cheque or cash which is received in the stamped addressed envelopes through the post. The

following procedures are applied to the cash received cycle:

1. A junior clerk from the accounts department opens the posts and if any cheques or cash have been sent, she records the receipts in the cash received log and then places all the monies into the locked small cash box.
2. The content of the cash box are counted each day and every few days these sums are banked by whichever member of the finance team is available.
3. The cashier records the details of the cash received log into the cash received day books and also updates the sales ledger.
4. Usually on a monthly basis the cashier performs bank reconciliation which he then files. If he misses a month then he catches this up in the following months' reconciliation.

**Required:**

- (i) Explain three deficiencies in the system. (3 marks)
- (ii) Suggest controls to address each of these deficiencies. (3 marks)

**ANSWER**

**Smiling Windows Company**

**i. Deficiencies in the system**

1. Lack of segregation of duties - junior clerk is opening the post, recording the payment and keeping the payment in cash box
2. Possibility of fraud or bad debts due to large number of receivables
3. No supervision – content of the cash box can be counted by any member of the finance team and banked

**ii. Controls to address each of the deficiencies**

1. Payments are made to the cashier's office and recorded by the purchase ledger team: segregation of duties prevents fraud which could result in loss for the company.
2. Payments be made via cheques only to prevent loss of cash via post
3. Cash should be banked by one person who is authorized
4. Only cashier should open cash box

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# TOPIC 9

## INTERNAL AUDIT FUNCTION

### QUESTION 1

#### April 2024 Question Five B

Describe **FOUR** types of audits that an internal auditor might conduct. (8 marks)

### ANSWER

#### Types of Audits Conducted by Internal Auditors

- **Compliance Audit:** A compliance audit is designed to assess whether the organization is adhering to local laws, regulations, and internal policies. Internal auditors review processes and procedures to ensure that the company is meeting its legal obligations and following industry standards. Compliance audits help identify areas where the organization may be at risk of non-compliance and provide recommendations for improvement.
- **Financial Audit:** Financial audits conducted by internal auditors focus on reviewing financial controls, processes, and reporting systems within the organization. The primary goal of a financial audit is to ensure the accuracy and reliability of financial information presented in the company's statements.



Internal auditors examine financial records, transactions, and controls to detect any discrepancies or potential fraud.

- **Operational Audit:** Operational audits assess the efficiency and effectiveness of an organization's operations. Internal auditors examine internal controls, processes, procedures, and systems to identify areas for improvement in productivity and performance. Operational audits help management understand how well resources are being utilized and where operational enhancements can be made.
- **Information Technology (IT) Audit:** IT audits focus on evaluating the organization's information technology infrastructure, security measures, data management practices, and IT controls. Internal auditors assess IT systems for vulnerabilities, compliance with regulations, data integrity, and disaster recovery preparedness. IT audits are crucial in today's digital landscape to safeguard against cyber threats and ensure data protection.
- **Environmental Audit:** Environmental audits are conducted to assess an organization's impact on the environment and compliance with environmental regulations. Internal auditors review practices related to resource consumption, waste management, emissions control, and sustainability initiatives.

Environmental audits help companies minimize their ecological footprint and promote environmentally responsible practices.

- **Performance Audit:** Performance audits focus on evaluating the outcomes achieved by specific programs or activities within an organization. Internal auditors assess whether objectives were met efficiently and effectively, often looking at key performance indicators (KPIs) and success metrics. Performance audits help management understand the results of their initiatives and make informed decisions for future strategies.

## QUESTION 2

### December 2023 Question One C

Biggy Furnitures Ltd. is a high-end office furniture and equipment company. The company has grown tremendously in its customer base in recent years and apart from selling furniture and equipment, it now has a maintenance and leasing department. The company has an elaborate internal audit function to enhance the internal control system. Biggy Furnitures Ltd. has appointed you as the external auditor and requested you to cooperate with the company internal auditor to keep the total audit costs down. The company would like you to rely on the work of the internal auditor.

The internal auditor provides the following services to the company:

- An audit of the operations of internal controls in the company's major functions (operations, customer support and information services).
- A review of the structure of internal controls in each major function every four years.
- An annual review of the effectiveness of measures put in place by the management to minimise the major risks facing the company.

In the year being audited, the company has had a major internal restructuring in its information services function. The internal auditor was closely involved in the preparation of the plan for restructuring and in the related post- implementation review.

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**Required:**

- (i) Explain the extent to which you will seek to rely on the work of the internal auditor in each of the operational areas of Biggy Furnitures Ltd. (6 marks)
- (ii) Describe **FOUR** circumstances in which it would not be possible for an external auditor to rely on the work of the internal auditor. (4 marks)

**ANSWER**

**(i) Extent of Reliance on Internal Auditor:**

**Areas where reliance can be sought:**

- **Customer Support:** The internal auditor's annual review of internal controls helps identify and assess weaknesses. You can **partially rely** on this review, conducting additional tests focused on significant control deficiencies identified.
- **Operations:** Similar to customer support, the internal audit's review provides a starting point. You can **partially rely** on it, focusing your testing on high-risk areas or significant control weaknesses highlighted by the internal audit.

**Areas with limited reliance:**

- **Information Services:** Due to the major restructuring and the internal auditor's involvement in the process, **reliance on their work is not recommended**. You need to perform independent and extensive audit procedures due to the inherent risk and potential conflict of interest.

**(ii) Circumstances not to rely on Internal Auditor:**

- **Lack of independence:** If the internal audit function reports to management directly or lacks sufficient autonomy, their objectivity can be compromised.
- **Insufficient competence:** If internal auditors lack the necessary qualifications or experience, their work might not be reliable.

- **Inadequate scope:** If the internal audit doesn't cover all relevant areas or procedures, relying on it wouldn't be sufficient.
- **Significant deficiencies:** If the internal audit identifies major weaknesses in internal controls, you need to perform your own tests to verify the extent of the risk.
- **Changes in the organization:** Significant changes, like the restructuring in information services, necessitate independent audit procedures due to the potential for unaddressed risks.

### QUESTION 3

#### August 2023 Question One B

In the recent past, many market regulators and organisations have adopted the risk-based audit model.

#### Required:

Explain **THREE** advantages and **TWO** disadvantages of the above model. (5 marks)

#### ANSWER

##### Advantages of Risk-Based Audit Model:

- **Enhanced Risk Identification:** One of the primary advantages of the risk-based audit model is its ability to focus on identifying and assessing risks that are

most relevant to the organization. By aligning audit procedures with the specific risks faced by the entity, auditors can provide more targeted and effective assurance.

- **Efficient Resource Allocation:** Another key benefit is the efficient allocation of audit resources. By prioritizing high-risk areas, the risk-based approach allows auditors to concentrate their efforts where they are most needed. This can lead to cost savings and a more streamlined audit process.
- **Improved Audit Quality:** The risk-based audit model often results in higher audit quality as it encourages auditors to tailor their procedures to address specific risks. This approach can lead to more meaningful insights and recommendations for management, ultimately enhancing the overall value of the audit process.
- **Better Communication with Stakeholders:** By focusing on key risks and providing insights into how these risks are managed, the risk-based audit model facilitates better communication with stakeholders. This transparency can help build trust and confidence in the organization's internal control environment.

## **Disadvantages of Risk-Based Audit Model:**

- **Subjectivity in Risk Assessment:** One of the challenges associated with the risk-based audit model is the inherent subjectivity involved in assessing risks. Different auditors may have varying interpretations of what constitutes a significant risk, which can lead to inconsistencies in the audit process.
- **Overlooking Emerging Risks:** In some cases, a narrow focus on known risks may result in overlooking emerging or unexpected risks that could have a significant impact on the organization. Auditors must strike a balance between addressing known risks and remaining vigilant for new threats.
- **Complexity and Implementation Challenges:** Implementing a risk-based audit model requires careful planning and coordination. Organizations may face challenges in developing robust risk assessment methodologies, training staff on the new approach, and integrating it effectively into existing audit processes.
- **Potential for Audit Scope Creep:** There is a risk that auditors, in their pursuit of addressing key risks, may expand the scope of the audit beyond what is necessary. This can lead to increased time and resource requirements, potentially diminishing the

efficiency gains initially sought through a risk-based approach.

## QUESTION 4

### August 2023 Question Two B

Kilimo Bora Ltd. is an agricultural company that mainly deals with the export of horticultural products. The company's Board of Directors would like the company to be listed in the Securities Exchange. Kilimo Bora Ltd. recently established an internal audit department to assist the board of directors in enhancing good corporate governance in the company. One of the resolutions was the creation of an audit committee of the board. The Managing Director understands the principles of good corporate governance with respect to internal audit. However, the other board members lack sufficient understanding of corporate governance and International Standards Auditing (ISA).

#### Required:

- (i) Discuss **FIVE** areas that the internal audit department could assist the board of directors of Kilimo Bora Ltd. in fulfilling their obligations under the principles of good corporate governance. (10 marks)



- (ii) Explain **FIVE** benefits that Kilimo Bora Ltd. would yield upon constituting an audit committee of the board. (5 marks)

## ANSWER

### **(i) How Internal Audit assists Kilimo Bora's Board in Good Governance:**

The internal audit department can significantly assist Kilimo Bora's board in fulfilling their obligations under good corporate governance principles in several areas:

#### **1. Risk Management:**

- **Identify and assess key risks:** The internal audit can help the board identify potential risks facing the company, such as financial reporting errors, fraud, operational inefficiencies, and regulatory compliance issues.
- **Evaluate internal controls:** They can assess the effectiveness of existing internal controls designed to mitigate these risks and recommend improvements where necessary.
- **Provide ongoing risk management guidance:** The internal audit can offer ongoing advice and support to the board on implementing and maintaining a robust risk management framework.

#### **2. Financial Reporting:**

- **Review financial statements:** The internal audit can review the company's financial statements for accuracy and completeness, identifying any potential errors or inconsistencies.
- **Assess internal controls over financial reporting:** They can evaluate the effectiveness of controls related to financial reporting processes, ensuring they are reliable and trustworthy.
- **Support the external audit:** The internal audit can provide support to the external auditor by performing preliminary work and sharing their understanding of the company's internal controls and risk profile.

### 3. Compliance:

- **Monitor compliance with laws and regulations:** The internal audit can help the board ensure the company complies with relevant laws, regulations, and industry standards.
- **Identify potential compliance risks:** They can identify areas where the company might be at risk of non-compliance and recommend corrective actions.
- **Support management in implementing compliance programs:** The internal audit can assist management in developing and implementing effective compliance programs.

### 4. Corporate Governance:

- **Promote ethical conduct:** The internal audit can promote ethical conduct within the company by identifying and reporting on any potential breaches of ethical codes or policies.
- **Enhance transparency and accountability:** They can help the board maintain transparency and accountability by providing independent and objective assessments of various company processes and controls.
- **Identify areas for improvement in governance practices:** The internal audit can recommend improvements to the board's governance practices, aligning them with best practices and regulatory requirements.

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## **5. Overall Performance Improvement:**

- **Evaluate operational efficiency and effectiveness:** The internal audit can assess the efficiency and effectiveness of various company operations, identifying areas for improvement and cost savings.
- **Assist with performance measurement:** They can help the board develop and implement effective performance measurement systems to track progress towards strategic objectives.
- **Provide insights for decision-making:** The internal audit can provide valuable insights to the board based

on their independent assessments, which can be used for informed decision-making.

**(ii) Benefits of an Audit Committee:**

Establishing an audit committee would benefit Kilimo Bora Ltd. in several ways:

- **Enhanced Financial Reporting Quality:** The committee would oversee the financial reporting process and ensure its accuracy and compliance with relevant accounting standards.
- **Improved Risk Management:** The committee would provide independent oversight of the company's risk management framework, ensuring its effectiveness in mitigating key risks faced by the organization.
- **Strengthened Internal Controls:** The committee would be responsible for overseeing the internal audit function and ensuring its effectiveness in assessing and improving internal controls.
- **Increased Investor Confidence:** The presence of a well-functioning audit committee would signal to investors that the company is committed to good corporate governance and transparency, which can increase investor confidence and potentially improve the company's access to capital.

- **Improved Communication and Collaboration:** The committee would facilitate communication and collaboration between the board, management, and the internal audit function, fostering a culture of transparency and accountability within the organization.

## QUESTION 5

### April 2023 Question Two B

During the annual audit evaluation exercise by the Internal Audit Committee of Limau Ltd., the Head of Internal Audit presented the internal audit plan for the upcoming financial year. He requested for additional members of staff to enhance the skill set in the audit team to match planned audit activities for the year. The committee, citing budgetary constraints of the company, resolved to adopt either co-sourcing or out-sourcing of the skills lacking in the current internal audit staff team.

#### **Required:**

- (i) Distinguish between “co-sourcing” and “out-sourcing” of the skills lacking in the current internal audit staff team. (4 marks)
- (ii) Outline **FOUR** matters that the Head of Internal Audit could ensure are included in the engagement

letter with the outsourced service provider of the internal audit activity. (4 marks)

- (iii) Evaluate **SIX** areas that the Head of Internal Audit might review to ensure that the external service provider possesses the necessary knowledge, skills and competencies to undertake the task. (6 marks)

## ANSWER

### (i) Distinguishing between Co-sourcing and Out-sourcing:

#### Out-sourcing:

- **Definition:** In outsourcing, the entire internal audit function or specific tasks are delegated to an **external service provider**, who becomes responsible for the execution of the audit activities.
- **Key characteristics:**
  - Minimal in-house control over the audit process.
  - Full reliance on the expertise and methodology of the external provider.
  - Potential cost savings compared to maintaining a full-time internal team.

#### Co-sourcing:

- **Definition:** In co-sourcing, **both internal audit staff and external resources** collaborate to complete the internal audit function.

- **Key characteristics:**

- Shared responsibility between the internal team and the external provider.
- Opportunity to upskill internal staff through collaboration with external professionals.
- More control over the audit process compared to full outsourcing.

- (ii) **Matters for the Engagement Letter:**

The engagement letter with the outsourced service provider should clearly define the:

- **Scope of Work:** Specific internal audit activities or areas to be handled by the provider.
- **Roles and Responsibilities:** Clear delineation of responsibilities between internal audit and the provider.
- **Reporting Lines:** Reporting structure and communication channels.
- **Timeline and Deliverables:** Expected timelines for completing audit tasks and delivering reports.
- **Confidentiality and Independence:** Assurance of data confidentiality and provider independence from management.
- **Fees and Payment Terms:** Agreed-upon fees and payment schedule.
- **Termination Clause:** Clear conditions for terminating the engagement by either party.

**(iii) Evaluating the External Service Provider:**

The Head of Internal Audit can assess the provider's suitability through:

- **Experience and Qualifications:** Reviewing the provider's track record in similar internal audit projects and relevant industry expertise.
- **Professional Certifications:** Ensuring the provider and their team members hold relevant professional certifications in internal auditing.
- **Methodology and Techniques:** Evaluating the provider's internal audit methodology and ensuring it aligns with professional standards and best practices.
- **References:** Checking references from previous clients to understand the provider's performance and client satisfaction.
- **Financial Stability:** Assessing the provider's financial stability to ensure they can fulfill the engagement.

**QUESTION 6****December 2022 Question Four C**

An internal audit function is an appraisal activity established or provided as a service to the entire entity.

**Required:**

With reference to the above statement, explain FIVE



functions that could be performed by the internal audit department. (10 marks)

## **ANSWER**

### **Main Functions of the Internal Audit Department**

The internal audit department performs various functions to provide assurance and consulting services to the organization. These functions include:

- 1. Risk Assessment and Management:** The internal audit department assesses and identifies potential risks within the organization's operations, processes, and systems. By understanding these risks, the department can help management develop strategies to mitigate and manage them effectively.
- 2. Compliance Audits:** Internal auditors ensure that the organization complies with relevant laws, regulations, and internal policies. They review the company's operations to verify adherence to legal requirements and industry standards.
- 3. Financial Audits:** One of the primary functions of the internal audit department is to review and assess the organization's financial records, transactions, and controls. This includes examining financial statements, verifying accuracy, and ensuring compliance with accounting standards.

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- 4. Operational Audits:** Internal auditors evaluate the efficiency and effectiveness of the organization's operations. They assess processes, procedures, and performance to identify areas for improvement and cost-saving opportunities.
- 5. Fraud Detection:** Internal auditors play a crucial role in detecting and preventing fraudulent activities within the organization. They conduct investigations and implement controls to minimize the risk of fraud.
- 6. Internal Controls Evaluation:** The internal audit department evaluates the adequacy of internal controls in place to safeguard assets, ensure accuracy of financial reporting, and promote operational efficiency.
- 7. Process Improvement Recommendations:** Based on their assessments, internal auditors provide recommendations for improving processes, enhancing controls, and optimizing overall organizational performance.
- 8. Information Technology Audits:** With the increasing reliance on technology, internal auditors also assess IT systems, data security measures, and IT governance to ensure that information assets are adequately protected.
- 9. Reporting and Communication:** The internal audit department communicates its findings and

recommendations to management and the board of directors through comprehensive reports. These reports provide valuable insights for decision-making and strategic planning.

- 10. Continuous Monitoring:** Internal auditors engage in ongoing monitoring activities to ensure that previously identified issues are addressed and that new risks are promptly identified and managed.

## QUESTION 7

### April 2022 Question One C

Evaluate three benefits of an audit committee in a not-for-profit organisation (NGO). (3 marks)

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## ANSWER

### Benefits of audit committee in a not for profit organization (NGO)

1. It provide actionable insights to oversee and improve financial practices and reporting
2. Audit committee creates and maintains effective anti-fraud programs
3. Audit committee enhances the internal audit function which contributes to their overall integrity.
4. Audit committee oversee the organizations external audit which ensures their independence

5. Audit committee strengthens the credibility with stakeholders by building confidence among them.

## QUESTION 8

### December 2021 Question Five C

Examine three mandates of internal auditors of a government entity as per the Public Financial Management Act. Regulations (2015). (3 marks)

## ANSWER

**Mandates of internal auditors of a government entity as a per the public financial management Act Regulations (2015)**

- i) Review and evaluate budgetary performance, financial management, transparency and accountability mechanisms and processes in national government entities including parliament and judiciary.
- ii) Have a duty to give reasonable assurance through the audit committee on the state of risk management, control and governance within the organization.
- iii) Review the effectiveness of the financial and non-financial performance management systems of the entities.

## QUESTION 9

### September 2021 Question Two D

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Describe four ways an internal audit function of a government entity would achieve independence in conduct of its functions in relation to the Internal Audit Guidelines for National Government Entities in your country. (4 marks)

## **ANSWER**

### **How an internal audit function of a government entity would achieve independence**

- The head of internal audit functions should report administratively to the accounting officer of the entity and functionally to the audit committee.
- An accounting officer shall ensure that the organizational structure of the internal audit function facilities
- The entity to accomplish its internal audit responsibilities.
- The internal audit with sufficient authority to promote independence
- Appropriate actions to be taken on internal audit recommendations
- Internal auditors to be independent of the programs operations and activities to be audited.
- The internal auditor shall have unrestricted direct and prompt access to all records, officials or

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personnel holding any contractual status and to all the premises and properties of the entity.

- The internal auditor shall respect the confidential nature of information with discretion and only in so far as it is relevant to reach an internal audit opinion.
- All internal audit activities shall remain free of influence by any element in the organization.
- Internal auditor shall have no direct operational responsibility or authority over any of the activities they review.

## QUESTION 10

### September 2021 Question Three C

Compare the responsibilities of the internal auditor and those of the external auditor in respect to detection of fraud. (4 marks)

## ANSWER

### Responsibilities for detection of fraud

#### External auditors

It is not responsibility of the external auditor to detect frauds with a client systems. This responsibility lies with the management and those charged with governance

ISA 240 states that the auditor shall maintain attitude of professional skepticism throughout the audit, recognizing

the possibility that a material misstatement to fraud could exist, notwithstanding the auditors past experience of the honesty and integrity of the entity's management and those charged with governance.

As part of the audit planning process, the audit team discuss the susceptibility the clients financial statements to material misstatement by fraud.

### **Internal auditors**

Management is responsible for detection and prevention of fraud. The management should take place a strong emphasis on fraud prevention and deterrence. Internal audit function can help in this regard since it aims to review the internal control systems of the company to ensure they are effective and efficient. Part of this review could involve detailed work to ensure that fraud was not occurring. The internal audit function could also be required to undertake special projects to investigate suspected instances of fraud.

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## **QUESTION 11**

### **May 2021 Question Four C**

In some organisations, the internal audit function is involved in the provision of a broad range of services that

can either be classified as assurance services or consulting services.

**Required:**

Discuss four distinguishing features between assurance services and consulting services provided by the internal audit function in an organisation. (8 marks)

**ANSWER****Distinguishing feature between assurance services and consulting services provided by the internal audit function**

- Internal auditor continuously examines and evaluates the adequacy and effectiveness of the ICS
- And the accounting system which serves as a consulting service.
- Internal auditors review the integrity and credibility of the financial statements by checking whether they have been prepared in line with identified financial reporting framework which is an assurance service
- Internal auditors review compliance with laws and regulations which act as a consulting service
- Management of risk- Internal auditors assist the management and those charged with governance by identifying factors that may cause the company to fail which is an assurance service



- Reviewing the operating activities such as carrying out the value for money audit which is an assurance service.

## QUESTION 12

### November 2019 Question One A

Lingo Ltd. was recently incorporated. It will be operating in the retail sector. The company has five directors and is currently in the process of setting-up in order to commence business on 1 January 2020. The directors of the company are considering outsourcing the internal audit function in the interim period instead of recruiting their own staff.

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### Required

Analyse six advantages of Lingo Ltd. of outsourcing the internal audit function (6 marks)

### ANSWER

#### Advantages of outsourcing internal audit function

1. **Staffing:** If Lingo Limited outsources, there will be no need to spend money in recruiting further staff as audit staff members will be provided
2. **Immediate solution:** since it will be operating in the retail section, then outsourcing can provide the number of staff needed straight away.

- 3. Skills and experience:** the audit firm is likely to have staff with specialist skills already available hence Lingo limited will get services required
- 4. Cost savings:** Outsourcing can be an efficient means to control the costs of internal audit as any associated costs such as training will be eliminated as audit company will train its own employees. In addition, the costs for the internal audit service will be agreed in advance. This will ensure that Lingo limited can budget accordingly.
- 5. Flexibility:** If the internal audit department is outsourced, Lingo limited will have total flexibility in its internal audit service. Staff can be requested to suit the company's workloads and requirements. This will ensure that, when required, extra staff is readily available for as long or short a period as needed.

## QUESTION 13

### May 2019 Question Five B ii

The internal audit function of an entity should have an internal audit charter approved by the Board to govern its activities:

#### Required:

As an internal auditor of Zed Ltd., discuss six matters contained in an internal audit charter of an entity.

(12 marks)

**ANSWER****Six matters contained in an internal audit charter of an entity**

1. Reviewing of accounting and internal control system
2. Risk assessment and mitigation measures
3. Financial and operating information of an entity
4. Procedures of appraising audit activities
5. Rules and regulations to be followed in preparation of financial statistics.
6. Procedures of gathering and obtaining audit evidence.

**QUESTION 14****May 2017 Question Two A**

Describe five roles you would expect the internal audit staff to perform. (10 marks)

**ANSWER****Roles of the internal auditor**

1. **Monitoring of internal control.** The internal audit function may be assigned specific responsibility for reviewing controls, monitoring their operation and recommending improvements thereto.
2. **Examination of financial and operating information.** The internal audit function may be assigned to review the means used to identify, measure, classify and

report financial and operating information, and to make specific inquiry into individual items, including detailed testing of transactions, balances and procedures.

3. **Review of operating activities.** The internal audit function may be assigned to review the economy, efficiency and effectiveness of operating activities, including non-financial activities of an entity.
4. **Review of compliance with laws and regulations.** The internal audit function may be assigned to review compliance with laws, regulations and other external requirements, and with management policies and directives and other internal requirements.
5. **Risk management.** The internal audit function may assist the organization by identifying and evaluating significant exposures to risk and contributing to the improvement of risk management and control systems.
6. **Governance.** The internal audit function may assess the governance process in its accomplishment of objectives on ethics and values, performance management and accountability, communicating risk and control information to appropriate areas of the organization and effectiveness of communication among those charged with governance, external and internal auditors, and management.

**QUESTION 15****May 2017 Question Three A iii**

Explain the following terms as used in auditing:

(iii) Audit committee. (2 marks)

**ANSWER**

**Audit committee** – A committee of the board of directors responsible for oversight of the financial reporting process, selection of the independent auditor, and receipt of audit results. The broad objectives of an audit committee are threefold:

- To increase public confidence in the credibility and objectivity of published financial information.
- To assist directors in meeting their financial reporting responsibilities.
- To strengthen the independent position of a company's external auditor

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# TOPIC 10

## OVERVIEW OF FORENSIC ACCOUNTING

### QUESTION 1

#### April 2024 Question Five C

The directors of Kiatu Ltd., a shoe manufacturing company, have been advised to employ the services of a forensic accountant. This is in an effort to stop rampant cases of theft in the company that involves employees in the production department and finance department. In a few cases, the company has had problems with insurance claims.

#### Required:

- (i) Explain the term “forensic accountant”. (2 marks)
- (ii) Advise the directors on **THREE** expected roles of the forensic accountant in the case of Kiatu Ltd.(6 marks)

#### ANSWER

- (i) **The term “forensic accountant”.**

A forensic accountant is a professional who utilizes accounting, auditing, and investigative skills to examine financial records, detect fraud, and provide litigation support. These specialized accountants are trained to uncover financial discrepancies, analyze

complex financial data, and present their findings in a court of law or other legal proceedings. They play a crucial role in investigating financial crimes, such as embezzlement, money laundering, and securities fraud.

(ii) **Expected roles of the forensic accountant.**

- **Fraud Detection:** The forensic accountant will conduct a thorough examination of the company's financial records to identify any irregularities or signs of fraudulent activities. This includes scrutinizing transactions, analyzing accounts, and tracing funds to uncover potential theft by employees in the production and finance departments.
- **Investigation:** The forensic accountant will investigate the suspected cases of theft within the company. This involves gathering evidence, interviewing employees, reviewing documents, and reconstructing financial transactions to determine the extent of the fraud and those involved.
- **Risk Assessment:** The forensic accountant will assess the company's internal controls and procedures to identify weaknesses that may have contributed to the theft incidents. They will provide recommendations on how to strengthen internal controls to prevent future occurrences of fraud.

- **Litigation Support:** In cases where legal action is taken against employees involved in fraudulent activities or in insurance claim disputes, the forensic accountant will provide expert witness testimony and assist in preparing financial evidence for court proceedings.
- **Insurance Claims Analysis:** The forensic accountant can also assist in evaluating insurance claims made by the company to ensure accuracy and compliance with policy terms. They can help in quantifying losses due to theft or other incidents covered by insurance.
- **Prevention Measures:** Apart from investigating ongoing cases of theft, the forensic accountant can advise on preventive measures to safeguard the company's assets and prevent future fraudulent activities. This may include implementing fraud detection systems, conducting regular audits, and providing staff training on fraud awareness.

## QUESTION 2

### December 2022 Question Two B

Describe FOUR characteristics of financial statement fraud. (8 marks)

## ANSWER



## **Key characteristics of financial statement fraud**

- 1. Concealment:** The primary objective of financial statement fraud is to conceal or disguise the true financial condition of an organization. This involves employing various tactics to hide financial difficulties, inflate profits, or manipulate the stock price. Fraudsters may manipulate accounting records, create false transactions, or omit significant disclosures to create a misleading picture of the organization's financial performance.
- 2. Materiality:** Financial statement fraud involves misstatements that are material or significant enough to influence the decisions of users of the financial statements. These misstatements can have a substantial impact on the perception of the organization's financial performance, solvency, or asset position. For instance, overstating profits or understating liabilities can significantly distort the organization's financial health.
- 3. Intent:** Financial statement fraud is not an unintentional error or oversight; it is a deliberate act of deception. The perpetrators of fraud intentionally misrepresent financial information to achieve personal gain or specific organizational objectives. They may be motivated by financial gain, such as personal enrichment or embezzlement, or by the

desire to maintain the organization's reputation or stock price.

**4. Complexity:** Financial statement fraud can be sophisticated and complex, involving intricate schemes, specialized knowledge, or the manipulation of data to conceal fraudulent activities. Fraudsters may employ complex accounting techniques, create fictitious transactions, or utilize sophisticated software to manipulate financial records.

**5. Management Override of Controls:** Financial statement fraud often involves overriding or circumventing internal controls to conceal the misrepresentations. This suggests a lack of effective corporate governance and oversight. Management may override internal controls to achieve their fraudulent objectives, such as approving unauthorized transactions or manipulating accounting records.

**6. Collusion:** Financial statement fraud is often perpetrated by multiple individuals working together, such as management, employees, or external parties. This collusion makes it more difficult to detect and investigate the fraud. Individuals may collude to create fraudulent transactions, manipulate accounting records, or obstruct the audit process.

**7. Pressure to Meet Financial Targets:** Organizations may face pressure from investors, analysts, or management to meet unrealistic financial targets.

This pressure can create an environment where individuals may be tempted to engage in fraudulent activities to achieve these targets. The pressure to meet or exceed financial expectations can lead to aggressive accounting practices or improper revenue recognition methods.

**8. Opportunity to Perpetrate Fraud:** The complexity of business transactions, the vastness of some organizations, and the limitations of internal controls can create opportunities for individuals to engage in fraudulent activities without immediate detection.

Fraudsters may exploit weaknesses in internal controls, utilize complex accounting procedures, or take advantage of the organization's size and complexity to conceal their actions.

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### QUESTION 3

#### December 2021 Question One D

Describe three types of corruption fraud that may be carried out in an entity. (3 marks)

#### ANSWER

##### Types of Corruption Fraud

1. **Conflict of interest fraud** - The fraudster exerts their influence to achieve a personal gain which detrimentally affects the company.
2. **Bribery** – is when money or something else of value is offered in order to influence a situation happens where money is demanded in order to secure particular outcome.
3. **Embezzlement**: This is the act of stealing money or other assets that have been entrusted to one's care. Embezzlement can occur in any organization, but it is most common in businesses and government agencies.

## QUESTION 4

### November 2020 Question Two C

Other than in fraud detection, suggest four other areas where forensic accounting and auditing might be applied.

(4 marks)

## ANSWER

**Other areas where forensic accounting and auditing might be applied**

- a) **Negligence claims** - Where the auditor has been accused of negligence a forensic accountant can be engaged to investigate work done and provide

evidence as to whether it meets the required standards.

- b) **Resolving disputes** - E.g. matrimonial disputes, shareholders disputes, partners disputes etc.
- c) **Insurance claims** – The quantity the financial loss suffered to determine amount of compensation
- d) **Matrimonial disputes** – where a divorcing a couple whose assets include shares in a company or partnership engage a forensic accountant to the value company so that settlement can be reached.

## QUESTION 5

### November 2020 Question Five C

Explain five reasons why directors might decide not to correct a material misstatement in the financial statements.

(5 marks)

### ANSWER

#### **Reasons why directors might decide not to correct material misstatement in the financial statements**

1. Unsupported or unauthorized balances or transactions. The directors may have unauthorized transactions which may make them not to be able to material misstatements.
2. Unwillingness by the directors to address deficiencies identified in the systems

3. Unusual discrepancies between entity's record and confirmation replies
4. Unavailability of other than photocopied documents when documents in their original form are expected to exist
5. Failure of figures to agree with the expectation such as those produced by Analytical Review Procedures.

## QUESTION 6

### May 2018 Question Five B

Explain the three components of the fraud triangle.

(6 marks)

### ANSWER

#### Components of fraud triangle

1. **Opportunity** – If one is talking about theft, there must be something to steal and a way to steal it. Anything of value is something to steal. Any weakness in a system—for example, lack of oversight—is a way to steal. Of the three elements of the Fraud Triangle, opportunity is often hard to spot, but fairly easy to control through organizational or procedural changes.
2. **Pressure / motivation** -Pressure in this case is another way of saying motivation. What is it in one's life that drives one to commit fraud? Pressure

sometimes involves personal situations that create a demand for more money; such situations might include vices like drug use or gambling or merely life events like a spouse losing a job. At other times, pressure arises from problems on the job; unrealistic performance targets may provide the motive to perpetrate fraud.

3. **Rationalization** - There are two aspects to rationalization: One, the fraudster must conclude that the gain to be realized from a fraudulent activity outweighs the possibility for detection. Two, the fraudster needs to justify the fraud. Justification can be related to job dissatisfaction or perceived entitlement, or a current intent to make the victim whole sometime in the future, or saving one's family, possessions or status. Rationalization is discernible by observation of the fraudster's comments or attitudes.

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## QUESTION 7

### November 2017 Question Five C

Discuss five stages that might be followed in carrying out a forensic audit. (10 marks)

## ANSWER

## **Stages that might be followed in carrying out a forensic audit**

### **Step 1 – Accepting the Investigation**

A forensic audit is always assigned to an independent firm/group of investigators in order to conduct an unbiased and truthful audit and investigation. Thus, when such a firm receives an invitation to conduct an audit, their first step is to determine whether or not they have the necessary tools, skills and expertise to go forward with such an investigation. They need to do an assessment of their own training and knowledge of fraud detection and legal framework. Only when they are satisfied with such considerations, can they go ahead and accept the investigation.

### **Step 2 – Planning the Investigation**

Planning the investigation is the key step in a forensic audit. The auditor(s) must carefully ascertain the goal of the audit so being conducted, and to carefully determine the procedure to achieve it, through the use of effective tools and techniques. Before planning the investigation, they should be clear on the final categories of the report

### **Step 3 – Gathering Evidence**



In forensic auditing specific procedures are carried out in order to produce evidence. Audit techniques and procedures are used to identify and to gather evidence to prove, for example, how long have fraudulent activities existed and carried out in the organization, and how it was conducted and concealed by the perpetrators. In order to continue, it is pertinent that the planning stage has been thoroughly understood by the investigating team, who are skilled in collecting the necessary evidence.

### **Step 4 – Reporting**

The reporting stage is the most obvious element in a forensic audit. After investigating and gathering evidence, the investigating team is expected to give a report of the findings of the investigation, and also the summary of the evidence and conclusion about the loss suffered due to the fraud. It should also include the plan of the fraud itself, and how it unfolded, basically the whole trail of events, and suggestions to prevent such fraud in the future.

### **Step 5 – Court Proceedings**

The last stage expands over those audits that lead to legal proceedings. Here the auditors will give litigation support as mentioned above. The auditors

are called to Court, and also included in the advocacy process. The understanding here is that they are called in because of their skill and expertise in commercial issues and their legal process. It is important that they lay down the facts and findings in an understandable and objective manner for everyone to comprehend so that the desired action can be taken up. They need to simplify the complex accounting processes and issues for others to understand the evidence and its implications.

## QUESTION 8

### November 2015 Question One A

- (i) Define the term —“forensic accounting”. (1 mark)
- (ii) Explain a situation in which forensic accounting might be applied. (1 mark)

## ANSWER

### Forensic accounting

#### i. Definition

Is a specialist branch of the profession carried out by forensic accountants encompassing forensic auditing and investigation.

Forensic engagements require a much broader range of skills than other typical non-audit engagements.

However, they still require the application of traditional auditing skills and techniques.

**ii. Situation in which forensic accounting is applied**

1. Fraud investigations
2. Insurance claim cases
3. Investigations touching on professional negligence
4. Investigations touching on personal injury claims

# TOPIC 11

## ERRORS, FRAUDS AND IRREGULARITIES

### QUESTION 1

#### April 2024 Question Two B

Summarise **FIVE** ways in which the management could detect and prevent errors and fraud. (5 marks)

#### ANSWER

- **Segregation of Duties:** One crucial method is to separate duties among employees to ensure that no single individual has control over all aspects of a transaction. For example, different individuals should be responsible for initiating transactions, recording them, and reconciling accounts.
- **Authorization Procedures:** Implement strict authorization procedures for financial transactions. This includes requiring approvals from supervisors or designated personnel for significant expenditures, purchases, payroll disbursements, and other financial activities.
- **Regular Reconciliation:** Regularly reconcile bank accounts, financial statements, invoices, and other financial records to detect any discrepancies or

irregularities promptly. This process should involve an independent person reviewing the reconciliations.

- **Monitoring Expenses:** Monitor expenses closely by examining expense reports, credit card charges, telephone bills, and other expenditures. Ensure that all expenses are legitimate and comply with organizational policies.
- **Internal Audits:** Conduct regular internal audits to assess the effectiveness of existing controls, identify potential weaknesses or vulnerabilities, and detect any signs of errors or fraudulent activities.
- **Employee Training:** Provide comprehensive training to employees on fraud awareness, ethical conduct, internal controls, and reporting mechanisms for suspected fraud or errors.
- **Whistleblower Hotline:** Establish a confidential whistleblower hotline or reporting mechanism where employees can report suspicious activities without fear of retaliation.
- **Use of Technology:** Utilize technology solutions such as data analytics tools to monitor transactions, flag anomalies or unusual patterns, and enhance overall fraud detection capabilities.
- **Physical Controls:** Implement physical controls such as restricting access to sensitive areas or documents,

securing assets like cash or inventory, and maintaining proper documentation for all transactions.

- **Regular Reviews:** Regularly review financial policies, procedures, and controls to ensure they are up-to-date with industry best practices and regulatory requirements.

## QUESTION 2

### August 2023 Question Two A

Brenda Tuli is the petty cashier for Bahari Ltd. On 20 July 2023, Brenda was short of cash for her travel for the week. She took out a small amount of cash from the petty cash at work to cover her fare. She had intended to return this amount at the end of the month, as soon as she was paid. Brenda had not obtained permission from her supervisor to pick the cash and she forgot to replace the cash when she received her salary.

#### Required:

- (i) Indicate the type of fraud that Brenda Tuli was involved in. (1 mark)
- (ii) Explain **FOUR** steps that Bahari Ltd. could take in order to improve controls over petty cash. (4 marks)

## ANSWER

**(i) Brenda Tuli was involved in misappropriation of funds, specifically petty cash embezzlement.**

Petty cash embezzlement occurs when an individual entrusted with managing petty cash diverts some of the funds for personal use without authorization. In this case, Brenda Tuli took cash from the petty cash fund without permission and did not return it as intended, which constitutes misappropriation of company funds.

**(ii) Bahari Ltd. can implement the following measures to enhance controls over petty cash:**

**1. Establish Clear Petty Cash Policies and**

**Procedures:** Bahari Ltd. should have well-defined policies outlining who is authorized to access petty cash, under what circumstances, and the process for replenishing the fund. Employees should be made aware of these policies through training and regular reminders.

**2. Segregation of Duties:** To prevent unauthorized access to petty cash, duties should be segregated among different employees. For example, one person should be responsible for disbursing funds, another for approving expenses, and a third for reconciling the petty cash account.

**3. Regular Reconciliation and Auditing:** Conducting regular reconciliations of the petty cash fund ensures

that all transactions are properly recorded and accounted for. Periodic audits by internal or external auditors can further verify the accuracy of petty cash transactions and detect any discrepancies.

4. **Limited Access and Documentation:** Limit access to the petty cash fund to only authorized personnel. Require receipts for all disbursements from petty cash to track expenses accurately. Implement a system where employees must provide valid reasons for accessing petty cash.
5. **Use of Vouchers:** Introduce a voucher system where employees requesting petty cash must fill out a form detailing the purpose of the expense, amount needed, and obtain approval before receiving funds. This helps in documenting transactions and ensuring accountability.
6. **Regular Training and Monitoring:** Provide training to employees on proper procedures for handling petty cash and emphasize the importance of integrity in financial matters. Implement monitoring mechanisms to detect any irregularities or suspicious activities related to petty cash.

## QUESTION 3

### April 2023 Question Three A



Contrast the responsibilities of the external auditors and internal auditors in detection of fraud. (4 marks)

## **ANSWER**

### **Contrast between External Auditors and Internal Auditors in Fraud Detection:**

While both external auditors and internal auditors play essential roles in detecting fraud within an organization, there are key differences in their responsibilities:

1. **Independence:** External auditors are independent third parties hired by the company's stakeholders, while internal auditors are employees of the organization. This independence gives external auditors a more objective perspective when assessing fraud risks.
2. **Scope of Work:** External auditors focus primarily on providing assurance on the accuracy of financial statements, including detecting material misstatements due to fraud. Internal auditors have a broader scope that includes assessing operational risks and controls beyond financial reporting.
3. **Reporting Lines:** External auditors report their findings directly to shareholders or regulatory bodies through their audit reports. Internal auditors typically report their findings to management and the board of

directors but may also escalate significant issues to external parties if necessary.

## QUESTION 4

### **April 2023 Question Four A**

An efficient wage system is important for most companies however, there is no single wage system which suits all companies. Some companies have a completely manual system, others a partially computerised system while others have a system which is completely computerised. Broadly speaking, a company with a completely manual system will use a clock and a clockcard system to record hours, prepare the payroll manually and conduct a physical wage payout. A fully computerised system may include biometric time keeping, processing of the payroll by the computer and payment of the amount owed to the employee by electronic funds transfer.

### **Required:**

In the context of the above information:

- (i) Explain the major advantage of biometric scanning technology over other methods of recording hours worked. (2 marks)
- (ii) Discuss whether the use of biometric scanning technology to record hours worked, might eliminate

the risk of fictitious employees being used to perpetrate wage fraud. (5 marks)

- (iii) Evaluate **FOUR** characteristics of an organisation which could influence the management in deciding on a suitable wage system. (8 marks)

## **ANSWER**

- (i) **Major advantage of biometric scanning technology over other methods of recording hours worked.**

Biometric scanning technology offers numerous advantages over other methods of recording hours worked. Its primary advantage is the high level of accuracy and reliability it provides. Unlike manual systems that are prone to human error, biometric systems use unique physical characteristics such as fingerprints, facial recognition, or iris scanning to accurately identify employees. This reduces the likelihood of payroll errors due to incorrect timekeeping, which can lead to significant cost savings for the company.

Another major advantage of biometric scanning technology is its ability to prevent time theft.

Traditional timekeeping methods such as clock cards or honor-based systems can be easily manipulated by employees who may exaggerate their hours worked.

Biometric systems, on the other hand, ensure that the person recording their hours is indeed the employee, thereby eliminating the possibility of time theft.

**(ii) Elimination of Fictitious Employees and Wage Fraud**

The use of biometric scanning technology can potentially eliminate the risk of fictitious employees being used to perpetrate wage fraud. By requiring employees to provide a unique physical characteristic to record their hours worked, biometric systems make it significantly more difficult for fraudulent activities to occur. Since each employee's biometric data is unique, it is nearly impossible for someone to impersonate another employee and claim wages they are not entitled to. This can help prevent wage fraud and ensure that companies are only paying for actual hours worked by legitimate employees.

However, it is important to note that while biometric systems can significantly reduce the risk of wage fraud, they cannot completely eliminate it.

Companies must still implement robust internal controls and regularly audit their payroll systems to ensure that all payments are accurate and authorized.

In conclusion, the use of biometric scanning technology offers numerous advantages over other

methods of recording hours worked, including increased accuracy, reliability, and prevention of time theft and wage fraud. While biometric systems are not foolproof, they can significantly reduce the risk of fraudulent activities and help ensure that companies are only paying for actual hours worked by legitimate employees.

**(iii) Factors Influencing the Choice of a Suitable Wage System:**

**1. Company Size:** The size of the organization can significantly impact the choice of a suitable wage system. Larger companies with a high volume of employees may find it more efficient to implement a computerized system due to the complexity and scale of their payroll processing requirements. On the other hand, smaller companies with fewer employees may opt for a manual system as it could be more cost-effective and easier to manage.

**2. Industry Type:** The nature of the industry in which the company operates can also influence the decision on the wage system. Industries that require strict adherence to labor regulations and complex payroll calculations, such as healthcare or finance, may benefit from a fully computerized system that can ensure accuracy and

compliance. In contrast, industries with more flexible working arrangements or seasonal fluctuations may find a manual system sufficient for their needs.

**3. Budget Constraints:** Financial considerations play a crucial role in determining the type of wage system a company can adopt. Implementing a fully computerized system can involve significant upfront costs for software, hardware, and training. Therefore, organizations with limited budgets may opt for a manual or partially computerized system initially and upgrade as they grow and expand.

**4. Technological Infrastructure:** The existing technological infrastructure of the company is another essential factor to consider. Companies with advanced IT systems and resources may find it easier to transition to a fully computerized wage system seamlessly. In contrast, organizations with limited technological capabilities may face challenges in implementing and maintaining a sophisticated payroll software.

**5. Employee Preferences:** Understanding the preferences and needs of employees is vital when choosing a wage system. Some employees may prefer the convenience of electronic funds transfer and automated processes, while others may feel more comfortable with traditional methods like physical paychecks. Taking into account employee feedback and

ensuring that the chosen system meets their expectations can contribute to higher satisfaction and engagement levels.

**6. Regulatory Compliance:** Compliance with labor laws and regulations is non-negotiable for any organization. A suitable wage system should have the capability to accurately calculate wages, deductions, and taxes in accordance with legal requirements. A fully computerized system can offer built-in compliance features that help mitigate the risk of errors and penalties associated with non-compliance.

**7. Scalability:** The potential for growth and scalability is an important consideration when selecting a wage system. Companies planning for expansion need a system that can accommodate an increasing number of employees and evolving payroll complexities without causing disruptions or inefficiencies. A scalable computerized system can provide the flexibility needed to support organizational growth effectively.

**8. Data Security:** Protecting sensitive employee information is paramount in today's digital age. A fully computerized wage system should have robust security measures in place to safeguard payroll data from unauthorized access, breaches, or cyber threats. Companies handling confidential employee details must prioritize data security when choosing a wage system.



**9. Integration with Other Systems:** The compatibility of the wage system with other HR or accounting systems used by the company is essential for seamless operations. An integrated approach allows for efficient data sharing, streamlined processes, and better decision-making across departments. Companies looking to enhance overall organizational efficiency may prefer a fully computerized wage system that integrates well with existing software platforms.

## QUESTION 5

### December 2022 Question One A

Distinguish between a “financial statement audit” and a “fraud examination”. (4 marks)

## ANSWER

**Distinguish between a “financial statement audit” and a “fraud examination”**

### Financial Statement Audit

A financial statement audit is an independent examination of an organization's financial statements to express an opinion on whether the statements are presented fairly, in all material respects, in accordance with the applicable financial reporting framework. The primary goal of a financial statement audit is to provide assurance to users



of the financial statements that they are reliable and free from material misstatements.

**Key characteristics of a financial statement audit:**

- Conducted by independent auditors with relevant professional qualifications and experience
- Follows a structured and standardized audit methodology
- Focused on gathering audit evidence to support the auditor's opinion on the financial statements
- Typically conducted annually or periodically as mandated by regulations or audit standards

**Fraud Examination**

A fraud examination is an investigation to determine whether fraud has occurred, to identify the perpetrators and their methods, and to quantify the losses. The primary goal of a fraud examination is to prevent, detect, and investigate fraudulent activities that could cause financial losses or reputational damage to the organization.

**Key characteristics of a fraud examination:**

- Conducted by fraud examiners with specialized training and expertise in fraud detection and investigation

- Employs investigative techniques, such as interviews, document analysis, and forensic accounting
- Focused on gathering evidence to prove or disprove the occurrence of fraud
- Typically initiated when there are suspicions of fraud or irregularities

### Comparative Table:

| Feature     | Financial Statement Audit                                  | Fraud Examination                                 |
|-------------|------------------------------------------------------------|---------------------------------------------------|
| Objective   | Express an opinion on the fairness of financial statements | Prevent, detect, and investigate fraud            |
| Scope       | Entire set of financial statements                         | Specific transactions or areas suspected of fraud |
| Methodology | Structured audit procedures                                | Investigative techniques and forensic accounting  |
| Timing      | Typically annual or periodic                               | Initiated when there are suspicions of fraud      |
| Outcome     | Audit opinion on financial statements                      | Fraud report with findings, recommendations, and  |

|  |  |                        |
|--|--|------------------------|
|  |  | potential legal action |
|--|--|------------------------|

## QUESTION 6

### December 2022 Question Five A

Your firm has been appointed as the new auditors for Jazamatt Ltd., a small-scale supermarket. The company has recently unearthed fraudulent activities perpetrated by employees leading to loss of credibility with its current and potential customers. The fraud led to loss of company revenue which was brought about by a weak internal control system (ICS). The company has requested your firm to support it to improve its operations in order to avoid another fraud in future.

- (i) Propose a five-step approach that you could adopt to identify deficiencies (ordinary and significant) including material weaknesses in the ICS of Jazamatt Ltd. (5 marks)
- (ii) Explain to the management of Jazamatt Ltd. THREE responsibilities that they bear regarding evaluating risks of fraud in the company. (3 marks)
- (iii) Highlight THREE types of revenue manipulations that the employees of Jazamatt Ltd. may have exploited in undertaking the fraud. (3 marks)

**ANSWER****(i) Proposed Five-Step Approach to Identify Deficiencies in ICS**

- 1. Understand Jazamatt Ltd.'s Business and Operations:** Gain a thorough understanding of Jazamatt Ltd.'s business model, operations, and revenue streams. This includes identifying key processes, transaction flows, and areas where fraud is most likely to occur.
- 2. Assess the Current ICS:** Evaluate the existing ICS framework, including policies, procedures, segregation of duties, and controls over access to assets and information. Identify any weaknesses or gaps in the controls that could be exploited for fraudulent activities.
- 3. Perform Risk Assessment:** Conduct a comprehensive risk assessment to identify, analyze, and prioritize fraud risks within the organization. This includes considering factors such as the nature of the business, employee motivation, and opportunities for concealment.
- 4. Conduct Fraud Investigations:** Investigate the recent fraudulent activities to understand the methods, techniques, and vulnerabilities that were exploited. This will provide valuable insights into potential areas of weakness in the ICS.

**5. Test the Effectiveness of Controls:** Perform tests of controls to assess the effectiveness of the existing controls in mitigating fraud risks. This may involve walkthroughs, observation, reperformance, and inquiry techniques.

**(ii) Responsibilities of Jazamatt Ltd. Management Regarding Evaluating Risks of Fraud**

**1. Establishing a strong internal control environment:**

2. Management should create an environment that promotes ethical behavior, discourages fraud, and supports effective internal controls.

**3. Assessing fraud risks:** Management should identify, assess, and prioritize fraud risks throughout the organization. This includes considering factors such as the company's business model, employee demographics, and industry trends.

**4. Implementing effective internal controls:**

Management should implement and maintain effective internal controls to prevent and detect fraud. This includes controls over financial reporting, asset safeguarding, and operations.

**5. Monitoring and reporting fraud:** Management should establish a process for monitoring fraud risks

and reporting suspected fraud to the appropriate authorities.

- 6. Taking corrective action:** Management should promptly investigate and take appropriate corrective action when fraud is detected.

**(iii) Types of revenue manipulations that the employees of Jazamatt Ltd. may have exploited in undertaking the fraud**

Common revenue manipulation schemes include:

1. **Overstating sales:** This involves recording fictitious sales to inflate revenue figures. This could be done by creating false invoices or entering fake sales into the accounting system.
2. **Understating returns or discounts:** This involves failing to record or understating customer returns or discounts to artificially increase revenue.
3. **Using improper revenue recognition:** This involves recognizing revenue prematurely or improperly, such as recognizing revenue before goods or services are delivered or before all performance obligations have been met.
4. **Thefts of cash or merchandise:** This involves stealing cash or merchandise from the store and not recording the theft as a loss. This could involve

skimming cash from sales or stealing inventory for personal use or resale.

- 5. Billing for services not rendered:** This involves billing customers for services that were not actually performed. This could be done by creating fake invoices or by inflating the number of hours worked on a project.

## QUESTION 7

### August 2022 Question Three A

Your client, ADL Ltd., deals in selling and distribution of office stationery. The company's Director mentions to you the possibility of the occurrence of errors and frauds within the company. The company also recently introduced an internal audit unit in its organisation structure to enhance the company's internal control framework.

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### Required:

- (i) Explain four ways in which the internal audit unit could assist the management in managing the risk of errors and frauds. (4 marks)
- (ii) Using relevant examples, describe three components of the Fraud Triangle that the management of ADL Ltd. should be aware of. (6 marks)

- (iii) Analyse six audit procedures that you would undertake in response to errors and fraud related to inventory quantities reported in the company's financial statements. (6 marks)

## ANSWER

### (i) How the Internal Audit Unit Can Assist

#### **Management in Managing Errors and Frauds:**

- 1. Risk Assessment and Identification:** The internal audit unit can conduct regular risk assessments to identify areas where errors and frauds are more likely to occur. This can help management prioritize control measures and allocate resources effectively.
- 2. Control Evaluation and Design:** The internal audit unit can evaluate the effectiveness of existing internal controls and recommend improvements where necessary. They can also assist in designing new controls to address specific risks identified.
- 3. Continuous Monitoring and Reporting:** The internal audit unit can continuously monitor internal controls and provide regular reports to management on their effectiveness. This can help management identify and address potential issues promptly.
- 4. Fraud Awareness and Training:** The internal audit unit can conduct fraud awareness training for employees to help them recognize and report



fraudulent activities. They can also develop fraud policies and procedures to guide employee behavior.

**(ii) Three Components of the Fraud Triangle:**

- 1. Opportunity:** The presence of opportunity is a key factor in fraud. This includes weaknesses in internal controls, lack of supervision, and access to sensitive information. Example: An employee with access to company finances and a weak password policy could easily misappropriate funds without detection.
- 2. Pressure:** Financial pressure can motivate individuals to commit fraud to cover debts, maintain a lifestyle, or meet ambitious targets. Example: A salesperson under pressure to meet sales quotas might resort to falsifying sales figures to inflate their performance.
- 3. Rationalization:** Fraudsters often rationalize their actions by justifying them as necessary or deserved. They may convince themselves that they are not harming the company or that they are only taking what they deserve. Example: A manager might overstate expenses to inflate their budget or secure a larger bonus, justifying their actions as necessary to maintain their department's operations.

**(iii) Audit Procedures for Inventory Quantities:**

---

**1. Review Inventory Control Policies and**

**Procedures:** Assess the adequacy of inventory control policies and procedures, including purchasing, receiving, warehousing, and disposal processes.

**2. Observe Physical Inventory Taking:** Observe the physical inventory count process to ensure proper documentation, segregation of duties, and accuracy of counts.**3. Analyze Inventory Turnover Ratios:** Compare the inventory turnover ratio to industry benchmarks and investigate any significant deviations.**4. Perform Cutoff Tests:** Verify that inventory transactions are properly recorded within the appropriate accounting period.**5. Reconcile Inventory Records:** Reconcile the company's inventory records to the physical inventory count and investigate any discrepancies.**6. Analyze Inventory Aging Reports:** Review inventory aging reports to identify slow-moving or obsolete inventory that may be at risk of obsolescence or misappropriation.**QUESTION 8****April 2022 Question Three B**

Antony and Associates (CPA) have been the auditors of Bidii Logistics Company for the last two years. This company deals with shipping and movement of cargo within the East Africa region. The lead auditor in his review of the financial statements suspected fraudulent financial reporting overriding controls and immediately convened a meeting with his engagement team.

**Required:**

- (i) Explain the meaning of "fraudulent financial reporting". (2 marks)
- (ii) Discuss six techniques that the management of Bidii Logistics Company might have deployed to achieve fraudulent financial reporting. (6 marks)
- (iii) Evaluate the importance of the meeting convened by the lead auditor with the engagement team. (2 marks)

**ANSWER**

**i) Fraudulent financial reporting** – it involves manipulation falsification or alteration of accounting records misrepresentation or omission of events in financial statement, intentional misapplication of accounting policies and recording transactions without substance.

**ii) Techniques that management might have deployed to achieve fraudulent financial reporting**

- Recording fictitious journal entries
- Inappropriately adjusting assumptions
- Omitting, advancing or delaying recognitions events and transactions
- Concealing facts that could have a material impact on the financial statements
- Altering records and terms relating to significant unusual transactions
- Omission of an event in the financial statements

**iii) Importance of the meeting by the lead auditor with the engagement team.**

- To ensure that significant matters have been raised for consideration
- To check whether the team is competent to continue with audit
- To check whether there is a need to change the audit approach.
- To identify matters for further consultation
- To inform them on the need to comply with ethical requirements.

**QUESTION 9**

**September 2021 Question Four**

You are the training officer in Makau and Associates.

You have been appointed to give an induction course to a group of new trainee audit staff regarding fraud and error.

A number of the trainees have indicated that they are aware that the issue of fraud and error is something they will likely face in the completion of their assignments, but are unsure as to what their responsibilities and those of the directors are in this area.

You have decided to provide them with explanatory notes with regard to audit matters pertaining to fraud and error.

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**Required:**

Prepare notes for the trainee audit staff undertaking your induction course which:

- (a) Differentiate the responsibilities of the auditor and those of the directors with respect to fraud. (4 marks)
- (b) Discuss five steps which the auditor might take when fraud is suspected. (10 marks)
- (c) Evaluate three limitations of audit procedures in detecting fraud and error. (6 marks)

**ANSWER****a) Auditors and the detectors responsibilities in respect of fraud**

| <b>Auditors</b>       | <b>Directors</b>          |
|-----------------------|---------------------------|
| No prevention role    | Active role in prevention |
| Deterrent role        | Preventive                |
| Detection is based on | Detection                 |

**b) Steps to be taken by the auditors when fraud is suspected**

1. Determine the facts before indicating suspicious to anyone outside the audit team
2. Obtain evidence
3. Speak to appropriate level of management as long you feel they have no involvement of fraud (without accusation- Just present the facts). Once in agreement, the auditor must tactfully ensure that officials understand the possibilities wherein in the facts.
4. Reach a clear understanding with the client as the extent of further special investigation work necessary and whether the client or the auditor is expected to carry it out.

**5. Determine if it will internally affect the fs and in turn the implications for your support.**

- **If error** - Request management to make necessary amendments
- **If fraud** – notify directors in writing of their need to report the issue , if they are subsequently unable to provide evidence that the matter has been reported then the auditor should report the matter themselves.

### **c) Limitations of audit procedures in detecting fraud and fraud**

- Fraud and error may go undetected no matter how well planned and performed the audit.
- The objective of audit of financial statements is to enable auditor to express an opinion as to whether the financial statements are prepared in all material aspects, in accordance with applicable financial reporting framework not detect fraud
- Collusion with the management
- Auditor issues an opinion not guaranteed because evidence is persuasive only of their truth and fair.
- Auditors test on sample basis
- Fraud is also generally concealed, so harder to detect

- Lack of qualified staff.

## **QUESTION 10**

### **May 2021 Question Four B**

Explain two ways in which fraudulent financial reporting might be carried out in an organisation. (4 marks)

### **ANSWER**

**Ways in which fraudulent financial reporting might be carried out in an organization.**

- Manipulation, falsification or alteration of documents and records
- Suppression or omission of the effects of a transaction from the record
- Recording transaction without substance i.e. fictitious transactions
- Deliberate misapplication of accounting policies and practices.

## **QUESTION 11**

### **November 2020 Question Two B**

Describe five motives for fraudulent financial reporting by the management of an entity. (5 marks)

### **ANSWER**

**Motives for fraudulent financial reporting by the management of an entity**



- 1) **Domination of a single individual.** This is where the top level management is dominated by a single person.
- 2) **Large amount of cash at hand.** This arise where there more unbanked cash within the entity.
- 3) **Significant related party transaction.** These are transaction committed by related parties in the organization.
- 4) **Complex organization structure that doesn't seem to be justified.** The organization of the entity may be complex and cannot be justified.
- 5) **Deficiencies in the controls** – if the internal controls are weak it motivates for more frauds in the organization.

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## QUESTION 12

### May 2019 Question Four B

Citing two examples, explain the term —fraudulent financial reporting”. (3marks)

### ANSWER

**Explain the term fraudulent financial reporting and give two examples**

This is the intentional misrepresentation of a firms financial statement with the aim of giving investors a

mistaken impression about the firms operating performance and profitability. e.g.

- Recording expenses as fixed assets to increase earnings
- Accelerating the timing of recording sales revenue to increase reported sales and earnings

### **QUESTION 13**

#### **May 2018 Question One A**

Describe the procedures you would apply in detecting fraud where employees create non-existent suppliers and then divert payments to themselves. (8 marks)

#### **ANSWER**

**Procedures to help detect fraud where employees create non-existent suppliers and then divert payments to themselves**

1. Circularize suppliers
2. Obtain bank statement and confirm receipts of the payments
3. Check goods received notes and compare with goods in store.
4. Confirm if there is segregation of duties within staff
5. Reconcile the total of the individual payables accounts with the control account.
6. Look at life style of the employees

# TOPIC 12

## AUDIT EVIDENCE

### QUESTION 1

#### April 2024 Question Four B

International Standard on Auditing (ISA) 500 - Audit Evidence, requires the auditor to obtain sufficient and appropriate audit evidence to support his conclusions on test of transactions and therefore his report. Appropriate evidence is reliable evidence.

#### Required:

Describe **FIVE** factors that could influence the reliability of audit evidence. (5 marks)

#### ANSWER

##### Factors Influencing the Reliability of Audit Evidence

- **Nature of Evidence:** The type of evidence obtained can significantly impact its reliability. For example, documentary evidence such as contracts and invoices is generally more reliable than oral representations.
- **Source of Evidence:** The source from which the evidence is obtained also plays a crucial role in determining its reliability. Evidence obtained directly

from a third party is usually more reliable than evidence provided by the auditee.

- **Independence of Provider:** The independence of the provider of the evidence is essential for its reliability. Evidence provided by a party with a vested interest in the outcome may be less reliable.
- **Effectiveness of Internal Controls:** Strong internal controls within an organization can enhance the reliability of audit evidence. If controls are weak or ineffective, the evidence derived from them may be less reliable.
- **Timeliness:** The timeliness of the evidence is another factor affecting its reliability. Fresh evidence is generally more reliable than aged evidence that may have been altered or become outdated.
- **Consistency and Corroboration:** Consistent evidence that is supported by other sources or documentation tends to be more reliable. Corroborative evidence strengthens the overall reliability of the audit findings.
- **Objectivity and Neutrality:** Objective and neutral evidence, free from bias or manipulation, is inherently more reliable compared to subjective or biased information.
- **Complexity and Technicality:** Highly technical or complex evidence may be subject to

misinterpretation, reducing its reliability unless it is adequately understood and verified by experts.

- **Physical Form:** The physical form of evidence can impact its reliability. For instance, electronic records may be more easily manipulated compared to physical documents like signed contracts.
- **Chain of Custody:** Maintaining a clear chain of custody for physical evidence ensures its integrity and reliability throughout the audit process.

## QUESTION 2

### December 2023 Question One B

- (i) In the context of International Standard on Auditing (ISA 530) – Audit Sampling, use relevant examples to distinguish between “sampling risk” and “non-sampling risk”, citing relevant examples. (4 marks)
- (ii) Highlight **THREE** strategies that an audit firm may use to control non-sampling risk. (3 marks)

## ANSWER

- (i) **Sampling Risk vs. Non-Sampling Risk in ISA 530:**

### 1. Sampling Risk:

Sampling risk arises from drawing conclusions based on a sample rather than the entire

population. It's the risk that the sample's characteristics might not accurately reflect the whole population.

Example:

An auditor decides to test 100 invoices out of 10,000 for purchase transactions.

- **Scenario 1 (Sampling Risk):**

The selected 100 invoices happen to be error-free, even though the entire population has a 1% error rate. This leads the auditor to conclude incorrectly that the controls for purchase transactions are effective, increasing the risk of undetected material misstatement.

- **Scenario 2 (Sampling Risk):**

The 100 invoices contain 2 errors, but they are not identified by the auditor due to insufficient sample size or inappropriate selection method. This again leads to an incorrect conclusion about control effectiveness and increases the risk of undetected material misstatement.

## **2. Non-Sampling Risk:**

Non-sampling risk refers to the risk of reaching an incorrect audit conclusion due to \*\*factors unrelated to the sample selection process. These

factors involve flaws in the design or performance of audit procedures themselves.

**Example:**

- The auditor uses a statistically valid sample size and appropriate selection method. However, they misinterpret a key control procedure during testing, leading them to believe it is effective when it is not. This flawed understanding increases the risk of undetected material misstatement, even though the sample itself was reliable.
- Another example is using inappropriate audit procedures. The auditor may test the wrong controls or perform procedures incorrectly, leading to misconclusions about internal controls and the risk of material misstatement even though the sample selection was sound.

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**(ii) Strategies that an audit firm may use to control non-sampling risk.**

**1. Understanding the Client's Business**

**Environment:** Audit firms need to have a deep understanding of the client's business environment, including its industry, operations,

and internal controls. By gaining insights into these aspects, auditors can better assess the risks associated with the client's business and tailor their audit procedures accordingly.

**2. Effective Communication with Management:**

Clear and open communication with the client's management is essential for managing non-sampling risk. Auditors should maintain a transparent dialogue with management to understand their perspectives, address any concerns, and obtain relevant information to support the audit process.

**3. Risk Assessment Procedures:** Conducting robust risk assessment procedures is key to identifying and addressing potential sources of non-sampling risk. Audit firms need to assess the inherent risks in the client's operations, evaluate the effectiveness of internal controls, and determine the likelihood of material misstatements in the financial statements.

**4. Use of Analytical Procedures:** Analytical procedures involve comparing financial data against expectations based on industry trends, historical performance, or other benchmarks. By utilizing analytical procedures effectively, audit



firms can detect anomalies or inconsistencies that may indicate potential non-sampling risks.

5. **Thorough Documentation:** Comprehensive documentation of audit evidence, procedures performed, and conclusions reached is essential for mitigating non-sampling risk. Well-documented audit files provide a clear trail of the audit work conducted and support the auditor's judgments and decisions.
6. **Rotation of Audit Team Members:** Rotating audit team members periodically can help prevent complacency and reduce the risk of overlooking important details or issues during the audit process. Fresh perspectives brought by new team members can enhance the overall quality of the audit engagement.
7. **Quality Control Reviews:** Regular quality control reviews within the audit firm can help identify areas for improvement in audit processes and ensure adherence to professional standards. These reviews serve as a mechanism for monitoring and enhancing audit quality while minimizing non-sampling risk.

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### QUESTION 3

#### December 2023 Question Three B

- (i) Define the term —third-party certificate.” (2 marks)
- (ii) Describe **FOUR** factors that might influence an auditor’s acceptance of third-party certificate as audit evidence. (8 marks)

## **ANSWER**

### **(i) Term “third-party certificate.”**

A third-party certificate, also known as a certificate of conformity or a certificate of analysis, is a document issued by an independent, external organization (the third party) to confirm that a product, service, or process meets specific requirements, standards, or specifications. This certification serves as evidence that the product or service has undergone a thorough evaluation and has been found to be compliant with the relevant standards. Third-party certificates are widely used in various industries, such as manufacturing, food and beverage, healthcare, and information technology, to ensure quality, safety, and reliability.

### **(ii) Factors that might influence an auditor’s acceptance of third-party certificate as audit evidence.**

1. **Reputation and credibility of the third party:** The auditor will consider the reputation

and credibility of the issuing third party when evaluating the certificate. A well-established and reputable third party with a history of providing reliable certifications will likely have their certificates more readily accepted.

2. **Scope and coverage of the certificate:** The auditor will examine the scope and coverage of the certificate to ensure that it is relevant to the specific audit being conducted. A certificate that covers a broader range of requirements or specifications may be more likely to be accepted as audit evidence.
3. **Comprehensiveness of the evaluation process:** The auditor will assess the thoroughness of the evaluation process conducted by the third party. A more comprehensive and rigorous evaluation process will increase the likelihood of the certificate being accepted as audit evidence.
4. **Transparency of the certification process:** The auditor will review the transparency of the certification process, including the accessibility of documentation, the availability of audit trails, and the openness of the third party in sharing information. A more

transparent process will generally lead to greater acceptance of the certificate.

5. **Alignment with audit objectives:** The auditor will ensure that the third-party certificate is consistent with the audit objectives and is relevant to the specific audit being conducted. If the certificate aligns well with the audit objectives, it is more likely to be accepted as audit evidence.
6. **Up-to-date and relevant standards:** The auditor will verify that the third-party certificate is based on up-to-date and relevant standards. Certificates that are outdated or not in line with current industry standards may be less likely to be accepted as audit evidence.

## QUESTION 4

### December 2023 Question Five A

The auditor is of the opinion that the audit evidence obtained is not sufficient to support the audit opinion after carrying out tests of control.

#### Required:

Recommend **THREE** actions that the auditor could take in response to the above problem. (3 marks)

**ANSWER**

1. **Perform Additional Procedures:** The auditor can choose to perform additional procedures to gather more evidence. This may involve conducting further tests of controls, substantive procedures, or obtaining additional documentation from the client.
2. **Request Management Representation:** The auditor can request management to provide written representations regarding certain assertions or information related to the financial statements. This can help corroborate existing evidence and provide additional assurance.
3. **Engage External Experts:** In cases where specialized knowledge is required, the auditor may engage external experts to assist in evaluating specific areas of concern. These experts can provide independent opinions and insights that can enhance the audit process.
4. **Extend the Audit Scope:** If the auditor believes that the current audit scope is insufficient, they may consider extending the scope to cover additional areas or transactions that were not initially included in the audit plan.
5. **Consultation with Supervisors or Experts:** The auditor can seek guidance and consultation from senior members within the audit firm or external

experts to determine the best course of action in response to the lack of sufficient evidence.

**6. Consider Impact on Audit Opinion:** It is crucial for the auditor to assess the implications of insufficient evidence on the overall audit opinion. If there are material uncertainties or limitations due to inadequate evidence, this should be clearly communicated in the audit report.

**7. Document Findings and Decisions:** Throughout this process, it is essential for the auditor to meticulously document their findings, decisions, and rationale behind any actions taken in response to insufficient evidence. This documentation serves as a critical record of due diligence and professional judgment.

## QUESTION 5

### August 2023 Question Four A

Auditors use assertions in assessing risks by considering potential misstatements that might occur and thus designing audit procedures that respond to each risk.

#### Required:

Evaluate **FIVE** financial statement assertions about classes of transactions and events for the period ended.

(10 marks)

### ANSWER

## **Assertions about Classes of Transactions**

### **Completeness Assertion**

The completeness assertion ensures that all transactions that should have been recorded during the period were indeed recorded. For example, all sales made during the period should be recorded in the company's sales ledger. An auditor may test this assertion by selecting a sample of transactions and confirming their accuracy with third-party sources.

### **Existence Assertion**

The existence assertion ensures that the transactions recorded in the financial statements actually occurred. For example, if a company reports a sale of goods, the auditor would need to verify that the sale actually took place and that the goods were delivered to the customer. An auditor may test this assertion by inspecting physical inventories, reviewing contracts, or examining third-party documentation.

### **Rights and Obligations Assertion**

The rights and obligations assertion ensures that the company has the right to record the transactions and that it has fulfilled its obligations related to those transactions. For example, if a company reports a purchase of goods, the auditor would need to verify that the company has title

to those goods and that it has paid for them in accordance with the terms of the purchase agreement. An auditor may test this assertion by reviewing contracts, invoices, and other supporting documentation.

### **Valuation Assertion**

The valuation assertion ensures that the transactions are recorded at the correct amounts. For example, if a company reports a sale of goods for \$1000, the auditor would need to verify that the sale was recorded at the correct price and that any applicable discounts or allowances were properly accounted for. An auditor may test this assertion by reviewing pricing policies, comparing sales prices to market prices, or testing calculations used in determining transaction values.

### **Classification Assertion**

The classification assertion ensures that transactions are recorded in the appropriate account classifications. For example, if a company reports a sale of goods, the auditor would need to verify that the sale was recorded in the correct revenue account and that any related expenses were properly accounted for in expense accounts. An auditor may test this assertion by reviewing chart of accounts, accounting policies, and other classification criteria.



## QUESTION 6

### April 2023 Question Three C

International Standard of Auditing (ISA) 315 - Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and its Environment, requires the auditor to perform risk assessment procedures which include obtaining an understanding of the entity and its environment, including its internal controls.

#### Required:

- (i) Citing a relevant example, explain the term “negative assurance”. (3 marks)
- (ii) Explain the purpose of undertaking risk assessment procedures. (2 marks)
- (iii) Outline **THREE** sources of audit evidence that the auditor can use as part of risk assessment procedures. (3 marks)

## ANSWER

### (i) Term “negative assurance”.

**Negative assurance** is a concept in auditing where the auditor provides a statement that nothing has come to their attention that would indicate any material misstatements in the financial statements. It is a form of limited assurance, as opposed to positive assurance

where the auditor explicitly states that the financial statements are free from material misstatements.

**(ii) Purpose of undertaking risk assessment procedures.**

The purpose of undertaking risk assessment procedures in accordance with ISA 315 is to enable the auditor to identify and assess the risks of material misstatement in the financial statements. By obtaining an understanding of the entity and its environment, including its internal controls, the auditor can better plan and perform the audit effectively. Risk assessment procedures help the auditor to focus on areas where there is a higher likelihood of material misstatement, thereby enhancing the overall quality of the audit process.

**(iii) Sources of audit evidence that the auditor can use as part of risk assessment procedures.**

There are various **sources** of audit evidence that auditors can use as part of risk assessment procedures:

1. **Internal Controls Documentation:** Reviewing internal control documentation such as policies, procedures manuals, and organizational charts can provide insights into how the entity operates and help identify key control activities.

**2. Interviews with Management and Key Personnel:**

Direct discussions with management and key personnel can provide valuable information about the entity's operations, industry trends, significant transactions, and potential risks.

**3. Analytical Procedures:** Analytical procedures involve comparing financial information over time or against industry benchmarks to identify unusual fluctuations or trends that may indicate potential risks of material misstatement.**4. Previous Audit Findings:** Reviewing previous audit findings and management responses can highlight areas of concern or recurring issues that may pose risks in the current period.**5. Industry Research and Publications:** External sources such as industry reports, regulatory filings, and market data can provide context on industry-specific risks and trends that may impact the entity's financial statements.**6. Observation and Inspection:** Observing operations firsthand and inspecting physical assets or documents can provide direct evidence about how transactions are processed and recorded within the entity.

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**QUESTION 7****April 2023 Question Five A and B**

- (a) You are a senior auditor in the audit of Baisiko Ltd., a company which manufactures bicycles. The company has numerous suppliers due to the fact that its products are manufactured from a wide range of materials and components. During discussion with the audit team about further audit procedures to be adopted, one of the trainees raised the question of whether it would be appropriate to circularise creditors to confirm their balances.

Although your firm had not carried this procedure in prior years, you decide to perform a positive circularisation on creditors listed as at 31 December 2022.

**Required:**

Evaluate **FIVE** creditors that you could include in the sample of creditors to be positively circularised.

(10 marks)

- (b) You have been auditing Fruitly Ltd., a large national grocery store chain for the first time. Towards the end of the audit, your audit manager demands that you seek a letter of representation from the management of the client company. Upon follow up with the client's management, you are informed that

the management is unwilling to sign the letter of representation.

**Required:**

- (i) Examine the need for seeking a letter of representation from the client's management. (2 marks)
- (ii) Outline **SIX** matters that you expect the management of Fruity Ltd. to include in the letter of representation. (6 marks)
- (iii) Highlight **TWO** reasons for the management to be unwilling to sign a letter of representation. (2 marks)

**ANSWER**

**(a) Baisiko Ltd.**

Here are some key points to evaluate creditors for inclusion in the sample:

- **Materiality:** Start by considering the materiality of the creditor balances. Focus on creditors with significant balances that could have a material impact on the financial statements if misstated. High-value creditors are more critical to confirm to provide assurance on the accuracy of the financial statements.

- **Age of Balance:** Prioritize older creditor balances as they may have a higher risk of errors or discrepancies. Aged balances could indicate potential issues such as disputes, delays in payment, or even potential fraud. Confirming these balances can help validate their accuracy and existence.
- **Unusual Transactions:** Identify creditors with unusual transactions or activities during the year. Transactions that deviate from normal patterns or terms may indicate risks such as fraud, errors, or irregularities. Circularising these creditors can help verify the legitimacy of these transactions.
- **Complex Transactions:** Consider creditors involved in complex transactions or arrangements with the company. Suppliers with non-standard terms, consignment arrangements, or related-party transactions warrant closer scrutiny to ensure proper recognition and disclosure in the financial statements.
- **Historical Issues:** Review past audit findings or issues related to specific creditors. If there have been previous discrepancies or concerns regarding certain suppliers, it may be prudent to include them in the sample for confirmation to address any recurring issues.

- **Significant Fluctuations:** Look for creditors with significant fluctuations in balances compared to prior periods. Large variations could signal errors, omissions, or changes in business relationships that need validation through confirmation procedures.
- **Vendor Risk Assessment:** Conduct a risk assessment of vendors based on factors such as financial stability, reputation, industry trends, and reliance on key suppliers. Prioritize confirming balances with vendors posing higher inherent risks to the company's operations and financial reporting.

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## **(b) Fruitly Ltd**

### **(i) Need for a Letter of Representation**

**Increases Audit Assurance:** The letter serves as written confirmation from management about the accuracy and completeness of information provided during the audit. This strengthens the auditor's confidence in the financial statements being presented fairly.

**Shifts Responsibility:** By signing the letter, management acknowledges their responsibility for the financial statements and their adherence

to relevant accounting principles. This helps mitigate potential legal repercussions if misstatements are discovered later.

**Improves Communication:** The process of preparing and negotiating the letter fosters open communication between the auditor and management, clarifying expectations and ensuring transparency throughout the audit.

## **(ii) Expected Representations in the Letter**

**Financial Statements:** Confirmation that the financial statements are presented fairly in accordance with applicable accounting standards and that they reflect all material transactions and adjustments.

**Accounting Records:** Assurance that the books and records accurately represent the financial position and activity of the company, and that they are maintained in accordance with sound internal controls.

**Transactions and Events:** Representation that all material transactions and subsequent events occurring up to the date of the letter have been properly recorded and disclosed in the financial statements.



**Contingencies:** Disclosure of all known and potential liabilities and contingencies, including any legal claims, environmental issues, or other uncertainties.

**Internal Controls:** Acknowledgment that management is responsible for establishing and maintaining an adequate system of internal controls over financial reporting.

### **(iii) Reasons for Management's Unwillingness**

- **Disagreements with Audit Findings:** Management may disagree with certain audit adjustments or interpretations of accounting standards, making them apprehensive about signing a letter that seemingly confirms the information they dispute.
- **Fear of Liability:** The letter can be perceived as an admission of responsibility, potentially increasing management's exposure to legal or financial repercussions if misstatements are discovered in the future.
- **Lack of Understanding:** Management may not fully understand the implications of the letter and its significance in the audit process.

- **Time Constraints:** Negotiating and finalizing the letter can be time-consuming, especially if there are disagreements or complexities involved.

## QUESTION 8

### December 2022 Question One B

Smart Elec Ltd., one of your new clients, deals in locally manufactured and imported electric appliances targeting middle level income customers. Your Audit Manager has assigned you the task of verification of inventory which includes attending a stock take at your client's premises.

#### Required:

Discuss SIX possible challenges that you are likely to encounter in the verification of inventory. (6 marks)

### ANSWER

**Possible challenges you might encounter during the inventory verification:**

#### 1. Inventory Accuracy and Counting Errors:

Inaccuracies in inventory records or miscounts during physical stock-taking can lead to discrepancies between recorded and actual inventory levels. Human error, improper labeling, or misplaced items might contribute to counting errors.

2. **Mixed Inventory Types:** Dealing with a combination of locally manufactured and imported electric appliances might introduce complexity in categorizing and valuing inventory. Differentiating between various products, models, or versions could be challenging during the count.
3. **Storage and Organization Issues:** Poor organization or crowded storage areas can hinder the visibility and accessibility of inventory. Items might be stored in multiple locations, leading to difficulties in ensuring complete coverage during the stock take.
4. **Obsolete or Slow-Moving Inventory:** Identifying and valuing obsolete or slow-moving inventory accurately poses a challenge. Such items might not be easily identifiable during the physical count, leading to potential overvaluation if not properly recognized.
5. **Seasonal Variations and Demand Fluctuations:** Products with seasonal demand or fluctuating market trends might pose challenges during verification. Assessing the accuracy of inventory levels for seasonal items can be difficult, leading to inaccurate valuations.
6. **Fraud and Theft Risks:** The risk of inventory theft or fraud exists, especially in a business dealing with high-value items. Ensuring proper controls during the

stock take to prevent pilferage or unauthorized removal of inventory is crucial.

## **QUESTION 9**

### **December 2022 Question Five B**

Mahindi Safi Millers operates a milling business that procures maize supplies from local farmers as a community empowerment program. The company also recruits permanent and casual labour from the community who are paid salaries and wages respectively. You have been requested to undertake a verification of salaries and wages paid in the month of November 2022.

#### **Required:**

Propose NINE procedures that you would review to verify the salaries and wages before proceeding to verify payments made on account of salaries and wages.

(9 marks)

## **ANSWER**

### **Procedures to Verify Salaries and Wages**

- 1. Review of Payroll Records:** The first procedure would involve reviewing the payroll records for all employees, including permanent and casual labor. This would include examining the hours worked, rates of pay, and any overtime or bonuses paid.

2. **Verification of Employment Contracts:** It is essential to verify the employment contracts of all staff to ensure that the salaries and wages being paid align with the terms and conditions outlined in the contracts.
3. **Confirmation of Attendance and Work Hours:** Verifying attendance records and work hours for both permanent and casual labor is crucial to ensure that the payments are accurate and based on actual work performed.
4. **Compliance with Labor Laws:** Ensuring compliance with labor laws regarding minimum wage, overtime, and other relevant regulations is an important step in verifying the salaries and wages paid.
5. **Review of Tax Deductions:** Examining tax deductions from the salaries and wages to ensure compliance with tax regulations and proper withholding amounts.
6. **Verification of Bonuses or Incentives:** If any bonuses or incentives were paid during the month, it is important to verify the eligibility criteria and ensure that these payments were made accurately.
7. **Cross-Checking with Personnel Records:** Cross-checking the payroll data with personnel records to

ensure that all employees listed are active and eligible for payment.

**8. Confirmation of Payment Authorization:**

Verifying that the salaries and wages were authorized for payment by the appropriate personnel within the company.

**9. Audit Trail of Changes:** Reviewing any changes made to salaries or wages during the month to ensure that they were properly authorized and documented.

## **QUESTION 10**

### **August 2022 Question One C**

Your audit team is planning to adopt statistical sampling to analyse big data from a client operating in the banking sector.

#### **Required:**

Highlight six factors that the audit team should consider before adopting statistical sampling. (6 marks)

### **ANSWER**

- 1. Appropriateness of Technique:** The number of clients to whom a technique as appropriate. This is because the set up and training costs are high.
- 2. Population Size:** Whether large population exists. Statistics is the science of large numbers. Where

organizations are small with few transactions, a statistical approach is inappropriate.

3. **Presence of Adequate Controls:** Adequate controls must exist where they are no controls it is impossible to use statistical techniques because of increased statistical errors
4. **Homogeneity of Population:** The population being tested must be homogenous
5. **Identifiable Sampling Units:** Sampling units must be separately identifiable and therefore sequential numbering is essential.
6. **Expectation of Error:** The expectation of the error must be low i.e. the internal control system of organization must be reliable.
7. **Risk Factors:** The risk factors. The level of risk allowable and the degree of risk attached to an item being tested must be considered.

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## QUESTION 11

### August 2022 Question Four A

Your firm is in the process of auditing a client dealing in actuarial services. Your audit team lacks sufficient expertise in the field of actuarial services. In this regard, the Audit Manager has recommended engaging a management expert as a source of audit evidence. You are

also required to maintain the working papers for the exercise.

**Required:**

Analyse six factors that would affect the reliability of the information produced by the management expert.

(6 marks)

**ANSWER**

**Factors Affecting Reliability of Information Produced by the Management Expert:**

1. **Expertise and Experience:** The management expert should have a deep understanding of actuarial principles, methodologies, and practices. They should also possess relevant experience in the specific area of actuarial services being audited.
2. **Objectivity and Independence:** The management expert should be independent of the client and free from any conflicts of interest that could influence their judgment. They should not have any prior or ongoing relationships with the client that could compromise their objectivity.
3. **Reputational Standing:** The management expert should have a strong reputation within the actuarial profession. They should be recognized for their



expertise, integrity, and adherence to professional standards.

4. **Methodology and Documentation:** The management expert should follow a well-defined and transparent methodology for their work. They should clearly document their assumptions, calculations, and conclusions to ensure that their work can be reviewed and verified.
5. **Consistency with Other Evidence:** The information provided by the management expert should be consistent with other audit evidence gathered, such as internal records, external data, and analytical procedures. Inconsistencies may indicate potential errors or biases.
6. **Reasonableness and Plausibility:** The expert's findings should be reasonable, logical, and plausible within the context of the client's business and industry. Evaluate the expert's assumptions, calculations, and conclusions for reasonableness and consistency with industry standards.

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## QUESTION 12

### April 2022 Question Two A

Analyse three categories of financial statements assertions that may be used by the auditor to test the financial statements of a company. (9 marks)

## **ANSWER**

**Categories of financial statements assertions that may be used by the auditor to test the financial statement of a company**

- 1. Assertions about account balances** – These are assertions used by the auditor to test the statement of financial position items e.g. existence, rights and obligations, valuations and completeness.
- 2. Assertions about the classes of transactions and events** - These are assertions used by the auditor to test the income statement items. They include occurrence, completeness, accuracy, classifications and cut off.
- 3. Assertions about presentation and disclosure** - These are assertions that are used to test whether transactions and events which should be disclosed are appropriately disclosed in the financial statements. They include occurrence completeness and disclosure, accuracy and valuation and classifications and understandability.

## **QUESTION 13**

### **April 2022 Question Two B**

International Standards on Auditing 500, "Audit Evidence", permits an auditor to place reliance on

information produced by a management's expert in the course of audit work.

**Required:**

Propose six factors that the auditor might consider before relying on the work of a management's expert. (6 marks)

**ANSWER**

**Factors that an auditor might consider before relying on the work of management expert**

1. ***Independence and objective of the expert.*** The auditor should consider whether the expert has any significant shareholding
2. ***Competence and experience of the expert*** in providing similar services.
3. ***Qualification of the expert*** – i.e. academic and professional qualification, membership to the relevant professional body etc.
4. ***The scope of work of the expert*** – i.e. The assumptions made term of reference etc.
5. ***The depth of coverage*** i.e. method used and if they consistency with the industry practice.
6. ***Results obtained*** – i.e. whether the results obtained are consistent with their audit procedures, whether the result is consistent with the general expectation.

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**QUESTION 14****April 2022 Question Five C**

The financial accountant of Afiah Ltd. has provided you with the following breakdown of movements on the company's non-current assets for the year ended 31 December 2021:

|                                       | <b>Land<br/>Sh."0<br/>00"</b> | <b>Equipm<br/>ent<br/>Sh."000<br/>"</b> | <b>Total<br/>Sh."00<br/>0"</b> |
|---------------------------------------|-------------------------------|-----------------------------------------|--------------------------------|
| <b>Cost</b>                           |                               |                                         |                                |
| <b>Balance as at 1 January 2021</b>   | 320,000                       | 240,000                                 | 560,000                        |
| <b>Additions</b>                      | -                             | 32,000                                  | 32,000                         |
| <b>Revaluation</b>                    | 48,000                        | -                                       | 48,000                         |
| <b>Disposals</b>                      |                               | (12,000)                                | (12,000)                       |
| <b>Balance as at 31 December 2021</b> | 368,000                       | 260,000                                 | 628,000                        |
| <b>Accumulated depreciation</b>       |                               |                                         |                                |
| <b>Balance as at 1 January 2021</b>   | -                             | 144,000                                 | 144,000                        |
| <b>Charge for the year</b>            | -                             | 54,400                                  | 54,400                         |
| <b>Disposals</b>                      | -                             | (10,000)                                | (10,000)                       |
| <b>Balance as at 31 December</b>      | -                             | 188,400                                 | 188,400                        |

|                                |               |               |               |
|--------------------------------|---------------|---------------|---------------|
| <b>2021</b>                    |               |               | <b>0</b>      |
| <b>Net book value as at 31</b> | <b>368,00</b> | <b>71,600</b> | <b>439,60</b> |
| <b>December 2021</b>           | <b>0</b>      |               | <b>0</b>      |

**Additional information:**

1. The company does not depreciate its land and you, the company's auditor, agree that this is appropriate.
2. Depreciation on equipment is charged at the rate of 20% per annum with full year's depreciation charged in the year of acquisition and none in the year of disposal.
3. This is the company's first time revaluing the land. The revaluation was carried out by a reputable firm of auctioneers and valuers, known to you.
4. The company maintains a non-current asset register.

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**Required:**

- (i) Describe four internal controls that could be present regarding the non-current asset register before you could place reliance on it as a source of audit evidence.  
(4 marks)
- (ii) Assess four audit work procedures that could be carried out on the depreciation charge and on the accumulated depreciation balance.  
(4 marks)
- (iii) Explain four tests that could be carried out to audit both the additions and the disposals of the equipment.  
(4 marks)

**ANSWER**

**i) Internal controls present regarding the non-current asset register before you could place reliance on it as a source of audit evidence**

- Annual capital expenditure budget should be prepared and submitted to the board for approval
- Disposal of fixed assets must be authorized by board.
- Appropriate insurance cover should be taken for all fixed assets.
- A procurement committee should be established to deal with procurement of fixed assets.

**ii) Audit work procedures to be carried out on the depreciation charge and accumulated depreciation balance.**

- Discuss depreciation policy with the management
- Recalculate depreciation to see whether it agrees with what presented on the financial statements.
- Review the board minutes to understand the discussions on depreciation previously.
- Review the prior's years financial statements

**iii) Test that could be carried out to audit both additions and disposals of equipment.**

- Review the board minutes for authorization of any disposal or acquisition of the equipment
- For additions, check to confirm criteria for recognition
- Check to ensure that they have been recorded.
- For disposals, consider the market price of similar assets or equipment.

## QUESTION 15

### January 2022 Question Two C

Describe six substantive tests that you would undertake over accounts receivable. (6 marks)

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### ANSWER

#### Substantive tests that you undertaker over account receivable

- Perform a positive trade receivables circulation of a representative sample year end balances, for non replies send a remind letter to follow up.
- Review the after date cash receipts and follow through to pre year end receivables balances calculate average receivable days and compare this to prior year, investigate any significant differences.
- Review the reconciliation of sales ledger control account to the sales ledger list of balances.

- Select a sample of GDN before and just after the year and follow through to sales invoice to ensure they are recorded in the correct accounting period.
- Review the sales ledger for any credit balances and discuss with the management whether these should be classified as payables
- Select a sample of year end receivable balances and agree back to valid supporting documentation of GDN and sales order to ensure existence.

## QUESTION 16

### December 2021 Question One A

International Standard on Auditing (ISA) 500 -Audit Evidence" requires auditors to obtain sufficient, appropriate audit evidence.

Discuss five matters that auditors should consider with regard to the reliability of audit evidence. (5 marks)

## ANSWER

### Matters that auditors should consider with regard to the reliability of audit evidence

1. Evidence from independent sources outside the firm is more reliable than evidence from within the client entity.
2. Documentary evidence is more reliable than oral evidence



3. Evidence from original documents is more reliable than evidence from photocopies
4. Evidence about past events is more reliable than evidence about future events.
5. Evidence from best informed sources is more reliable.

## QUESTION 17

### December 2021 Pilot Papers Question Four A

State the key financial statement assertions applicable to tangible non-current assets. (4 marks)

### ANSWER

#### Key financial assertions applicable to tangible non current assets

1. **Existence** – the assets liabilities and equity elements included in the financial statement actually existed as at the balance sheet date.
2. **Rights and obligations** - The entity holds a right and control to the assets and liability are the obligation of the firm.
3. **Valuation** - All liabilities, assets and equity elements are included in the financial statement at appropriate amounts and measured as per identified financial reporting framework.

4. **Completeness** – assets liabilities and equity elements that should have been included in the financial statement have been included.

## QUESTION 18

### December 2021 Pilot Papers Question Four B

List the audit procedures which auditors should carry out when planning a company's physical inventory count.

(5 marks)

## ANSWER

**Audit procedures which auditors should carry when planning a company's physical inventory count**

- Review the previous years working papers to understand the clients ICS and accounting systems over stocks.
- Discuss with the management about any changes
- Determine the nature and type of the stock
- Obtain a copy of the stock take instructions
- Arrange to attend the stock take planning meeting

## QUESTION 19

### September 2021 Question One B

Examine six factors that might be taken into consideration by an audit engagement team when determining the extent of tests of control to be performed.

(6 marks)

**ANSWER****Factors to be considered when determining the extent of test controls to be performed**

- Frequency of the performance of the control by the entity during the period.
- Length of time during the audit period that the engagement team is relying on the effectiveness of the control.
- Relevance and reliability of the audit evidence to be sustained in supporting that the control prevents or detects and corrects material misstatement at the assertions level.
- Extent to which audit evidence is obtained from tests of control related to assertion
- Extent to which engagement team plans to rely on the operating effectiveness of the control in the assessment of audit risk.
- Expected deviation from the control.

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**QUESTION 20****May 2021 Question Three A**

Discuss five factors which an auditor should consider when assessing the quality of audit evidence. (10 marks)

**ANSWER**

## **Factors which an audit should consider when assessing the quality of the audit evidence**

1. Risk of material misstatement
2. Materiality of the item under the examination
3. Auditors knowledge and experience of the business
4. The nature of the accounting and internal control system
5. The size of the population being tested.
6. The reliability of the evidence obtained
7. The size of the sample selected to test

### **QUESTION 21**

#### **May 2021 Question Three B**

You are the audit manager of Bev and Associates. You are currently briefing your team on the approach to adopt in gathering evidence for the audit of inventory. During the briefing, you inform the team that the auditor is required to design audit procedures to obtain sufficient and appropriate evidence from the sample items. You also explain to the team that the auditor could rely on the work of internal auditors.

#### **Required:**

In accordance with International Standard on Auditing (ISA) 610, Using the Work of Internal Auditors, describe

five factors Bev and Associates should consider when placing reliance on the work of internal auditors.

(10 marks)

## **ANSWER**

### **Factors to consider before placing reliance on the work of internal auditors**

#### **1. Competence of the internal audit function**

The auditor should assess the competence of the internal audit function to perform the work that is being relied upon. This assessment should include an evaluation of the internal audit function's:

- Accounting and auditing expertise
- Professional experience
- Professional qualifications
- Resources and facilities

#### **2. Objectivity of the internal audit function**

The auditor should assess whether the internal audit function is objective in its work. This means that the internal audit function should be free from any conflicts of interest that could impair its judgment. The auditor should consider the following factors when assessing the objectivity of the internal audit function:

- The reporting relationship of the internal audit function

- The extent to which the internal audit function is involved in management activities
- The extent to which the internal audit function is subject to performance pressures

### **3. Scope of the internal audit function's work**

The auditor should assess whether the scope of the internal audit function's work is sufficient to provide the auditor with the necessary assurance. This means that the internal audit function should have performed audit procedures on all relevant areas of the company's operations. The auditor should consider the following factors when assessing the scope of the internal audit function's work:

- The internal audit function's risk assessment process
- The internal audit function's audit plan
- The internal audit function's audit reports

### **4. Relevant internal audit procedures**

The auditor should assess whether the internal audit function's procedures are relevant to the auditor's objectives. This means that the internal audit function's procedures should be designed to test the relevant assertions in the company's financial statements. The auditor should consider the following factors when

assessing the relevance of the internal audit function's procedures:

- The nature of the internal audit function's tests
- The timing of the internal audit function's tests
- The extent of the internal audit function's tests

## **5. Documentation of the internal audit function's work**

The auditor should assess whether the internal audit function's work is adequately documented. This means that the internal audit function should have documented its audit procedures, findings, and conclusions. The auditor should consider the following factors when assessing the documentation of the internal audit function's work:

- The completeness and accuracy of the internal audit function's documentation
- The accessibility of the internal audit function's documentation
- The consistency of the internal audit function's documentation

## **QUESTION 22**

### **November 2020 Question One A**

International Standard on Auditing (ISA) 505 — External confirmations, considers a number of different types of

external confirmations including accounts receivable confirmations.

**Required:**

- (i) Distinguish between a —positive confirmation” and a —negative confirmation”. (4 marks)
- (ii) Evaluate four circumstances, other than the confirmation of accounts receivable, where external confirmations might be used by the auditor to obtain audit evidence. (4 marks)

**ANSWER**

**a) i) Distinguish between a positive confirmation and negative confirmation**

**Positive Confirmation** - is where responding party to the circular letter is required to respond to the request whether he agrees or disagrees with the stated balance or information. it may be appropriate when confirming for balances of related parties .

**Negative confirmation** – is where the responding party is only require to reply to the request if he disagrees with the stated balance or information. it may be appropriate where there is limitation of time or where the reported difference can be investigated and resolved.



**ii) Circumstances where external confirmation might be used by the auditor to obtain audit evidence.**

1. Creditors circularization – to confirm balances and information of account payables
2. Circularization of the company lawyer – This is to confirm any contingent liability.
3. Circularization of the bank. – The auditor can get confirmation about the bank details by sending a standard bank letter to all the banks that the client relates with.

**QUESTION 23**

**November 2020 Question Four A**

Your friend James Nyakemincha has recently purchased some shares from ABC Ltd., a listed company at the Securities Exchange. You questioned him on whether he had investigated the company before purchasing the shares.

He replied: —Not really, I chose ABC Ltd.'s shares because I read in the newspaper that ABC is externally audited, of which not all companies are, and that their auditors are an international auditing firm hence it must be a good investment”.

**Required:**

Citing five reasons, justify why you would agree or disagree with James' view with regard to his purchase of shares. (10 marks)

## **ANSWER**

**Why you would agree or disagree with James view with regard to his purchase of shares.**

- I agree with James view since all the limited liability company are required to appoint an auditor to audit financial statement.
- James can also use the audited financial statement to make a decision of purchasing the shares since auditors give a true and fair view on the financial statements.
- I disagree since the auditor is not aware that James will use the audited financial statements to purchase the shares
- I disagree since there are inherent limitations of an audit and the auditor only expresses reasonable assurance.
- I disagree since the auditor may fail to detect some material misstatements due to some unavoidable risks.

## **QUESTION 24**

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## November 2020 Question Five A

In terms of International Standard on Auditing (ISA) 700 - Forming an opinion and reporting on financial statements; in evaluating whether the financial statements are presented fairly in the context of the financial reporting framework, the auditor should evaluate important aspects of the financial statements.

### Required:

Identify five aspects of the financial statements which the auditor should evaluate. (5 marks)

## ANSWER

### Aspects of financial statements that the auditor should evaluate

- **Income statement** – The auditor perform procedures to ascertain the occurrence, completeness and occurrence of the information of balances in the income statement items
- **Statement of financial position** – the auditor should perform items included in the financial statement.
- **Statement of changes in equity.** Equity elements included on the financial statements should be evaluated to confirm that they have been included at their appropriate amounts.

- **Statements of Cashflows** – The auditor should evaluate movement of cash and cash equivalent with the entity.
- **Notes to the financial statements** – All disclosures and transactions that occurred giving the balances to the financial statement items should evaluate.

## QUESTION 25

### November 2020 Question Five B

Describe five audit assertions you would test in the conduct of an audit of office furniture and equipment.

(10 marks)

### ANSWER

**Audit assertions you would test in the conduct of office furniture and equipment.**

- **Existence** – The auditor should evaluate whether the office furniture exist as at the balance sheet date.
- **Right and obligations** – the auditor should inspect the document of purchase in order to verify the ownership.
- **Valuation** – The auditor should confirm the historical cost accumulated depreciation, revaluation, additions and disposals of the office furniture and equipment.

- **Completeness** -The auditor should inspect the fixed asset register to identify the office furniture are included and should trace the assets to the ledger to verify completeness.
- **Accuracy** - The auditor should confirm that the office furniture's and equipment have been disclosed fairly and at appropriate amounts.

## QUESTION 26

### November 2019 Question Two A

The completeness assertion is always the most difficult for the auditor to assess, particularly in relation to provisions and contingent liabilities.

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### Required

Describe six steps that might be undertaken by the auditor to confirm unrecorded liabilities (6 marks)

### ANSWER

#### Steps auditor should take to confirm unrecorded liabilities

The search for unrecorded liabilities is an effort to discover any liabilities that may have been omitted from recorded year-end payables (completeness). Typical procedures include the following:

1. Examination of vendors' invoices and statements both immediately prior to and following year-end
2. Internal control is analysed to evaluate its likely effectiveness in preventing and detecting the occurrence of such misstatements
3. Obtain/perform supplier statement reconciliations to identify discrepancies which could impact completeness, existence or valuation.
4. Obtain direct confirmation of balances from suppliers where supplier statements are not available.
5. Inspect post year-end bank statements for payments made which may indicate unrecorded liabilities.
6. Inspect GRNs for before the year-end to ensure completeness.

## QUESTION 27

### November 2019 Question Three C

Distinguish between “tolerable error” and “expected error” (4 marks)

## ANSWER

**Distinction between “tolerable error” and “expected error”**

**Tolerable error** is the maximum error in a population that the auditor is willing to accept. For tests of controls this is the maximum deviation rate from the control that

the auditor is willing to accept and still state that the control is operating at a satisfactory level as per the initial assessment of control risk. For substantive tests, it is the maximum amount that the account can be misstated where that auditor can still conclude that the account is fairly stated while **expected error** is the error rate that the auditor expects to exist in the population. For tests of controls this is the expected population deviation rate. For substantive tests this is the expected misstatement.

## QUESTION 28

### May 2019 Question Two C

In the context of modifying an audit opinion, the auditor might either conclude that:

- (i) Based on the audit evidence obtained, the financial statements as a whole are not free from material misstatement;
- Or
- (ii) As a result of being unable to obtain sufficient and appropriate audit evidence, the financial statements as a whole are not free from material misstatement.

### Required:

Differentiate between the two audit conclusions above.

(4 marks)

**ANSWER****Difference between the two audit conclusions**

In the first conclusion the auditor is informing users that from his point of auditing the financial statements do not give a true and fair view while in the second one he informs users due to inability to obtain sufficient and appropriate audit evidence then he is unable to express an opinion on financial statements

**QUESTION 29****May 2019 Question Three A**

In the context of International Standard on Auditing (ISA) 620 relating to reliance on the work of an expert:

- (i) Describe two situations where an auditor might need to rely on the work of an expert. (2 marks)
- (ii) Explain three factors taken into consideration by an auditor when placing reliance on the work of an expert. (6 marks)

**ANSWER****i) Situations where an auditor might need to rely on the work of an expert**

- Valuations of certain types of assets for example land and buildings, plant and machinery, works of art and precious stones.



- Determination of quantities of physical condition of assets for example mineral stored in stock piles, underground minerals and petroleum reserves and remaining useful life of plant and machinery.
- Determination of amounts using specialised techniques or method for example actuarial valuation.
- The measurement of work completed and to be completed on contracts in progress for the purpose of value recognition.
- Legal opinion concerning interpretations of agreements, laws and regulations.

**ii) Factors taken into consideration by an auditor when placing reliance on the work of an expert**

- The materiality of the item being examined in relation to the financial information as a whole.
- Nature and complexity of the item including the risk of error therein.
- Professional qualification, licence or membership of an appropriate professional body.
- Experience and reputation in the field in which the auditor is seeking advice.
- The objectivity of the expert. This may be impaired if he is employed by the client or is related in some manner to the client.

- The source data used by the expert whether it is appropriate in the circumstances in question.

## QUESTION 30

### November 2018 Question Two A

Auditors should obtain written confirmation of representations from management on matters material to the financial statements.

#### Required:

- (i) Explain four reasons why an auditor should discuss the contents of the letter of representation with the directors of a client at an early stage in the audit. (8 marks)
- (ii) Analyse three responsibilities of an auditor on receipt of written representations from management. (6 marks)

### ANSWER

**i) Four reasons why an auditor should discuss the contents of the letter of representation with the directors of a client at an early stage of an audit.**

- i. To minimize any misunderstanding between the auditor and the client
- ii. To confirm in writing any verbal agreement
- iii. To eliminate any implied contracts

- iv. Helps define clearly the extent of the auditors liabilities and responsibilities
- v. To inform the client of other services that the auditors firm can provide

**ii) Three Responsibilities of an auditor on a receipt of written representations form management**

1. Communicate with outgoing if any i.e. ethical clearance.
2. Ascertain if they are enough resources to carry at the audit e.g. staff
3. Plan for the audit

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**QUESTION 31**

**November 2018 Question Two B**

Some companies have a substantial portion of their total assets comprising investments in stocks and shares of other entities.

**Required:**

Outline three audit objectives sought by an auditor when examining a client's investments in stocks and shares.

(6 marks)

**ANSWER**

**Three audit objectives sought by an auditor when examining clients investments in stocks and shares**

- a) To confirm if the stocks and shares have been issued as per regulations
- b) To determine if the shares have been issued for non-cash consideration, ensure if the fair value has been received.
- c) To determine the terms of issue of the shares and terms for the purchase of investment in stocks

**QUESTION 32****November 2018 Question Five A**

With reference to International Standard on Auditing (ISA) 520 - —Analytical Procedures”, explain four different types of analytical procedures available to the auditor. (8 marks)

**ANSWER**

**Four different types of analytical procedures available to the auditor**

- i. **Trend analysis** – which involves the analysis of changes in an account over time.
- ii. **Ratio analysis** – it involves understanding relationships between financial statements accounts and between an account and non – financial data

- iii. **Reasonableness testing** – analysis of accounts that involves development of a model to form an expectation based on financial data, non-financial data or both.
- iv. **Variance analysis** – which compares predicted budgeted values and actual values.

### QUESTION 33

#### November 2018 Question Five C

Describe two types of errors that could arise from sampling risk. (4 marks)

#### ANSWER

**Two types of errors that could arise from sampling risk**

1. Tolerable error is the maximum error that the auditor is willing to accept and shall conclude that the result from the sample selected has achieved the audit objective.
2. Non – Tolerable error – this is an error which even if it occurs or not on a part of the sample it will not have any impact on the opinion formed.

### QUESTION 34

#### May 2018 Question Three B

Highlight the substantive procedures that might be performed by an auditor to verify the payroll. (8 marks)

### **ANSWER**

#### **Substantive procedures that might be performed by an auditor to verify the payroll**

1. Agree the total wages and salaries expense per the payroll system to the general ledger and the financial statements: **completeness and presentation.**
2. Cast the monthly payroll listings to verify the accuracy of the payroll expense: **accuracy.**
3. Recalculate the gross and net pay for a sample of employees and agree to the payroll records: **accuracy.**
4. Re-perform calculation of statutory deductions to confirm whether correct deductions for this year have been included within the payroll expense: **accuracy.**
5. Select a sample of joiners and leavers, agree their start/leaving date to supporting documentation, recalculate that their first/last pay packet was accurately calculated and recorded: **completeness, occurrence, accuracy.**

### **QUESTION 35**

#### **November 2017 Question One C**

Kisomo Kizuri is a charity organisation that raises funds for educational projects. Charities in the country from which Kisomo Kizuri operates have recently become subject to new audit and accounting regulations.

Your firm has been appointed as Kisomo Kizuri's new auditors.

**Required:**

Analyse five audit tests you might carry out on the income and expenditure from fund raising events.

(10 marks)

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**ANSWER**

**Audit tests on the income and expenditure for Kisomo Kizuri charity organization**

Sure, here are five audit tests you might carry out on the income and expenditure from fundraising events for Kisomo Kizuri:

**1. Verify the existence of fundraising events**

- Review event documentation, such as permits, contracts, and promotional materials, to confirm the existence of fundraising events.
- Interview event organizers and staff to corroborate the details of the events.

- Observe event preparations and activities, if possible, to provide further evidence of the occurrence of the events.

## **2. Trace the proceeds from fundraising events to the bank**

- Examine bank deposits and deposit slips to verify the receipt of funds from fundraising events.
- Reconcile the bank deposits to the recorded fundraising income to ensure that all proceeds have been accounted for.
- Investigate any discrepancies between the recorded fundraising income and the bank deposits.

## **3. Review the accuracy of the recorded income from fundraising events**

- Compare the amounts recorded as fundraising income to the event organizers' reports and ticket sales records to ensure accuracy.
- Analyze the recorded fundraising income for trends or anomalies that may indicate potential errors or misstatements.
- Review the internal controls over fundraising income recording to assess their effectiveness.



#### **4. Verify the existence of expenses related to fundraising events**

- Review supporting documentation, such as invoices, receipts, and contracts, to confirm the existence of expenses related to fundraising events.
- Obtain confirmations from vendors and service providers to verify the accuracy and completeness of the expenses.
- Analyze the recorded fundraising expenses for trends or anomalies that may indicate potential errors or misstatements.

#### **5. Review the reasonableness of the expenses related to fundraising events**

- Compare the recorded fundraising expenses to industry benchmarks and the organization's budget to assess their reasonableness.
- Consider the nature and purpose of the expenses to determine whether they are necessary and appropriate for the fundraising events.
- Investigate any expenses that appear to be excessive or unrelated to the fundraising events.

### **QUESTION 36**

#### **May 2017 Question Three A ii**

Explain the following terms as used in auditing:

Contingent liability.

(2 marks)

### **ANSWER**

**Contingent liability** – Is a possible obligation arising from past events whose existence will only be confirmed by an uncertain future event outside of the entity's control.

### **QUESTION 37**

#### **May 2017 Question Five B**

Discuss four factors that might influence the extent of substantive tests carried out during an audit. (8 marks)

### **ANSWER**

**Factors that influence the extent of substantive tests carried out during an audit**

Substantive tests are those tests carried out by auditors to confirm the assertions of the management. These assertions include: existence, rights and obligations, occurrence, completeness, valuation, measurement and presentations and disclosure. Factors:

#### **1. Disaggregation**

The more detailed the level at which analytical procedures are performed, the greater the potential precision of the procedures. Analytical procedures performed at a high level may mask significant, but offsetting, differences that are more likely to come to

the auditor's attention when procedures are performed on disaggregated data

## **2. Data reliability**

The more reliable the data is, the more precise the expectation. The data used to form an expectation in an analytical procedure may consist of external industry and economic data gathered through independent research. The source of the information available is particularly important. Internal data produced from systems and records that are covered by the audit, or that are not subject to manipulation by persons in a position to influence accounting activities, are generally considered more reliable.

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## **3. Predictability**

There is a direct correlation between the predictability of the data and the quality of the expectation derived from the data. Generally, the more precise an expectation is for an analytical procedure, the greater will be the potential reliability of that procedure. The use of non-financial data (eg number of employees, occupancy rates, units produced) in developing an expectation may increase the auditor's ability to predict account relationships.

However, the information is subject to data reliability considerations mentioned above.

### **Type of analytical procedures**

There are several types of analytical procedures commonly used as substantive procedures and will influence the precision of the expectation. The auditor chooses among these procedures based on his objectives for the procedures (ie purpose of the test, desired level of assurance).

- Trend analysis – the analysis of changes in an account over time.
- Ratio analysis – the comparison, across time or to a benchmark, of relationships between financial statement accounts and between an account and non-financial data.
- Reasonableness testing – the analysis of accounts, or changes in accounts between accounting periods, that involves the development of a model to form an expectation based on financial data, non - financial data, or both.

## **QUESTION 38**

### **May 2017 Question Five C**

Highlight four substantive procedures you would perform on the year end trade payables. (4 marks)

## **ANSWER**

### **Substantive procedures to be performed at trade payables during year end**

1. Obtain a creditors listing and verify that the total per the listing agrees with the total per the ledger.
2. From the listing, select a sample of creditors and obtain or prepare a reconciliation of the creditors balance per the ledger to the suppliers' statements.
3. Obtain explanations for all the reconciling items and where appropriate ensure that the reconciling items have been adjusted in the books of account. The reconciling items will mainly include suppliers invoices not posted in the clients ledger or payments not reflected in the suppliers statements.
4. Obtain a sample of payments made to suppliers after year-end and verify that all the invoices that related to the period under review had been accrued for.
5. Obtain all the pending invoices and verify that these had been accrued for.

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## **QUESTION 39**

### **November 2016 Question Four A**

Explain four factors which might influence an auditor while assessing the reliability of evidence gathered during an audit. (8 marks)

## **ANSWER**

### **Factors which might influence an auditor while assessing the reliability of evidence gathered during an audit**

The following factors or generalisations can be made when assessing the reliability of audit evidence:

1. The reliability of audit evidence is increased when it is obtained from independent sources outside the entity.
2. The reliability of audit evidence which is generated internally is increased when the related controls, including those over its preparation and maintenance, imposed by the entity are effective.
3. Audit evidence obtained directly by the auditor is more reliable than audit evidence obtained indirectly or by inference.
4. Audit evidence in documentary form, whether paper, electronic or other medium, is more reliable than evidence obtained orally.
5. Audit evidence provided by original documents is more reliable than audit evidence provided by photocopies or facsimiles, the reliability of which

may depend on the controls over their preparation and maintenance

## QUESTION 40

### May 2016 Question Three A

- (i) Define the term "sampling risk". (2 marks)
- (ii) Discuss two types of errors that could arise from sampling risk. (4 marks)

## ANSWER

### Sampling risk

#### i. Definition

**Sampling risk** - The risk the auditor's conclusion based on the sample is different from the conclusion if the entire population were subjected to the same audit procedure.

**Non-sampling risk** - The risk the auditor reaches an erroneous conclusion for any reason not related to sampling risk the application of inappropriate procedures or the failure to recognise a misstatement

#### ii. Types of errors that can arise from sampling risk

1. **The error of incorrect acceptance** - is the risk that the sample supports the conclusion that the recorded

account balance is not materially misstated when it is materially misstated.

- 2. The error of incorrect rejection** - is the risk that the sample supports the conclusion that the recorded account balance is materially misstated when it is not materially misstated.

## QUESTION 41

### May 2016 Question Three B

Describe the impact of each of the following situations on the sample size:

- (i) An increase in the extent to which the auditor's risk assessment takes into account relevant controls. (2 marks)
- (ii) An increase in the use of other substantive procedures directed at the same assertion. (2 marks)
- (iii) An increase in the auditor's assessment of the risk of material misstatement. (2 marks)

## ANSWER

### Impact on sample size

- i. **An increase in the extent to which the auditor's risk assessment takes into account relevant controls** – increase sample size because the auditor needs more assurance.



- ii. **An increase in the use of other substantive procedures directed at the same assertion** – decrease sample size since auditor has other procedures to help in reaching conclusion
- iii. **An increase in the auditor's assessment of the risk of material misstatement** – increase sample size because auditor has increased assessment of the of material misstatement

## QUESTION 42

### November 2015 Question Two A

Explain four assertions relevant to accounts payable at year end. (8 marks)

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### ANSWER

#### **Assertions relevant to accounts payable at year end**

1. Inspect purchase invoices and GRNs included on the listing to confirm accuracy of recording.
2. Obtain/perform supplier statement reconciliations to identify discrepancies which could impact completeness, existence or valuation.
3. Obtain direct confirmation of balances from suppliers where supplier statements are not available.
4. Inspect post year-end bank statements for payments made which may indicate unrecorded liabilities.

5. Calculate payables days ratio and compare with credit terms given to identify unusual differences and discuss with management.
6. Inspect GRNs for before the year-end to ensure completeness

## **QUESTION 43**

### **November 2015 Question Two B**

You are the auditor responsible for the audit of Yummy Foods Ltd., a company that operates a chain of fast food outlets. It has come to your attention that a customer has sued the company claiming an amount of ten million shillings for food poisoning. The amount is material, but management believes there is good defence against the claim and thus no provision or disclosure has been made in the books.

#### **Required:**

- (i) Evaluate five items of evidence that might enable you form a conclusion on the likelihood of the claim being successful. (10 marks)
- (ii) Describe how the matter could be reported in the financial statements if your conclusion is that there is a possibility, but not a probability that the claim would be successful. (2 marks)

**ANSWER****Yummy Foods Ltd****i. Items of evidence that will drive a conclusion on the likelihood of the claim being successful.**

1. Get court papers and have them evaluated by a qualified lawyer to assess the likelihood of the claim.
2. Look for witnesses willing to testify on food poisoning
3. Talk to a qualified medical practitioner.
4. Circularize a few employees to get their side of the story
5. Review if there's any previous claims and if they succeeded

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**ii. How the matter should be reported in the financial statements**

This is a subsequent event that should be disclosed by a way of a note to the financial statements as it does relate to conditions existing at balance sheet date.

**QUESTION 44****November 2015 Question Three B**

Discuss five factors that could influence the extent to which an auditor might use analytical review to collect audit evidence. (10 marks)

## **ANSWER**

**Factors that can influence the extent to which an auditor might use analytical review to collect audit evidence**

### **1. Disaggregation**

The more detailed the level at which analytical procedures are performed, the greater the potential precision of the procedures. Analytical procedures performed at a high level may mask significant, but offsetting, differences that are more likely to come to the auditor's attention when procedures are performed on disaggregated data

### **2. Data reliability**

The more reliable the data is, the more precise the expectation. The data used to form an expectation in an analytical procedure may consist of external industry and economic data gathered through independent research. The source of the information available is particularly important. Internal data produced from systems and records that are covered by the audit, or that are not subject to manipulation by persons in a position to influence accounting activities, are generally considered more reliable.

### **3. Predictability**

There is a direct correlation between the predictability of the data and the quality of the expectation derived from the data. Generally, the more precise an expectation is for an analytical procedure, the greater will be the potential reliability of that procedure. The use of non-financial data (e.g. number of employees, occupancy rates, units produced) in developing an expectation may increase the auditor's ability to predict account relationships. However, the information is subject to data reliability considerations mentioned above.

#### **4. Type of analytical procedures**

There are several types of analytical procedures commonly used as substantive procedures and will influence the precision of the expectation. The auditor chooses among these procedures based on his objectives for the procedures (ie purpose of the test, desired level of assurance).

- Trend analysis – the analysis of changes in an account over time.
- Ratio analysis – the comparison, across time or to a benchmark, of relationships between financial statement accounts and between an account and non-financial data.

- Reasonableness testing – the analysis of accounts, or changes in accounts between accounting periods, that involves the development of a model to form an expectation based on financial data, non - financial data, or both.

## **QUESTION 45**

### **November 2015 Question Five B**

During the audit of Faida Ltd you noticed the following:

1. There were material deposits in the bank just before the year end and subsequent withdrawals thereafter.
2. Many debtors disputed the amount alleged by management after circularisation. There were also inconsistencies between the dates when the debtors made their payments and the dates when the records were updated, noting that all the payments were in cash.

#### **Required:**

- (i) Explain the impact of each of the two aspects above.  
(2 marks)
- (ii) Examine four audit procedures that could help you in arriving at an audit opinion in each of the two aspects above.  
(8 marks)

## **ANSWER**

### **Faida Ltd**

#### **I. Impact of the two aspects**

- The first aspect indicates that there are suspicious activities which are material and should be investigated. It has impacts on financial statements and can affect type of audit opinion
- Disputations by the debtors indicate that there is some fraud penetrated by some employees and auditor should consider disengagement if amounts are material

#### **II. Audit procedures that can help in arriving at an audit opinion in each of the two cases**

1. The auditor should seek to verify the authorization and approval of the deposits and withdrawals.
2. The auditor should do bank reconciliation to see if there's agreement
3. Seek permission to obtain bank balances and compare with what is in the financial statements.
4. Add up invoices to confirm totals with the cash receipts
5. Speak to management and BOD on deposits and withdrawals
6. Ask for debtors ledger to trace original amounts

## QUESTION 46

### September 2015 Question One A and B

You are an audit manager in Ujima & Co. One of your audit clients, Shangilia Africa Ltd. is a specialist supplier of African literature books with over 120,000 customers. The company owns one large warehouse which holds about 1 million books of up to 80,000 different titles. Customers place orders for books either over the internet, or by mail order. Books are dispatched on the day of receipt of the order.

Returns are allowed up to 30 days from the dispatch date provided the books look neat and unread.

Due to high inventory turnover, Shangilia Africa Ltd. maintains a perpetual inventory system using standard purchased software. Ujima Co. has audited the system for the last five years and has found no error within the software.

Continuous inventory checking is carried out by Shangilia Africa Ltd.'s internal audit department.

You are currently reviewing the continuous inventory checking system with an audit junior. The audit junior needs experience in auditing continuous inventory



checking systems and some basic knowledge on the code of ethics for professional accountants.

**Required:**

- (a) Explain four advantages of using a perpetual inventory system. (4 marks)
- (b) Summarise the audit procedures you would perform to confirm the accuracy of the continuous inventory checking at Shangilia Africa Ltd. justify each of the procedures. (7 marks)

**ANSWER**

**a) Advantages of perpetual inventory system**

Perpetual inventory or Continuous Inventory system records all inventory transaction when the transaction is incurred, hence the accounting system can display the current inventory balance at any point in time.

**Advantages**

1. Reduces time constraints for the auditor, and enables them to attend counts relating to lines at greater risk of material misstatement.
2. Slow-moving and damaged inventory is identified and adjusted for in the client's records on a continuous basis meaning the year-end valuation should therefore be more accurate.

3. It protects the entity to make a larger investment in materials because management always know the inventory position.
4. As the levels of inventory are already determined, management may easily formulate purchase policies.
5. It helps to detect the theft, wastage and leakages of materials due to continuous taking.
6. The closing stock of merchandise can be known at any time
7. All experienced persons are engaged to record the transactions

### **Disadvantages**

1. The auditor will need to obtain sufficient appropriate evidence that the system operates effectively at all times, not just at the time of the count.
2. Additional procedures will be necessary to ensure that the amount included for inventory in the financial statements is appropriate, particularly with regard to cut-off and year-end allowances.
3. Expensive due to needed additional staff to record the transactions

**b) Audit procedures to confirm the accuracy of the continuous inventory system at Shangilia Africa Ltd.**

1. Attend at least one count to ensure that adequate controls are applied during the counts (in the same way as for a year-end count).
2. Inspect the number and value of adjustments made as a result of the count. If significant adjustments are required each month, this would indicate that the system figures for inventory cannot be relied on at the year-end and a full count will be required.
3. If the system balance for inventory is deemed reliable as a result of these procedures, further procedures to verify valuation and rights will still be required.
4. Inspect GRNs and GDNs around the year-end to confirm correct cut-off. Goods received before the year-end should be traced through to inclusion in the inventory listing whilst goods received after the year-end should not be included. Similarly, goods dispatched before the year-end should not be included within inventory whereas goods dispatched post year-end should be included in the year-end inventory balance.
5. NRV testing and comparison of inventory days with prior year will be performed to identify issues with valuation.

6. Inspection of purchase invoices for the name of the client will enable rights to be confirmed.

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# TOPIC 13

## AUDITING IN PUBLIC SECTOR

### QUESTION 1

#### April 2024 Question Three C

Discuss **FIVE** roles played by public sector audits in good governance in public sector entities. (10 marks)

### ANSWER

#### Roles of Public Sector Audits in Good Governance

Public sector audits play a crucial role in ensuring good governance within public sector entities. These audits serve as a mechanism to promote transparency, accountability, and efficiency in the management of public resources. Below are some key roles that public sector audits play in fostering good governance:

- **Enhancing Accountability:** Public sector audits help hold public officials accountable for their actions and decisions. By examining financial records, compliance with laws and regulations, and the effectiveness of internal controls, audits provide an independent assessment of how well public funds are being managed. This accountability is essential for maintaining trust between the government and its citizens.

- **Detecting Fraud and Mismanagement:** Audits help uncover instances of fraud, corruption, or mismanagement within public sector entities. By conducting thorough examinations of financial transactions and operations, auditors can identify irregularities and discrepancies that may indicate fraudulent activities. Detecting such issues is crucial for preventing misuse of public funds and ensuring that resources are used for their intended purposes.
- **Improving Efficiency and Effectiveness:** Through performance audits, public sector entities can evaluate the efficiency and effectiveness of their programs and services. Auditors assess whether resources are being utilized optimally to achieve desired outcomes and recommend improvements where necessary. By identifying areas for enhancement, audits contribute to the overall effectiveness of public sector operations.
- **Promoting Transparency:** Public sector audits promote transparency by providing stakeholders with reliable information about the financial health and performance of government agencies. The publication of audit reports allows the public to scrutinize how taxpayer money is being spent and ensures that decision-making processes are conducted in an open manner.

- **Compliance with Legal Requirements:** Audits ensure that public sector entities comply with relevant laws, regulations, and policies governing their operations. By verifying adherence to legal requirements, audits help prevent potential legal violations and mitigate risks associated with non-compliance.

## QUESTION 2

### April 2023 Question Three B

Kezzia Karimi has recently been appointed as the head of internal audit function in one of the Government Entities. The entity has never had an internal audit function. In this regard, Kezzia has the responsibility of developing an audit charter for approval by the Audit Committee.

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### Required:

Advise Kezzia on four matters for inclusion to the audit charter to ensure independence of the internal audit function. (8 marks)

## ANSWER

### Reporting Lines:

- **Direct Reporting to Audit Committee:** Establish a clear reporting line for the Chief Audit Executive (CAE) directly to the Audit Committee, bypassing

any management levels. This allows the CAE to communicate concerns and findings directly to the committee without undue influence from management.

- **Functional Reporting to Management:** While the CAE reports directly to the Audit Committee on audit matters, the charter can outline a functional reporting line to the Ministry or management for administrative and resource allocation purposes. This ensures the internal audit function receives necessary resources to perform its duties effectively.

#### **Authority and Responsibilities:**

- **Unrestricted Access:** The charter should guarantee the internal audit function's unhindered access to all information, records, personnel, and facilities necessary for conducting audits. This allows for comprehensive assessments without limitations imposed by management.
- **Independent Selection of Audit Topics:** The charter should empower the CAE to independently determine the internal audit plan and select audit topics based on risk assessments and the organization's priorities. This protects against management influencing the focus of audits to avoid scrutiny of specific areas.
- **Direct Communication with External Auditors:** The charter should authorize the CAE to



communicate directly with external auditors without management intervention. This facilitates information sharing and coordination between internal and external audit functions.

### **Staffing and Resources:**

- **Hiring and Dismissal Authority:** Grant the CAE the authority to hire, dismiss, and manage internal audit staff, ensuring independence from management influence over the team's composition and performance.
- **Adequate Staffing and Budget:** The charter should commit to providing adequate staffing and budget resources for the internal audit function to perform its responsibilities effectively. This ensures the ability to conduct comprehensive audits without resource constraints imposed by management.

### **Objectivity and Integrity:**

- **Code of Ethics:** The charter should require internal audit staff to adhere to a professional code of ethics, emphasizing objectivity, integrity, and professional skepticism when conducting audits.
- **Conflict of Interest Policy:** Establish a clear conflicts of interest policy that prohibits internal auditors from engaging in activities that could compromise their independence or objectivity.

### **Charter Review and Revision:**

- **Periodic Review and Approval:** The charter should mandate regular reviews and approvals by the Audit Committee to ensure its continued relevance and effectiveness in upholding the independence of the internal audit function

### QUESTION 3

#### December 2022 Question Four A

Explain the “THREE Es” of a value for money audit.

(6 marks)

#### ANSWER

##### **THREE Es of a value for money audit**

The "Three Es" of value for money (VFM) audits are **economy, efficiency, and effectiveness**. These three concepts are used to assess whether an organization is using its resources in a way that achieves the desired outcomes at the lowest possible cost.

- **Economy** refers to the acquisition of resources at the right price and in the right quantity. This means that the organization should not be overpaying for goods and services, and it should not be purchasing more or less than it needs.
- **Efficiency** refers to the relationship between the inputs and outputs of a process. In other words, it is a measure of how well an organization is using its

resources to produce goods or services. A process is efficient if it produces the desired output with the least amount of input.

- **Effectiveness** refers to the extent to which an organization is achieving its objectives. This means that the organization's outputs should be of the desired quality and they should meet the needs of the organization's stakeholders.

VfM audits are used to assess whether an organization is using its resources in a way that is both efficient and effective. This can help organizations to identify areas where they can improve their performance and save money.

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Here is a table that summarizes the Three Es of VFM audits:

| Concept    | Definition                                                            | Example                                                  |
|------------|-----------------------------------------------------------------------|----------------------------------------------------------|
| Economy    | Acquisition of resources at the right price and in the right quantity | Purchasing supplies at a competitive price               |
| Efficiency | Relationship between inputs and outputs                               | Producing 10 units of output for every 10 units of input |

|               |                                                             |                                                            |
|---------------|-------------------------------------------------------------|------------------------------------------------------------|
| Effectiveness | Extent to which an organization is achieving its objectives | Meeting the needs of customers and satisfying stakeholders |
|---------------|-------------------------------------------------------------|------------------------------------------------------------|

## QUESTION 4

### January 2022 Question Five A

In the context of auditing in the public sector:

- (i) Describe four roles of Parliament and County Assemblies, or their equivalents, in public audit. (4 marks)
- (ii) Explain the salient features of "regulatory audits", "forensic audits" and "performance audits". (6 marks)
- (iii) Summarise four reasons for qualified audit reports in the public sector. (4 marks)

## ANSWER

### i) Roles of parliament and country assemblies or their equivalent in public audit

- Parliament and county assemblies requires the auditor general to confirm whether the funds have been applied lawfully and in an effective way.
- The executive (accounting officers) submits a budget to parliament or county assembly for allocation of resources

- Parliament or county assembly provides the resources (appropriate) and the president or governor assents.
- The executive implements the programmes as in the budget where the focus should be towards service delivery end of each financial year through financial statements to the auditor general for audit.
- The auditor general submits his or her audit reports to parliament and relevant county assemblies for discussions recommendations and action.

## **ii) Salient features of “regulatory audits” forensic audit and “performance audits”**

- **Systematic process** - The audits are systematic and scientific process that follows a sequence of activities, which are logical, structural and organized.
- **Subject matter** - Auditor give assurance on a specific subject matter.
- **Evidence** - Requires collecting evidence i.e. financial and non -financial data and examining thereof.
- **Established criteria** – the audits are evaluated regarding established criteria.

## **iii) Reasons for qualified audit reports in public sector**

- Where the entity's have not maintained properly books of accounts

- Where the auditor did not receive all the information and explanation that he needed for purpose of audit.
- Where the auditor did not receive all the return from the branches.
- Where the books of accounts are not in agreement with financial statements
- Where the financial statements do not reflect a true and fair view and have been prepared in accordance with the identified financial reporting framework.

## **QUESTION 5**

### **May 2021 Question Four D**

In the context of auditing in the public sector, evaluate four objectives of performance audits. (4 marks)

## **ANSWER**

### **Objectives of performance audits**

1. Economy – concern with determining whether the firm is able to get its various input in their right quality and quantities at the most economical cost.
  2. Efficiency – focuses on the relationship between input and output.
  3. Effectiveness – this is concerned with determining how well an activity is achieving its intended purpose.
  4. Examining compliance with statutory obligation.
-

## 5. Financial prudence

### QUESTION 6

#### **November 2020 Question Two D**

Evaluate three approaches used in performance auditing in the Public Sector. (3 marks)

#### **ANSWER**

##### **Approaches used in performance auditing in the public sector**

- Results oriented approach which assess whether predefined objective been achieved as intended.
- Problem oriented approach – which verifies and analyses the causes of a particular problem.
- System oriented approach which examines the proper functioning of management systems.

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### QUESTION 7

#### **November 2019 Question Four C**

Describe four objectives of public sector auditing. (4 marks)

#### **ANSWER**

##### **Objectives of public sector auditing**

1. Providing the intended users with independent, objective and reliable information, conclusions or

opinions based on sufficient and appropriate evidence relating to public entities;

2. Enhancing accountability and transparency, encouraging continuous improvement and sustained confidence in the appropriate use of public funds and assets and the performance of public administration;
3. Reinforcing the effectiveness of those bodies within the constitutional arrangement that exercise general monitoring and corrective functions over government, and those responsible for the management of publicly-funded activities
4. Creating incentives for change by providing knowledge, comprehensive analysis and well founded recommendations for improvement.

## QUESTION 8

### May 2018 Question Three C

In the context of public sector auditing, distinguish between —performance audits” and —compliance audits”.

(4 marks)

## ANSWER

**Distinguish between performance audits and compliance audit**



**Performance audits** – aims to provide management with assurance and advice regarding the effective functioning of its operational activities.

**Compliance audit** - is a comprehensive review of an organization's adherence to regulatory guidelines. Audit reports evaluate the strength and thoroughness of compliance preparations, security policies, user access controls and risk management procedures over the course of a compliance audit.

## QUESTION 9

### November 2016 Question One B

In the context of International Standards of Supreme Audit Institutions (ISSAI) 100 "Fundamental Principles of Public Sector Auditing", discuss four principles relating to planning an audit. (8 marks)

## ANSWER

### Principles relating to planning an audit

- 1. Auditors should ensure that the terms of the audit have been clearly established**

Audits may be required by statute, requested by a legislative or oversight body, initiated by the SAI or carried out by simple agreement with the audited entity. In all cases the auditor, the audited entity's

management, those charged with governance and others as applicable should reach a common formal understanding of the terms of the audit and their respective roles and responsibilities. Important information may include the subject, scope and objectives of the audit, access to data, the report that will result from the audit, the audit process, contact persons, and the roles and responsibilities of the different parties to the engagement.

## **2. Auditors should obtain an understanding of the nature of the entity/programme to be audited**

This includes understanding the relevant objectives, operations, regulatory environment, internal controls, financial and other systems and business processes, and researching the potential sources of audit evidence. Knowledge can be obtained from regular interaction with management, those charged with governance and other relevant stakeholders. This may mean consulting experts and examining documents (including earlier studies and other sources) in order to gain a broad understanding of the subject matter to be audited and its context.

**3. Auditors should conduct a risk assessment or problem analysis and revise this as necessary in response to the audit findings**

The nature of the risks identified will vary according to the audit objective. The auditor should consider and assess the risk of different types of deficiencies, deviations or misstatements that may occur in relation to the subject matter. Both general and specific risks should be considered. This can be achieved through procedures that serve to obtain an understanding of the entity or programme and its environment, including the relevant internal controls.

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**4. Auditors should identify and assess the risks of fraud relevant to the audit objectives**

Auditors should make enquiries and perform procedures to identify and respond to the risks of fraud relevant to the audit objectives. They should maintain an attitude of professional skepticism and be alert to the possibility of fraud throughout the audit process.

**5. Auditors should plan their work to ensure that the audit is conducted in an effective and efficient manner**

Planning for a specific audit includes strategic and operational aspects.

## **QUESTION 10**

### **May 2016 Question One A**

In the context of International Standards of Supreme Auditing Institutions 3100. –Performance Audit Guidelines - Key Principles":

- (i) Define the term —performance auditing”. (2 marks)
- (ii) Discuss the three approaches that might be taken in examining the performance of the audited entity. (6 marks)

### **ANSWER**

#### **Performance Audit Guidelines - Key Principles (ISSAI 3100)**

##### **i. Definition of performance auditing**

Performance auditing is an independent and objective examination of government undertakings, systems, programmes or organisations, with regard to one or more of the three aspects of economy, efficiency and effectiveness, aiming to lead to improvements.

##### **ii. Approaches in examining the performance of an audited entity**

- 1. Results oriented approach** - In this approach, the auditor studies performance (concerning economy, efficiency, and effectiveness) and relates observations to the given norms (goals, objectives, regulations, etc.) or the audit criteria (more or less precisely defined before the main study begins).
- 2. The problem-oriented approach** - Deals primarily with problem verification and problem analysis, normally without reference to predefined audit criteria. In this approach, shortcomings and problems – or at least indications of problems – are the starting point of an audit, not the conclusion.
- 3. The system-oriented approach** - Has its roots in the goal-means model. It is also based on ideas and concepts from ‘system theory’, where government undertakings or programs are seen as systems of interacting and functional interdependent elements. Regulations, resources, government bodies etc.

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## QUESTION 11

### November 2015 Question One B

Discuss the three E's of value for money auditing as used in public sector auditing. (6 marks)

**ANSWER****E's of value for money auditing in public sector auditing**

1. **Efficiency** - is concerned with the relationship between goods and services produced (outputs) and the resources used to produce them (inputs). It's about getting the most from available resources. An example would be reducing the cost of providing healthcare over time.
2. **Effectiveness** - is concerned with achieving predetermined objectives (specifically planned achievements) and having the actual impact (output achieved) compared with the intended impact (objective). An example would be where disease rates have fallen as a result of the healthcare provided.
3. **Economy** - is concerned with minimising the cost of resources used (people, materials, equipment, etc) and considering the appropriate quality required – that is, keeping the cost of inputs low, without compromising quality. For example, are healthcare supplies or services of a specific quality purchased at the best-possible price? Operational auditing Any compliance or financial audit can also be an operational audit (it may be called a performance audit in the public sector)

## QUESTION 12

### September 2015 Question Three D

Outline how an audit committee may be of assistance in the relationship between the internal auditor and external auditor. (5 marks)

### ANSWER

**How audit committee is of assistance in the relationship between the internal auditor and external auditor**

1. The audit committee acts as a communication link between the internal and external auditors
2. The audit committee ensures that the internal audit adheres to expected laws and regulations in order to help the work of external auditor.
3. Audit committee ensures that both the internal and external auditors work in the interest of the client
4. Helps determine the nature and scope of work for the internal and external auditors
5. Audit committee helps reduce any misunderstandings or disagreement between the internal and external auditors

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# TOPIC 14

## AUDITORS REPORTS

### QUESTION 1

#### **April 2024 Question Four A**

You are the audit manager at Jirani and Associates, Certified Public Accountants. Your firm has been appointed to audit Madawa Ltd., a company that deals with manufacture and distribution of pharmaceutical equipment, for the year ended 31 December 2023. The company has been the main supplier of pharmaceutical equipment in the region. During the last one year, a competitor who is a low-cost producer has emerged and has taken up most of the customers of Madawa Ltd. Pona Ltd., who is the main supplier of raw materials to Madawa Ltd., has been declared bankrupt by a court of law. Due to the stiff competition the company has been facing, the directors have issued a profit warning to the shareholders. During the year ended 31 December 2023, three top level managers resigned. The company has since, not managed to replace them due to the specialist nature of their roles. It is anticipated that a new manufacturing tax of 10% per annum will take effect from 1 July 2024.

**Required:**



- (i) Explain **FIVE** matters that could cast doubt on the going concern of Madawa Ltd. (5 marks)
- (ii) Examine **FIVE** audit procedures your audit firm would perform to assess whether the company is a going concern. (5 marks)

## ANSWER

(i) **Matters that could cast doubt on the going concern of Madawa Ltd.**

- **Increased competition:** The emergence of a low-cost competitor significantly impacting Madawa's customer base weakens its financial stability.
- **Supplier bankruptcy:** The bankruptcy of Pona Ltd., Madawa's main raw material supplier, disrupts their supply chain and potentially increases costs if alternative suppliers are less cost-effective.
- **Profit warning:** Issuing a profit warning indicates the company anticipates financial difficulties, raising concerns about profitability and solvency.
- **Loss of key personnel:** The resignation of three top-level managers, especially with their specialized roles unfilled, creates a knowledge gap and could hinder operational efficiency.

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- **New manufacturing tax:** The anticipated 10% manufacturing tax from July 2024 increases production costs, further pressuring profitability.

(ii) **Audit procedures to assess Madawa Ltd.'s going concern**

**1. Inquiries of Management:**

- Discuss management's understanding of the concept of going concern and their assessment of Madawa's ability to continue as a going concern.
- Inquire about their plans to address the issues mentioned above, such as strategies to regain market share, secure alternative raw material suppliers, reduce costs, or recruit replacements for key personnel.
- Ask about management's forecasts and projections, focusing on cash flow, profitability, and financing needs for the foreseeable future.

**2. Analytical Procedures:**

- Analyze trends in revenue, profitability, and cash flow to identify any negative trends or deterioration in financial performance.

- Compare current financial ratios (liquidity, solvency, profitability) to industry benchmarks and assess their viability.
- Analyze the aging of accounts receivable and payable to assess potential liquidity problems.

### **3. Review of Loan Agreements and Covenants:**

- Review loan agreements for any financial covenants Madawa Ltd. must comply with.
- Assess if there's a risk of breaching any covenants due to their current financial situation.

### **4. Subsequent Events Procedures:**

Identify any significant events occurring after the balance sheet date (up to the date of the auditor's report) that may impact going concern, such as loan defaults, further customer losses, or lawsuits.

### **5. Consideration of the New Manufacturing Tax:**

- Quantify the potential impact of the new manufacturing tax on Madawa's profitability and cash flow.
- Assess if the company has plans to mitigate the tax impact, such as increasing prices or reducing expenses.

### **6. Communication and Documentation:**

- Document all inquiries, analytical procedures performed, and conclusions reached regarding going concern.
- If substantial doubt exists about Madawa Ltd.'s ability to continue as a going concern, communicate this to management and consider including a qualified or adverse audit opinion in your auditor's report.

## QUESTION 2

### December 2023 Question Four B and C

(b) In relation to an audit report, explain the following terms:

- (i) —“Emphasis of matter” paragraph. (2 marks)
- (ii) —“Other matter” paragraph. (2 marks)

(c) Nguo Nzuri Company is a local manufacturer of office wear for both ladies and men. After the COVID-19 pandemic, the market of this line of clothes was adversely affected. Prior to the pandemic, the company had taken on a big loan from its bankers and invested in new manufacturing equipment and a fleet of delivery vans. The bank has written to the managing director of Nguo Nzuri Company threatening to petition for the liquidation

of the company due to its difficulty in servicing the loan.

**Required:**

- (i) Describe **FOUR** operating conditions or events that cast doubt about the going concern ability of Nguo Nzuri Company. (4 marks)
- (ii) Advise the managing director on **FOUR** measures that Nguo Nzuri Company could take to mitigate the threat of liquidation. (8 marks)

**ANSWER**

**(b) Audit report terms:**

**(i) “Emphasis of matter” paragraph.**

An —**emphasis of matter**” paragraph in an audit report is a section that draws the attention of the reader to a specific matter that is considered important by the auditors. This paragraph is typically included when there are certain conditions or events that could potentially impact the financial statements, but they do not warrant a modification to the audit opinion. The purpose of this paragraph is to provide transparency and help the reader understand the

potential implications of the matter being highlighted.

**(ii) “Other matter” paragraph.**

An —other matter” paragraph in an audit report is a section that contains information about matters that are considered relevant to the financial statements but are not significant enough to warrant an audit adjustment or modification to the audit opinion. This paragraph is typically included to provide additional information to the reader that may be useful in understanding the financial statements.

**(d) Nguo Nzuri Company.**

**(i) Operating Conditions Casting Doubt on Going Concern**

- **Adverse Market Impact:** The COVID-19 pandemic has significantly affected the market for Nguo Nzuri's office wear products, leading to a decline in revenue and potential cash flow problems.
- **Large Loan and Investments:** The company's heavy loan for new equipment and delivery vans creates a significant financial burden, especially considering the weakened

market. Servicing the loan with limited revenue might be challenging.

- **Bank's Threat of Liquidation:** The bank's threat to petition for liquidation indicates a lack of confidence in Nguo Nzuri's ability to repay the loan, further raising doubts about its going concern.

(ii) **Mitigation Strategies for Nguo Nzuri Company:**

- **Renegotiate with the Bank:** The company should approach the bank to renegotiate the loan terms. This could involve extending the repayment period, reducing the interest rate, or seeking a temporary payment deferral. Open communication and a demonstrably revised financial plan showing future viability can be crucial.
- **Cost-Cutting Measures:** Implementing cost-cutting measures like reducing employee hours, renegotiating supplier contracts, or downsizing underutilized departments can free up cash flow to service the loan.
- **Explore Alternative Revenue Streams:** The company can explore alternative revenue streams to diversify

income. This could involve expanding product lines, targeting new markets (e.g., online sales, work-from-home attire), or offering additional services (e.g., clothing customization).

- **Seek Additional Funding:** If necessary, the company can explore raising additional capital through investors or alternative lenders. However, this option should be carefully evaluated due to the already high debt burden.
- **Improve Financial Transparency:** Maintaining transparent communication with the bank and other stakeholders by providing regular financial updates and demonstrating a clear plan for addressing the challenges can rebuild trust and confidence.

### QUESTION 3

#### **December 2023 Question Five B**

International Standard on Auditing (ISA) 560 –

Subsequent Events, defines subsequent events as events occurring between the date of the financial statements and the date of the auditor's report.



**Required:**

Describe **FOUR** events that could be termed as subsequent events. (4 marks)

**ANSWER****Subsequent Events**

- 1. Business Combination or Acquisition:** If a company enters into a merger or acquisition agreement after the balance sheet date but before the auditor's report date, this event would be considered a subsequent event. The financial implications of the transaction, such as goodwill or intangible assets, would need to be accounted for in the financial statements.
- 2. Natural Disasters:** Events such as hurricanes, earthquakes, or floods that occur after the balance sheet date but before the auditor's report date can be considered subsequent events. These events may result in significant losses or damages that need to be disclosed in the financial statements.
- 3. Legal or Regulatory Actions:** If a company faces a lawsuit, regulatory investigation, or other legal or regulatory actions after the balance sheet date but before the auditor's report date, this could be considered a subsequent event. The potential financial impact of these actions, such as fines or

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settlements, would need to be disclosed in the financial statements.

**4. Significant Contracts or Agreements:** Entering into a significant contract or agreement after the balance sheet date but before the auditor's report date could be a subsequent event. This might include a long-term supply agreement, a major lease, or a significant joint venture. The financial implications of the contract or agreement would need to be reflected in the financial statements.

**5. Changes in Accounting Estimates:** If a company makes significant changes to its accounting estimates after the balance sheet date but before the auditor's report date, this could be considered a subsequent event. For example, a change in the useful life of a depreciable asset or a change in the valuation of a financial instrument could have a material impact on the financial statements.

## QUESTION 4

### August 2023 Question Five C

In accordance with International Standard on Auditing (ISA)-700 Forming an Opinion and Reporting on Financial Statements, the auditor is required to evaluate whether the financial statements are prepared, in all

material respects, with the applicable financial reporting framework.

**Required:**

Explain **EIGHT** matters that the auditor could evaluate before forming the audit opinion on the financial statements. (8 marks)

**ANSWER****1. Consistency in Application of Accounting Policies:**

- Assess whether there has been consistency in the application of accounting policies from one period to another.
- Investigate the reasons for any changes in accounting policies and evaluate their appropriateness and impact on the financial statements.

**2. Going Concern Assumption:**

- Evaluate management's assessment of the entity's ability to continue as a going concern.
- Assess the appropriateness of the use of the going concern assumption, considering relevant financial and non-financial indicators.

**3. Presentation and Disclosure:**

- Ensure that the financial statements are presented in accordance with the applicable financial reporting framework.
- Evaluate the adequacy and appropriateness of disclosures, including any additional information required by the reporting framework.

#### **4. Completeness and Accuracy of Financial Information:**

- Verify the completeness and accuracy of financial information included in the statements, including numerical accuracy and proper classification of items.

#### **5. Estimates and Judgments:**

- Evaluate the reasonableness of significant accounting estimates and judgments made by management, assessing the impact on the financial statements.

#### **6. Subsequent Events:**

- Investigate the occurrence of any significant events or transactions that have taken place after the balance sheet date but before the issuance of the auditor's report.

#### **7. Related Party Transactions:**

- Scrutinize related party transactions for proper disclosure and assess their impact on the financial statements.

**8. Legal and Regulatory Compliance:**

- Evaluate whether the entity has complied with relevant legal and regulatory requirements affecting the financial statements.

**9. Internal Controls:**

- Assess the effectiveness of internal controls relevant to the preparation of financial statements, considering any deficiencies or weaknesses that could impact the reliability of financial reporting.

**10. Events of Non-compliance:**

- Investigate any identified instances of non-compliance with laws and regulations that may have a material impact on the financial statements.

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**QUESTION 5****April 2023 Question One B**

International Standard on Auditing (ISA): 560 - Subsequent Event defines subsequent events as events occurring between the date of the financial statements and the date of the auditor's report, and facts that become known to the auditor after the date of the auditor's report.

**Required:**

Propose **FOUR** audit procedures that an auditor should perform as near as possible to the date of the Auditor's Report. (4 marks)

### **ANSWER**

1. Reviewing minutes of meetings of the board of directors and other relevant committees held after the date of the financial statements.
2. Consulting with management and others within the entity to determine whether any significant events have occurred since the date of the financial statements.
3. Reading relevant industry publications and news announcements.
4. Inquiring of external auditors, if any, of other entities in the same industry or group about any significant events that may have occurred since the date of the financial statements.

### **QUESTION 6**

#### **August 2022 Question One A**

Describe five Auditor's responsibilities for the Audit of Financial Statements as provided by the International Standard on Auditing 700 (Revised): Forming an opinion and Reporting on Financial Statements. (10 marks)

## ANSWER

### 1. Understanding and Assessing Risks:

- **Understanding the Entity:** Grasping the nature of the business, its operations, and the environment in which it operates.
- **Assessing Risks:** Identifying and evaluating risks that might materially impact the financial statements.

### 2. Obtaining Sufficient and Appropriate Audit Evidence:

- **Testing and Verification:** Collecting evidence through various audit procedures to support the information in the financial statements.
- **Audit Procedures:** Using a mix of methods like inspection, observation, inquiry, and analytical procedures to gather evidence.

### 3. Forming an Opinion:

- **Evaluating Evidence:** Assessing the sufficiency and appropriateness of the evidence collected.
- **Forming an Opinion:** Based on the evidence gathered, determining whether the financial statements are free from material misstatement and fairly represent the entity's financial position, performance, and cash flows.

### 4. Reporting:

- **Expressing an Opinion:** Providing a professional conclusion on whether the financial statements are presented fairly, in all material respects, in accordance with the applicable financial reporting framework.
- **Communication:** Crafting an audit report that includes an opinion, outlining any material inconsistencies or deficiencies discovered during the audit.

## 5. Additional Reporting Requirements:

- **Emphasis of Matter:** When certain matters need to be highlighted without affecting the auditor's opinion.
- **Other Reporting Responsibilities:** Disclosures about the entity's ability to continue as a going concern, if applicable.

## 6. Documentation:

- **Record-keeping:** Maintaining comprehensive documentation of audit procedures, evidence collected, and conclusions drawn. This documentation is crucial for audit quality control and reviews.

## 7. Professional Skepticism and Judgment:



- **Skepticism:** Maintaining an attitude of professional skepticism throughout the audit process, critically assessing information and being alert to potential risks of material misstatement.
- **Professional Judgment:** Applying professional judgment in evaluating the audit evidence and forming conclusions.

## 8. Compliance with Professional Standards:

- **Adhering to Standards:** Ensuring compliance with the International Standards on Auditing and any other relevant regulatory requirements.

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## QUESTION 7

### August 2022 Question One B

Explain four items of information that the auditor should disclose in the opinion section of the auditor's report.

(4 marks)

### ANSWER

The opinion section of the auditor's report is the most critical part of the report, as it expresses the auditor's opinion on whether the financial statements are presented fairly, in all material respects, in accordance with the applicable financial reporting framework. This section should be clear, concise, and informative, providing users with a clear understanding of the auditor's conclusions.

## **Key Items of Information in the Opinion Section:**

1. **Identification of Financial Statements:** The auditor should clearly identify the financial statements that have been audited, including the balance sheet, income statement, statement of changes in equity, and statement of cash flows.
2. **Basis for Opinion:** The auditor should state the basis for their opinion, which is typically the application of generally accepted accounting principles (GAAP) or another applicable financial reporting framework.
3. **Opinion Paragraph:** The opinion paragraph is the core of the auditor's report, where the auditor expresses their opinion on the financial statements. This paragraph should be clear and concise, stating whether the auditor's opinion is unqualified, qualified, adverse, or disclaimed.
  - **Unqualified Opinion:** An unqualified opinion indicates that the financial statements are presented fairly, in all material respects, in accordance with the applicable financial reporting framework. This is the most favorable opinion an auditor can express.
  - **Qualified Opinion:** A qualified opinion indicates that the financial statements are presented fairly, in all material respects, except

for certain specific exceptions. These exceptions may relate to departures from the applicable financial reporting framework or the existence of uncertainties.

- **Adverse Opinion:** An adverse opinion indicates that the financial statements are not presented fairly in accordance with the applicable financial reporting framework. This is a serious finding that suggests that the financial statements are materially misstated.
  - **Disclaimer of Opinion:** A disclaimer of opinion indicates that the auditor is unable to express an opinion on the financial statements due to the existence of significant limitations or restrictions on the scope of the audit.
4. **Date of Auditor's Report:** The date of the auditor's report is the date on which the auditor completed the audit procedures and formed their opinion.
5. **Auditor Signature:** The auditor's report should be signed by the auditor or an authorized representative of the audit firm.
6. **Auditor Name:** The name of the audit firm that conducted the audit should be clearly stated in the auditor's report.

## QUESTION 8

### August 2022 Question Four B

International Standard on Auditing (ISA): —Going Concern”, deals with the auditor’s responsibilities in the audit of financial statements relating to going concern and the implications for the auditor’s report.

#### Required:

- (i) Explain six indicators that would cast doubt to an auditor about the going concern status of a company. (6 marks)
- (ii) Discuss for audit procedures that an auditor would carry out in order to obtain sufficient audit evidence to be able to form an opinion on the going concern status of a company. (4 marks)

### ANSWER

#### (i) Indicators of Going Concern Doubts

1. **Negative Operating Cash Flows:** Persistent negative operating cash flows indicate that the company is unable to generate sufficient cash from its operations to cover its expenses. This can lead to a liquidity crisis and raise concerns about the company's ability to continue operations.
2. **Substantial Debt Burden:** Significant debt levels, especially short-term debt, can strain the company's

ability to meet its debt obligations. If the company is unable to refinance or repay its debts, it may be forced to liquidate assets or file for bankruptcy.

3. **Loss of Key Customers or Suppliers:** The loss of major customers or suppliers can significantly impact the company's revenue and profitability. This can lead to financial difficulties and raise doubts about the company's long-term viability.
4. **Legal or Regulatory Issues:** Ongoing legal disputes, regulatory investigations, or non-compliance with regulations can create significant liabilities and reputational damage. These issues can make it difficult for the company to attract new customers, obtain financing, and maintain its existing business relationships.
5. **Industry Downturn or Economic Recession:** Economic downturns or industry-specific challenges can negatively impact the company's financial performance and increase its risk of insolvency. If the company is unable to adapt to changing market conditions, it may face significant financial distress.
6. **Management's Plans for Future Operations:** Management's plans for the future, such as significant investments, expansion plans, or divestitures, should be carefully evaluated to assess their potential impact on the company's going concern status.

## **(ii) Audit Procedures for Going Concern Assessment**

### **1. Review Financial Statements and Related**

**Disclosures:** Analyze the company's financial statements, particularly the balance sheet, income statement, and cash flow statement, to identify any potential financial weaknesses or risks. Review management's disclosures related to going concern uncertainties and their plans to address them.

**2. Assess Operating Performance Trends:** Analyze the company's operating performance trends, including revenue growth, profitability margins, and cash flow generation, to identify any deterioration or instability. Compare current performance to industry benchmarks and historical trends.

### **3. Evaluate Debt and Financing Arrangements:**

Review the company's debt structure, including the amount, maturity dates, and interest rates of its debt obligations. Assess the company's ability to meet its debt obligations and refinance its debt when necessary.

### **4. Analyze Cash Flow Projections and Liquidity:**

Review the company's cash flow projections and assess its ability to generate sufficient cash to meet its obligations over the next 12 months and beyond. Evaluate the company's liquidity position and its ability to access additional financing if needed.

- 5. Inquire About Management's Plans:** Discuss with management their plans to address any identified going concern uncertainties. Evaluate the reasonableness and feasibility of management's plans and their ability to mitigate potential risks.
- 6. Consider External Factors:** Assess the impact of external factors, such as industry conditions, economic trends, and regulatory changes, on the company's going concern status. Consider the company's ability to adapt to changing market conditions and its plans to address potential challenges.

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## QUESTION 9

### April 2022 Question Four B

With reference to ISA 700 (Forming an Opinion and Reporting on Financial Statements); distinguish between an "adverse opinion" and a "disclaimer of opinion".

(4 marks)

### ANSWER

**Distinguish between adverse opinion and a disclaimer opinion.**

**Adverse opinion** – it is modified opinion issued by the auditor where there is a disagreement on a matter that is material and persuasive.

**Disclaimer of opinion** – it is a modified opinion issued by the auditor where there is a limitation of scope on a matter that is material and pervasive.

## **QUESTION 10**

### **December 2021 Question Three B**

The auditor should consider the risk that the going concern assumption may no longer be appropriate. With reference to the above statement, identify four financial indicators that shows that the going concern assumption may not be appropriate in the preparation of a company's financial statements. (8 marks)

### **ANSWER**

**Financial indicators that shows that the going concern assumption may not be appropriate in the preparation of a company's financial statement**

1. Negative operating Cashflows for a longer period of time.
2. In ability to pay creditors - The company unable to pay creditors on time
3. Denial of credit by suppliers – if the company is denied credit by suppliers it indicate going concern problem



- 4. Net liability – Where the companies liability are more than asset and too high
- 5. Unable to pay salaries on time

## QUESTION 11

### December 2021 Question Five A

The International Standards on Auditing 700 (Revised) - Forming an opinion and Reporting on financial statements deals with the auditors responsibility to form an opinion on the financial statements.

#### Required:

- (i) Describe five auditor's responsibilities for the audit of the financial statements section of the auditors report. (5 marks)
- (ii) Itemise three additional auditors responsibilities for audit of financial statements when auditing accounts for a group of companies. (3 marks)
- (iii) Summarise four matters that an auditor should include in the "Basis of opinion" section of the auditors report. (4 marks)

## ANSWER

**i) Auditors responsibilities for the audit of financial statements section of the audit reports**

1. To include in the auditors report an identification of the financial statement that are subject of the audit and the financial reporting framework that has been applied in their preparation.
2. To include in the auditors report the scope of the audit, identifying the auditing standards that were applied in the conduct of the audit.
3. To report to the company members his opinion on the financial statement based on the work done in the manner prescribed by the legal and professional framework.
4. To identify and asses the risk of material misstatement in the financial statements whether due to fraud or error, and to design and perform audit procedures that are responsive to the identified risks and to further obtain audit evidence that is sufficient and appropriate to provide basis for the sufficient and appropriate to provide a basis for the auditors opinion
5. The auditor should plan, document and perform the audit to obtain sufficient appropriate audit evidence on which to form the basis for this audit opinion.

**ii) Additional auditors responsibilities for audit of financial statements when auditing accounts for group companies**

- i) Evaluating the going concern status of the subsidiary companies
- ii) To evaluate the appropriateness of the accounting policies used.
- iii) To evaluate the reasonableness of accounting estimates included in the financial statement and related disclosures made by the management.

**iii) Matters that an auditor should include in the "Basis of opinion" section of the auditors report**

The basis for opinion paragraph contains a statement that management is responsible for the preparation of the financial statements that are being audited as well as a statement that the audit was conducted in accordance with the set standards.

Additionally, the basis for opinion paragraph should state that it is the auditor's responsibility, not management's, to perform audit procedures and report an audit opinion on the financial statements.

***Matters that an auditor should include in the "Basis of opinion" section of the auditors report includes:***

1. Report that t The audit was performed as per Standards on Auditing
2. Describe the auditor's responsibilities;

3. Statement about required independence and other ethical responsibilities
4. Whether the auditor believes the audit evidence obtained is sufficient and appropriate for the opinion given

## QUESTION 12

### **December 2021 Pilot Papers Question Five A**

You are an auditor of Baraka Constructors Limited, a listed company which distributes materials to the real estate industry. You are finalising the audit for the year ended 31 March 2021. Your audit junior has identified the following matters and brought them to your attention:

1. The four directors have each borrowed Sh.100,000 from the company. These loans, which total Sh.400,000 have been included in the statement of financial position as at 31 March 2021 within the total accounts receivable under the heading “other accounts receivable – due within one year”. No separate disclosure about the loan has been made in the director’s report or the financial statements. The audit junior has investigated this further and concluded that, whilst the loans are illegal, they are genuine collectible current assets of the company.
2. The accounts of Baraka Constructors Limited did not contain a statement of changes in equity.

3. The physical inventory count sheets for two deposits of construction materials were lost before they were made available to you and you have not been able to confirm the inventory amount using alternative audit procedures. The amount of inventory for the two deposits is considered to be material.

**Required:**

Explain the audit opinion you will issue in each of the cases above. (15 marks)

**ANSWER****Audit opinion in each of the issue**

1. In the first case, direction are required to make out and attach to every balance sheet a report with respect to the state of the company's affairs and other information and such report is signed by the chairman of the directors or chief executive of the company on behalf of directors.
- The loans from the directors should not have been included in the other account receivables but should have been included on the directors loan account.
  - Again the loans were illegal; they are genuine collectible current assets of the company as investigated by the audit junior.
  - This is a matter that is material and therefore the auditor should issue an adverse opinion

**2. Adverse opinion may be issued in this case.**

- The auditor in this case states that financial statement do not present fairly the financial position results of operations of cash flows of the entity in conformity with general accepted accounting principles. A complete set of published financial statement comprises of income statement, statement of changes in Equity, Statement of financial position, statement of cash flows and notes to the financial accounts.
- The accounts failing to have statement of changes in equity amounts to the matter being material and hence adverse opinion is necessary.

**3.**

- Disclaimer opinion may be issued in this case. the physical inventory counts sheets of two deposits of construction materials were lost before they were made available and not able to confirm the inventory amount which amounts to limitation of scope.
- Where there is a limitation of scope on matter that is material then the auditor is required to issue disclaimer opinion . This means that the auditor is unable to obtain sufficient appropriate audit evidence to conclude on whether the financial statement as a whole are free from material misstatement

## QUESTION 13

### September 2021 Question Two B

International Standard on Auditing (ISA) 705, "Modifications to the Opinion in the Independent Auditor's Report", sets out the different types of modified opinions.

#### **Required:**

With reference to the above Standard, discuss three ways in which an auditor's opinion may be modified. (6 marks)

### ANSWER

#### **Modified audit opinions**

**Qualified opinion** will be issued due to either the auditor being unable to obtain sufficient appropriate audit evidence in respect of a matter or because the auditor concludes the financial misstatements contain material misstatement.

The opinion will be expressed as being except for effects or possible effects of the matter that the qualification relates to the misstatements (or possible misstatements) will be material but not pervasive.

#### **Disclaimer of opinion**

When the auditor is unable to obtain sufficient appropriate audit evidence and the possible effects are both material

and pervasive, the auditor is unable to express an opinion on the financial statements and disclaimer of opinion will be expressed.

### **Adverse opinion**

When the auditor concludes the accounts are materially misstated and the misstatements are both material and pervasive, the financial statement are misleading and an adverse opinion will be expressed.

## **QUESTION 14**

### **September 2021 Question Two C**

- (i) Define the term "going concern" as per International Standard on Auditing (ISA) 570, "Going Concern".  
(2 marks)
- (ii) Propose four responsibilities of auditors with respect to going concern.  
(4 marks)

## **ANSWER**

### **i) Going concern**

Going concern assumption is a fundamental principle in the preparation of financial statements.

It assumes that an entity will continue in business for the foreseeable future with neither the intention nor the necessity of liquidations ceasing trading or seeking protection from creditors.



Assets and liabilities are usually recorded on the basis that entity will be able to realize its assets and discharge its liabilities in the norm of doing business.

## **ii) Responsibilities of an auditor with respect to going concern**

- The auditor must consider the appropriateness of management use of the going concern assumption in the preparation of the financial statements through the review of future projections and discussions with management.
- The auditor must also consider whether there are material uncertainties about the entity's ability to continue as a going concern which need to be disclosed in the accounts.
- The auditor must consider whether there are adequate disclosures regarding to the going concern basis in the accounts for them to give a true and fair view.
- The auditor must also report to the audit committee if he or she believes that the going concern assumption has not be used appropriately.

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## **QUESTION 15**

### **May 2021 Question Four A**

At the end of the audit process, an auditor prepares an audit report expressing his opinion on the financial statements.

As an auditor, summarise four matters that you would include in the introductory paragraph of your audit report.  
(4 marks)

### **ANSWER**

#### **Matters that should be included in the introductory paragraph of Audit report**

1. The data and period covered by the financial statements
2. The statement of auditor's responsibility with regards to the financial statements.
3. Statement of management responsibility with regards to the financial statements.
4. The financial statements audited

### **QUESTION 16**

#### **May 2021 Question Five A**

Assess five potential indicators that a client's company is not a going concern.  
(10 marks)

### **ANSWER**

## **Potential indicators that a clients company is not a going concern**

1. Loss of major customers and markets
2. Loss of key management/operating personnel without replacement.
3. shortage important suppliers
4. Negative operating cashflows
5. Denial of credit suppliers
6. Adverse key financial ratios
7. In ability to pay creditors on time
8. Changes in law and legislations adversely affecting the firm.

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## **QUESTION 17**

### **November 2020 Question Three B**

Any work delegated to audit assistants should be directed, supervised and reviewed in a manner which provides reasonable assurance that such work is performed competently.

### **Required:**

Examine four matters that might be taken into consideration when reviewing the work performed by audit assistants in an audit engagement. (4 marks)

## **ANSWER**

## **Matters that might be taken into consideration when reviewing the work performed by audit assistant in an audit engagement**

1. Experience in similar audit assignments i.e the work previously performed by audit staff.
2. understanding of the professional technical standards and legal requirements that are applicable to all auditors in audit of financial statements
3. Understanding of the audit firm quality control procedures. this is to ensure that objectives of audit of financial statements are met.
4. Ability to make professional judgment . The ability for them to express opinion on regard to the financial statements. Knowledge about the industry

## **QUESTION 18**

### **November 2019 Question One B**

In relation to audit investigations:

- i. Highlight six characteristics of audit investigations  
(6 marks)
- ii. Evaluate eight reasons why audit investigations might be conducted  
(8 marks)

## **ANSWER**

### **Audit investigations**

#### **(i) Characteristics of audit investigations**

1. Systematic process.
2. Three-party relationship.
3. Subject matter.
4. Evidence.
5. Established criteria.
6. Opinion.

**(ii) Reasons why audit investigations is conducted**

1. **Detection and Prevention of Errors** - The errors whether committed innocently or deliberately are discovered by the process of audit and its presence prevents their occurrence in the future. No one will try to commit an error or fraud as the accounts are subject to audit and hence they will have a fear of being detected.
2. **Verification of Books** – audit investigation helps in the verification of the books of accounts, which helps in maintaining the records up to date at all times.
3. **Independent Opinion** – Audit investigation is very useful in obtaining the independent opinion of the auditor about business condition. If the accounts are audited by an independent auditor, the report of the auditor will be true and fair in all respects and it will be of extreme importance for the management of the company.

4. **Detection and Prevention of Frauds** - Just like errors, frauds are discovered by audit investigations and its presence minimizes future malpractices
5. **Purchase of Shares**- If any client wants to purchase the shares of the company, investigation can be conducted on his behalf to know the real position of the company.
6. **Business Removal**- In case of a compulsory removal of business, investigation is conducted to find out the amount of compensation payable.
7. **Credit Purpose**- Sometimes bank or client wants to grant the loan to a business. So investigation is made on his behalf to know the financial position of the firm.
8. **Auditor's Negligence**- If there is a charge of negligence on auditor then investigation may be conducted on behalf of the company or any person
9. **Insurance Claims**- Investigation may be conducted for claims under insurance policy covering the losses.
10. **Taxation**- Investigation object may be the tax justification. To determine the income tax investigation can be made by the income tax department

## QUESTION 19

### November 2019 Question Three A

Your firm, JM and Associates, has just concluded at external audit on Familia Medical Services Ltd. Based on the audit findings, JM and Associates issued an unqualified report to the company.

### **Required**

- i) Explain the term —unqualified report” (2 marks)
- ii) Suggest five matters that could be included in your unqualified report to the company (5 marks)

### **ANSWER**

#### **Familia Medical Services Ltd**

##### **(i) Meaning of unqualified opinion**

Often called a **clean opinion**, is an audit report that is issued when an auditor determines that each of the financial records provided by the business is free of any misrepresentations. In addition, an unqualified opinion indicates that the financial records have been maintained in accordance with the standards known as Generally Accepted Accounting Principles (GAAP). This is the best type of report a business can receive.

##### **(ii) Matters that should be included in unqualified report**

1. A title.

2. An addressee, as required by the circumstances of the engagement.
3. An Opinion section containing an expression of opinion on the financial statements and a reference to the applicable financial reporting framework used to prepare the financial statements
4. An identification of the entity's financial statements that have been audited.
5. A statement that the auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit, and has fulfilled the auditor's other ethical responsibilities in accordance with these requirements.
6. For audits of complete sets of general purpose financial statements of listed entities, the name of the engagement partner unless, in rare circumstances, such disclosure is reasonably expected to lead to a significant personal security threat.
7. The auditor's signature.
8. The auditor's address.
9. The date of the auditor's report

## **QUESTION 20**

### **November 2019 Question Four A**

In the context of International Standard on auditing (ISA) 560 – subsequent Events:



- i) Distinguish between “adjusting events” and “non-adjusting event” giving an example in each case (4 marks)
- ii) Analyse the relationship between “going concern” and “non-adjusting event” (2 marks)

## **ANSWER**

### **International Standard on Auditing (ISA) 560 – Subsequent events**

Financial statements may be affected by certain events that occur after the date of the financial statements.

#### **(i) Distinction between “adjusting events” and “non-adjusting events” with examples**

**Adjusting events** - These are events that provide additional evidence relating to conditions existing at the reporting date. Such events provide new information about the items included in the financial statements and hence the financial statements should be adjusted to reflect the new information.

Examples of adjusting events include:

1. Allowances for damaged inventory and doubtful receivables.
2. Amounts received or receivable in respect of insurance claims which were being negotiated at the reporting date.

3. The determination of the purchase or sale price of non-current assets purchased or sold before the year-end.
4. Agreement of a tax liability.
5. Discovery of errors/fraud revealing that the financial statements are incorrect.

### **Non-adjusting event**

These are events concerning conditions which arose after the reporting date. If material, disclosure is required in the notes to the financial statements indicating what effect the events may have. Such events, therefore, will not have any effect on items in the statements of financial position or statement of profit or loss for the period.

Examples of non-adjusting events include:

1. Issue of new share or loan capital.
2. Major changes in the composition of the group (for example, mergers, acquisitions or reconstructions).
3. Losses of non-current assets or inventory as a result of fires or floods.
4. Strikes, government action such as nationalisation.
5. Purchases/sales of significant non-current assets

### **(ii) Relationship between “going concern” and “non-adjusting event.”**

Both touches on fate of the company after issue of the financial statements and confirmation that a company is a going concern leads to confirmation that the events happening after balance sheet are non-adjusting

## QUESTION 21

### **November 2019 Question Four B**

The financial reporting year of Kipengo Ltd. ends on 31 October. The financial statements of the company for the year ended 31 October 2019 are due to be approved on 15 December 2019. You were appointed to carry out the audit assignment and arising from your audit work, the following events have come to your attention.

1. On 5 November 2019, Kipengo Ltd. sold inventory for a price which was less than its cost price. (The inventory had been recorded in the financial statements as closing inventory)
2. Kipengo Ltd. issued new shares on 7 November 2019
3. A fire in the warehouse destroyed all of Kipengo Ltd's inventory on 10 November 2019
4. A major customer who owed Kipengo Ltd. Sh. 3,000,000 as at 31 October 2019 was declared bankrupt on 12 November 2019
5. On 23 November 2019, Kipengo Ltd. purchased an asset worth Sh. 1,600,000

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## Required

Review each of the events above. Advise, with reasons, if the event is an adjusting or non-adjusting event and the action to be taken (if any) on KipengoLtd's financial statements. (10 marks)

## ANSWER

### Advice with reasons and actions to be taken

#### 1. Sale of Inventory at a Loss (5 November 2019):.

**Action:** This is an adjusting event. The inventory should be adjusted to its net realizable value, which is the lower of cost or selling price. This will result in a loss on sale of inventory.

**Reason:** The inventory was not sold at its fair value, so the financial statements need to be adjusted to reflect this.

#### 2. Issuance of New Shares (7 November 2019):

**Action:** This is a non-adjusting event. The issuance of new shares occurred after the reporting date and does not affect the financial statements for the year ended 31 October 2019.

**Reason:** The event occurred after the reporting date and does not affect the financial position or performance of the company as at the balance sheet date.

### 3. Fire Destroying Inventory (10 November 2019):

**Action:** This is a non-adjusting event. The fire occurred after the reporting date and does not affect the financial statements for the year ended 31 October 2019.

However, the event should be disclosed in the notes to the financial statements.

**Reason:** The event occurred after the reporting date and does not affect the financial position or performance of the company as at the balance sheet date. However, it is important to disclose the event so that users of the financial statements are aware of it.

### 4. Bankruptcy of Major Customer (12 November 2019):

**Action:** This is an adjusting event. The allowance for doubtful debts should be adjusted to reflect the fact that the customer is now bankrupt and the debt is unlikely to be collected.

**Reason:** The bankruptcy of the customer occurred after the reporting date, but it provides evidence of conditions that existed at the balance sheet date.

Therefore, the financial statements need to be adjusted to reflect this.

### 5. Purchase of Asset (23 November 2019):

**Action:** This is a non-adjusting event. The purchase of the asset occurred after the reporting date and does not affect the financial statements for the year ended 31 October 2019.

**Reason:** The event occurred after the reporting date and does not affect the financial position or performance of the company as at the balance sheet date.

## QUESTION 22

### May 2019 Question One

The Finance Director of Usonga Ltd. has informed you that some fraud took place during the year in the company's payroll department. A number of fictitious employees were set up on the payroll and wages were paid into one bank account that belonged to two supervisors who have recently resigned. One of the supervisors had the sole responsibility for setting up new entrants in the payroll system, while the other supervisor processed and authorised bank transfer requests for wages and supplier payments.

The finance director has requested your audit firm for recommendations on how to improve controls in this area to prevent this type of fraud recurring. Usonga Ltd. has recently established a Human Resources department.

**Required:**

- (a) Explain three types of control that Usonga Ltd. could put in place to reduce the risk of the above fraud recurring. For each control, describe how it would mitigate the risk. (12 marks)
- (b) Describe four procedures which you would perform to assess whether Usonga Ltd. is a going concern. (8 marks)

**ANSWER****a) Types of control that Usonga Ltd. could put in place to reduce the risk of the above fraud recurring and how each control would mitigate the risk**

1. Proof of identity checks should be undertaken by the Human Resources (HR) department and recorded on individuals' personnel files for all new employees set up on the payroll system: - This should reduce the risk of fictitious employees being set up, as in order to be set up on the system a fictitious set of identification would be required which would be an onerous process.
2. A count should be undertaken of the number of employees in each department of Usonga Ltd; this should be reconciled to the number of employees on the payroll system: - This would identify if there are

extra employees on the payroll system, which could then be investigated further.

3. The HR department should initiate the process for setting up new joiners by asking new employees to complete a joiner's form which will be approved by the relevant manager and HR. This request should then be forwarded to the payroll department, who should set up the employee: - This control introduces segregation of duties as in order to set up employees both the HR and payroll departments are involved. Without collusion with an HR employee, the payroll supervisor would be unable to set up fictitious employees.
4. All new joiners should be only be set up by payroll on receipt of a joiner's form and any additions to the system should be authorised by the payroll director. An edit report should be generated and reviewed by HR: - As all new joiners would be authorised by the payroll director, it is unlikely that payroll employees would risk establishing fictitious joiners. A further review by the HR department would also detect any employees without an authorised joiner form.
5. Where possible, employees who are related should not be allowed to undertake processes which are interrelated whereby they can breach segregation of duty controls for key transaction cycles. A regular



review of job descriptions of related employees should be carried out by HR: - This should reduce the risk of related staff colluding and being able to commit a fraud.

6. The payroll system should be amended to run an exception report which identifies any employees with the same bank account name or number and this should be reviewed by HR: - Identifying the same bank account name or number will prevent multiple fraudulent payments being made to the same employees.

7. All bank transfer requests should be authorised by a senior responsible official, who is independent of the processing of payments; they should undertake spot checks of payments to supporting documentation, including employee identification cards/records: - This would introduce an additional layer of segregation of duties, which would reduce the risk of fraud occurring. In addition, the spot checks to employee identification cards/records would confirm the validity of payments.

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**b) Procedures which you would perform to assess whether Usonga Ltd is a giving concern**

- Obtain Usonga Ltd cash flow forecast and review the cash in and out flows. Assess the assumptions for

reasonableness and discuss the findings with management to understand if the company will have sufficient cash flows to meet liabilities as they fall due.

- Enquire of the lawyers of Usonga Ltd as to the existence of litigation and claims; if any exist, then consider their materiality and impact on the going concern basis.
- Reviewing post balance sheet events to see their impact.
- Review the post year-end board minutes to identify any other issues which might indicate financial difficulties for the company.
- Perform audit tests in relation to subsequent events to identify any items which might indicate or mitigate the risk of going concern not being appropriate.
- Consider whether any additional disclosures as required by IAS 1 Presentation of Financial Statements in relation to material uncertainties over going concern should be made in the financial statements.
- Obtain a written representation confirming the directors' view that Usonga Ltd is a going concern.

## **QUESTION 23**

### **May 2019 Question Four A**

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With reference to an auditor's report, examine the matters that are included in the following paragraphs:

- (i) Basis for opinion. (3 marks)
- (ii) Key audit matters. (3 marks)

## **ANSWER**

**Matters to be included in the following paragraphs**

**i) Basis for opinions**

1. Materiality of financial statements and if they are persuasive or not
2. If the financial statements give a true and fair view.
3. Clearly written expression of auditors opinion on financial statements based on work done.

**ii) Key audit matters**

- a) Matters regarding going concern
- b) Material subsequent events
- c) Explanation of new legislation materially affecting financial statements
- d) Contingent liability that may affect future of entity

## **QUESTION 24**

### **November 2018 Question One D**

With reference to an auditor's report, discuss five matters that should be included in the —auditor's responsibilities for the audit of the financial statements" paragraph.

(10 Marks)

**ANSWER**

**Five matters that should be included in the auditors in the auditors responsibilities for the audit of the financial statement paragraph**

- i. Matters to express an opinion on financial statements based on work done by management
- ii. The planning of the audit and how the auditor is going obtain reasonable assurance that financial statements are free from material misstatements.
- iii. Methods of gathering sufficient and appropriate evidence to help informing an opinion
- iv. Indicate if accounting principles have been applied on the financial statement audited.
- v. To indicate if he received all necessary explanations and information on financial statements as regards the audit

**QUESTION 25****November 2018 Question Three C**

International Standard on Auditing (ISA) 510, —Initial Audit Engagements - Opening Balances” requires auditors to undertake additional audit procedures for confirming opening balances for new audit engagements. In addition, the ISA gives guidance on audit report

implications if auditors are unable to confirm opening balances or if they contain misstatements.

**Required:**

- (i) Describe the procedures the auditor should undertake to confirm opening balances for a new audit engagement. (3 marks)
- (ii) Explain the impact on the audit report if the auditor is unable to confirm the opening balances or if the opening balances contain misstatements. (3 marks)

**ANSWER**

**ISA 510 initial audit engagements – opening balances**

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**i) Describe the procedures the auditor should undertake to confirm opening balances for a new audit engagement**

The auditor should check.

1. If opening balances don't contain material misstatements that may affect current periods financial statements
2. Prior periods closing balances have been correctly brought forward to current period
3. Appropriate accounting policies are appropriately applied.

**ii) Impact on the audit report if the auditor is unable to confirm the opening balance contain misstatements**

If the auditors is unable to confirm if opening balances contain misstatements then the auditor should express a qualified opinion or disclaimer of opinion after determining the materiality of the misstatements.

**QUESTION 26**

**November 2018 Question Three D**

Citing two areas and with relevant examples in each case, explain the purpose of a value for money audit. (4 marks)

**ANSWER**

**Two areas and with relevant examples in each case.**

**Explain the purpose of a value for money audit**

The purpose of value for money is to determine

1. Effectiveness
2. Efficiency
3. Economical

For example in

1. Government agency e.g. Kenya tea development agency
2. Charitable organization e.g. US Aid to determine if donations have been properly utilized

## QUESTION 27

### May 2018 Question Five A

A suitable criteria is the benchmark used to evaluate a subject matter for the purpose of presentation and disclosure.

#### Required:

Describe three characteristics of a suitable criteria.

(6 marks)

### ANSWER

**Characteristics of a suitable criteria used to evaluate a subject matter for the purpose of presentation and disclosure**

1. **Relevance:** Relevant criteria contribute to conclusions that assist decision-making by the intended users of the assurance report.
2. **Completeness:** Criteria are sufficiently complete when relevant factors that could affect the conclusions in the context of the engagement circumstances are not omitted. Complete criteria include, where relevant, benchmarks for presentation and disclosure, or where it supports the fair description of systems and controls in operation.
3. **Reliability:** Reliable criteria allow reasonably consistent evaluation or measurement of the subject

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matter including, where relevant, presentation and disclosure, when used in similar circumstances by similarly qualified practitioners.

4. **Neutrality:** Neutral criteria contribute to conclusions that are free from bias.

5. **Understandability:** Understandable criteria contribute to conclusions that are clear, comprehensive, and not subject to significantly different interpretations.

## QUESTION 28

### November 2017 Question Two C

Analyse five circumstances that might lead to qualification of financial statements.

(5 marks)

## ANSWER

### Circumstances that might lead to qualification of financial statements

1. If auditor failed to get all materials deemed necessary for the audit
2. Inconsistency of financial records
3. In case financial statements were not prepared in accordance with the relevant laws.
4. If there has not been accounting records kept
5. Material misstatement of facts



## QUESTION 29

### November 2017 Question Three B

Citing a relevant example in each case, distinguish between —adjusting events” and “non-adjusting events”.

(6 marks)

### ANSWER

#### Distinction between “adjusting events” and “non-adjusting events”

##### Adjusting events

These are events that provide additional evidence relating to conditions existing at the reporting date. Such events provide new information about the items included in the financial statements and hence the financial statements should be adjusted to reflect the new information.

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Examples of adjusting events include:

- Allowances for damaged inventory and doubtful receivables.
- Amounts received or receivable in respect of insurance claims which were being negotiated at the reporting date.
- The determination of the purchase or sale price of non-current assets purchased or sold before the year-end.
- Agreement of a tax liability.

- Discovery of errors/fraud revealing that the financial statements are incorrect.

### **Non-adjusting events**

These are events concerning conditions which arose after the reporting date. If material, disclosure is required in the notes to the financial statements indicating what effect the events may have. Such events, therefore, will not have any effect on items in the statements of financial position or statement of profit or loss for the period.

Examples of non-adjusting events include:

- Issue of new share or loan capital.
- Major changes in the composition of the group (for example, mergers, acquisitions or reconstructions).
- Losses of non-current assets or inventory as a result of fires or floods.
- Strikes, government action such as nationalisation.
- Purchases/sales of significant non-current assets

### **QUESTION 30**

#### **November 2017 Question Four C**

You are the audit manager in charge of the audit of Lenga Ltd. You have come across the following matters which you consider to be material. Explain how you would report each matter in the audit report:

---

- (i) A major customer owing the company a substantial amount, has filed for bankruptcy. No provision for this has been made in the financial statements. (2 marks)
- (ii) Some of the company's inventory is of a special nature. The expert you were relying on to value them might not be available to carry out the valuation in time for issuance of an audit report. You have to rely on management representation. (2 marks)
- (iii) A major supplier has gone out of business and there is no immediate alternative for the raw material in question. (2 marks)
- (iv) After the financial year end, a major fire broke out destroying machinery that had been purchased at the end of the year. (2 marks)

## **ANSWER**

### **How to report each matter in the audit report:**

#### **(i) Unprovided bankruptcy of a major customer:**

- An emphasis-of-matter paragraph would be included in the audit report. It would specifically address the bankruptcy of the major customer who owes a substantial amount to Lenga Ltd.
- The paragraph would state that no provision has been made in the financial statements for the potential loss resulting from the bankruptcy.

- It would highlight the significance of this event and its potential impact on the company's financial position, drawing attention to the uncertainty regarding the recoverability of the outstanding amount.

**(ii) Inventory valuation reliance on management representation due to expert unavailability:**

- This situation would warrant another emphasis-of-matter paragraph in the audit report.
- It would disclose the reliance on management representation for the valuation of the special nature inventory due to the unavailability of the expert.
- The paragraph would outline the limitations of relying solely on management representation for valuation, emphasizing the uncertainty associated with the valuation process.

**(iii) Disruption due to the supplier going out of business:**

- This matter could be disclosed as a separate paragraph in the audit report or included within the emphasis-of-matter paragraph related to the overall uncertainty in the company's operations.

- It would state the impact of the major supplier going out of business and the absence of an immediate alternative for the essential raw material.
- Emphasize the potential risk to the company's operations and supply chain, highlighting the uncertainty surrounding the continuity of production or increased costs due to sourcing alternatives.

**(iv) Post year-end fire incident impacting machinery:**

- This event would typically not be included in the audit report since it occurred after the financial year-end.
- However, it might be disclosed in the notes to the financial statements as a subsequent event to provide additional information about the event's impact on the company's assets and operations.
- The disclosure would outline the nature of the incident and, if possible, the potential financial consequences for the company in terms of the impairment or loss of machinery.

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## **QUESTION 31**

### **May 2017 Question One A**

Discuss five disclosure requirements that should be made in an audit report as specified in the Companies Act.

(10 marks)

**ANSWER****Disclosure requirements in an audit report as specified in Companies Act**

1. State in the report whether, in the auditor's opinion, balance sheet gives a true and fair view of the company.
2. State in the report whether, in the auditor's opinion, profit and loss account gives a true and fair view of the company.
3. Whether financial statements have been prepared in accordance with the relevant financial reporting framework
4. Whether financial statements have been prepared in accordance with companies Act.
5. State in the report whether the report is qualified or unqualified
6. Include in the report a reference to any matters to which the auditor wishes to draw attention without qualifying the report.
7. For the case of quoted companies, state whether in the auditor's opinion, that part of the director's remuneration report has been properly prepared in accordance with the companies Act.
8. Whether proper books of accounts have been kept

**QUESTION 32**

**May 2017 Question Three A i**

Explain the following terms as used in auditing:

(i) Emphasis of matter paragraph. (2 marks)

**ANSWER****Meaning of terms**

**Emphasis of matter paragraph** – There are occasions when the auditor has no reservation as to the financial statements but where they exist unusual events, conditions or accounting policies and he feels that unless the reader may not reach a proper understanding of the financial position and results. In such circumstances, the auditor should express an unqualified opinion including an extra paragraph called ‘emphasis of the matter paragraph’ to draw attention of the reader to the unusual matter. The addition of such an emphasis of matter paragraph does not lead to a qualification of the audit opinion but is intended to enable the reader obtain a better understanding. To avoid this being understood as a qualification, the emphasis of the matter paragraph should contain the phrase ‘without qualifying our opinion’.

**QUESTION 33****May 2017 Question Five A**

State the opinions you would give in each of the following situations:

- (i) The books of the client were taken away by the regulator for investigations and were not available for audit. (2 marks)
- (ii) The provision for doubtful debts was not adequate. The debtors in the financial statement were misstated but the financial statements gave a true and fair view. (2 marks)
- (iii) There was no provision for depreciation and the directors were unwilling to provide for any amounts during the financial year. The amount if provided for would reduce the reported profit by 30%. (2 marks)
- (iv) There was a legal suit filed by a customer who was unsatisfied with the goods supplied but no provisions were made in the books. The assessment of the case by the company lawyers indicate that the customer has very slim chances of success. (2 marks)

## ANSWER

### Audit opinions

- (i) **Disclaimer of opinion** – auditor has not obtained sufficient audit evidence
- (ii) **Unqualified opinion except for** – auditor should bring to attention misstatement of debtors
- (iii) **Adverse opinion** – the effect of omitting provision for depreciation is pervasive



- (iv) **Unqualified opinion** – financial statements reflect true and fair view because chances of success of the case are minimal

## QUESTION 34

### November 2016 Question Two A

You have been appointed the lead auditor in charge of the audit of Sky Computer Limited. The financial year ended on 31 January 2016 and the audit was concluded on 1 March 2016. The audit report was signed on 15 May 2016 and the financial statements issued on 20 June 2016. The following material events occurred between the balance sheet date and 30 June 2016:

1. 25 February 2016 - A sudden flood resulted in damage of an uninsured equipment worth Sh. 12 million.
2. 1 May 2016 - A customer owing Sh.4 million was declared bankrupt and no recovery of the amount was expected.
3. 15 June 2016 - The company lost a law' suit amounting to Sh.6 million which was filed in 2013 by a customer due to a defective computer software.
4. 25 June 2016 - The Board of directors approved the closure of a division that had been making losses consistently for the last four years.

**Required:**

Explain the appropriate treatment of each of the above events. (8 marks)

**ANSWER****Appropriate treatments**

1. This subsequent event is a non-adjusting event and should be disclosed by a way of note
2. This subsequent event is an adjusting event and provision for doubtful debts require an adjustment
3. This subsequent event require adjusting because it relates to condition that has been existing at balance sheet
4. This subsequent event happened after issue of financial statements and auditor has no responsibility. Amounts to non-adjusting event

**QUESTION 35****November 2016 Question Two B**

Describe four audit procedures necessary to aid in obtaining evidence relating to subsequent events.

(8 marks)

**ANSWER**

**Audit procedures necessary to aid in obtaining evidence relating to subsequent events**

1. Obtaining an understanding of any procedures management has established to ensure that subsequent events are identified.
2. Inquiring of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements.
3. Reading minutes, if any, of the meetings of the entity's owners, management and those charged with governance that have been held after the date of the financial statements and inquiring about matters discussed at any such meetings for which minutes are not yet available.
4. Reading the entity's latest subsequent interim financial statements, if any

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## QUESTION 36

### **November 2016 Question Two C**

Explain the responsibility of an auditor with regard to events occurring between the date the financial statements are signed and the annual general meeting. (4 marks)

### **ANSWER**

**Responsibility of an auditor with regard to events occurring between the date the financial statements are signed and the annual general meeting.**

The auditor has no obligation to perform any audit procedures regarding the financial statements after the date of the auditor's report. However, if, after the date of the auditor's report but before the date the financial statements are issued, a fact becomes known to the auditor that, had it been known to the auditor at the date of the auditor's report, may have caused the auditor to amend the auditor's report, the auditor shall:

1. Discuss the matter with management and, where appropriate, those charged with governance;
2. Determine whether the financial statements need amendment and, if so,
3. Inquire how management intends to address the matter in the financial statements.

## **QUESTION 37**

### **May 2016 Question One B**

During the audit of Bamboo Ltd., you suspect that there might have been some irregularities in the procurement

In the context of International Standard on Auditing (ISA) 260 - "Communicating with those charged with governance describe three matters that the auditor should communicate to those charged with governance in relation to auditor independence. (6 marks)

**ANSWER****Audit steps while unearthing irregularities in the procurement department**

1. Proper segregation of duties with regard to requisition, inspection and receipt of goods
2. Requisition of goods is done by certain employees
3. All purchase orders and goods received notes are properly serialized
4. All goods purchased are properly authorized
5. Goods returned are well recorded and credit notes issued
6. Purchases are well documented
7. All payments are well authorized

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**QUESTION 38****May 2016 Question Two C**

Describe four types of audit opinions that an auditor could issue. (8 Marks)

**ANSWER****Types of audit opinions****1. Qualified opinion**

The auditor expresses a qualified opinion when:

- The auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements,

- individually or in the aggregate, are material, but not pervasive, to the financial statements; or
- The auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, but the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be material but not pervasive

## **2. Adverse opinion**

The auditor expresses an adverse opinion when, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are both material and pervasive to the financial statements

## **3. Disclaimer opinion**

The auditor expresses unqualified opinion when:

- The disclaimer opinion is issued when the auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, and the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive or;
- In extremely rare circumstances involving multiple uncertainties, the auditor concludes that, notwithstanding having obtained sufficient

appropriate audit evidence regarding each of the individual uncertainties, it is not possible to form an opinion on the financial statements due to the potential interaction of the uncertainties and their possible cumulative effect on the financial statement

#### **4. Unqualified opinion**

This is issued when the auditor is satisfied in all material aspects that enable him express the required opinion on financial statements without any reservation. This is sometimes called a clean opinion. It is expressed when the auditor concludes that the financial statements give a true and fair view in accordance with the relevant financial reporting standards.

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### **QUESTION 39**

#### **May 2016 Question Five A**

In the context of International Standards on Auditing (ISA) 560 - "Subsequent Events":

- (i) Define the term "subsequent event". (2 marks)
- (ii) Discuss two objectives of the auditor in relation to subsequent events. (4 marks)

### **ANSWER**

#### **Subsequent events – ISA 560**

- i. **Definition** – Events occurring between the date of the financial statements and the date of the auditor's report, and facts that become known to the auditor after the date of the auditor's report

**Date of the financial statements** – The date of the end of the latest period covered by the financial statements.

- ii. **Auditor's objectives in relation to subsequent events**

1. To obtain sufficient appropriate audit evidence about whether events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements are appropriately reflected in those financial statements in accordance with the applicable financial reporting framework
2. To respond appropriately to facts that become known to the auditor after the date of the auditor's report, that, had they been known to the auditor at that date, may have caused the auditor to amend the auditor's report.

## **QUESTION 40**



**May 2016 Question Five C**

You have been appointed the auditor of Fadhili Ltd. and as part of the audit, you have requested management to provide you with a letter of representation.

**Required:**

Discuss three matters you would expect to find in the letter in relation to management's responsibilities.

(6 marks)

**ANSWER****Contents of letter of representation in relation to management responsibilities**

The auditor should obtain the acknowledgement and agreement of management and, where appropriate, those charged with governance that they understand their responsibilities for:

1. Preparing and presenting the financial statements in accordance with the applicable financial reporting framework;
2. Designing, implementing, and maintaining internal control relevant to the preparation and presentation of financial statements that are free from material misstatement, whether due to fraud or error
3. Providing complete information to the auditor.

**QUESTION 41**

**November 2015 Question One C**

In the context of International Standard on Auditing (ISA) 220-Quality Control for an Audit of Financial Statements, discuss the quality control procedures the engagement partner might consider in each of the following:

- (i) Client acceptance. (4 marks)
- (ii) Engagement team. (4 marks)
- (iii) Direction. (4 marks)

**ANSWER**

**Quality control procedures engagement partner should consider.**

**i. Client acceptance**

- Technical proficiency to undertake the audit
- The terms of engagement have been agreed in writing
- The quality control aspects for the assignment have been reviewed including review of the competency of the team to carry out the assignment, review of compliance with the ethical requirements, including review of the independence requirements.

**ii. Engagement team**

- The engagement team's evaluation of the firm's independence in relation to the audit engagement
- The engagement team is enough to conduct the audit

- If they are qualified and competent
- If they're experienced and have knowledge about the client

### iii. Direction

- Relevance and adequacy of the firm's policies and procedures
- Appropriateness of the firm's guidance materials
- Effectiveness of professional development activities
- Compliance with the firms policies and procedures

## QUESTION 42

### November 2015 Question Three A

(i) Explain the meaning of the term —going concern”.

(2 marks)

(ii) State eight factors that might indicate doubt in the ability of an entity to continue as a going concern.

(8 marks)

### ANSWER

#### a) Going concern

- Definition** - Is the assumption that the entity will continue in business for the foreseeable future.
- Factors that indicate doubt in the ability of an entity to continue as a going concern**
  1. Net current liabilities (or net liabilities overall):  
indicates an inability to meet debts as they fall due.

2. Borrowing facilities not agreed or close to expiry of current agreement: lack of access to cash may make it difficult for a company to manage its operating cycle.
3. Defaulted loan agreements: loans normally become repayable on default, the company may find it difficult to repay loan.
4. Unplanned sales of non-current assets: indicates an inability to generate cash from other means and as non-current assets generate income, will cause a decline in income and therefore profits.
5. Missing tax payments: results in fines and penalties, companies normally prioritise tax payments indicating a lack of working capital.
6. Failure to pay the staff: indicates a significant lack of working capital.
7. Negative cash flow: indicates overtrading.
8. Inability to obtain credit from suppliers: suggests failure to pay suppliers on time and working capital problems.
9. Major technology changes: inability or insufficient funds to keep up with changes in technology will result in loss of custom and obsolescence of inventory.
10. Legal claims: successful legal claims may result in significant cash payments that can only be settled with liquidation.

11. Loss of key staff: may result in an inability to trade.
12. Over-reliance on a small number of products, staff, suppliers or customers: loss may result in inability to trade.
13. Customers ceasing to trade or having cash flow difficulties: likely to become an irrecoverable debt and therefore payment won't be received.
14. Emergence of a successful competitor: will impact revenue if customers switch.
15. Uninsured/under-insured catastrophes: the company may not have enough cash to survive.
16. Changes in laws and regulations: the cost of compliance may be more than the company can afford.

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## QUESTION 43

### September 2015 Question Two C

- (i) A Junior colleague working at your firm is uncertain as to why on every audit all of the work carried out by the audit team is regularly reviewed by the audit manager.

#### **Required:**

Explain the purpose of the review carried out by the audit manager. (5 marks)

- (ii) List two examples of subsequent events that may provide confirming evidence when auditing the financial statements of a large manufacturing company. (2 marks)
- (iii) State the auditor's responsibility for reporting on the going concern assumptions of a company. (3 marks)

## **ANSWER**

### **I. Purpose of review by audit manager**

1. To determine if audit work was done as assigned
2. Check for compliance to all set necessary rules and regulations
3. Check completeness against audit program
4. Confirm if client objectives were met
5. To determine if report was properly drawn
6. Completeness of working papers

### **II. Confirming events that can provide confirming evidence when auditing financial statements of a large manufacturing company (adjusting events)**

1. Recovery of bad debt after balance sheet date
2. Bankruptcy of a debtor after balance sheet date
3. Allowances for damaged inventory and doubtful receivables.

4. Amounts received or receivable in respect of insurance claims which were being negotiated at the reporting date.
5. The determination of the purchase or sale price of non-current assets purchased or sold before the year-end.
6. Agreement of a tax liability.
7. Discovery of errors/fraud revealing that the financial statements are incorrect.

### **III. Auditor's responsibility for reporting on the going concern assumptions of a company.**

1. Read minutes of BOD, shareholders to identify financial difficulties
2. Auditor should be aware of any circumstances causing doubts on going concern
3. Analyse and discuss with management on the interim financial statements
4. Inquire from company's lawyers any existence of litigation and significant claims

# TOPIC 15

## AUDITING IN A COMPUTERISED SYSTEM

### QUESTION 1

#### April 2024 Question Two C

Explain **FIVE** challenges that an auditor could face when performing an audit in a computerised information systems environment. (5 marks)

### ANSWER

#### Challenges Faced by Auditors in a Computerised Information Systems Environment

- 1. Complexity and Volume of Data:** Computerised systems generate vast amounts of data, making it difficult for auditors to manually review and analyse all the information. Auditing software tools can help process and analyse large datasets, but they also require a high level of expertise to use effectively.
- 2. Security and Privacy:** Protecting the confidentiality, integrity, and availability of data is a major concern in computerised audits. Unauthorised access, data breaches, and cyber-attacks pose significant risks that must be mitigated through robust security measures and strict access controls.



3. **System Complexity:** Computerised systems can be complex, with multiple interconnected components and dependencies that make it challenging to trace transactions and identify errors or fraudulent activities. Understanding the system architecture, configurations, and workflows is essential for conducting an effective audit.
4. **Continuous Change:** Computerised systems are constantly evolving, with new features, updates, and patches being released regularly. Keeping up with these changes and ensuring that they do not introduce new vulnerabilities or risks is a significant challenge for auditors.
5. **Dependency on IT Infrastructure:** Auditing in a computerised environment relies heavily on IT infrastructure such as servers, networks, databases, and software applications. Ensuring that this infrastructure is reliable, secure, and functioning optimally is crucial for conducting an effective audit.
6. **Skills Gap:** Conducting an audit in a computerised environment requires a unique set of skills that may not be present in all auditors. These skills include proficiency in using audit software tools, understanding of system architectures and configurations, knowledge of cybersecurity best

practices, and familiarity with relevant regulations and standards (e.g., SOX, HIPAA).

7. **Regulatory Compliance:** Ensuring compliance with relevant regulations and standards is a critical aspect of computerised audits. Auditors must have a deep understanding of the applicable laws and guidelines to ensure that their clients' systems meet the required standards for data security, privacy protection, financial reporting accuracy, etc.
8. **Risk Assessment:** Identifying potential risks in a computerised environment requires a different approach than traditional risk assessments. Auditors must understand the unique risks associated with computerised systems (e.g., malware attacks) and develop strategies to mitigate them effectively (e.g., implementing multi-factor authentication).
9. **Communication Challenges:** Communicating findings from a computerised audit to non-technical stakeholders can be challenging due to the technical nature of the information involved (e.g., complex data analysis results). Effective communication skills are essential for ensuring that stakeholders understand the significance of the audit findings and can take appropriate action based on the recommendations provided by the auditor

## QUESTION 2

### August 2023 Question Five A

Kenneth Muli, an auditor at P and M Associates is in charge of auditing Mali Traders. Kenneth Muli is planning the audit with his team. The team is unsure on whether to use computer assisted audit techniques (CAATs) or manual techniques.

#### Required:

Advise Kenneth Muli on **FIVE** factors to consider when choosing between the two techniques in an audit engagement. (5 marks)

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### ANSWER

#### Factors to Consider When Choosing Between CAATs and Manual Techniques in an Audit Engagement:

##### 1. Nature and Complexity of the Audit:

- The nature and complexity of the audit engagement play a significant role in determining whether to use CAATs or manual techniques. For audits involving large volumes of data or complex transactions, CAATs are more efficient in processing and analyzing data compared to manual techniques.

##### 2. Time and Cost Considerations:

- Time and cost considerations are crucial factors when deciding between CAATs and manual techniques.

CAATs can significantly reduce the time required for data analysis and testing, leading to cost savings in the long run. However, the initial investment in CAATs software and training should also be taken into account.

### **3. Accuracy and Reliability of Results:**

- The accuracy and reliability of audit results are paramount in any audit engagement. CAATs offer greater accuracy in data analysis and testing due to their ability to perform complex calculations with minimal errors. Manual techniques, on the other hand, may be prone to human errors, potentially compromising the reliability of audit findings.

### **4. Availability of Skilled Personnel:**

- The availability of skilled personnel proficient in using CAATs is another factor to consider. If the audit team lacks the necessary expertise in utilizing CAATs effectively, manual techniques may be preferred to ensure the quality of the audit work.

### **5. Regulatory Requirements and Compliance:**

- Regulatory requirements and compliance standards may influence the choice between CAATs and manual techniques. Some regulatory bodies may recommend or require the use of specific audit tools or techniques, which could impact the decision-making process.

## **6. Data Security and Confidentiality:**

- Data security and confidentiality are critical considerations in audit engagements, especially when dealing with sensitive financial information. CAATs may offer enhanced data security features compared to manual techniques, ensuring that confidential data is protected during the audit process.

## **7. Flexibility and Adaptability:**

- The flexibility and adaptability of audit procedures are essential factors to consider. CAATs provide greater flexibility in customizing audit tests and procedures based on specific requirements, allowing auditors to tailor their approach to different audit engagements.

## **8. Audit Objectives and Scope:**

- Aligning the choice between CAATs and manual techniques with the audit objectives and scope is crucial for achieving the desired outcomes. Understanding how each technique can support the audit objectives will help in making an informed decision that best serves the purpose of the engagement.

## **9. Integration with Existing Systems:**

- Consideration should be given to how well CAATs can integrate with existing systems and software used by the organization being audited. Seamless

integration can streamline data extraction and analysis processes, enhancing overall efficiency in conducting the audit.

### **10. Risk Assessment and Materiality:**

- Risk assessment plays a key role in determining the materiality of issues identified during an audit. CAATs can help identify high-risk areas more effectively through advanced data analytics, enabling auditors to focus their efforts on areas that pose significant risks to the organization.

### **QUESTION 3**

#### **April 2023 Question Two A**

Explain the following terms as used in computerised audit environment:

- (i) Cloud computing. (2 marks)
- (ii) Encryption. (2 marks)
- (iii) Embedded audit module. (2 marks)

### **ANSWER**

#### **Cloud Computing:**

Cloud computing refers to the delivery of computing services, including servers, storage, databases, networking, software, analytics, and intelligence over the internet (—the cloud”) to offer faster innovation, flexible resources, and economies of scale. In a computerized

audit environment, cloud computing can provide auditors with the ability to access and analyze data remotely, collaborate with team members in real-time, and utilize scalable resources for processing large volumes of data efficiently.

**Encryption:**

Encryption is the process of converting data into a code to prevent unauthorized access. In a computerized audit environment, encryption plays a crucial role in securing sensitive information such as financial data, customer records, and audit reports. By encrypting data both at rest and in transit, auditors can ensure that only authorized individuals can access and decipher the information.

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**Embedded Audit Module:**

An embedded audit module is a specialized software component integrated into an organization's information system to facilitate continuous monitoring and auditing of transactions. These modules are designed to automatically collect and analyze data in real-time, enabling auditors to identify anomalies, errors, or potential risks promptly. Embedded audit modules enhance the efficiency and effectiveness of audits by providing timely insights into the organization's operations.

**QUESTION 4****April 2022 Question Two C**



Your organisation is in the process of computerising the internal audit function. The management has proposed installation of a Generalised Audit Software (GAS) to replace the manual procedures.

**Required:**

Evaluate five functionalities that are supported by a Generalised Audit Software. (5 marks)

**ANSWER**

**Functionalities that are supported by a generalized audit software.**

- It used to mine and analyse data to identify anomalies, errors and omissions and it is used in gathering audit evidence rather than documenting.
- It is an off – the – shelf package that can provide a means to gain access to and interrogate data maintained on a computer storage media.
- Generalized audit software enables auditors to have direct access to computerized records and to deal effectively with large quantities of data.
- GAS consists of a series of computer program routines that can read computer files, select desired information, perform repetitive calculations and print reports in an auditor specified format.



- Audit command language is data analysis software program that helps the auditor remain current with changing technology.
- Interactive Data extraction and analysis – is a leading audit data analytics software package that provides audit, finance and compliance professionals in industry and practice with efficient and effective solution for high performance audits.

## QUESTION 5

### January 2022 Question Three A B and C

When auditing a computer accounting system, the independent auditor should understand how the use of computers affects the various characteristics of internal control. The independent auditor should be aware of those control procedures that are commonly referred to as "general" controls and those that are commonly referred to as "application" controls. General controls relate to all computer activities and application controls relate to specific accounting tasks.

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### Required:

- (a) Describe three general controls that should exist in computer-based accounting systems. (6 marks)
- (b) Explain four potential problems of using audit software indicating how each may be resolved(4 marks)

- (c) Explain the concept of "auditing around the computer" and why it increases audit risk. (2 marks)

## **ANSWER**

### **a) General controls that should exist in computer based accounting systems**

1. **Software controls** – Monitor the use of system software and prevent unauthorized access of software programmes system software and computer programs.
2. **Hardware controls** - ensure that computer hardware is physically secure and check for equipment should be specially protected against fires and extremes of temperature and humidity.
3. **Computer operation controls** - Oversee the work of computer department to ensure that programmed procedures are consistently and correctly applied to the storage and processing of data.

### **b) Potential problems of using audit software indicating how each may be resolved**

#### **1. Cost**

- There may be substantial set up cost to use the software, especially where the computer systems of the client have not been fully documented.

- A cost benefit analysis from the audit point of view should be carried out prior to deciding to use audit software

## **2. Lack of software documentation**

- The computer audit department cannot confirm that all system documentation is available especially for the older legacy systems currently in use.
- This again confirms the view that use of audit software should be deferred until next year to avoid extensive set up costs which cannot be recouped due to system changes.

## **3. Changes to clients systems**

- Changes to clients' computer systems can result in costly amendments to the audit software. Given that systems might change, this will lead to amendments to the software
- Starting to use audit software this year is not advisable.

## **4. Output obtained**

- The audit manager needs to be clearly what audit assertions are to be tested with the audit software and what outputs are expected.
- Starting testing just to obtain knowledge of the system is inappropriate as testing may be too detailed

and output produced that is not required, increasing the cost for the client.

### c) Auditing Around the Computer

- This term means that internal software of the computer is not documented or audited by the auditor but that the inputs to the computer are agreed to the expected outputs from the computer.
- This method of auditing increases audit risk because;
  - The actual computer files and programs are not tested the auditor has no direct evidence that the programs are working as documented
  - Where errors are found in reconciling inputs and outputs it may be difficult or even impossible to determine why those errors occurred.

## QUESTION 6

### December 2021 Question One B

Examine four matters which an audit practice might consider when deciding whether to use computer audit software. (4 marks)

### ANSWER

**Matters which audit practice might consider when deciding to use computer audit software**

1. The **IT Knowledge, expertise and experience of the audit team** – ie the level of skills and competence
2. The **availability of computer audit software and suitable computer facilities** and data.

The auditor may plan to use other computer facilities when use of CAATS on an entity's computer is uneconomical or impractical.

3. The **impracticability of manual tests** – some audit procedures may not be possible to perform manually because they rely on complex processing.
4. **Effectiveness and efficiency** – The effectiveness and efficiency of auditing procedure may be improved by using CAATS to obtain and evaluate audit evidence.
5. **Timing** – certain data such as transaction details are often kept for only a short time and may not be available in machine readable form by the time the auditor wants them.

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## QUESTION 7

### December 2021 Pilot Papers Question One C

State four general controls that should exist to prevent unauthorised access to a company's computer system from the remote terminals. (8 marks)

## ANSWER

**General controls that should exist to prevent unauthorized access to a company's computer system.**

- Password protection programs so that access is limited to computer operating staff.
- Restricting access to computer room by locking door or using other access controls.
- Encryption refers to changing the format of the data such that even if its accessed by unauthorized users it cannot make sense to them and therefore it cannot be manipulated.
- Biometrics – this is an automated way of identifying legitimate users uniquely by the use of their behavioral and physiological characteristics

**QUESTION 8****November 2020 Question Three C**

Your audit firm is currently engaged in the audit of Zed Ltd. for the financial year ending 30 November 2020.

You are considering whether to perform certain tests manually or with the assistance of computer assisted audit techniques (CAATS).

**Required:**

Discuss three factors that could influence your decision on whether to perform the tests manually or with CAATs.

(6 marks)

**ANSWER****Factors that could influence your decision on whether to perform tests manually or with CAATS**

1. Computer knowledge expertise and experience of the information systems auditor. CAATS requires an auditor to be computer literate and if the auditor is not literate then it would be possible to use the CAATS.
2. Efficiency and effectiveness of using CAATS over manual techniques.
3. The level of training required for CAATS higher training is required as compared to the manual techniques.

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**QUESTION 9****November 2019 Question Three B**

In relation to auditing in a computerized environment

- i) Explain the term “test data” (2 marks)
- ii) Analyze two uses of test data when auditing a computerized environment (2 marks)

**ANSWER****Auditing in a computerized environment****(i) Meaning of “Test data”**

Test data involves the auditor submitting 'dummy' data into the client's system to ensure that the system correctly processes it and that it prevents or detects and

corrects misstatements. The objective of this is to test the operation of application controls within the system.

**(ii) Uses of test data when auditing in a computerized environment**

1. To test security of the system by entering dummy passwords e.g. payroll system
2. Test programmed controls and if there's any deviations during applications
3. Used to test if programmed controls are working effectively.

**QUESTION 10**

**May 2018 Question Two A**

You are considering deploying an audit software to undertake substantive testing of data files in the sales and inventory system.

**Required:**

Discuss five challenges you might encounter while using the audit software. (10 marks)

**ANSWER**

**Challenges that might be encountered while using audit software**



1. There is an initial high cost of designing the software package, although this cost can be recouped over a number of years of use.
2. Software may interfere with the client's system and could potentially increase the risk of viruses and data corruption.
3. Clients may be concerned for the security of their data.
4. They are only usually cost effective if the client's accounting systems are integrated, otherwise auditors would need different software programmes for different systems.
5. Lead times tend to be long and the planning has to be carried out well in advance – not just three or four weeks before the start of fieldwork, but perhaps a whole year in advance.
6. Audit firms will need to recruit increasingly from an IT, rather than an accounting, background.
7. Software has to be tested on a 'live' system before the auditor knows whether it will work or not (i.e. high risk of corrupting that system).
8. If the client wishes to change their system the auditor has to incur further costs changing their audit software.

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## QUESTION 11

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**November 2017 Question Three A**

Explain six benefits an auditor might derive from using computerised audit software. (6 marks)

**ANSWER****Benefits an auditor might derive from using computerised audit software**

1. Calculations and casting of reports will be quicker.
2. More transactions can be tested as compared with manual testing.
3. The computer files are tested rather than printouts.
4. Once set up can be a cost effective means of testing.
5. The use of audit software may save time resulting in greater efficiency
6. Eliminate ambiguity in audit reports

**QUESTION 12****November 2017 Question Three C**

International Standard on Auditing (ISA) 620 —“Using the work of an expert” contains guidance to an auditor on using the work of an expert to provide knowledge relevant to the audit which the audit firm does not possess.

Evaluate four procedures that an audit firm might apply before relying on such an expert. (8 marks)

### **ANSWER**

**Procedures that an audit firm might apply before relying on work of an expert**

1. The reasonableness of the findings and their consistency with other evidence.
2. The significant assumptions made.
3. The use and accuracy of source data.
4. Expert's field of expertise

### **QUESTION 13**

#### **November 2016 Question Three B**

Discuss five input validity checks you would expect to find in a computerised financial system. (10 marks)

### **ANSWER**

**Input validity checks you would expect to find in a computerized financial system**

Information technology (IT) is integral to modern accounting and management information systems. It is, therefore, imperative that auditors should be fully aware of the impact of IT on the audit of a client's financial statements, both in the context of how it is used by a client to gather, process and report financial information

in its financial statements, and how the auditor can use IT in the process of auditing the financial statements.

### **1. Format checks**

These ensure that information is input in the correct form. For example, the requirement that the date of a sales invoice be input in numeric format only – not numeric and alphanumeric.

### **2. Range checks**

These ensure that information input is reasonable in line with expectations. For example, where an entity rarely, if ever, makes bulk-buy purchases with a value in excess of Sh. 50,000, a purchase invoice with an input value in excess of Sh. 50,000 is rejected for review and follow-up.

### **3. Compatibility checks**

These ensure that data input from two or more fields is compatible. For example, a sales invoice value should be compatible with the amount of sales tax charged on the invoice.

### **4. Validity checks**

These ensure that the data input is valid. For example, where an entity operates a job costing

system – costs input to a previously completed job should be rejected as invalid.

### **5. Exception checks**

These ensure that an exception report is produced highlighting unusual situations that have arisen following the input of a specific item. For example, the carry forward of a negative value for inventory held.

### **6. Sequence checks**

These facilitate completeness of processing by ensuring that documents processed out of sequence are rejected. For example, where pre-numbered goods received notes are issued to acknowledge the receipt of goods into physical inventory, any input of notes out of sequence should be rejected.

### **7. Control totals**

These also facilitate completeness of processing by ensure that pre-input, manually prepared control totals are compared to control totals input. For example, non-matching totals of a 'batch' of purchase invoices should result in an on-screen user prompt, or the production of an exception report for

follow-up. The use of control totals in this way are also commonly referred to as output controls.

### **8. Check digit verification**

This process uses algorithms to ensure that data input is accurate. For example, internally generated valid supplier numerical reference codes, should be formatted in such a way that any purchase invoices input with an incorrect code will be automatically rejected.

## **QUESTION 14**

### **May 2016 Question Four A**

Describe the following Computer Assisted Audit Techniques (CAATs):

- (i) Embedded audit facilities. (2 marks)
- (ii) Integrated test facilities. (2 marks)

## **ANSWER**

### **Computer Assisted Audit Techniques (CAATs)**

#### **i. Embedded audit facilities**

This technique requires the auditor's own program code to be embedded (incorporated) into the client's application software, such that verification procedures can be carried out as required on data being processed. For example, tests of control may include the reperformance

of specific input validation checks (see input controls above) – selected transactions may be tagged and followed through the system to ascertain whether stated controls and processes have been applied to those transactions by the computer system.

**ii. Integrated test facilities**

This involves the creation of dummy ledgers and records to which test data can be sent. This enables more frequent and efficient test data procedures to be performed live and the information can simply be ignored by the client when printing out their internal records.

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**QUESTION 15**

**May 2016 Question Four B**

List four audit procedures that could be carried out using computer assisted audit techniques. (4 marks)

**ANSWER**

**Audit procedures that can be carried out using computer assisted audit techniques**

1. Calculating ratios and select indicators that fail to meet certain predefined criteria (i.e. benchmarking)
2. Casting ledgers and schedules
3. Recalculation of amounts such as depreciation
4. Preparing reports (budget vs. actual)

5. Stratification of data (such as invoices by customer or age)
6. Identifying changes to standing data e.g. employee or supplier bank details
7. Produce letters to send out to customers and suppliers.

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# TOPIC 16

## CONTEMPORARY AND EMERGING ISSUES IN AUDIT

### QUESTION 1

#### August 2023 Question Five B

Enumerate **SEVEN** benefits of data analytics in audit.

(7 marks)

### ANSWER

#### Benefits of Data Analytics in Audit

Data analytics has revolutionized the field of audit by providing auditors with powerful tools to enhance their processes and deliver more accurate and insightful results. Some of the key benefits of incorporating data analytics in audit include:

**1. Improved Accuracy and Efficiency:** Data analytics tools can process vast amounts of data quickly and accurately, reducing the risk of human error associated with manual auditing processes. By automating repetitive tasks, auditors can focus on analyzing exceptions and anomalies, leading to more precise audit findings.

**2. Enhanced Risk Assessment:** Data analytics enables auditors to identify patterns and trends within the data that may indicate potential risks or fraudulent activities. By analyzing large datasets, auditors can gain a deeper

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understanding of the client's operations and pinpoint areas that require further scrutiny.

**3. Increased Insights and Value-Added Services:** By leveraging data analytics, auditors can extract valuable insights from the data that go beyond traditional audit procedures. These insights can help clients improve their internal controls, optimize business processes, and make informed strategic decisions based on data-driven recommendations.

#### **4. Real-Time Monitoring and Continuous**

**Auditing:** Data analytics allows for real-time monitoring of transactions and activities, enabling auditors to detect issues promptly and provide timely recommendations to mitigate risks. Continuous auditing using data analytics tools ensures that audits are conducted on an ongoing basis rather than just at year-end, enhancing the overall effectiveness of the audit process.

**5. Fraud Detection and Prevention:** Data analytics plays a crucial role in detecting potential fraud schemes by analyzing transactional data for irregularities or suspicious patterns. By implementing advanced analytical techniques, auditors can proactively identify fraud risks and help organizations strengthen their anti-fraud controls.

**6. Compliance with Regulatory Requirements:** Data analytics helps auditors comply with increasingly

complex regulatory requirements by providing a systematic approach to audit planning, execution, and reporting. By utilizing data analytics tools, auditors can ensure that audits are conducted in accordance with relevant standards and regulations.

## QUESTION 2

### December 2021 Question Five B

E-commerce is the buying and selling of goods online. Propose five elements of inherent risks associated with operating an E-Commerce platform. (5 marks)

### ANSWER

**Elements of inherence risks associated with operating an ecommerce platform.**

1. **Online security** – There is a whole range of security threats out like phishing attacks, hacking and spam mail.
2. **System reliability** – internet service provider (ISP) Serve could crash and the online payment could show errors and the ecommerce plugin could have bugs.
3. **Privacy issues** – customers personal data could be compromised and used for spamming, identify theft unsolicited marketing
4. **Credit card fraud** - Someone may use a stolen credit card to make an online purchase or a hacker could

use stolen credit data from other customers in your system.

- 5. Customer disputes** – A customer might not have received their order, their credit card may be charged twice or product received didn't fit the online description.

### QUESTION 3

#### **December 2021 Pilot Papers Question Two A and B**

Data analytics has been described as one of the modern ways of analysing data in various professional fields.

#### **Required:**

- (a) Explain how auditors can use data analytic techniques during the audit process. (10 marks)
- (b) Highlight the challenges that the auditors will encounter when using data analytics during the course of the audit. (10 marks)

### **ANSWER**

#### **a) How auditors can use data analytic techniques during the audit process**

1. Net realizable value testing – comparing the last time an inventory item was purchased with the last time it was sold and at what price.
2. Analysis of revenue trends by product and region

3. Matching purchase orders to invoices and payments
4. Segregation of duties testing by identifying combination of users involved in processing transactions from the metadata attached to transactions
5. Performing sampling

**b) Challenges that auditors will encounter when using data analytics during the course of the audit**

1. Data privacy and confidentiality. The copying and storage of client data risks breach of confidentiality and data protection laws as the firm now stores a copy of large amounts of detailed client data.
2. Due to perception that it may be disruptive to business, the audit firm sufficient access to their systems to perform audit data analytics.
3. Completeness and integrity of the extracted client data may not be guaranteed. Specialists are often required to perform the extraction and there may be limitations to the data extraction. Where either the firm does not have the appropriate tools or understanding of the client data to ensure that all data is collected.
4. Compatibility issues with client systems may render standard tests ineffective if data is not available in the expected formats.

5. Audit staff may not be competent to understand the exact nature of the data and output to draw appropriate conclusions training will need to be provided which can be expensive.
6. Insufficient or inappropriate evidence retained on file due to failure to understand or document the procedures and inputs fully.
7. Practice management issues arise relating to data storage and accessibility for the duration of the required retention period for audit evidence.
8. An expectation gap among stakeholders who think that because the auditor is testing 100% of transactions in a specific area, the clients data must be 100% correct.

## QUESTION 4

### **December 2021 Pilot Papers Question Five B**

Explain the procedures that an auditor would carry out when performing an environment audit of a sugar manufacturing company. (5 marks)

## **ANSWER**

**Procedures that an auditor would carry out when performing an environment audit of a sugar company.**

1. Planning the audit including activities to be conducted and responsibilities of each activity.

2. Review the company's environmental protection policy and the applicable requirements.
3. Assessment of the organization, its management and equipment.
4. Gather data and relevant information
5. Evaluate overall performance
6. Identify areas needing improvement

## QUESTION 5

### November 2018 Question Five B

With respect to information technology (IT) audits, explain the following terms:

- |                                   |           |
|-----------------------------------|-----------|
| (i) Social media risk assessment. | (2 marks) |
| (ii) Software licence review.     | (2 marks) |
| (iii) IT governance audit.        | (2 marks) |
| (iv) IT risk assessment audit.    | (2 marks) |

## ANSWER

### Explaining the following terms

- i. **Social media risk assessment:** This is the process of identifying risks through online sources assess the impact and probability of these risks and developing risk mitigation plans
- ii. **Software license review:** This is a sub-set of software asset management and component of corporate risk management of which the auditors has

to check in order to determine if the software being used is legal and correct.

- iii. **IT governance audit:** This is an audit which is aimed at determining the role of it in the relationship between management, the board of directors and other stakeholders.
- iv. **IT risk assessment audit:** This is an audit which involves assessing the risk associated with use of it in an organization and how to mitigate the risks

## QUESTION 6

### May 2018 Question Two B

Explain the following terms as used in contemporary audit:

- (i) Cyber insurance. (2 marks)
- (ii) Social engineering. (2 marks)
- (iii) Data protection. (2 marks)
- (iv) Remediation procedures. (2 marks)
- (v) Forensic accounting (2 marks)

## ANSWER

**Explain the following terms as used in contemporary audit**

- i. **Cyber insurance** – Cyber insurance is an insurance product designed to help businesses hedge against the potentially devastating effects of cybercrimes such as



malware, ransomware, distributed denial-of-service (DDoS) attacks, or any other method used to compromise a network and sensitive data. Also referred to as cyber risk insurance or cyber security insurance, these products are personalized to help a company mitigate specific risks.

- ii. **Social engineering** – Social engineering is the act of tricking someone into divulging information or taking action, usually through technology. The idea behind social engineering is to take advantage of a potential victim's natural tendencies and emotional reactions.

To access a computer network, the typical hacker might look for a software vulnerability. A social engineer, though, could pose as a technical support person to trick an employee into divulging their login credentials. The fraudster is hoping to appeal to the employee's desire to help a colleague and, perhaps, act first and think later.

- iii. **Data protection** – refers to security programmes laid in place by management to ensure that information only lands in the hands of relevant people only.
- iv. **Remediation procedures**-Refers to post-mortem follow up reviews by the audit committee, beyond the oversight role in order to understand what went

wrong, ensure remediation actions and probing of other areas of vulnerabilities.

- v. **Forensic Accounting** -Forensic accounting is the use of accounting skills to investigate fraud or embezzlement and to analyze financial information for use in legal proceedings

## QUESTION 7

### November 2017 Question Two A

Explain the following terms as used in contemporary audit:

- (i) Environmental audit. (2 marks)
- (ii) Corporate governance. (2 marks)
- (iii) Enterprise risk management (ERM). (2 marks)

## ANSWER

### A. Meaning of the terms

- i. **Environmental audit** - It's a systematic process of determining whether the entity is complying with the environmental targets by the management as well as environmental laws and regulations affecting the entity's operations.

Examples of environmental targets include:-

- Minimization of wastages during production processes.
- Compliance with health and safety issues.

- Minimization of pollution to the atmosphere

ii. **Corporate governance** – It refers to the conduct of managing a corporate entity for purposes of ensuring an effective operation of the entity and controlling the entity in the interest of the stable holders. The aim of corporate governance initiative is to ensure that company irregularities are minimized. It is concerned with matters such as;

- Responsibilities of the directors with regards to financial reporting and other matters.
- Appropriate composition of the BOD
- Need for an effective internal control function and ERMS.
- Existence of the audit committee at board level.
- Relationship between the client entity and the external auditor.

iii. **Enterprise risk management (ERM)** - is the process of planning, organizing, leading, and controlling the activities of an organization in order to minimize the effects of risk on an organization's capital and earnings. The responsibility of establishing an ERMS is that of the client's management through the entity's audit committee together with the internal auditors. Such a system has various objectives including;

- Ensuring the risk management process is aligned to the strategic objectives of the entity.
- Ensuring proper communication of matters relating to risks to the employees.
- Cultivating a culture of ensuring that all employees within the entity understand their responsibilities

## QUESTION 8

### September 2015 Question Four C

Knowledge of the business is crucial in determining the most effective and efficient audit strategy of an entity using the internet for electronic commerce. Any auditor needs to have an in-depth understanding of the related risks and the measures to minimise them.

#### Required:

Discuss the impact of e-commerce on the audit process.

(8 marks)

### ANSWER

#### Impact of e-commerce on the audit process

1. Auditor may need the work of an expert to evaluate some sophisticated systems and transactions trail.
2. Some audit evidence may be available in electronic form, and auditors must evaluate how this affects their ability to gather sufficient audit evidence.

3. Auditors must consider the availability of electronic evidence early enough and plan their evidence gathering accordingly.
4. Inherent risks are minimal especially where electronic payments are involved.